# Samvardh. Mothe. (MOTHERSON)

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# Call: Dec 2022

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December 9 , 2022

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Scrip Code : MOTHERS ON Scrip Code : 517334

Ref. : Transcript of the Investor Meet

Dear Sir/ Madam

This is with reference to our letter dated October 10 , 2022 and December 03, 2022 , intimating about the Motherson Institutional Investor Meet 2022 held on December 3 , 2022 and further upload of the presentation and video recording on the Company's web -site.

In respect to above , please find attached transcript of the aforesaid investor meet . The above transcript is also available on the website of the Company www.motherson.com .

Thanking you,

Yours truly,

For Samvardhana Motherson Inte rnational Limited
(formerly Motherson Sumi Systems Limited)

Alok Goel
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Resilient. Long Term. Sustainable "Motherson Institutional Investor Meet 2022" December 3rd, 2022 Management Mr. Vivek Chaand Sehgal, Chairman, SAMIL and MSWIL Mr. Laksh Vaaman Sehgal, Director , SAMIL and MSWIL Mr. Pankaj Mital, COO and Whole Time Director, SAMIL Mr. Kunal Malani, CFO, SAMIL Mr. Anurag Gahlot COO, MSWIL Mr. G N Gauba CFO, MSWIL


Master of Ceremony: Thank you again everyone we'll be starting in just a few seconds we can all take our seats that will be great. Welcome all to the investor meet 2022 We are very glad you're here and we are honored to be hosting you today. Hopefully by now you've all had a chance to take a look at our Motherson Experience Centre that was in the corporate office on the second floor. If not, don't worry, you will get another chance in the second half of the day. Before we go any further please let me call on stage our safety briefing coordinator for this event. Major please. Safety Officer: Good morning ladies and gentlemen. Welcome to Motherson Safety Brief. This arena has two locations called conference hall and trend zone. You're currently inside the conference hall it has got five emergency exits, one exit each is towards your right, left and in front of you. Two exits are exactly behind you and the assembly area is 75 meters behind you. In case of an emergency please use these exits to reach the assembly area. Safety coordinator is available inside the hall and trained security staff is available outside this hall to help you in case of an emergency. Similarly, trend zone has four emergency exits and assembly areas remain the same. In the due course of this meet, you will also be visiting the first floor. Like the second floor. First floor has two emergency exits. It's as shown in the flow layout. One exit is near the left and the other is at the backside of the floor. Floor emergency evacuation layouts and emergency exit signage are promptly displayed on the floors. In case of an emergency. Please press the panic bar down on the emergency exit to approach stairs, climb down and reach the indicated assembly area at the ground floor. Training security personnel are available on the floors to help guide during emergencies. Lift will not be functional during emergencies. Thank you very much have a safe stay and engaging event. Master of Ceremony: Thank you Major for the information. Before we move forward I wanted to remind you, every one of you will see wearing these lanyards. You will see three different colours. Our organization team is the one wearing the orange lanyard. They'll be able to help you with anything you might need today. In terms of logistical issues or any questions you might have. Anything we can help with. We're happy to be there. Now ladies and gentlemen up next we do have the main event to get the ball rolling allow me to call on stage our SAMIL CFO, most of you know him as our lean mean finance machine. Please let me help me welcome Kunal Malani Kunal Malani: Thanks, at least someone told me I'm lean. Mean I hope not. Killing machine, we'll see by the end of the day. But good morning, everyone. Great to have you here. It's a Saturday. I know it takes a lot of personal commitment to be here. So we're very, very grateful for your presence here.


Actually, maybe I should be saying more importantly, we should thank all your spouses and family members to have allowed you to come here on a Saturday. We met here last in November 17. It's been five years. Some familiar faces many new faces as well, you know, the world's quite changed. It looks like a completely different world now. But some things have remained a constant, as an example are, you know, as you're aware, we have a five year plans and our endeavor to achieve these five year plans have remained a cons

tant. We are here today, in the halfway journey of our 6th 5 year plan, the Vision 2025. And we are very excited to show you where we are, and you know how we will get towards achieving our Vision 2025. You know, when we announced this event, a number of you have reached out to us to tell us, you know, what you would like us to showcase here what you would like to see in here, we've tried to incorporate many of these elements into the day. And you know, as an example, I hope everyone enjoyed the Motherson Experience Centre, which showcases all our products and technologies, I shouldn't say all, it's actually only about 10% of what we do. But that's what we could fit in here. Don't forget we are having 300 facilities across 41 countries. Similarly, we have, we have a trend zone after this, which will give you a flavour of how our products and technologies are evolving, to meet some of the changing trends. We also have the entire team, which actually makes this a reality. So please spend some time engaging with them. And they can certainly convince you a lot more about why we do what we do and why we are so good at what we do. So I hope it's it will be a very engaging and pretty packed day. Unfortunately, we started a little late, thanks to all the weather and traffic. But I hope that by the end of the day, you know you're as excited as we are on this journey. And at the same time, as confident as we are to try and achieve our Vision 2025. Now let me please invite Vaaman Sehgal to share his thoughts on our journey and where we are. Or maybe I should say, drive us on route 36. Thank you so much. Laksh Vaaman Sehgal: Good morning, and welcome everyone to our show here today. I take the cue from Kunal and thank you all for being here on a Saturday. I do apologize for the weather. But at Motherson, we're not allowed to apologize for traffic. Because if traffic is red, that means businesses doing well. So not apologizing for traffic. But yes, for the weather. Please, please excuse us. So welcome to our halfway point. It's very important meet for us. We as a whole team are quite excited to show you where we have reached. And it's important halfway point, it's exactly half of where we are in Motherson. I'm having some issues with the clicker not working. As always, you plan for everything, but the easiest of things don't work. We can send people on the moon but having a presentation work, you know, without any issues is always is always a problem. So welcome, again, from my side. This is the halfway point, my presentation is going to take you through exactly where we are. I might remind you also of our Vision 2025 What we started to do back in 2020, the world was very different back then when we set on this journey. But that being that we still have a long way to go. I want to remind you what we started back in, in 2020. What is our vision for 2025? Where is it that we stand right now at that halfway point? And why is it that we stand where we stand?


And then I'm going to hopefully answer a lot of your questions that you have, how is it that we're still going to get to that point of what we set ourselves out to achieve at Vision 2025? After that, we're going to open up the floor for question and answers. And you will have a chance to see the senior management team and ask questions if you do have any, after my presentation, so let's get right into it. Everything starts at Motherson with purpose. We here at Motherson, constantly aim to delight our customers, and set ourselves seemingly impossible goals. The reason why we set ourselves impossible goals is that is the only way we see that we can provide sustainable opportunities for growth for all our people here at Motherson, and become part of something much larger than ourselves. We've been doing this for a long time, this is our 6th 5 year plan. And as you can see, if we hadn't set such large ambi

tious targets, there is no way we would have been able to achieve a CAGR of 32%. year on year from the time since our inception. So setting large goals, you know, seemingly impossible targets it works really propels us to unleash our full potential and deliver stellar results for all of us. But then again, you can really ask, why do we set such high targets? And frankly it is the only way that we believe that we can create value for our stakeholders, while doing that is also the way that we can create opportunities for all our people now imagine if we were one product, one country, one company, how many opportunities could we give to the people that are part of Motherson. By setting very high goals, you're trying to diversify, bringing more products, enter new countries, we give a lot of our people who have been with Motherson, unlimited opportunity for growth. And finally, because we want to do something amazing, and something really valuable. You know, we believe that we have all the key ingredients in terms of an amazing team, sound principles of doing business, a strong philosophy, and we believe that we can really be the benchmark in the industry in manufacturing. And that's why we really set these targets. Now, let me refresh, what is it that we are trying to achieve by 2025 to be a $36 billion company. But it's not just a top line, it comes with the bottom line, we just don't want to do it for ego purposes or something like that, we want to be a $36 billion company with delivery of a 40% ROCE. On top of that, we want to be a diversified company. The reason for that is that if we are able to do different products in different geographies, so the 3CX stands for no country, no customer, no component to be more than 10% of our business. If you're able to do that, we can continue to grow no matter what market condition is really out there. And for the first time ever, we are actually targeting to do non-automotive in this five year period. This is stuff that I'll get into a little bit more in my presentation as well. But this is what we have set out to achieve. And finally, we're going to grow, we're going to triple up from where we are right now, while maintaining financial discipline, and making sure that all our financial policies are intact. So quite a heady mix. But I think it's important that you understand that all these targets are not just one offs, they are interrelated. They have to come with each other, not at the expense of each other. And that is what ensures that we maintain good discipline, and give comfort to all our investors that we're not doing acquisitions or not going for growth just for the sake of going after growth, but actually doing it in very proper, organized approach with financial discipline head on our shoulders, and with the opportunistic in the market, when we get windows to be able to achieve all these things. So where do we stand today?


You can imagine, announcement in 2020, as soon as that happened COVID hit but we didn't say okay, let's delay by a few years. In fact, we reorganized ourselves, we said that, you know, if we really want to be a $36 billion company in the next five years, some things in our structure have to change. There was a lot of feedback coming from my investors, the structure is complicated. We need it to be simplified. So we listen to all of you. We actually went through an exercise of reorganizing our entire company and putting all of the group under one umbrella. We reorganized and now we have created two very successful and exciting companies. SAMIL being the company which is completely diversified, has a large portion of the revenues, will house all the international acquisitions, and of course being a very focused entity called MSWIL, which is again, with a joint venture partner, Sumitomo San, where Motherson originally started, which will focus only on the Indian passenger ca

r wire harness business, which in itself is a huge market opportunity, as we know that India has tremendous potential moving forward in the automotive growth. So two very exciting companies, market leaders in their own domain, one will focus more on the international side, one will focus more on the Indian pass car wire harness - creates two very exciting entities for all our investors. While working as one, we've also not just simplified the structure, we also simplified all our branding, all our logos. So instead of having multiple companies that people not really know that where they belong, now everybody belongs under one logo, one brand, which is unified, all of us under one simple logo Motherson, which you will see all around you and everywhere that you go. So this is a start of a new chapter. It's something that we call Motherson, 2.0. And 2.0 is not just a number, it's an attitude in Motherson. It's a way that we are asking every single person in the Motherson family to imbibe certain principles, certain values, we want to be a company that becomes more agile. Now as we grow in size, we want to triple up in size, we're going to have to do something different than what we have done to get us to where we are, especially in the world where there is so much volatility, there's so much uncertainty, we are pushing our people to have a fresh approach to deal with the challenges, be more dynamic, be more agile, be faster to react to any situation. And that's what we call Motherson 2.0. I have a small movie that I hope you guys will enjoy and we'll explain more what I'm trying to say. Movie Clip (available in the video recording of the event) Laksh Vaaman Sehgal: So, as you can see, our platform is ready. And we were ready to really go after the 2025 targets. But since then, the world has become that much more uncertain and unpredictable. In fact, you see some research out there, researchers from Stanford are saying that the level of uncertainty that there is in the world and the range of the unexpected events that are happening are reaching extremes, which means that it's really hard to predict anything that's really going to happen. So, extremes are getting more extreme. There's getting faster, unpredictable events that are happening in the world that is making it very difficult to really have a plan. In fact, you have to be the fastest to respond to any situation which is a much bigger strength than trying to predict it because obviously, that's not possible to do in our world anymore. When most of us, you know, thought okay, COVID is going to be one year, you know, 2021 is going to be much better year. Hey, we will hit with even more challenges. COVID on hindsight was just the start of a domino effect of a lot more problems that happened- chip shortage, rising commodity prices, geopolitical situation in Europe, crazy levels of inflation, rising labour costs, all these things have hit us one after another.


So there's two approaches right one say Hey, let's take a breather, let's take a break, let's postpone, or the other approach which Motherson adopted was that this is the reality of the world that we live in. If you think of 2022 is coming to an end, and 2023 is going to be a better year, hey, don't hold your breath, I got news for you, new challenges are going to come up. And that's what Motherson 2.0 was about. That's what we are embracing ourselves and saying, Hey, even in these tough times, even with these things that are constantly going to happen, we're not going to get a breather in a year, we're going to have to find ways and means to still grow to still achieve 2025 targets no matter how difficult the world is, is really out there. So needless to say, we've had the most challenging start to any five year plan in the history of Motherson. Not only that, as we saw that post COVID, the 2021 time that we had, everything started to g

o up really unreasonably, unrationally and there was a lot of cheap money available, there were a lot of acquisition opportunities available. And, you know, we had a lot of opportunities to really go and grab and bite, do a large acquisition, and actually have already achieved our $36 billion vision. You would have seen a lot of news articles that are saying that Motherson was trying to acquire quite large companies. Well, frankly, if we would have done any of those things, in hindsight, we would have significantly overpaid for these businesses. And that's one of the reasons why you didn't hear large acquisitions that have not happened at Motherson, because we didn't see a path to 40% ROCE. So what I'm trying to say is we are patient, we've got our head on our shoulders, we're only going to go after a $36 billion dollar target when we find a sustainable path to a 40%. ROCE. But at the same time, we're not wasting time. Even though acquisition opportunities will come when the timing is right, we've actually focused on getting our house stronger, reduced fat, leaner operations, and that is showing results on the organic side, while the inorganic is an art, but organic is in our control. The teams have worked extremely hard. As you can see our revenues, annualized will be 12 billion this year, it'll be a record for Motherson. And this is an environment where the passenger industry has actually declined. There is de-growth in the industry, yet Motherson is growing, is outpacing the industry growth by 8- 9%. That is the magic of our teams, that is the hard work and commitment of these teams to make sure that even in the toughest of times, we find ways to grow. We don't ride on EBITDA margins. But we do, obviously focus on our profitability. And that's why I think it's key for you to look at this chart and understand that we focus on absolute growth of EBITDA. We don't like to be judged on the percentages, because, you know, the fact is, we're not a cement or a tyre company where the product largely remains the same year on year. After every single cycle of five to seven years of our particular program of the carmaker, we have an ability to completely re-engineer or redesign, completely create a new product. Let me give you an example. Let's say for a mirror business, let's say the mirrors which are simple mirrors, just giving you an illustrative example, a pair of simple mirrors cost 10 euros, we have an EBITDA margin of 10% on those euros, we make one euro in EBITA. Now the next version and something that you will see in our experience centres, you will see mirrors coming up with highly embedded cameras and the future will be perhaps only camera these are also things which we have already developed in house. Now these cameras will be priced, which will replace mirrors, which will be at perhaps 100 euros. Now, these 100 Euro cameras is not that we're going to be producing every single part, there are a lot of stuff that we will be buying out. So our EBITDA margins, because there's a lot more bought out content will actually come down from 10% to perhaps even half 5%. But the absolute growth in EBITDA. From that one is not five, it's a 5x growth, while the percentage of our EBITDA of may look like it's halfed. So please don't judge us on the percentages, look at the absolute growth. And you can see in the chart that I'm displaying there's been absolute growth on the profitability as well 23% CAGR year on year. So that is how you should be looking at Motherson. And don't get thrown


off for the last few numbers. Why that's coming down. This is the performance in one of the worst conditions with significant headwinds, the companies are still maintaining profitability. And just imagine what is possible when the market comes back. And when the uptick happens, the effect that's going to happen to our bottom line as well. What we do guide on what we do focus

on is ROCE. Here again, you might say, why is it at that 8% When your target is 40%. But here also you have to understand ROCE is a journey, it's not something that happens overnight. For us to deliver ROCE, it takes a five to seven year period, for us to really make a company sustainable put the necessary investments, win the new customer orders, and as those orders are taken by the company, the ROCE increases. So if we remove all the new plants that we have invested in, and by the way, we've set up 41 new Greenfield and brownfield plants in the last five years that are ready for new business orders to take off as the market comes back. So if we take out all these new investments in Greenfield and Brownfield, we take out the new acquisitions that we have done because they do require investment, require for us to win the new orders for the customer and really show our true colours. If you take out one cycle five to seven years, you will see that this ROCE is already sitting at 19%. And that too, in a very tough environment that we have right now. So again, please do understand our numbers a bit more deeply. They'll give you an understanding of how Motherson is performing. And I'm sure as you will see, as the industry becomes better and stronger, and some of this noise on the macroeconomic side goes down, this ROCE will get much closer to that 40%. Despite the tough times, despite all the challenges, the teams have worked extremely hard to maintain our leverage and conserve as much cash as possible. In fact, some of the toughest times Motherson has proven its capability by de leveraging in these times and conserving cash. Don't get thrown off by the 22 number. This is when the merger of SAMIL happened. So it's not an apple to apple comparison. And even with that merger, you can see that we are well below our financial policy of being under 2.5 times net debt to EBITDA. As the situation improves, as the working capital gets to open up because of the numerous macroeconomic challenges that we're having. Again, we significantly believe that these numbers will improve and show you the delivery of where we want to be by 2025. So in short, the world is uncertain, yet Motherson has increased our revenues, maintained our profitability, is on a path of improving ROCE, while keeping our leverage well under control. We are strong, we are resilient. The good news about bad times is that they threw up some of the biggest opportunities. We doubled our turnover in the 2008-09 financial crisis. With the acquisition of Visiocorp, that's how SMR came into being, it's now one of our strongest companies delivering ROCE of over 40%. Similarly, with SMP, we believe that in these tough times, is when the biggest opportunities for Motherson will come. So it’s not all that bad. I think, even though we're in tough times, it's good times for Motherson as acquisition opportunities will present themselves. But now you can still ask me, how is it that we are really going to get there, we understand that the opportunity is there, but how is Motherson really going to get there. So I want to break down these targets one by one. But I'm not going to do it by just standing here and constantly talking to you. I'm going to do it in true Indian style, because India will have Bollywood. So we've created a movie here in eight parts. And I'm going to take you on a journey with me. Instead of me just standing over here and taking you through numbers and the presentation, we have created an eight part movie, which is going to take you with me to numerous plants of us around the world for you to understand how Motherson is on a solid foundation and on track to achieve our 2025 targets. Let's see the idea of the film in the first part.


Movie Clip (available in the video recording of the event) Laksh Vaaman Sehgal: So welcome to route 36 with me, I'm glad to have you on this on this jou

rney. The first chapter of this movie is of course addressing revenue growth. And before I get into revenue growth, because that is a large part of how we are going to hit USD 36 billion, I want to take you to our strategy of growth in Motherson is the reason why we have grown to where we are today is what we call the value chakra. It all starts with having great performance, focus on QCDDMSES. These are the parameters that the customer judges you on Quality, Costs, Design, Delivery, Management, Safety, Environment, Sustainability -got that right. As long as you do great in these parameters, the trust of the customer keeps going up, you rank in the top 0.5% of their ratings. They build trust, you know what, they come back to you and they ask you to do more. It could be different products. It could be growth in new countries, it could be acquisitions, it could be joint ventures, whatever is the customer's problem right now, as long as they have trust in you, they'll come back and tell you to do more, they ask us to do more, we obliged we take that as a challenge, our value content increases. As that increases, again we become a preferred solutions provider we solve their problems, we focus on the QCDDMSES and the chakra goes on and on and on. It is an endless upward spiral for us. As long as we do well, we are guaranteed growing business with our customers as we become an integral part of their supply chain. So, now I'm going to break down the organic revenue growth into two parts. First bit is of course the organic growth which is more in our control. And for that I'm going to take you on the journey with me again in the movie and we're going to talk to Pankaj Mital Sir, who is the head of SAMIL as well as responsible for the entire wire harness division. And I'm going to show you two very fast growing units in the group as well in Mexico and in Hungary and show you how they are helping us achieve our revenue targets. Let's see how they do it. Movie Clip (available in the video recording of the event) Laksh Vaaman Sehgal: So, here you saw in the movie real examples of how the Motherson Chakra works. You increase the customer's confidence, you are asked to do more and more products, more locations, more business, continue to perform, you keep on growing. Now, I want to take you to more details on how we really grow on the organic side. And I'm going to break it down into few key themes that we believe are going to have a strong impact on why our organic growth is set for explosive growth coming up. The first one is obviously a no brainer. We're actually at the lowest point of automotive vehicle production that we have seen in years. And we believe that this is bottoming out, we believe that worst is behind us. And as we move forward, volumes are definitely going to have an uptick, why? First, there is a significant amount of demand backlog. And two, after COVID people have really changed their preferences towards having a personal mobility. Most people that could believe that they could do with public transportation or the Ubers and Olas of the world have now realized how vital it is to have a personal mobility option in case of an emergency or stripe. And in this uncertain world, as you can imagine, most people are gravitating towards it. So there is a significant backlog. Volumes are at the lowest point. And as the macro-economic tension start to ease, we believe that the next few years and also looking at any of the industry estimates, we believe that volumes are going to uptake and that obviously is going to have a


dramatic impact on our organic growth and make sure that we outgrow the market as the volumes really pick up. The second important thing that we have seen that I want to share with all of you is changing customers preferences towards high-end vehicles. We're seeing that not only in the developed countries, but also in the em

erging countries, we are seeing people wanting to choose more the higher end version of the cars, the SUVs, the premium vehicles over entry level. That means the sophistication, the maturity of the customers is getting there. And they are all opting for the premiumization that's happening in the vehicles and that augurs very well for Motherson. As you know, Motherson is more exposed to the premium side. And our value and our content will keep growing as this continues to play out in the markets that we are present in. Even within the high end models, there are a lot of variants. Let me give you an example for our plant in Alabama, where we are making doors for Mercedes, there are more than 1500 variants of just the doors that's possible. If that's mind boggling, I want to make you understand that for the Porsches for one the very select cars that we make, there are more than 50,000 bumper variants that we are making. That's the level of customization that is being offered to the customers in the premium segment. And that augers obviously very well for us when there is more customization, more selections that the consumer has, that obviously drives our content more our value more. And as you can see, for all our product groups, this means significant value and content increase as this is playing out for our markets. Now, this is an illustrative example and is based on a set of vehicles that we have chosen, it will marginally change depending on the data set. But largely the direction holds extremely true. So to summarize, as the premiumization is happening as the customization is happening, as the shift is going towards the premium vehicles, we believe that our products are going to significantly increase in content and value as this shift really happens. Similarly, for as you can see what I was talking about before, even in the model variants within the shift from low end to high end, this is a meaningful increase. And that augurs for all our product groups as well, some more than the others. And, of course, this will depend on the country, on the offering that we have within the high end models, what are the different variants, and that's what I'm trying to tell you that the customization and the selection that the consumers have now really helps Motherson to grow our value proposition as people are moving from low end to high end and the premium variant of that high end as well. Now, let's talk about the elephant in the room. I'm sure a lot of you have a lot of questions about electrification, electric vehicles. Let me put all those questions to bed with one single comment. Motherson is powertrain agnostic. So no matter what car is going to be the car of the future and we can really argue till the cars come home, debate endlessly that when is it that electrification of vehicles is going to happen? We believe that our products, bumpers, door trims, mirrors, wiring harnesses, etc, will all still be relevant, will all still be value creating for us and keep growing in value and content even when this shift happens. We have no meaningful products in the engine which augurs very well for us. Now, we believe that there is a world out there where all cars will exist, all different options of powertrains, because there's a lot to be done to make only electric, a reality. There is infrastructure problems, there is government support that is going to come and regulations are going to come in, technology developments that need to happen. I mean, there's so much out there that is currently unsolved, we believe that the future will be one of mixed reality, they will be ice engines, they will be electric engines, they will be hybrids, they may be fuel cells, I mean,


there's so much that is really out there, and the market, which is so big and diverse, that everything will survive. Again, I would request you to go and see some of our trend zones, because t

here you will see that no matter what is the future, Motherson's part will be relevant, we'll have an opportunity for growth, and have a very exciting, bright future for us, as the different levels of components do come in from our portfolio. Let's suppose for a minute that this EV does play out exactly how everybody is saying and that all the challenges are overcome. Even then, as you can see, for all our products, there is meaningful increase in our value and content as the shift happens. So we are well prepared, we are well equipped. And this is also being shown by our order book. As you can see, our order book Orderbook is at record levels at 18.2 billion. 37% of this is electric only. That means that the customer has the confidence and trust in us. Even with the new technologies, even with the new vehicles that are coming, Motherson is winning significant orders, and is growing in value and in content. So regardless whether these vehicles are taken on by the consumers, or they still prefer the ICE engines, Motherson will still find pockets of opportunity for growth, and be able to deliver on our organic growth targets for 2025. I hope I was able to explain that to you too well. The final, but perhaps the one that is most clear, is the theme of increasing security and safety in the car. This is undeniably happening in all countries around us. And this is something which is a big force from the regulators as well. When if you look at all the things that are going to improve the safety of the cars, such as ADAS, airbags, like LiDAR, radar, all these sophisticated sensors, cameras, which is going to help the drivers be more safe. They're actually coming on our real estate in the car. What do I mean by that? If you look at the car, the front bumper back bumper and the two mirrors, that's the key real estate in the exteriors, all these sensors, camera etc. are all coming onto our products. You as drivers that are using these sensors, cameras to get the information, where are you getting it inside the car- the dashboard? Well guess what? That's a big part of what Motherson makes as well. So we have all the key real estate in the car and a huge opportunity to integrate all these technologies and give the customer a one stop shop solution to be able to do that. And they are completely free. We can design it ourselves. We can do joint ventures, we can do acquisitions, we can do technical assistances, we can work with startups, we have every option available to give the customer a solution that can help them drive into this direction. And that is why we are placed in a very exciting point in history with all the key real estate in the car under Motherson's belt. Again, I would direct you guys to the trend zones, you will see a lot of this playing out with our different partnerships with the new technologies that we are developing and creating exciting new products for the car makers to be able to offer to the final end customers who are driving these cars. I think I've spoken enough on the automotive side. And you would have gotten a good idea of how we are going to grow on the organic side in the automotive. Now let's shift the focus a little bit to talk about the non-automotive piece. I'm sure a lot of you have a lot of questions about that as well. But I think first it's important for me to tell you, it's not that we have just chosen these new industries by chance. We actually seeded these new industries in the last five year period. We first sat down and we really thought about what are the strengths of Motherson? What is it that makes us really good and strong on the automotive side- our engineering capability, our operational excellence, our ability to give the customers global supply chain solutions. And all these good attributes and strengths came up of why we are


strong on the automotive side. We pick them, we analyze them. And we said, wh

ere is it that we can use these strengths to give us the highest chance of success in the new industries. And that's how we came up with these four verticals. Now, before I dig into each one of these verticals, I'm obviously going to take you into the next part of the movie, where again, you're going to go and see one of the new facilities in the aerospace one of the acquisitions that we have done and how wonderfully that is supplementing our growth. And also our technology division. MIND is the backbone, new name is MTSL. It' s Motherson Technology Solutions Limited. And you see how using software competence that we have built in the group over 20 years, is really helping us to achieve our growth targets, and make our company a secure one, and be able to go for 2025 targets. Let's see it together. Movie Clip (available in the video recording of the event) Laksh Vaaman Sehgal: So that was a real familiar face of the gas station. Well, it's not every day that your gas tank gets filled by a superstar. So I hope you were able to get an insight on how we are growing with the new verticals as well. You saw that we are using our strengths that we built in the automotive side, and moving to new industries, such as aerospace for us. Now I'm going to dig a bit deeper into each one of these verticals. Each one of these verticals has strategic importance, not to forget that with the strength that we have on the software side with MTSL, we're able to really transform these companies very fast. So let's get into it. On the aerospace side, I don't need to tell you this, the opportunity is quite large for the products that we are targeting. On the top, we already have existing capabilities. And we're using the same machines in the automotive side. Of course, we have to change up what we do in the certifications, etc. But that's exactly what we were able to leapfrog with our acquisition with CIM Tools, some fantastic people share the similar philosophy, very hungry, very driven, focused on Motherson principles, quite similar to how they were doing their business. And you know, that has been an excellent partnership for us, we have been able to obviously use the strength that we have on Motherson to bring it to CIM Tools. CIM Tools strength with the customers already allowed us to increase the trust with the customers give the strength of Motherson's capability on a global footprint, be able to expand their order book online. And we're seeing the results of that very fast. Already, together with Motherson CIM Tools, our order book has doubled in a very short period of time. We are building two more facilities for the increased order book, and a lot more things are to come. This is the same play that we want to use for the different verticals that I'm going to talk about. Partner, getting together, use the strengths of each other, significantly grow the order book and look at international expansion that can really leapfrog the division into a new level altogether. Again, some of these products are available in our trend zones, in the display centre, please go have a look at them, it makes us extremely proud that now apart from vehicles that touch land, we're now looking at vehicles that fly in the air as well. The next vertical, the logistics side, the thinking over here was quite simple really. We have a very large internal opportunity in Motherson, we spent more than $300 million on our internal logistics, the idea was get in there, look at consolidating this fragmented supply base, drive synergies, drive benefits to our own group. And once we perfect it, we can take this as a service to outside as well. Already with a 3PL operations, we're handling more than 15,000 shipments per month. And this is set to grow on an international base as a next step. We have also identified opportunities in XM and 3PL. And again, this is where we are going to grow moving forward internally first, setting the foundations, getting it right, understanding

the business, then going outside and then to external customers.



Secondly, we've also identified packaging, internal packaging for us is more than $150 million spent. Again, there's huge opportunities to consolidate this, drive efficiencies and also have a sustainability angle. By doing this in a more sustainable environment friendly way. With returnable packaging etc, there are new concepts that we are developing here that can address not only our internal spend, but be able to grow this as a service externally as well. And finally, we also have a joint venture. I'm proud to announce that we have partnered up with HAMAKYOREX san from Japan, they are industry leader of transporting from the car factories to the dealerships nationwide. And again in a short period of time. We're already transporting more than 2500 cars a month and as the Indian auto industry grows, I think you're all seeing that there is huge upside potential in the growth in the Indian automotive sector this business is going to grow largely from there as well. Health and Medical as much as I would like to say that we are discovering the next COVID cure. Unfortunately we are not we're again using the strengths of what we have built in the automotive side - Engineering, our competencies in plastics, electronics. These are all what we want to supply to OEM manufacturers who are manufacturing devices, and are looking for good, reliable suppliers to help their supply chain. When we got a lot of these medical device manufacturers to our facilities in the automotive side, they were blown away, they saw our focus on quality, our focus on zero defect, how we can give them the same quality product, regardless of where the world that they are in. And while they have a very fragmented supply chain, this is something that excited them very much. So as you can see, using the strengths that we have built in Motherson, using our competencies, a very big addressable market. Using our synergies, we can grow quite rapidly in the medical space as well. In fact, from getting the confidence from the customers executing small orders, we are now building our first Greenfield plant, especially on the medical side is going to come up and Chennai is 10,000 square meters. We're going to introduce new technologies here that are not available for our customers to be sourced from India is going to help us grow the top line and have solid profitability margins as well, to make sure that we can deliver 40% ROCE. And this facility is almost up and ready, we will get all the certifications, and again, we'll use the same play that we did in the other verticals, what we did in the automotive, deliver on the customer first orders, the pilot orders that they're giving us, give them the confidence and scale this up rapidly. And as well look at acquisitions to leapfrog the scale as well. Finally, but perhaps the most important, the technology side. In the past, this company has only focused on Motherson, it's been a key reason of our success- our software and technology company MTSL, is the reason why we are successful in all our acquisitions. See, the most important thing for us when we do acquisitions is getting reliable data. And this is where MTSL comes in. They go to any facility of ours or the ones that we acquired in the world, very quickly plug into the data and give us the relevant information we need to drive process improvements, to drive operational improvements to make sure that we can deliver that 40% ROCE and take good decisions in the business that can help us grow business. So focusing on Cloud, focusing on infrastructure, which they have done for us, they taking the same software and now for the first time going outside. And like Rajesh was saying in the video as well. They've got a significant feedback that this is very welcomed from the external customers as well, while the Motherson business is gro

wing, you can see that even external business is growing because of the huge pool and reputation that this company has building very, very low cost yet very stable, advanced technology and software for manufacturing companies. And as you can see, the result is there in front of you a CAGR of more than 20%. And I believe again, we'll have explosive growth in the future as well. Now that I've explained the organic side, let's tackle the inorganic side, which is going to be obviously, the large part of the 36 billion is where that's going to come from. But before I go in there, of course is going to be the next part of the movie. But this part of the movie is going to focus on something very strategic and important. We recently announced an acquisition in Japan. And for us this was a very, very strategic move because while we were present there, we didn't have a manufacturing facility in Japan. Now that we will have a manufacturing presence and facility in Japan it completely changes the future for Motherson in that region. And the possibilities we have with Japanese OEMs let's understand why. Movie Clip (available in the video recording of the event) Laksh Vaaman Sehgal: So I hope it was easy for you to understand how important actually being in Japan is for us. Actually, it was always my father's dream to have a manufacturing facility in Japan since we started a first business relationship in Japan. And it's finally a reality. But of course, the important bit is that look at the influence of Japanese OEMs in the world today. They have 30% market share of all cars that are produced in the world. So they have a very prominent position. And something that is extremely important for us. And like was explained in the video. A lot of the decisions for these platforms, not just in Japan, but globally for them are made in Japan. So when you do have a facility in the local area, talking real time to the car makers, talking in their language with the local face, it has a completely different impact and opens up a lot more opportunities for Motherson to not just grow on the mirror side with the Ichiko acquisition, but also for our new footprints. Just like Ichikoh, in a short period of time of two and a half years we have announced seven acquisitions, we have been extremely picky because of the tough market conditions. And all of these acquisitions have strategic importance to us. We only choose those acquisitions where we see a clear path to 40% ROCE. Because the world is actually quite a difficult place to be in and there is a very tough market environment. Interest rates are at record levels, the leverage market has practically disappeared. Peers are over leveraged as they've taken on significant amounts of debt by mistiming the market. The result is the lesser deals are happening because there aren't enough players who can have the appetite to go out into acquisitions. Yet the macro-economic problems remain. Our customers are having problems with suppliers who are not able to keep up and the result of that Motherson becomes the partner of choice. Why? Because the customers are looking for strong partners who are able to absorb these underperforming assets and Motherson with a strong balance sheet being a trusted partner and our ability to quickly turn around these companies becomes the partner of choice for carmakers. Hence, our pipeline is completely full, we are assessing more than 50 Live opportunities right now hand held by the customer. And again, the reason why customers choosing us is because we are a focused long term partner for them. Motherson does not buy and sell companies, Motherson buys and grows companies, Motherson invests in companies, we make these companies sustainable and competitive over the long term. So our pipeline is full. As you can see, it's not just in the products that we are in, it's in different products and also in diff

erent verticals. And I'm sure that some of these will click which will help us to get to a $36 billion figure. Yet, don't be fooled, we don't get too excited, just looking at the opportunities that are over there, we have a very clear and robust evaluation framework, which is very stringently controlled in our group. The first bit, of course, it has to have the customers blessing if the customer is not supporting the acquisition Motherson will not even consider it, no matter how attractive it looks. Secondly, it has to be able to mark the financial criteria, and we must see a path to be able to get to 40%. Our operating teams must tell us what are the synergies that they can drive, what are the things that we can do to do better than what they're already doing, and have a better fate for this company than it was in the past. Every single acquisition is led
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by an operating team who will handhold it, who will take the responsibility to put the Motherson DNA to put the Motherson values in it and make sure that it gets turned around in the shortest period of time. And not that it is just, you know, an orphan somewhere and hoping that things will change for the future. No, very, very strong control over which acquisitions we go for, we are extremely picky. And there has to be a leading team, which will take the responsibility and say, Yes, I will drive this acquisition, I will take the responsibility to make sure that it gets turned around. That's how we can do multiple acquisitions. At the same time, as different teams focus on different parts, have responsibilities of different areas of growth, we can do multiple acquisitions at the same time. Now, that's all great, the pipeline is full, but I'm sure your question will be does Motherson have the financial wherewithal to go for these acquisitions? Let's look at another illustrative example. Based on the analyst reports that you guys are writing, what headroom does Motherson have, based on the profitability that you guys envisage us to have? Of course, I'm going to push the teams to do even better than this. But envisaging on average what is the profitability that you guys envisage Motherson to have in the next few years, and the easing up of the macroeconomic conditions, which will, you know, help us with the working capital, release, etc. We believe that on a conservative side, we will have about $2.3 billion of headroom growth, for ammunition to go after acquisitions, 2.3 billion USD, hey, you still have targeting to be 36 billion. So what is 2.3 billion going to get us? So 2.3 billion is a conservative headroom that we have. We believe that having still following the Motherson principles and the values of being value buys, we're not going to go and buy something ridiculous, we are going to still stay maintain our financial parameters, we will look for companies that are not operationally so well off, because that's where we can really drive our synergies and deliver a 40% ROCE. So looking at companies, and again, this is an illustrative example, to give you an idea of what is possible for us to reach on the top line, looking at a company at five times enterprise value to EBITDA, with still maintaining the 2.5 times financial leverage principle that we have, with basic 6% EBITDA margins, we believe that a $15 billion top line company is available for Motherson to acquire. Now this 15 billion might be three $5 billion ones. One big one, I don't know. It will depend on what opportunity comes at what time and which customer is allowing us to go and really do it. So 36 billion is much closer than we do. You know, fear it to be like too far away. No, it's actually possible with just one acquisition, even if these financial parameters are a little bit different to what we end up acquiring, we have more levers in our hand, for me, and for my father equity is very, very important. It's very, very invaluabl

e to us. But for us to be able to hit our targets where all the financial metrics have been reached, and if there is some stress on the leverage policy, we will look to even as a last-case scenario, dilute or raise equity, or use our equity as currency to do mergers or do partial stakes, many, many opportunities are there, like I said, for vision 2025, we're going to have to have a different approach to what we've had, so far to deal with the new circumstances that they are in the market. So we are going to be creative, we are going to be Imaginators, true to our DNA and we'll figure out a good path to get to 36 billion while maintaining our financial discipline. So one acquisition can change the whole situation up for us. So please don't think that we are too far away from $36 billion. One acquisition itself can change the whole game. But we're not getting excited, we're driving with caution. And we are making sure that we stay remain focused on value buyers and don't make any mistakes with large acquisitions, making sure that everybody is well disciplined in this approach. So I'd like to summarize now with what is it going to be that is going to get us to the $36 billion target, I have taken you through the organic side, I have taken you through the inorganic side. And I want to summarize that the first step like I said, at the start, do volume growth to


industries at the bottom as a volume optick our organic growth is going to grow. The second one is electrification, as electrification is going to happen, our content is going to grow. You saw that in the charts that I showed before. And then the content and value increase to the shift in consumer preferences on the car, as they move from the lower end models to the to the next end, you will see that again, our content and our sales is going to grow. And finally supplementing that it with the acquisition opportunities. We layer that up with all these drives that are going to happen on the organic side, the inorganic one large acquisition that could take us up to 15 billion on the conservative side, we are very close to the 36 billion. With that I complete the chapter of revenue growth and move to the next chapter of our journey, which is 3CX10. Now, this is a fundamental pillar of Motherson. The reason why we have been able to grow over our entire history is because we are focused on diversification. 3CX10 means no country, no customer, no component to be more than 10% of our business. This was all the way up to 90%. When we started as you can imagine, when my father started the business, we were only focused on Maruti Suzuki, and over the gradual five years times we have got this further and further down. Now what this enables us to do is to be able to grow even though there are problems in the world today. And as always, I'm going to take you on the movie on the journey with me in the movie. And I want to take you to three plants and talk with Char, who's the head of our polymer division and show you three locations in Turkey and also in Hungary and Morocco where we have significantly been able to grow through the diversification strategy. Let's see how. Movie Clip (available in the video recording of the event) Laksh Vaaman Sehgal: So, in case you guys are not believing our automotive ambitions, hopefully by now you are believing our theatrical and Bollywood ambitions. So just in case this doesn't work out, there is a future in something else. The next company will be launched will be called SOFA productions. Son Father so far, no. Okay, anyway. So where are we with the 3CX10. On the customer side, we are practically there. No customer is larger than 10% of our business. That doesn't mean that we say no to business. We grow with the customers wherever there is opportunity. And of course work on the other customers to make it more and balanced as we get the growth opportunities. It's ve

ry important to realize that even on the countryside, we have, biggest focus in India, it is our deep, deep roots. 24% of our business is still coming from our roots, which is India. And also important to realize that 57% of our exposure is in emerging markets, which is where we believe a lot of the growth is really going to come. The merger of SAMIL has significantly helped the diversification and also opened up new opportunities for us for growth in these new verticals where we believe, just like we did with the mirror business, we will have opportunities to do large acquisitions, and further balance this chart out but then again, we have to follow where the opportunities are. And as you can see, India still remains a core focus and market for us, and so does the emerging markets. On the component side, wire harness is the largest part of our business, it's about 29%. But this is also changing as we continue to do more and more acquisitions, you have to understand the biggest opportunities in acquisitions do come in the products that we're in. So we're not going to say no to those opportunities. But as the new verticals, the new industries, the new products continue to grow, These things will significantly help us to grow and balance out this


3CX10 component as well. The customers giving us more opportunities. And we are confident that as we move towards 2025, you will see a lot more verticals and a lot more balance in this also come as we get closer to 2025. Now I'm moving to the next chapter, which is the chapter of ROCE. This is of course, the fundamental philosophy of Motherson. We do not guide by margins, we do stay focused on ROCE. And this will take us to the next part of the movie where I will chat with Rajat who's heading Vision Systems. And we're going to visit two plants. One is SMR’s plant in USA, Michigan, and second polymer plant in MATE, where you will see that even though they have grown significantly in size in these locations, they've still managed to not only defend their ROCE, but increase ROCE, which is a bit counterintuitive to how people think about it. Let's see what they were able to achieve. Movie Clip (available in the video recording of the event) Laksh Vaaman Sehgal: So, we will be submitting this movie to the Oscars this year, in the category of Best corporate movie, looking forward to your support and votes to make this a winner and add to our portfolio. So but in all seriousness, you saw real impacts of ROCE, sometimes you have to invest in companies to be able to deliver a better ROCE, it is a bit counterintuitive sometimes, sometimes, you know, you have to understand that in the shorter timeframe, putting more investments in reduces the ROCE. But by doing that you can significantly improve the efficiencies, reduce the customer defects, delight the customer, actually, that pays back in multi fold. So you saw a real example of how investing results in increase of ROCE. And that's why we tell you that it is actually an art. It's actually something that takes five to seven years to really build a company with sustainable advantage. You have to think about the long term. And that's why there's a journey where we give our plants up to five years to be able to hit that 40% ROCE is not something that happens overnight. We also saw how engagement of the teams really breaking it down, taking the rules, giving it to interval departments and the people and investing in where we are already in high cost countries right next to the carmakers being able to take their direct feedback also results in significantly increasing business and therefore increasing ROCE. So as I move forward to the next slide, capex is a big impact on ROCE and as you can see Motherson over the last few years has significantly reduced our CAPEX, in the sense that all the investments that were required for the new order wins for our order book that I s howed you before of record, those investments are already there. Don't let again, the FY 22 number put you off. That's because of the merger of SAMIL. And all of those increase in the SAMIL companies, the CAPEX also came. But in general, as you can see, the overall trend is in a very positive direction. And as the uptick in the volumes that I showed you earlier, this capex that we have already invested is good enough to take us into the future and deliver both top line and bottom line results, again, getting as close to the 2025 mark. The second thing that we do, which is very pertinent to increasing the ROCE is keeping a focus on each and every unit, we don't look at companies on a consolidated basis. As you can imagine, we have more than 310 facilities in the group, it's very easy for us to consolidate and only look at it as a company. But no, we go down to the unit level, every single year, each and every unit gives us a budget of what they're going to produce, what capex are going to use, and how they're going to drive to profitability as we are going and we're acquiring different companies, sick companies, companies in Greenfield, there are going to be companies which we call red units, which are EBITDA loss making, then there are companies that we classify as yellow units, which are EBITDA positive, but EBIT still negative and green units, which are both EBITDA and EBIT positive.


Our endeavour is to focus on these red and yellow units and push them towards green and push the green units even into further green with our focus and complete diligence, working with those teams in those units and pushing them further and further. I'm proud to say that as compared to 2015-16, where we had 37, red and yellow units through very focused efforts, and very diligent work done by the teams, already 26 of them are green, even though 11 are red and yellow. Because of the current macroeconomic environment. I'm sure these 11 will too in very short time be in green, which again will push the ROCE further up for those units. I'm going to give you an example of a company this was in the shock absorbers space which again, were asked by the customer handpicked by them to look at this company, they were loss making in FY 16. Motherson came in worked together with a partner in a very short period of time already got it down from a red unit to a yellow unit. Achieve break even, made this necessary investments in there, won the new customer orders. And now as you can see in the first half is already delivering close to a 20% ROCE, this too in the next couple of years will progress towards that 40% ROCE. So this is an art in Motherson, this is something that we have perfected. There are many such examples where we go but nobody else wants to go to these trouble companies, go to the sick companies use the Motherson DNA, the tried and tested formula of our operational excellence, our DNA injected, handhold it and convert them to a green unit. Move to the next slide, you will see this is a scatter graph of all our units, you will see that there are still a few units which are in the red and yellow category. This is what we're going to be focusing on for the next two and a half years. If we take these red and yellow units, and convert them to break even, our ROCE will double at the group level. If we are able to convert these red and Yellow units able to deliver the average profitability of what we're having it the Green, our ROCE triples up. So in summary, we're not too far from being able to hit that 40% ROCE it's completely possible. Of course, we have some luck with the macroeconomic environment as well. But every single effort is being made by our teams in a focused manner on every single unit to try and get them into that green zone and be able to hit that 40% ROCE. Not only on the operational side, this is where MTSL, this is where the software side this i

s where the real genius of Motherson comes in. Because of course, there are only so much you can drive on the operation side. But if you can supplement it with our own automation, low cost automation, what we are doing in Chennai, we are building our own AGVs building on old software for Cobots. Using digital boards, using ways that we can reduce the cost in the high cost countries by bringing Motherson build Motherson designed software and hardware and be able to reduce the cost that adds a huge layer for us to be able to increase our profitability and keep the business in house where it will be given to outside suppliers. Not only that we have successfully built in the last five year period, a Global Strategic Procurement Office based out of Dubai, which now with the use of technology can give information to any unit of ours worldwide, which is the best supplier at the best cost for what they want to purchase. It's a huge database, it's a huge advantage because everything is consolidated in one area, and everybody can drive advantage and procure now, at the best cost possible for the entire group. Finally, the management have a complete free hand in the sense they are completely empowered and responsible. They build and choose what MIS systems, they want to see what are the information systems they need from the group, depending on their product, depending on the customer, depending on their location, what do they want to see, and our software company very quickly transforms that into a software which takes a lot of the value at work out. And the teams again can get real time information from their operations and be able to drive business decisions, which improves ROCE and helps Motherson, you know, hit that 40% target.


So I would like to summarize this chapter as well. What are the key drivers that is going to help us get to that 40% ROCE. Of course, I spoke about the lower capex with the end of the capex cycle, there is very little that needs to be invested now to be able to deliver on an order book. And as the macroeconomic situation improves, there'll be normalization of the working capital. This will result in a lot of cash being freed up from the companies. As you can imagine, with the semiconductor shortage, we've all had to sit on a lot of inventory because we don't know when the customer will start and go. Also, with the other issues that are there. I believe that this was settle down in the next couple of quarters and a ton of cash will be released. Our focus on the red and yellow units. Again, on the budgeting cycle, this time, we are going to be relentless, trying to push the red and yellow units into the green zone and push the green units to do even better. And that again, will result in higher profitability and higher ROCE for the group. And finally, like I said, as the macroeconomic condition eases up the volumes uptick, it's a no brainer, we'll have economies of scale, we will be able to use the leverage. And we will get as close to that 40% target as we can. And I'm quite confident you will see this happen in the next few years. With that chapter complete moving to one of the last few chapters in the entire presentation which is on dividend payout. This is quite important to all of you as investors and us as shareholders as well. You will see that throughout the history of Motherson, we have maintained the dividend payout. Even in some of the most tough conditions such as the global financial crisis or during COVID, we actually increased the payout ratio for our shareholders. This shows a lot of discipline by our operating teams, a lot of focus made sure that we conserve cash and paid cash out when we knew that there was a need of cash to be paid out yet conserving enough to be able to invest in a company and go for growth. So our payout ratio has been maintained. In fact, we've even exceeded it in the last few years in some o

f the most tough times that you've seen on the automotive side. And that will remain for the foreseeable future. Now I'm going to take your attention away from numbers and go into another very key theme and Motherson that has been developing over the last few years. And this chapter is about sustainability. Sustainability is becoming increasingly important for all of us. I think Motherson has taken a bold step and have declared our ambitions in sustainability. And we really want to be a leader here in the steps that we are taking to make sure that we can deliver our goals of sustainability as we move forward. Next part of the movie is me talking to Barry who's responsible for sustainability in our group. He's here you're able to talk to him afterwards as well. And you will see how sustainability is taking centre stage in Motherson in everything that we do still while keeping our growth ambition and target in intact for 2025. Let's have a look. Movie Clip (available in the video recording of the event) Laksh Vaaman Sehgal: So, we saw real sustainability at work and Motherson, you saw that we are transitioning ourselves to renewables, I was on practically the roof of our facility in Pune, seeing the solar panels at work, not just driving electricity from renewable sources, but also driving our teams such as our engineering teams to be more sustainable. That resulted in development of the Eco Mirror, which you saw in UK. Actually driving sustainability in the group is opening up more platforms for revenue growth as well, the Eco mirror has been a huge success, the customers are wanting more of it for the new vehicle programs. And you will see a lot of that come in the future as well. The units now do believe that sustainability and better financial performance go hand in hand, as you saw Vishals unit was able to demonstrate that with the investments that we had made



in sustainability and those solar panels, and that's again, something that has been replicated in our group worldwide. Finally, it is about people, it is about equality, it is about giving people all the opportunity in the world equal opportunity for all and giving them an ability to drive their ambition to no limit. Finally, it has to be surrounded by governance, making sure that all these things that we are wanting to implement are happening with the highest code of conduct. And that's something that we're doing through our training programs and awareness for the people. To show you how strong sustainability really is, and the importance it has in Motherson for the first time, we've actually amended our vision since 1997, and added the word sustainable innovation. So it is now to be a globally preferred sustainable solution provider to show to all our employees, all our family members, and all our customers that everything that we are going to do is going to be driven with that overhang of make sure that it is sustainable. We are serious about sustainability. We have also developed our own logo of sustainability, which encompasses three main areas that we're going to focus on the planet, the people, and having strong governance to make sure that everything that we are doing has real impact. And we can continue to grow while making sure that we're sustainable while doing it. Just like our customers, we too have set an ambitious target to be carbon net zero for all our current operations by 2040. You will see a lot more progress on this as you read our annual reports as we continue to disclose all our efforts in this direction. So in summary, we are building Motherson for the long term. We want to be good global citizens while we are doing it. We want to help build a world which we are all happy to live in, and we can proudly pass it on to future generations, even better than where we found it. Finally, I'm at the last chapter of our story here today. And I bring you back to where we

started- our purpose. And I'm going to summarize everything that we do from this as well. Everything flows for us at Motherson from our purpose, our ambition that I spoke to you about the start how we create value for all our stakeholders how we create sustainable jobs for all the people here at Motherson. And finally, we become something larger. What better way to show this to you by the final part of our movie, and here you will see how we really spread the philosophy of Motherson, keep it intact, even though we grow quite rapidly in these tough times, please enjoy the last bit. Movie Clip (available in the video recording of the event) Laksh Vaaman Sehgal: So I hope that the movie showed you how precious our philosophy is. And as we grow, we're going to make every effort to preserve it. In fact, we are creating education programs for all our people so that not only do they understand what it is, but they also imbibe it, because our philosophy is at the centre of every single thing that we do. And because of this philosophy, we've been able to create a business that is resilient. That is long term. And that is sustainable. And that, ladies and gentlemen, is how we're going to get there to our targets of 2025. It's been a real honour to have you with us on this journey. Please do remember, it's only halfway because the foundation is set. And the best is yet to come. Thank you very much. I apologize for the small glitches that we had. But that just shows you know, you can have the best of preparation, the best of equipment, the best of everything, yet the world will keep throwing curveballs at you. But the most importantly this show will continue and that we are geared up for no matter what comes we will head towards the 2025 targets. Now I will request Papa and our senior management team to please come up on stage as we open up the Q&A session for all you and answer your questions.



Master of Ceremony: So on stage we would request our chairman Mr. Vivek Chaand Sehgal to join us along with us, the SAMIL COO Mr. Pankaj Mital, the MSWIL COO and CFO Mr. Anurag Gahlot and Mr. G N Gauba and of course back on stage the SAMIL CFO Mr. Kunal Malani. While we set up just an FYI for everyone after the Q&A, we will go straight into lunch and then a few more interesting things waiting for us. Be ready for any Q&A. If you have any questions just raise your hand and we will find you and bring a mic to you. Raghunandan NL : Thank you, thank you very much for the innovative and comprehensive presentation especially like the part so far. Couple of questions. Firstly, thanks so much for sharing the increase in content per vehicle, the potential from ICE to EV. If you can expand or elaborate on that, because there was this 8x increase happening in wiring harness when it came into two wheelers and 2.4x for four wheelers. So, Pankaj, sir if you can elaborate what is leading to this increase in content and also in the MSWIL, is this already started reflecting with our two wheeler customers on the EV side and how do you see this progressing forward? Pankaj Mital: Yes, you're right that the content goes up. If there is a ICE car and a EV car if we compare that you know as we go forward. A lot of car makers are building platforms which are not ICE and EV together but they will be just EV. The content goes up primarily because when there is an EV car there are more features in the car. One is that which adds to the low voltage side also. In most of the cars, the low voltage side remains as it is except for the engine, as engine goes off, the engine harness was out, but nearly 75% 80% of the low voltage harnesses will always remain in the vehicles forever. What goes as In addition, are from the charging side to connecting all the motors, the high voltage stuff, which is made up of very heavy connections, because it carries a lot of current, a lot of amper

age into those wires to charge up. And when you go for fast charging, it's even more. So that's what adds to the content. And that's how we see it going up. in that ratio, as we move forward, it's both in the pass cars, as you mentioned, and also in the two wheeler side, as well. Even when we do business for buses or trucks also, the content goes up tremendously. Raghunandan NL : Thank you. So just a follow up to that. And before I go into my second question, just if you can give an indication how you're seeing this EV portion of business in MSWIL in terms of part of your future orderbooks, or I'm assuming currently, it's a negligible portion of your revenues. So in terms of the number of additions you're seeing to clients and for electric PV, CV as well as in two wheelers, Pankaj Mital: I would just say that we are there with most of the customers. So definitely you will see a lot of Motherson in all kinds of vehicles, including the EV vehicles, as they come in India. And as you rightly mentioned that it's a very nascent stage, the penetration of EV is a step by step on two wheeler side, you would be seeing still some content coming in with the subsidies and the support coming from the government on the pass car side, we are there for the buses as well. And we do see that we are there with the customers for the new platforms as they come. So as they come and as the volumes come, you will definitely see us there. Raghunandan NL : Thank you, sir. My second question was on the acquisition side, which you call the art. So a couple of queries relating to that number one is one of the objectives for the restructuring was that company could focus on certain segments. So within that wiring harness acquisitions, which you are evaluating, how are you looking at getting into the



passenger vehicle wiring harness in Europe or US, and secondly, being a powertrain neutral entity? You know, like, do you focus on remaining powertrain neutral? Or would you think of opportunities even on the, say, ICE side, if recommended by customers? Laksh Vaaman Sehgal: Okay, thanks for that question. I think it's very important to realize that we have a very strong relationship with our joint venture partner, and that will continue we're actually the oldest Indian Japanese joint venture partnership there is, even in the past with PKC, you have to understand that Sumitomo is still there on the SAMIL side. And there is absolutely no issue whatsoever for us to grow in any wire harness segment. We do it through communication with route with complete transparency. And we have complete support of our partners in everything that we do. I think the second part was you talking about us getting into engine parts? Look, I think that's what we were talking about in the part of the presentation where I said, we really don't know where what the future is really going to hold depends on a lot of factors. And if you look at the car numbers, there is still 1.5 billion cars on the road today, that will need products that go into the engine for servicing for repair or maintenance. I mean, we only make about 85 million cars a year. So for the entire fleet of cars to be replaced, is still going to take 10-15 odd years for that to really happen in the best case scenario. So we see a lot of opportunities in there anywhere where we can see a 40% ROCE, the customer is again holding our hand, we see an opportunity to that Sure, we will definitely evaluate even those things because we do believe in the world where there is still space for ICE engines, of course, they will continue to become more efficient, less pollutant, as there is still more to happen over there. But if there is a good opportunity for us to drive 40% ROCE and growth, we will definitely establish it on our merits. So open mind and an open heart for all possibilities that are really out there and really no issues to go into any segme

nt or any product. Vivek Chaand Sehgal: And also I think Vaaman, the customer is driving the acquisition. So if the customer is saying do it, we are nobody to say no. Of course we will take the opportunity in the right spirit and make sure that it's Sustainable. Abhishek Agarwal: Thank you so much for the lovely presentation. And I believe the movie can definitely be nominated for the Oscars. Just on the acquisition part, my question is slightly more medium to longer term, especially the newer businesses, which are looking to grow. Are the thresholds a little more, kind of more lenient? Or can you be a little more aggressive on the newer businesses, the medical or the aeronautics part? Or, you know, you look at everything at the same slate, especially because that's a newer verticals where you need to grow. Probably customers are there but not as much as on the automotive side. So or the other way to look at it is when you're evaluating, are there more acquisitions, which you're probably evaluating on some of the newer businesses versus the autos, where you're already deep rooted, etc, right now? Kunal Malani: I think the financial premise of acquisitions remain exactly the same, right? We don't want to go after it, if you're not able to see a line of sight to 40% ROCE. Obviously, in the set of evaluations, you did hear that, you know, we're inundated with the acquisition opportunities right now. You know, there are about two to three that come every day. And we really have a problem right now saying no, rather than saying yes. So in that scheme of, let's say, the opportunity set that exists, it's also about capital allocation. So, we would want to allocate capital wherever we can get the best returns. And hence that premise remains the same irrespective and at the same time, to achieve a 3CX10, we



obviously have to keep in perspective, what it is that we are acquiring, what is it that will lead to further level of diversity, there is also a target of 75-25, which is 75% of our business to be automotive 25 to be non-automotive. So these are parameters that are then considered in our evaluation as we're doing capital allocation. Abhishek Agarwal: Sure, and just one added question, if I can ask is life post COVID, wherein, you know, there has been a lot of smaller guys who have kind of gone out of business, how do customers look at you as in do they now find you a little more preferred partners do they kind of do contracts, which are slightly more longer term, or probably it's just life back to usual and not so much has changed. Laksh Vaaman Sehgal: Abhishek our pipeline is completely full, I think you, you saw that we are a partner of choice, because see the customers see longevity with us, we are not a financial partner that will come in, of course, bite opportunistically and then sell it, no, we will buy it, we will invest in it, we will grow it, grow together with our customers. And that's what they really want. One car platform lasts for five to seven years. So, you at least need to give it that much time for it to really show its true colours and what you can put into it. And the customers have seen so for example, with SMR, when we acquired it, it was Visiocorp- 500 million top line is getting close to 2 billion now, that's happened through investment and growth for the customer together with the customer. And they're very, very happy with that they see the good job that we do there, SMP came along, and so forth and so forth. All the acquisitions that Motherson will do, will have the customer's blessing, will be directed either by the customer or be okayed by the customer for us to move forward. I showed you that in the slide on the, you know, the decision matrix. First one is customer, if the customer is supporting us standing behind us, no matter what it is, it could be a product that we have never done. We just acquired a compan

y in Chennai, that's doing frames for Bharat Benz. We've never done that product before. But if the customers they're supporting us holding our hand, why not? And that's how we really make a success. And you know, we're the preferred choice of the carmakers, because we go in with an open mind. We give them solutions. And we are a partner for the long term. Amyn Pirani: Hi, this is Amin from JP Morgan. First of all, thank you for inviting us here and for the presentation. I think one of the things that I took from there, among the many other things was the green, orange and red classification that you put, very interesting frame to look at your profitability. So since you've given us the frame, you know, we'll also ask questions. The businesses in orange and red, like why are they there? Are they because they are mostly new acquisitions, and obviously it will take time, or are there businesses which are, you know, in a tough geography or in a component, which doesn't make margins inherently, so some color on that will actually help us, you know, evaluate how these things could move forward? Laksh Vaaman Sehgal: Sure, I can start in the team can add on. Understand, I mean, that, you know, we always give you more information, we are careful about it, because we know, you're going to ask more and more questions. But still, I think it's important to be as transparent as we can. We acquire companies which are sick. At the same time, we're building Greenfields, at the same time, we have companies in geographies where a macroeconomic event happens or a currency plays havoc, while we try to mitigate all those risks, by being local, there's always some impact to the other, that's happening, you know, there could be a customer impact, there could be a whole bunch of things that happen.


This is a live graph of all the units that are there, some are green fields, some are perhaps units that, you know, have had an impact, maybe volumes have not taken off on that particular program. That I mean, they could be variable reasons, there are some, obviously red plants that move towards yellow and green, we have a plan for that. Some that could be surprised shocks that come from Green back into yellow. The idea is that we keep constant focus on these plants. And I've kept that pulse live. So we don't classify them as facilities it is, you know, a greenfield or a new plant, or we have to solve that issue. Of course, Greenfield we know if as long as it's hitting its budget, it will move into the green, you saw a lot of those plants that have already moved into the green, yet there are 11, which are still there in yellow. So it's a part of life, you know, you will always have plants that are performing very well. And some plants, which for some reason or the other, you know, have certain small term issues. But we fundamentally do not shut plants, it's very easy to close the plant and walk away and said, Oh, we tried, it didn't work. No, we have a responsibility to the people, we have a responsibility to the customer. Whatever that effect is, we have to find a solution out of it. And that's an integral part of our DNA - never give up, we will keep focusing, I'm sure those 11 units that you saw will also push to yellow and green and more challenges will come with some of those units dropped back to yellow and red. It's a constant process. But our endeavour is to keep pushing them into the green side. And those ones that are green, push them even higher into the green. And that's how we deliver a 40% ROCE. Vivek Chaand Sehgal: We call that purple, purple heart ,purple colour- the units which are beyond 40% ROCE, we are introducing the fourth colour which is called Purple, you will start to see that in the next presentations, two years- three years from now. Hitesh Goel: Hi, this is Hitesh from CLSA. My question is on EV versus ICE asset turns. And so you know, we

have shown that we've seen the complexity of the product in EV especially, you know, like wiring harness and all, we've seen, so, just wanted to get a sense on the asset turns how does the asset turns you know, capex and density or R&D required in EV how does that vary between EV part versus ICE, wiring harness if we can take an example Pankaj Mital: See, it depends on a variety of reasons and projects, when you talk of asset turns, because in the very initial stage, when the volumes are very, very low, and if we have to make a specific investment in a specific location just for one customer, the asset turns and may look to be lower than regular one but it's not so, asset heavy. There are some specific processes which need to be built in and as we have, you have seen that what we have done on the low voltage side also a lot of work is done by us internally. Our engineering is very capable, and they are always continuously working on what is needed by the company in the next two, three years to find better cost structures of doing things by ourselves. So we're working together with partners to find better solutions. So, I personally feel that as the volumes are normalized, a normal volume should be there. It should be very good. Hitesh Goel: So, my question is more on the similar volumes. Pankaj Mital: We do not have very high asset turns days especially on the wiring harness side. And we do not see very high asset turns days for high voltages. Jay Kale: Hello, this is Jay Kale from Elara Capital. Thanks for the presentation as well as the product display earlier as well. My first question, you know, Motherson's key strength historically has been, you know, your backward integration capabilities as well as increasing cross selling your products to different products to different customers. If you could just give


a, you know, broad direction of how the or value of Motherson components in a particular vehicle has moved over the last three, four years, and going forward, or what kind of scope further is there for cross selling, you know, in a couple of years back at mentioned that it's around 2 to 3% of the cost of the vehicle, Motherson products, how do you see that going forward in the next five to seven years? And how is that moved in the last five years just to get a direction of the opportunity of content increase? Laksh Vaaman Sehgal: Look, I think this definitely driving Motherson. We can go back and calculate all those things. But actually, it's quite decentralized, we give all the authority in the autonomy for the operating units to decide for themselves how much backward integration that they want to do. So for example, in this some places, we have done backward integration for the mirrors in producing our own glass factory, but in some other certain areas, we say, hey, it's more cost effective to source it from a from a different supplier. So that varies, I think, each company and each unit has its targets of how much more backward integration they want to do, what is the investments that they will require. And that all comes in the budgeting process, we do take your feedback, we will look at it from a consolidated level, and perhaps try to give you some more information on that in the future. But definitely, it's Motherson's drive to be able to, you know, strengthen our supply chain as much as possible. That's how the polymer division is really growing, because all of the small plastic parts are done by MATE. You know, and that helps to feed in for SMP, which is, you know, able to do the larger plastic parts and use the strength of our sister companies. So that's happening, even the tooling, we have our own tool rooms. We have eight tool rooms, which are really state of the art. So instead of buying a lot of tools from outside, we're endeavouring to bring out those tool purchases in house and setting up new tool room facilities as

well. So it is a constant effort, it is something that we have made progress on and we continue to make progress. And we take your feedback to give you more detailed numbers in the future. Vivek Chaand Sehgal: But I think we all know, last two and a half years have been really lost years. So if you really go for five years, you won't really get the impact. I think, wait for another two for two and a half years, you will understand what I'm talking about. Because no matter what, you know 2019 December, when COVID hit our plants in China, we actually exported masks from Dubai, to China. And by three months, four months, China was exporting masks to the world, isn't it? So a lot of changes happened in the last two and a half years. But still, it is important for you to understand we're a ‘not yet company’ - not yet company means are we doing it now? No. But tomorrow, for sure you're willing to pay for it, we'll do it for you. No issues. So in Motherson, we don't say no at all. But I think last five years how the content has gone the scene has gone you will all have an anomaly it may not give you the kind of figures that you're looking for. But all the other past five years we can share, do that numbers out there in the annual reports. But as Vaaman said, he'll do it for you Jay Kale: Thank you just one more question one of your slides you did mention on the EV versus ICE you also mentioned about bumpers, instrument panels etc content moving 3x even higher than mirrors which was around 1.4x. So, if you can just throw a little light on what exactly is changing so much and bumpers and door panels etc., that was such a big increase. Char Zwadinski (CEO, Modules and Polymer Products Division, Motherson): All right, good. Thank you. Look, if we are talking about specifically bumpers while you do not see the direct impact on bumper Versa EV versus ICE but what we do see is that the facias are evolving and changing to accommodate this new technology the EV vehicles and with that the technology and value additions increases. On top of it, you also are going to see more value and content and more features mounted in those bumpers where in the past, you would be able to install sensors, radars, cameras, etc. directly in the bumper. Now you are going to be talking about putting this technology behind the facia, that it will require different, more



advanced materials that are going to allow the radiation to go through to detect the objects. All of that is going to create value addition and more money for our company. Now on interiors, again, we are very agnostic to that. Nevertheless, as the EVs are growing, you are going to also see penetration going towards autonomous driving, that change is going to very much change experience of how you're going to drive and sit in the car and with the interiors will have to catch up with that. Thank you. Kunal Malani: Look, if I might just add, just to bring it into perspective, while this is all about the content growth that we spoke about, not all of it is necessarily something we'll be making. But by being the Integrator as well, we do get access to a lot of this, and enables us to figure out the right time when we want to do vertical integration around those. So those are all additional opportunities that will keep coming up. As more and more content get featured into our into our product lines. Master of Ceremony: If anyone has any more questions, please raise your hands now. As it might come, sir, just a reminder, please do introduce yourself. There are a couple of lights here that really hard to see. Pramod Amthe: This is Pramod from InCred. So this is with regard to the order book increasing towards the EVs for international business. Can you just walk us through the experience in the sense how your partners either in terms of Sumitomo or PKC helped you to acquire this one? Second, as the content is incr

easing drastically for wiring harness will the R&D responsibility come over to you guys? And will it be an exciting opportunity in the next 5-10 years? As the content is going up for wiring harness? Any thoughts on the same? Laksh Vaaman Sehgal: I'll answer the Orderbook question first. And then I'll pass to Pankaj Sir for the wire harness. On the order book, we're showing you the new orders which are not executed yet. So these orders will become zero in the next two years. This is our definition of order book that we have. That's how much because it was started maybe 100 million out of that maybe 1 billion, all depends on again, what the uptake of the customers is. What we're trying to show you is that the customer is awarding us with the new programs, even for electric vehicles, because we have the capability to further develop our components with the relevant technologies that they want to see on their electric vehicles. So these are again, bumpers, mirrors, dashboards, door trims, all SMRPBV parts that you are seeing in our order book, which again, with newer technologies, if you go to the experience zone, you go to the trend zone, you will see a lot of these new features which are coming up in these cars, and that much more prominent in the EV. Now again, goes to see how much of these will be sold as compared to the ICE. For us we're supporting both sides. But the whole idea of that is that look, our parts are still relevant, growing in content, and extremely strong and Orderbook as the customer is shifting towards EV. But then my caveat, let's see how these offerings really play out in the market. Pankaj Mital: You had a question on wire harness as to how the partners are helping us Pramod Amthe: As partners, and we have a responsibility as a in- house R&D. Because as the content is rising, right, you can add a lot of value to the customer. Will it be going to change as you progress more into EVs, or the next 10 years? Pankaj Mital: See, what happens is that definitely all partners are working together. PKC is not a partner. It's our own company. So we are just one family, all the members, all the engineering folks work together. So it's one team, what we learned from PKC in the very initial time was since it was doing a rolling stock business, which meant doing high voltage harnesses for electric engine so the technology was evolving from there and how to join, how to combine and that has been running for years. So that was a very stable know how of putting the wires and the components together. And then that was translated into buses into trucks. What we have done together is for pass cars, for two wheelers, all the segments and this has been done by us, of course, all the partners including Sumitomo wherever there are needs for the Japanese carmakers, we are always working together and getting all the know how, as far as the R&D is concerned, definitely over a period of last two decades, we have our own product design capability, we are designing the products, we are working as best engineers, if the customer sites, we designed wiring harnesses, we design components, we are designing and developing junction boxes, we have our own tool room. So we do all this stuff together. Wherever the design is done by us, we are developing our own product, total responsibility definitely is ours, together with the customer where there is a core development, and where there is a build to print product, they are our responsibility in terms of manufacturability of the product that our product is manufactured as per the specs. That's how we work and continue to work in that sense. Manish Ostwal: Wonderful presentation and thank you for the opportunity. My name is Manish Ostwal from Nirmal Bang Securities. Sir, my question on the our non automotive business which we are indicating 25% will be this year from that business by 2024-25. So the f

irst question is what is the total incremental capex in that business will be required to achieve that target? Number one, and number two in our in terms of customer addition, and the sales force to build that business- What are the initiatives? Can you talk about it a bit in detail? Laksh Vaaman Sehgal: Okay, thank you for that. Look, we are going to be opportunistic, for what the opportunities that present for the new verticals. I think the great example is what we’ve done with CIM Tools that was the aerospace company, we acquired it. And now it’s become a partner with Motherson. And together with the customer, the new orders that they’ve given us, we have configured, the relevant investments, as we make them for the new facilities have to drive towards 40%. ROCE as well. So everything remains the same any investment criteria that we take will depend on the business, will depend on the opportunity and has to show a direction towards 40%. Obviously, that’s not going to happen overnight, we’re going to have to make the investments we’ve invested in a new plant in Chennai, as this volume picks up, and again, we have to give it at least a five year period, we believe that this will trend closer to those 40% marks, You will see the total capex that we will spend as we announced it every single year, we gave you a guidance for last year, as these divisions are developing all the capex is within that limit, we will continue to give you guidance next year as well what we envisage the opportunities are and obviously acquisitions will supplement that on top. But any financial decision that we do take an investment has to hit our financial criteria. Even if we take a strategic one, it has to end towards that 40% in a particular time zone. And obviously for the different industries, we will have to take some you know some tinkering with that depending on the strategic opportunity, but largely that that holds strong. On the logistics on the interior side, that’s the same we’re looking at building our own competencies in house putting investments in that will drive better efficiencies, better profitability for our group, more consolidation should result in better profitability. And again, that 40% mark should be hit in a period of time. So there is no change for the new verticals, in terms of what we want in terms of ROCE for all the investments that we do make. Vivek Chaand Sehgal: And also please don't forget this is not a this five year plan. The seeding was done the last five year plan and it draws a tremendous amount of power from


existing for example, CIM Tools Motherson, they do a lot of machining, we are already making tools ourselves. So there is a lot of synergy that you may not be able to just see directly but all the seeding that we've done these particular for projects that have come for new projects that have come, there you will see that the originate the power really comes from Motherson, existing plants. So the capex and all that are is not such a big thing. Unless a big thing is happening in that company, which we love. Why not? We will do it. Kaushal Maroo: Hi, this is Kaushal Maroo from DSP mutual fund. So in over the last two, three decades, the business world has changed a lot. We have been getting into new geographies into new business verticals, have you ever considered that if we dilute the benchmark from 40% to 30%, it will be easier for us to grow the way we want to grow. Vivek Chaand Sehgal: Motherson is known for big, ambitious targets. So why not? I do keep telling them FPR which means 40% ROCE. The day you'll achieve 40% I'll change the F again, I'll call 50%. ROCE. So I think we have to be aggressive. And it changes the mindset of the team. Unbelievably, you cannot imagine. I still remember some of my friends here. When we were taking over SMR, Visiocorp at that time. They said in India, how much of the businesses is in I

ndia. I said 2%. They said it's impossible for you to make a 40% ROCE, they asked us to dilute to 20% and then grow from there. And we said no. And in two years, three years, the heroes sitting here Mr. Char who was at that time looking at the SMR thing. But they move- they came to 38%. 98% of the business was from outside. The concept which never why taught us at that time. It took us six months to understand 40% ROCE, how to calculate it. But we liked that particular idea so much and appreciated his teaching to us that we today give it as a minimum benchmark. First is 40% of FPR. FPR means 40% ROCE. From 40 it will go to 50 and then 60 Master of Ceremony: If anyone else has any questions, please raise your hand. I do want to remind everyone that you will get an opportunity to discuss a lot of things with a lot of senior management, even for the rest of the day. Any question that you would not want an answer to right now? Good to go. No questions. Great, everybody. Thank you again for all these great questions, and also great answers. Thank you again for all your time. And thank you for these great questions. Safe Harbour : The transcript has been made for purposes of compliances under SEBI (Listing and Disclosure Requirements) Regulations, 2015 For the transcript, best efforts have been made, while editing translated version of voice file for grammatical, punctuation formatting etc., that it should not result any edit to the content or discussion. The audio recording of transcript is available at website of the company, This discussion contains based on the currently held beliefs and assumptions of the management of the Company, which are expressed in good faith and, in their opinion, are reasonable and can may include forward-looking statements. Forward-looking statements involve known and unknown risks, contingencies, uncertainties, market conditions and other factors, which may cause the actual results, financial condition, performance, or achievements of the Company or industry results, to differ materially from the results, financial condition, performance, or achievements expressed or implied by such forward-looking statements. The Company disclaims any obligation or liability to any person for any loss or damage caused by errors or omissions, whether arising from negligence, accident, or any other cause. Readers of this document should each make their own evaluation and assessment of the Company and of the relevance and adequacy of the information and should make such other investigations as they deem necessary.

# Call: Feb 2023

Samvardhana Motherson International Limited
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February 25, 2023

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G -Block
Bandra -Kurla Complex
Bandra (E)
MUMBAI – 400051, India

BSE Limited
1st Floor, New Trading Ring
Rotunda Building
P.J. Towers, Dalal Street
Fort
MUMBAI – 400001, India

Scrip Code : MOTHERSON Scrip Code : 517334

Ref. : Transcript of Investor Call

Dear Sir(s) / Madam(s),

This is with reference to our letter dated February 20, 2023 informing about the upload of audio recording of conference call with investor s on acquisition of 100% stake in SAS Autosystemtechnik GmbH, Germany by Samvardhana Motherson Automotive Systems Group B.V., Netherlands, a step -down subsidiar y of the Company .

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of aforesaid conference call .

The above information is also available on the website of the C ompany: www.motherson.com

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited
(formerly Motherson Sumi Systems Limited)

Alok Goel
Company Secretary

Encl(s). : As above

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"Samvardhana Motherson International Limited
(SAMIL)
Conference Call "
(Unedited Transcript of the conference call held on 20th February 2023)

Febru ary 20, 202 3

Management:

Mr. Vivek Chaand Sehgal, Chairman Mr. Laksh Vaaman Sehgal, Director
Mr. Pankaj Mital,
COO and Whole Time Director, SAMIL
Mr. Kunal Malani,
CFO, SAMIL
Mr. Char Zawadzinski, CEO, Modules and Polymer Products Business Division



Moderator: Ladies and gentlemen, good day, and welcome to the conference call of Samvardhana Motherson International Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you ne ed assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. V .C. Sehgal. Thank you, and over to you, sir.

Vivek Chaand Sehgal: Thank you. Ladies and gentlemen, good morning, and thank you for joining us today, early morning. We are delighted to announce that SAMIL Board has approved 100% acquisition of SAS Autosystemtechnik GmbH from Faurecia. SAS is a leading global provider of c ockpit module assembly, managing complex logistics with strong expertise in JIT/JIS solutions.

This acquisition will further entrench and integrate Motherson in the supply chain and cement our Tier 0.5 position and ability to closely serve our customers. This business has a unique ability to serve new energy OEM s, the EVs, MEVs platform. These OEMs predominantly focus towards technology and product development with outsourcing, manufacturing and assembly to trusted and competent suppliers. With continued EV trend, SAS is already generating 50% of its revenues from EV programs.

The company's gross revenue was EUR 4.4 billion on principal basis and net revenues of EUR 896 million for the year ended 31, December 2022. Further, the business has a strong order book of EUR 3 billion cumulative net revenue over the next three years. SAS has total 24 manufacturing facilities across 12 countries. Europe contributing 60%, Americas 31%, Asia 9% and with the total of 5,000 people. SAS has core competency of complete cockpit module integration, which includes entire design and setup of the assembly line, routing of wiring harness and a whole host of testing and finding suppliers, assemble modules even from within the customer plants.

The close proximity with the customers in complexity of the assembly operation may also create a natural ring fence for the business. We will be able to further scale the business in the next couple of years with insourcing potential for various products that Motherson manufactures. The enterprise value is EUR 540 million to be funded by a mix of debt and internal accruals.

We expect t o close the transaction by the quarter second of the financial year '24, subject to customary closing conditions and receipt of regulatory approvals. This includes, of course approvals from Work Counsel s and anti-trust approval. Motherson always tries to be complete solutions provider our customers by providing new products and technologies.

The acquisition of SAS is an important step forward in this direction. By adding these complementary capabilities, we will be able to further enhance our Tier 0.5 position with the customers. With this transaction, Motherson will be a leading assembler of cockpit module globally and gain from the increasing electrification trend in the outsourcing modules.

With this, we conclude our overview, and we are open for the que stions -and-answers. Thankyou

Moderator: The first question is from the line of Jay Kale from Elara Securities.


Jay Kale: Congratulations on this sizeable acquisition. So my first question is regarding SAS' financial position in terms of -- I mean it's a pretty impressive EBITDA margin and top -line growth in the last couple of years as well.
But if you can just throw some li ght on their balance sheet in terms of their current debt position, how is the working capital, what kind of liabilities we'll be taking -- we will be taking up as well as their plans of capex, s

ince we understand that they are mainly exposed to the EV OEM s, which are expected to show decent growth going forward. So, and we in SAMIL, are largely done with our growth capex. So some light on the direction of capex for this company as well.
Laksh Vaaman Sehgal : Kunal, can you take the balance sheet question, please?
Kunal Malani: As we know we have bought the asset of EUR 540 million and all debt and debt -like items will be deducted from this, before we meet the payment for the equity value. The equity value will carry the debt in the form of lease liabilities for sure as what we are aware about. It will carry elements like factoring and so on. And we have also structured it as a defined trade working capital that we require from the asset.
Now, what the final calculations will be, obviously, will be done at the closing date level, which is likely in Q2 of the ensuing financial year. That's how it is. The final payout will certainly be lower than EUR 540 million, just given that it will carry some amount of debt with the exactness of this will only come on the ba sis of the closing balance sheet.
Laksh Vaaman Sehgal : It’s very strategic assets for the carmakers. They are on a trend of outsourcing more of these cockpit modules to suppliers like us. You have to understand that these cockpit modules have to be done ve ry close to the carmakers. It's a most ly assembly process. There is no huge capex that is there.
On a steady basis, already all the capex that is required for the order book that we have announced is already in there. But a steady -state capex is somewhere around 30 million to 40 million, maybe 45 million in this business. Of course, if you win more modules and more orders, then more facilities will be required.
And I think the good thing about this operation is that they have shown consistent grow th. So we are optimistic with this asset. We think we will get a lot more opportunities. It is a profitable, very well profitable asset and something that, again, comes with a lot of complexity, the assembly process to manage so many suppliers , to be able to produce just -in-time, just -in-seque nce, just -in-line is a very, very complex operation.
So the skills and the know -how are very complex and something that I think we will gain a lot an opportunity for us to grow with the customers with this business, but the capex is much lower than our traditional business.
Jay Kale: So my next question is regarding, you know we've seen you know this time around, you've given this gross principal revenue basis, which is close to around 4 to 5 times of the revenues of SAS.
Just trying to understand, you know, historically, also when you would have had these acquisitions, you would have had this opp ortunity of cross -selling, backward integration,


etcetera, which is largely what you're indicating maybe as I understand correctly on this gross principal revenue basis.
How different is this time around versus the historical acquisition? Any trend that you can say that is this a bigger opportunity for you since you have more products in your stable currently, which you can cross -sell along with the integration of SAMIL as well? Any direction you can give on how significant is this backward integration opportunity for this?
Laksh Vaaman Sehgal : Yes, absolutely. I think you hit the nail on the head. For us, it is exactly that opportunity that is getting us very excited apart from a world-class team that is coming along with it. I think you have to understand that in the past, we would still -- I mean, while SMP was doing the cockpit assembly business, it was a much smaller size and only with very select customers.
Here, now we have got a diverse range of customers and entry to be able to, again, use all the backward integration possibilities to be able to supply more -and-more

products from our portfolio and also look in the future, which are the products that are coming into the cockpits and have a strategy for growth in them as well, So it's exactly that.
We will obviously try to bring more -and-more products from our side. Obviously, that takes time. You have to wait for the new orders. It's more difficult to do that with the running orders. But in time, as we quote the

new businesses from this, we will try to integrate more of our
products and also look for opportunities of growth into products that we are not doing yet. So
it's a very exciting possibility for us by taking this asset in.
Jay Kale: Just one last question, if I may. There seems to be quite a goo d acquisition in terms of financials
of the current company. If you can throw some light in what drove this acquisition. Was it led
by the customer as always? Because the financials seems to be pretty healthy. And how was it
led? And how was the thought pr ocess from your side as well as the client as well as Faurecia
itself, since it's quite a decently financially healthy company?
Laksh Vaaman Sehgal : Look, I can't comment too much on FORVIA, I think we have a very good relationship with
them with our customers. I think it was our customers' directive to move more into the assembly
line. We see that business as growing with the carmakers FORVIA for their own reasons,
wanting to divest this business. And it was great timing for us to really come in and to cl ose this
asset in a short period of time.
We definitely have the customers' support. We have spoken to our major customers. And I think,
again, they see a positive trend in this business growing and welcome d Motherson to be able to
move in this direction as well. So again, like my father was saying, we've always worked with
our customers to find ways to improve our services, increase our products to them.
And together, working with them, we found a way to do that with this asset as well. And like I
said, i t's extremely strategic for us. It makes us the largest assembler of cockpit assemblies for
our customers and will enable us to do more products in the future. So it's very strategic and we're very grateful for the team
and to our customers for giving us t his opportunity.
Moderator: The next question is from the line of Kapil Singh from Nomura Group. Please go ahead


Kapil Singh: Congratulations on this acquisition. I just wanted to understand, from a value creation
perspective, where is it that you see maxi mum opportunity? Is it revenue growth? Is it margins?
Or is it the new opportunities that will come along the way? And also if you could share some colour on what is the asset turn
and ROCE of this business?
Laksh Vaaman Sehgal : Kapil, if you know Motherson best, you will know that we will look at all those things. Please
understand that we've only had a limited access to the business for the closing so far. But till up
to the closing, that's when we will get more deeper into the assets and prepare our plans. I think,
again, from our side, definitely, we will look at ways that we can improve margins, improve
efficiencies, what we can support from the group. We've always tried to do that.
And I think it's a great fit from what we can do from our modules and p olymer division. So look,
like I said, the business is a very interesting one. The ROCE of the business should be high. Of course, it will all depend what
the final closing, etcetera, everything comes out on, but we maintain our 40% ROCE target for this as set. Obviously, no
target comes starting there. We will
have to prepare a plan that will get us there and pass us that. But to Kunal, he can maybe add what numbers we are allowed
to disclose to you as at closing. Kunal, could you…
Kunal Malani: Yes. So a c ouple of things, Kapil. Number one, I think you should be able to see gr

owth here at
both top line and bottom -line level. The top line would also be driven, mind you, as we move
some of the steps towards in-sourcing. The principal basis accounting will no longer be
applicable to both and hence, those top line will be visible.
Secondly, on the bottom line, we also expect a whole host of other forms of aspects that we
could do on a module basis, for example, Faurecia, only does interiors , they are largely focus ed
on interiors. We have the whole front -end module, so that we can do, we can do it for commercial
vehicles and so on and so forth. So those are additional pieces of growth that can be loaded on
to the asset as well, and those are effect ively what we find very attractive about this business.
From a ROCE perspective, I would suggest if you could just wait till we have -- until we do have
total clarity on a closing balance sheet basis. Right now, whatever I give you will be an incorrect
picture. By the time closing happens, the picture could look a little bit different, depending upon
how things play out, so just to really discuss this on closing.
Kapil Singh: Secondly, I just wanted to check on revenue, gestation period from winning new orders and that
going into revenue. So how long does it take because you are pretty close to that EUR 1 billion
kind of revenue run rate per year, if I look at the order book, it's about EUR 3 billion, right? And on margins also, which cost
elements here, are passed through as per contract s and which are
not. So what are the risks to keep in mind?
Kunal Malani: Right. So again, the EUR 3 billion order book, this side is clear, it's not the order book. It's the booked business.
The difference be ing the order book that we have typically spoken about are
the ones which are not in production. This is a booked business, which is what is in production. And Euro 3 billion tells you it's
effectively a line of sight available to -- for these revenues to
come into play over the next three years.

So the actual order book or the actual book business is also for a longer duration, but we can only disclose what is disclosable by the seller. And hence, this is what we can say right now that it is EUR 3 billion ove r the next three years. And hence, on an average, at least EUR 1 billion of net revenue should be visible over the next three years.
Now what are the risks, the risks are the same as what the industry is. It has, again, in a disproportionate share from the premium end of the vehicle. It has a disproportionate share on the EV side of it. So as long as the industry performs around it, some of the customers we have spoken about in the presentation, as long as they perform, we don't see a risk. And with some of these facilities being still relatively newly set up to meet some of the increased demand from the customer space, I see the downside risk being fairly limited.
Moderator: The next question is from the line of Kumar Rakesh from BNP Paribas.
Kumar Rakesh: My first question was around the margin of SAS, which appears to be doing much better than SAMIL's own models and polymer product business division. Now my question was, how are they able to achieve that? Is it driven because of their capabilities in mod ule assembly and logistics? And can it be transferred to our own businesses and hence expand margin of our own business?
Laksh Vaaman Sehgal : Thank you very much for that. I think you're right. It is a slightly different business, what we are doing in modu les and polymers. Like, I said, and as we look in to it, it's more assembly in logistics. So I think the greater traction for us is that we are already welcoming a team that are experts in the assembly and logistics part of the entire business.
And definite ly, we do see capabilities that we can use some of our own module centres , etcetera, which are curre

ntly outsourced to be able to bring that in and bring in much higher efficiencies and improve our own business as well. But that's been quite standard for M otherson in all the acquisitions that we do. We try to bring in what's best in our fold to the incoming family member and learn from the family member where we can improve as well.
So definitely, the team's job together with me is that in the next six mont hs, could we close it, we understand all the strengths of the business and be able to prepare a plan that we can, not only improve the businesses that are entering the fold, but also the group businesses as well. And like I said, I think we have very high capability in managing complex suppliers that are coming to assemble entire cockpit assembly and logistics and that's something that we definitely -- the group will gain from.
Kumar Rakesh: My second question was, if I do math, it's about EUR 700 million of opportunity through backward integration using Motherson's existing product capabilities. But based on your interaction with customers and past experience, how much of it do you think can be converted where OEMs will agree to change their nominated vendors?
Laksh Vaaman Sehgal : Look, any customer as you must appreciate that we have those relationships as well, but I think the most important thing for the customer is being able to give them a complete solution at a competitive price. I think definitely, if we are able to do that, we're able to win more business from the customers and be able to direct some of this business more to ourselves. But, like, I



said, I think it will happen more over the new programs and the new models that are going to be quoted.
So it's going to be something that we will plan again as we take the company over and prepare a strategy of what we can bring really in -house. But as OEMs are moving more towards outsourcing of these modules, getting specialty suppliers to come in and do this. You understand the situation in Europe with high inflation commodity prices, etcetera.
So they really are focusing on getting more and more suppliers to do the assembly and logistics for them. And that's a growth opportunity for us. Now definitely, we have to be competitive, and we have to do the best. And if we're able to do that, we will win business.
Kunal Malani : And I just wanted to highlight the opportunity is not only EUR 700 mi llion, which is only the set of products that we do currently. And they're really talking only about the larger verticals. As you know, we have a much diverse set of product portfolio that exists. Some of that would be lying in others.
And then, this is n ot the only set of products that we will do forever. So whatever that we do going ahead as well in terms of new product portfolio could potentially have a synergy with this asset. So in effect, the entire EUR 3.5 billion is a potential.
Kumar Rakesh: My f inal question was around what – in your understanding, what is the reason Faurecia has decided to sell this asset? I understand, Faurecia, they are running about $1 billion of deleveraging program, and this possibly will help them in a long way to achieve that. But this business appears to be solid with strong margin and revenue visibility, so why pick this particular business to sell?
Vivek Chaand Sehgal: How can we comment on their – this thing? Do n't you think they are the best people to answer

that?
Kumar Rakesh: Fair enough.
Vivek Chaand Sehgal: Hello? You 're asking us to speculate.
Moderator: The next question is from the line of Pramod Amthe from Incred Capital.
Pramod Amthe: Considering that there's a big difference between the gross revenue and net revenue, wanted to know how is the working capital. Who will bear it? Whether the current entity? Or the clients bear the large working capital?
Kunal Malan

i: Working capital will be borne by us for the entire principal set of the business as well. But given it is a principal flow, the net working capital requirement for the principal flow will not be much.
Pramod Amthe: Would you be able to disclose the number of days of sales?
Kunal Malani: Look, as mentioned, we've targeted this with a certain degree of working capital coming along with the asset. And hence, so thinking from a cash flow perspective, for the current set, we do


not expect. And given we already defined the working capital; we do not expect incremental cash flows to get embedded to meet working capital requirements .
Pramod Amthe: Okay. And a second one -- sure.
Kunal Malani: In the past, we have -- it's also a great potential of opportunity as well because maybe we can improve, as well, some of those as we move ahead. It could be a big delta , just surely purely because of the sheer size of the principal set of the business.
Pramod Amthe: And second question is with regard to again, gross and net. How is the revenue recognition or value in the order? What is the correlation between the gross revenue and the net revenue? Is there a way to understand that better?
Kunal Malani: No perfect way. Again, the principle is defined as wherever the activity of -- the asset we're doing is procuring, embedding it into the product and selling it. The agent flow is driven by adding value to whatever that's being provided, whether it be in the form of some processes that are done on it, whether it be in the form of certification that have to be done on it. But there is an additional value that is provided on top of whatever that is produced -- or whatever that is procured.
Moderator: The next question is from the line of Hitesh Goel from CLSA.
Hitesh Goel: Congratulations on a g ood acquisition. I just wanted to -- I have 2 questions. First on the revenue recognition in the P&L, you will report it on a gross revenue basis? Or net revenue basis?
Kunal Malani: On our P&L, it'll ultimately be net revenue basis.
Hitesh Goel: Okay. An d the program that you have won of EUR 3 billion, the OEM will have the -- the orders that we have won on this SAS is EUR 3 billion of orders. So I wanted to understand this product, the OEM parts, which are a pass -through. This will be part of the contrac t, right? The additional orders you won above EUR 3 billion, then you can do backward integration. Is my understanding, right?
Kunal Malani: So that ballpark, that would be right.
Laksh Vaaman Sehgal : Yes. Go ahead, Kunal.
Kunal Malani: Ballpark, that w ould be right. This portion of the business is already booked the business.
Hitesh Goel: And that is over a 3- year period, right? So after that, whatever additional business now we win, we'll have negotiation and OEMs to do backward integration, right?
Kun al Malani: That's the potential. And this, again, I'll just repeat this EUR 3 billion business is not the full booked business. This is what we've disclosed as visible revenue over the next 3 years on a cumulative basis. And hence, we are only talking about the disclosures that the sell side is able to provide on this. In reality, the booked business will be larger than this and so will the order book be larger than this . Atleast from our definition perspective.


Hitesh Goel: My final question only is on the market size of this assembly business of cockpit, right? And what is the market share of SAS? Can you give us some sense on the industry si ze and SAS market share?
Laksh Vaaman Sehgal : Kunal, I'll take that. I think we said that they have about 20% market share, and they are the leading largest independent assembler of cockpit modules . So 20% share. And again, tha

t is only for cockpit. I think they' re also doing , possibilities of doing other modules, which in the future, again, once we take over the asset, we will come back to you with a lot more of these numbers with more granularity.
Kunal Malani: And this is all that we are saying is in relation to what we have heard from them. It's not

something that is, as you know, we do not drive market share. It is not something that we really dwell into.
Moderator: The next question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services.
Jinesh Gandhi: A couple of clarification. Firstly, on the accounting, which will be applicable for Motherson is -- will be accounting for revenues , including the revenues which we sourced from third -party vendors and later, for what we buy in- house. Is that correct? My ques tion is this EUR 896 million of revenues, then it gets accounted in Motherson, 896 million plus. What is being sourced from third -party suppliers or it will be 896 only?
Kunal Malani. So it will be EUR 896 Mn in our books in all likelihood. To the extent that we are in-sourcing some of these principal streams of revenues, those will be on top of it.
Jinesh Gandhi: Okay.
Kunal Malani : Theoretically , if this is EUR 200 million , then it is EUR 896 million plus EUR 200 million.
Jinesh Gandhi: And currently, our supplies to SAS, from SAMIL , would be very, very negligible?
Kunal Malani : There will be some portion that we do, but there will not be much.
Jinesh Gandhi: And lastly, with respect to this EUR 896 million of revenue, can you talk about how much of that would be split between actual manufacturing, which we will be doing in- house versus more about the services revenue in that – because the services revenue woul d be more or less with respect to managing entire complex value chain, which they do, whereas the house manufacturing would be -- is that lesser number and managing the entire complex solution is the bigger number of the EUR 896 million?
Vivek Chaand Sehga l: Yes. Just as there are some -- we didn't understand the question very well, yes. The voice was coming and then going. Sorry, could you repeat it again?
Jinesh Gandhi: So of this obviously EUR 896 million of revenue, how much would be the manufacturing portion or in-house manufacturing portion and and how much would be the...
Vivek Chaand Sehgal: No, there is no manufacturing in this. There is no manufacturing in this. This is assembly here. So, if we have the order, we will supply. But this is a differe nt business altogether. This is not


the same business as what we are doing here. I mean, I ’m getting a feeling that you haven’t understood. This is an integrator. We are on behalf of the customer. We are assembling the whole particular thing. We are managi ng all the supply chain like radios or different parts of the cockpit and all that they come in. We put that together. And depending upon what the order is, what the sequence is, it ’s a different business altogether. Why are you confusing it with SMP?
Jinesh Gandhi: No, no. So there was... I mean, I wasn ’t clear on that answer to this question. Thanks. Thanks. That clarifies. Thank you. Okay.
Vivek Chaand Sehgal: Kunal. I was right, do you think?
Kunal Malani: I couldn’t hear the question either so I was just clarify ing...
Vivek Chaand Sehgal: Okay. So go ahead, please.
Moderator: The next question is from the line of Chirag Shah from Nuvama.
Chirag Shah: Sir, two questions. The first question is that are there any platforms or models for S AS coming up for upgradation or renewal of contracts which would give you opportunity to go into more backward integration over the next 12 months and that was one of the drivers for you to look at this acquisition, because polymers and wiring harness, we all do now, then 20% o

f the
opportunities that you have highlighted in the presentation. Is there anything coming out of negotiations as the end of product life cycle is coming near by
Kunal Malani: So the driver of this asset is not what is going to happen in the next 12 months. It's a strategic asset. If you can imagine, we will be extremely close to the customer. If you look at the asset even in 2020 when COVID was there, you would see the performance of the asset did not dip as much at least on a percentage margin level. So it just showcases how close it is to the customer as a Tier 0.5 supplier to this. And thereby we come even more closer to it and opens more doors and oppor tunities to do more with them.
It's not for any short -term, 12 -month kind of insour cing related requirements for which we would have looked at this asset. It's still a complex logistic that has been managed for nearly 5 billion of inflows. And that's a pretty sizable operation to look at it for a very short -term thing. So it's a long-term strategic asset, which will help us synergize not only what is there in our existing portfolio, but everything new that we bring in as well.
Laksh Vaaman Sehgal : Yes, just to add to that, it's a running business. So as models, I mean, there are 24 locations, there are multiple customers, as the models are running down, new models are coming up, there are launch of new models as well. So they are constantly, they have an ability to grow. As you can see, they have been historically growing with the customer. So definitely there is a lot of opportunity to quote for the new business.
Again, we need to wait for the closing to be able to prepare a full strategy on which of the models that we're going to go for, what insourcing we can have. But these are all the potentials that

Kunal has talked about. And that's what's really exciting us that you're truly a Tier 0.5 leading


supplier to the car makers with access to all the as semblies of the car maker in the locations that we are. And future growth opportunities with other modules.

Chirag Shah: So let me rephrase the question. This is a very interesting acquisition and it's a great capability addition moving closer to customer. But when I was looking at, based on historical data, the valuations, for example, they are something very similar to PKC and the asset is also something similar to PKC as far as financials are concerned. Reasonably good effect. These are not like bankruptcy related assets that you have bought.

So I was wondering one of the triggers could be that your EBITDA number which is s ay EUR 100 million can suddenly shoot up simply because new models are coming for renewed bidding and where you could do more in sourcing or backward integration hence that's a very near -term underlying opportunity to also exist apart from the long -term strategy that you have on this. So I was coming from that perspective.

Laksh Vaaman Sehgal : Absolutely. It gives us the opportunity to do more, to bring in more in sourcing and definitely in the way Motherson, we will figure out a way to deliver a 40% ROCE in the medium to long term on this asset. So definitely we want to make sure that we have all those opportunities and like you said, there is a lot of opportunities to bring stuff in house that should immediately improve the profitability of the company from where it is and bring group support.

So that's why it's extremely exciting for us, it's extremely strategic for us and brings us even that much closer to our car makers where we can give them a complete solution. So, you know, but you'll have to be pati ent till we do the closing and come back to you with all of these, more granular points and once we have full control of the asset.

Chirag Shah: And just a clarification, Kunal, so you indicated that the entire, the working capital on this 4.4 billion reve nue is a part of this 540 million EV that we have ascribed. Plus minus based on final adjustment I understand but let us use 540 million for the discussion purpose. So that entire working capital on net basis is a part of this 540 million EV that you have indicated, right?

Kunal Malani: That is right.

Chirag Shah: Sir lastly, on this vehicle electronics which you have indicated as a new growth area, any more granular comment if you could have, how should we look at it and any actionable that could happen from next 12 to 24 months?

Laksh Vaaman Sehgal : Look, you know our 2025 targets so definitely we are on the lookout. If there are good opportunities again, we will use our the same stated formula that we have done in the past, the customer ’s behest, using financial discipline, going after good assets and good teams. And if there is a fit, then definitely we will come back to you and tell you. But again, I think the talk today is about this asset. It’s a very successful close from our side.

I think one key thing that you guys should look at is the concentration on EV, so you can see how much of the business ’ book is actually focused on the new vehicles that are coming and the customer support to get suppliers like us to be doing more and more assembly of these new EVs. It's a phenomenal growth area for us. It brings in a lot of exciting opportunities.


And like I said, each one of those insourcing opportunities will come once we close and come back to you when we have a more detailed plan on it. But very, very exciting day for us. And like I said, very grateful to the customers for giving us this opportunity.

Chirag Shah: And EV is a combination of polymer modules and electronics all combined, right? Is there any specific carve out where EV has a higher concentration versus ICE in this in overall scheme of things or is it likely similar in nature?

Vivek Chaand Sehgal: This is a cockpit, it's not a wiring harness or... It's a cockpit. It is assembly of cockpit.

Chirag Shah: Fair point. Thank you.

Vivek Cha and Sehgal: Thank you, everyone

Moderator: Thank you. Ladies and gentlemen, as there are no further questions. I would now like to hand the conference over to Mr. V.C. Sehgal for closing comments. Over to you, sir.

Vivek Chaand Sehgal: Thank you very much. I would just advise all the people that this is a separate business altogether and even if one of our companies or two of our companies are supplying, it's an additional job that we do with SAS. So it's value -accretive in the sense that bring all the revenues and all that to the Motherson bouquet . More answers will be available when we close due diligence and all that.

So please have a little bit of patience with us because in a sense, Faurecia is our competitor. So we don't have to, we didn't get so much of a signal I think. We have enough to do in the next three, four months and then maybe more colo ur will be added as per your question. Thank you

all very much. Have a great day. Thank you.
Moderator: Thank you, sir. On behalf of Samvardhana Motherson International Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lin es.

# Call: Feb 2023

Samvardhana Motherson International Limited
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February 15, 2023

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G-Block
Bandra-Kurla Complex
Bandra (E)
MUMBAI – 400051, India

BSE Limited
1st Floor, New Trading Ring
Rotunda Building
P.J. Towers, Dalal Street
Fort
MUMBAI – 400001, India

Scrip Code : MOTHERSON Scrip Code : 517334

Ref. : Transcript of Investor Call

Dear Sir(s) / Madam(s),

This is with reference to our letter dated February 8, 2023 informing about the audio recording of conference call with Investors on the financial results for the third quarter and nine months ended December 31, 2022.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of aforesaid conference call.

The above information is also available on the website of the Company: www.motherson.com

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited
(formerly Motherson Sumi Systems Limited)

Alok Goel
Company Secretary

Encl(s). : As above

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"Samvardhana Motherson International Limited
(SAMIL)
Q3 FY '23 Earnings Conference Call"
(Unedited Transcript of the conference call held on 8t h February 2023 )
February 0 8, 2023

Management:

Mr. Vivek Chaand Sehgal,
Chairman

Mr. Laksh Vaaman Sehgal,
Director

Mr. Pankaj Mital,
COO and Whole Time Director, SAMIL

Mr. Kunal Malani,
CFO, SAMIL

Mr. Char Zawadzinski,
CEO, Modules and Polymer Products Business Division

Mr. Rajat Jain,
COO, Vision Systems Business Division





Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '23 Results conference call of Samvardhana Motherson International Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. I now hand the conference over to Mr. Vivek Chaand Sehgal. Thank you, and over to you, sir.
Vivek Chaand Sehgal : Ladies and gentlemen, good evening, and thank you for joining us this evening. SAMIL Board has approved the third quarterly results and we are happy to report another improved performance. We crossed INR 20,000 crores in the quarter for the first time. Best ever quarterly results revenues yet, topping our earli er highest during quarter one and two.
We generated double -digit growth in EBITDA profit on Q -on-Q basis, nearly 5x bottom line on a year -on-year basis, enabled by improved performance by all divisions despite inflationary headwinds and localized challenges. We reduced the net debt. Net debt -to-EBITDA improved from 2 to 1.8.
There is still some pain in the system, but the worst seems to be behind us, where that's cautiously optimistic going ahead. These results demonstrate strong fundamentals of the company and continued focus on operational efficiency .
Our teams have worked very hard to deliver this result. And with further improvement expected in business environment, we are poised to deliver greater value to our stakeholders. We want you to thank our customers for their continued trust in Moth erson.
As always, with me, I have Vaaman; and the management team comprising of Pankaj, Char, Rajat and Kunal.
With this, I would like to ask Vaaman to walk you through the results. Vaaman?
Laksh Vaaman Sehgal : Thanks, Papa. Good evening to everyone. The c ompany has reported another set of record results

with the highest ever quarterly revenue of over INR 20,000 crores. This is a 25% growth Y -on-Y and 11% growth on a Q -on-Q basis. All business divisions improved performance. Correspondingly, EBITDA grew to INR 1,680 crores, with a 13% growth sequentially and a 45% growth on a Y -on-Y basis. PAT was up 5x versus last year the same quarter and nearly 2x of the previous quarter. With chip shortage and supply chain improving in most parts of the world, production scheduling was much more stable and enabled recovery of volumes on a Y -o-Y basis, with industry volumes growing by 2% in light vehicles. All regions grew other than China. As you would expect, COVID -related issues caused China volumes to decline 6% Y -o-Y and 2% Q -on-Q.

On a quarterly basis, industry volume for light vehicles were flat in North America, India, and China, all showing decline ranging from 2% to 13%. We were, however, aided by growth coming back in Europe, which showed 15% growth. This highlig hts the benefits of a diversified business model. On commercial vehicles, there was a 6% decline on Y -on-Y basis, with China being the main contributor, though North America showed 3% growth. On a quarterly basis,



China improved by 24%, although on a small base. Europe was also up by 18%, but North America was down by 6%, resulting at an aggregate industry volume growth of 5%. You can refer to Slide 5 for industry details.

Our 25% year -on-year growth highlights significant outperformance versus industry gro wth of 2%. Even without considering the revenues from erstwhile SAMIL, which were not there in the previous quarter, we grew by about 20% in this quarter versus Q3 FY '22. Continuing trends on premiumization, electrification, commodity costs and sharing of inflationary cos

ts, etc, continue
to add content and value to our products. This was further fuelled by a favourable forex impact. Even on a Q -on-Q basis, we grew by 11% versus a flat industry growth. You could refer to Slide 12 for more details on that.

We are very grateful to our customers for their continuous trust and support in Motherson. We continue to work with them on sharing of these inflationary cost structures, and we've embedded some of the success in this quarter and continue to work with them to close out the remaining in the coming quarter. Given the continued volatile sales of variables in this world, we expect that this conversation will be a regular feature for some time into the future.

On the capex side, we remain vigilant and in line wi th the guidance we gave last quarter of being at the lower to mid -end range of INR 2,500 crores plus/minus INR 250 crores, so somewhere between INR 2,250 and INR 2,500. The improved performance and focus on capex has decreased the leverage ratio to 1.8x ve rsus 2x in the previous quarter. Net debt actually reduced by about EUR 50 million versus previous quarter. Although the forex changes had a negative impact of about INR 350 crores to INR 400 crores.

We continue to carry elevated working capital levels giv en its still early days to China removing the zero COVID policy and the geopolitical situation in new countries. However, we remain confident that by year -end, we should be able to normalize some portion of this working capital. This is also supported by improve ment in global supply chain pressure index and some softening of commodity prices. You can see Slide 7 for more on this.

Given this backdrop as well as the declining energy costs versus previous quarter, we remain confident of delivering continuous improve ment in the ongoing quarter as well. This will enable us to del ever much more going ahead and aid our inorganic plans as well. We thus believe we have adapted ourselves well to the new realities and are cautiously optimistic on the way ahead.

With this, I conclude the overview and we'll now open it for question and answers. Moderator, can you support, please?

Moderator: The first question is from the line of Kapil Singh from Nomura.

Kapil Singh: My question is, firstly, on European operations. I just wante d to understand that, from a revenue run rate perspective, are we closer to the normalized run rate or there is still significant supply chain pressures and, therefore, we should expect further ramp up in production run rates? And also, on an inflation -- if you could just mention, do you see personal cost and other cost seeing



significant cost inflation. So, does this quarter fully reflect most of it? Or should we expect more increases in these line items?

Vivek Chaand Sehgal : Vaaman?
Laksh Vaaman Sehgal : Sure. I think the production run rate that you talk about, we definitely had some instances starting up in post the December holidays, etcetera. But since there is more talking about the last quarter, we definitely do see an improved trend. However, it's h ard to really comment with the ongoing macroeconomic situations in Europe. And you will understand more as we get closer to the summer and understand how things are flattening out. So definitely do see some catch -up towards that, for the missed run rate th at we had in the previous quarters, but it's very much a watch closely kind of a situation.
On the inflation side, we believe most of it has already been taken in. Of course, a lot goes to be seeing how things pan out the rest of the year. But definitely i t's an ongoing discussion with the customers to see what's going on. It is a volatile situation that is there. It can move in any direction. And I think that's when we are making sure that we have close communication with our customers to be ready for any event

uality. But like I said, we are cautiously optimistic, but definitely, it's not clear of the woods in terms of volatility yet.
Kapil Singh: I have 2 sorts of clarifications on the presentation. So, one was on Slide 16, you have mentioned Wiring Harnes s division where there is a INR 61 crores favourable outcome on tax rate litigation. If you adjust for that, actually, margins are a bit lower on a Q -o-Q basis despite better revenues. So, I wanted some colour on this.
And second is on the stand -alone resu lts, we see that the other income has seen a significant increase on a quarter -on-quarter basis. So, it was INR 144 crores -- INR 2 48 crores from September to December quarter. So, if you could just throw some colour there.
Vivek Chaand Sehgal : Kunal?
Kunal Malani : Kapil, firstly, on the Wiring Harness side, you're right, you would have seen MSWIL results also yesterday, which had a slight decline. India in general has been, in Q3, lower than what was expected. You heard, I'm presuming, enough about the reasons behind it, the fact that production was missed, there were chip shortages still in India and so on and so forth.
So, while the capacity etcetera were there, but the production didn't really happen as much. So that is one of the large reasons why i t looks the way it looks. On top of it, if you think about China, the -- as there was growth -- a little bit of growth, but it's still so significantly below previous levels. And the base is so small now in China that it continues to still make losses righ t now. So, this dropped the margin profile really in Wiring Harness.
If you look from another income perspective, the INR 61 crores that you are referring to, this is actually lying in that other income. And you are also aware that the rental income that S AMIL now charges MSWIL that is also lying in this other income. The large difference is on account of the INR 61 crores booked in other income, and that's why we've highlighted that specifically


as well. Going forward, we aim to reclassify some of these th ings to make it a little bit more clearer. And hopefully, next quarter onwards, this will become much more elaborate for you to understand this better.
Moderator: The next question is from the line of Jay Kale from Elara Securities.
Jay Kale: My first que stion, sir, is you mentioned about the strong outperformance to the global industry via revenue growth. If you can just kind of break out down into how much of it is because of your content increase versus inflationary benefits as well as mix. Any flavour for that 11% outperformance, how much of that would be because of content increase ?
Vivek Chaand Sehgal : Vaaman and Kunal?
Laksh Vaaman Sehgal : Yes, I can start, and Kunal can help. I don't think we've done the – to that minute details. You can imagine, th ere are numerous new programs running, and there are launches and the diversified customers. So, I think on an overall basis, we do feel that the diversification has helped where some customers would have obviously affected a bit more, some customers affec ted a bit less. And hence, we are not tracking exactly as the market, in fact, outperforming with the strong order book and the launch, and we had already shown how our content is increasing with the changes in the preference and CASE . So, I think all of t hat has helped. But to give you an exact breakdown , I think will be difficult.
Jay Kale: And also on the energy costs, you did called out in the last quarter as well that you are in talks, and in this quarter also in the presentation, you mentioned earlier in talks with customers who are getting a pass -through for the energy cost price. So just wanted to understand where are we on those stocks? What percent of customers would have given you that energy cost increase? Because if we see our energy

costs as a percent of sales for SMRPBV, in this quarter, it has
moved up on a quarter -on-quarter basis. So just wondering, going forward, are we expecting that
in future quarters? And if at all, we get that compe nsation , would it be reduced from other
expenses line item. Or it will be added to revenues as a compensation?
Laksh Vaaman Sehgal : Yes, I can start this, and others can support. Again, I think it was a conversation to have with the
customers. The energy prices, specifically in Europe, has been quite volatile . Although I think
we have seen the past peaks behind us, there was definitely more softening in December and
Jan. We definitely did have those conversations with the customers. Again, it depends on the
customer, depends on the program, depending on the lo cation. As you can imagine, the energy
prices have not stayed stable for all of Europe. Different countries have different impacts. And
that's where the support has been spoken to with the customers. And again, it's completely
varying depending on the loca tion and the product. That was also only up to the point of
December.
So, in January, again, we have seen some softening compared to where the levels were in
December, but still elevated levels as compared to where it is normally. And those discussions,
as we mentioned to you before, are a continued path where we will continue to talk to our
customers, show them the impact and hopefully have some support if it is quite large this quarter


as well. But the good news is that it's on a negative trend from the p eaks that we saw but still at
elevated levels.
For the accounting, I'll request Kunal to answer the question.
Kunal Malani : Yes. So, look, I think the number obviously elevated in quarter 3. The peaks we've seen in
October, November. Since then, it's on a declining trajectory, though still continues to be
volatile. Where we stand right now and whatever outlook that we have on the -- in the current
environment, it does seem that energy prices would be lower in the ensuing quarter.
Jay Kale: So just to clear that, since energy prices are actually declining, you may not require those kind
of price increases from your customers, which are, what, wanting maybe 3, 4, 5 months back
since already it has started on the d ecline . That would be the understanding, right?
Kunal Malani : Let me just put it this way. This is not the only thing that is under discussion with customers.
When you're discussing with them, then you're discussing as a comprehensive package across
commodities, across inflationary pressures, across su pply chain issues, across working capital
issues and so on and so forth. So, it's not necessarily a like -to-like on a single aspect only. So,
when it is -- it is really about sharing the pain. These are not factors that were built by anyone.
And hence, it' s the sharing of aggregate payment. That's how the customer discussions are.
Moderator: Next question is from the line of Kumar Rakesh from BNP Paribas.
Kumar Rakesh: I have just one question around your customers. So, Volkswagen, which reported pretty re ally
good numbers, talk ed about working capital pressure, which they saw especially towards the end
of the December quarter and the last few days. And they talked about inventory being stuck of
finished goods as well as on the supply side . Do you see some of that impacting your March
quarter as some of your customers start rolling out their stuck inventory and possibly the
production needed from our side may be lower?
Vivek Chaand Sehgal : Vaaman?
Laksh Vaaman Sehgal : Look, we did see -- again, I can't go into customer -wise specifics, and I'm not answering for
Volkswagen, I'm just talking in general. We did see some delayed starts from customers. But
again, we do hope that catches up. Usually, you do see more strengthen ing happening

as people
are coming out of the December holidays, January holidays. So, we definitely do see a better
pickup in February and March. So, look, there's something general that we see. I think it might
not have been extra special this year in pa rticular. But like I said, some customers definitely did
take some time to clear out some inventories.
But that was also because of building up some of the semiconductors, which still continue to
play havoc in some programs. So, it could also be that -- we are making sure that the inventory
levels are stocked to a good level for a more level production until the end of the year. So again,
we are optimistic that it should be caught up. But yes, is there -- was there some effect to that,
we definitely did see that in the Jan start. But hopefully, it should be caught up.


Kumar Rakesh: Got it. Just one clarification, sorry if you already answered that. How much would be energy as

a percentage of share cost?
Kunal Malani : I think it will be ballpark somewhere in the 2.5% to 3.5% levels.
Moderator: The next question is from the line of Basudeb Banerjee from ICICI Securities.
Basudeb Banerjee: A couple of questions, sir. One, if I look at your SMP erstwhile SMP and Plastic business margin, which used to be in good pace, somewhere 8% plus. So now because of various cost inflation items, as Kunal mentioned, plus crude was also elevated at $100 per barrel plus, so it is now down to 5% to 7% level. So how much -- just to understand th e crude down to $80 and the polymers which you are using for the plastic product business, so is there any lag effect of input cost of polymers for that business? And with crude, that it should help the plastic business margin inch up? Or how to look at from that angle, sir?
Laksh Vaaman Seh gal: I can take that. Look, we are talking about highly engineered plastics. So, while there is a correlation, I don't think it's a direct correlation as you do see it. So even when the oil prices went significantly higher, even though our raw material cos ts did move up, it's not always in the same 1:1 level, as you can imagine. So definitely, as it's moving down, it eases some of the pressure on us, on our suppliers. But is it an exact reflection of it going down, not specifically because these are very sp ecialized engineered plastics And anyway, we have clauses with the customers that if there is a significant improvement , I mean, there is a range in which we have to absorb it, or the customer absorbs it. But after that range, there is a discussion to be had with the customers.
So, like I said, I think most of these quarters, we are staying very, very close to the customer of being completely transparent, showing the things that are not in our control, trying to pass on the volatility as much as possible a nd getting good support from the customers as well where it is a reasonable impact. So definitely, like I said, it works both ways for us in our discussion with the customers. But should it help? Definitely. To what context? We'll see because it -- we will probably know only once we've seen the entire quarter go through.
Basudeb Banerjee: Sure. Second question is, which Kunal, as you mentioned, not only with respect to power cost inflation but freight inflation, wage inflation, working capital, everything combinedly on a holistic basis where you discuss with your customers in terms of price contracts. So, on that overall basis, any scope of price negotiation from annual contract bas is currently as such?
Laksh Vaaman Sehgal : Okay. I can take this as well. Ku nal, maybe you can support. Look, some of the things which are operational for us definitely have to be absorbed by us . We are obviously, making our own efforts to improve operational efficiencies where the costs are, out of the control and that have spike

d for reasons. We definitely do have those conversations with the customers, including volume changes or shift cancellations or anything like that. Like I said, but for like small items, like logistics, etcetera, to some point, we have to absorb it up to a certain level, which is why you've seen the results where they were in the last few quarters in this tough environment. And


as these things are easing and as we are getting support for items that are reasonable enough, I think we are doing better.
And I t hink we should not take away from the operational teams that are working extremely hard to deliver on higher efficiencies in the business, removal of that and making sure that we can sustain and keep standing during these tough times and continue to suppor t our customers with the highest quality and delivery even in such conditions. And I think that's what's appreciated by our customer. The rest, I think, again, it's a continuing dialogue that we have with the customers, and we can really have a very good r elationship with them that we can discuss how to deal with some of these things in the next quarters as well.
Basudeb Banerjee: And last question from my side. If I look at on a sequential basis, euro terms, revenue was up some 3.5%. In Indian terms, it is higher because of currency movement. But even in the quarter with lesser working days, on a sequential basis, your revenue was up, that's quite commendable. Just wanted to understand the trajectory where SAMIL has been moving for the past few years where better mix, rising EV mix, etcetera, where value per car has been moving up compared to volume of car service. So how that has been moving because, even on a sequential basis, revenue increase quite incredibl e.
Laksh Vaaman Sehgal : Thank you very much for that. I think, again, it's commendable to the teams that are winning the new business orders, and we continue to invest in technologies that enable us to increase our value content. We had shown some of that in our Investor Day, how the future of our busin ess is positively affected by changes in preferences of consumers, whether it be, again, some of the buzzwords that we talk about or general preferences in the sizes of cars that they want and the luxury segment also growing. And I think that's a combinati on of all of that and having a well - diversified business where we have the opportunity to have launches even in tough conditions

because we are with all the customers and part of the ir new launches. And we always strive to increase the value of the new launches compared to the previous ones.
So again, whether it is materials, whether it's processes, whether it is adding more technology, adding more electronic content, adding more featur es, all of that really goes in. And that's the key reason why we are able to grow even in a depressed market.
Kunal Malani : If I might add to that, that's why we keep saying, please look at absolute EBITDA. So, your first question on interior polymer, 8% - 9% margin, etcetera, it will just be useful to look at absolute and hopefully, we will continue to do better every quarter.
Moderator: The next question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services Limited.
Jinesh Gandhi: My ques tion pertains to the inflationary pressures on the commodity side. Have you started to see that moderating in our numbers now or that is yet to translate into our P&L?
Kunal Malani : Maybe I can help there. We haven't seen it as yet. It is in the process of softening. There is a lead lag effect that happens in there. So, like we were talking about energy last quarter, energy was still elevated. So, this is more in 1 quarter that this will be much more softer. Same supply chain



has

now started easing. We had anticipated we would be able to normalize our working capital in this quarter, but not much could have been done given just how the geopolitical situation continues and how the COVID -related issue in China continued. So that is also work in progress.
And a s the supply chain becomes much more stable, we intend to decrease the working capital going forward, which should again help in deleveraging in the ensuing quarters.
Jinesh Gandhi: But particularly on the input material, like copper on the wiring harness or polymer on modules and so on and so forth, have you seen stabilization at least, if not benefits?
Kunal Malani : Yes, that would be a better word. It remains volatile. So, copper in last quarter did show, in the latter part, a decline. Then in January, i t started going up, then now it is again showing a bit of decline. So, it remains relatively volatile. But it's not showing a take-off or a fall down from a cliff construct. So, it is more stable and hence, with a lead lag effect, it should be more of a pass-through element at least up for us.
Jinesh Gandhi: And second question pertains to the order book, which has gone into execution over the last couple of years, which has come out of our order book per se at SMRPBV level. Would it be fair to say that t he large part of ramp -up of those orders is still behind -- I mean it's still too happened because of the supply side issue. And as that happens, we should see a good evolution on the top line as well as profits for SMRPBV?
Laksh Vaaman Sehgal : Look, I can take that. Look, it's a continuous process. I think some of our large plants are already up. We are seeing, of course, the new orders also kicking in, which is a continual process. And I think that's also one of the reasons that you're seeing record reven ues that have come in, in this quarter. So, is there still more growth to come? I definitely think so. And that's, again, due to the success of the group being diversified and us launching more programs and you're seeing the strong order book that exists o f new programs that are going to come in the coming quarters. So, I definitely think that the best is yet to come.
Moderator: The next question is from the line of Jay Kale from Elara Securities.
Jay Kale: Just a follow -up on your M&A strategy as well as your M&A outlook. How are you seeing the environment currently in terms of target companies? Any flavo ur you can give on whether the opportunities intensity that you're looking at has increased? And within your different segments like polymer, vision syste ms and wiring harness, which are -- and of course, the other emerging segments of non -auto, which are the segments that you are most excited about, or most number of target companies you all would be recruiting at any indication around that? And also, ther e was this expectation that with the restructuring you all could also now look at global passenger vehicle wiring harness opportunities as Tier 1 suppliers. How are we -- how is it shaping up over there in terms of inorganic opportunity?
Vivek Chaand Sehga l: Wow. Vaaman, you want to go for this?
Laksh Vaaman Sehgal : Sure. Look, I think the strength of Motherson, as you can see, that we are significantly deleveraging ourselves and preparing ourselves for growth, we have a very clear target for 2025.
That rem ains intact. In fact, independent teams are working, as we speak, on multiple

opportunities. As you can imagine, in these environments, I think there are even more opportunities on the table. Very hard to say which one I'm most excited about. It's like ask ing someone who has multiple kids, which one is favour ite out of all of them. We believe there's capability and opportunity in all the divisions and are also very confident that we'll find very good opportunity

not just in the existing business but also in the new business.
You have to be a little bit patient with us. We are obviously signed NDAs, etcetera, for any valuation of any opportunity, not really able to disclose. Also, we are extremely picky because we do have to deliver a high ROCE to our shareholders. So out of 100 opportunities we see, we probably end up doing 1 or 2. So you can imagine how busy the teams are. They're working overtime. There's a lot of opportunity in the market. We are staying focused where our customers are telli ng us to look at, those are some of our priorities. Is there enough on the pipeline? Absolutely. I think there's more than we can all work on at the same time, so we are prioritizing. But again, we'll come back to the market as soon as we have something. Y ou're hearing some smaller bolt -on acquisitions that are happening. We just announced a partnership with Saddles as you can see, our growth also depends on partnerships. So, all of those things are happening. I think, again, the next 2 years, with the stren gth of the balance sheet, the wonderful jobs the teams are doing and the customer support, I think you will see that we will have a lot more to come back and talk to you about in coming quarters about the question that you've asked.
As far as the wiring ha rness that you asked, look, that was always there. We do everything, discussions with our joint venture partners. And there is really no stop for us to go and look at anything as long as we have good communication with all our partners worldwide. So, nothi ng else is outside of the cards. And we believe in fostering long -term full of trust relationships. So again, anything that we will do would be in that philosophy.
Papa, you can add if I missed anything.
Vivek Chaand Sehgal : No. I think you're right. We ha ve a lot of pain in the system and that move to customers are asking us to communicate to solve the problems. I think you will hear soon enough as they will happen. In the worst of the years, in the last 2.5 years, we've done 7 acquisitions. So, you can be rest assured, if things are getting better, then we will have that much more because we always like to be physically present at the place so that we can see the problems and understand it and then trying the right solution for that. So, because of COVID, we could not go to many of the places and things like that. So, you can be rest assured that we are very much looking forward to this opening up, and we will be in a position to give a good news soon.
Jay Kale: Great. Look forward to it. All the best.
Mod erator: The next question is from the line of Suhrid Deorah from Paladin Capital.
Suhrid Deorah: So, I'm sorry, I joined the call late. I was wondering if you've talked about the booked business slide, not in the presentation for this quarter, it was ther e in the previous quarter, the waterfall, which shows your booked business change over time.


Vivek Chaand Sehgal : I think we say it every 6 months. So, Kunal, could you answer that, please?
Kunal Malani : Yes, that's right. Look, we will disclose it again at the end of next quarter. But needless to say, we continue to gain traction in the business, in all our businesses for that matter.
Moderator: Next question is from the line of Chirag Shah from Nuvama.
Chirag Shah: Sorry I joined a little bit late, so i f that question has been asked. So first, a housekeeping question, Kunal. Is there anything lumpy or one -off in other expenses in our reporting structure, which is doing slightly higher or it's a normal quarterly thing?
Kunal Malani : No. So, one, there is a INR 61 crore s write -back on the litigation, which were done favourably for us. So, we have written back that provision. That's the only one -off that we have highlighted .
Chirag Shah: Sir, on a consolidat

ed level, there is no lumpy effect or a lumpy impac t, right, which could have been spread over quarters, which has come up suddenly in this quarter kind of thing.
Kunal Malani : So other than that, look, energy prices are obviously elevated in this period. Some of the commodity prices/rate costs, etcetera, remained elevated. So, if you're looking at the expense side, that's the reason why they're showing an uptick there.
Chirag Shah: And how is the trend, especially on the energy cost trend? Because this -- they have been trending down. So that benefit will be seen on an immediate basis or because of the need. So how does it work for us -- there is a lag over there.
Kunal Malani : Yes, you will start seeing more of this in the ensuing quarters. There are obviously some long - term contracts in place, some short -term contracts in place and then there are spot rates. So, both the availability of energy and cost of energy is something we've been monitoring closely --

remained elevated last quarter, I think right now, it is relatively soft. If it continues the way it is right now, I mean we should be seeing a much lower energy cost going ahead.

Chirag Shah: And it would be visible in Q4 itself or it's more of it lag and hence, in Q1 onwards that's will be visible?

Kunal Malani : It will start being visible in Q4. And if it remains that it is, it will become more starkly evident, let's say, in the ensuing quarter.

Chirag Shah: Second question was on the truck demand in general and our position over there. So, in US and in Europe and even in China for that matter, how sh ould -- what's the indication coming from OEMs? Because if you look at the -- for example, in US, the Class 8 order book data is all over the place. It goes up very much. It goes down suddenly very much, but the retailers are holding on. Is there any trend change communication coming from the OEMs across the 3 regions , either on the positive or on the softness side?

Vivek Chaand Sehgal : Chirag, do you want to know the customers listing?



Chirag Shah: What I'm trying to understand that has customers indicated anything to you, be the US, Europe, or China, in terms of significant higher demand or some kind of softening of demand on the truck side for our PKC business.

Vivek Chaand Sehgal : We can't really -- Pankaj, we've not heard anything from the customer side per se because our customers are our collaborator .

Pankaj Mital: Yes. But Chirag, when you see US also, there's a huge backlog. The order book is very strong of the car and truck makers. So, they have the orders, which have to be executed. And then you see when they start to book orders and then they don't book more orders, so that's how it continues when you just look at post -Class 8 numbers also. And so, demand has remained strong so far. And in China, the demand is still lower. China is the only market where the commercial vehicle side, the truck side, and the heavy -duty side, has been much lower over the last quarter.

Chirag Shah: Any change of trends in China specifically or it's still 2 quarters away for -- or you are indicating signs that there could be a certain uptick in demand in China on the truck and the PKC that I'm referring to.

Pankaj Mital: Once it happens, we'll let you know. We have been hoping for the last 2 quarters also.

Vivek Chaand Sehgal : Just one comment for – Just for better underst anding. If China is opening up an all that, obviously, the truck demand will go up because it needs tremendous amount of transportation logistics. Just if it helps you.

Moderator: As there are no further questions from the participants, I now hand the conf erence over to Mr. Vivek Chaand Sehgal for closing comments. Thank you, and over to you, sir.

Vivek Chaand Sehgal : Thank you very much for this question and answers. I hope more clarity has come to you. I wish you all the best. Thank you very much.

Moderat or: Ladies and gentlemen, on behalf of Samvardhana Motherson International Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

other investigations as they deem necessary.

# Call: Jun 2023

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May 31, 2023

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Exchange Plaza, 5th Floor
Plot No. C/1, G -Block
Bandra -Kurla Complex
Bandra (E)
MUMBAI – 400051, India
BSE Limited
1st Floor, New Trading Ring
Rotunda Building
P.J. Towers, Dalal Street
Fort
MUMBAI – 400001, India

Scrip Code : MOTHERSON Scrip Code : 517334

Ref. : Transcript of Investor Call

Dear Sir(s)/ Madam(s)

This is with reference to our letter dated May 26 , 2023 informing about the audio recording of conference call with Investors on the financial results for the quarter and financial year ended on March 31, 202 3.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements ) Regulations, 2015, please find enclosed the transcript of aforesaid conference call.

The above information is also available on the website of the Company: www.motherson.com

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited
(formerly Motherson Sumi Systems Limited)

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 “Samvardhana Motherson International Limited (SAMIL) Q4 FY2023 Earnings Conference Call” (Unedited Transcript of the conference call held on 26th May 2023) May 26, 2023 Management: Mr. Vivek Chaand Sehgal, Chairman Mr. Laksh Vaaman Sehgal, Director Mr. Pankaj Mital, COO and Whole Time Director, SAMIL Mr. Kunal Malani, CFO, SAMIL Mr. Char Zawadzinski, CEO, Modules and Polymer Products Business Division Mr. Rajat Jain, COO, Vision Systems Business Division


Moderator Ladies and gentlemen, good day. And welcome to Samvardhana Motherson International Limited Q4 and FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. V.C. Sehgal, Chairman of the company. Thank you, and over to you, sir. Vivek Chaand Sehgal Thank you. Good evening, ladies and gentlemen. Welcome to Motherson Financial Year 2023 Annual Results Presentation. I'm glad to announce SAMIL Board has approved the annual results and are happy to report another strong quarterly performance. Key highlights of our performance are: We have delivered a strong performance with the highest ever quarterly -- yearly gross revenues of INR89,000 crores. We are getting good support from our customers in sharing the inflationary cost structure. Lowest debt and leverage ratio of 1.4 in the past 6, 7 quarters. SAMIL Automotive business is nearly USD 70 billion or INR5.7 lakh crores. This is a reflection of our customer support and trust. Approximately 20% of this would be coming from the EV side. 7 strategic acquisitions in the past 14 months, potentially adding 40 facilities, 8,000 employees and approximately USD 4.9 billion on gross and USD 1.1 billion net basis to the top line of the company post closure. I now hand over to Vaaman. He will take you forward. Thank you. Laksh Vaaman Sehgal Thanks. Good evening to everyone. As you know, this has been the first full year of operations post our reorganization, and we have achieved the following strategic objectives. We've simplified the group structure by bringing all of the auto components and allied businesses under one umbrella. This has created alignment of interest of all the stakeholders. We've also created a strong platform for future growth with a well-diversified product portfolio, customers and our countries. The company has reported yet another stellar performance with the highest ever consolidated revenue of over INR78,700 crores. This is a 23% year-on-year growth. And correspondingly, the absolute EBITDA is also the highest at INR6,400 crores. Please note that the PAT has grown 3x against last year. For Q4, we have achieved another highest ever quarterly revenue of approximately INR 22,500 crores, representing an 11% quarter-on-quarter increase and a 30% growth on a year-on-year basis. Correspondingly, the absolute EBITDA is INR2,000 crores, with a 23% growth sequentially and 61% growth on a Y-on-Y basis. Please note that the PAT of INR654 crores is up 5x of the same

year -- same quarter last year. The company has been able to deliver strong performance against the backdrop of elevated cost structure, higher wage pressure and the rising interest rate scenario. We would like to thank our customers for their trust and support as we continue to work with them in sharing of these inflationary cost structure. While majority of the discussions for FY '23 have been concluded, the volatility and challenges in the business environment continues. And hence, these conversations will be a recurring one for next year as well. For the first time, we have highlighted our Automotive Booked business of nearly USD70 billion. As a brief walk through, this stops up the SMRP BV Booked Business of about USD39.5 billion, with other automotive business divisions such as Wiring Harness division, Lighting & Electronics, Elastomers etc. Out of the USD70 billion booked business, 20% is geared towards pure EV platforms. This is a very exciting future for us. On the industry side, the LV pro

duction in FY '23 clocked in at 83.5 million units, which stabilises supply chain. While there has been recovery in the year, we are still more than 20% behind pre-COVID levels in developed market and just about coming back to normal levels in emerging markets, including China and India. This could possibly imply that the downside risk in developed markets could be limited, and there still exists significant upside potential with growth coming in with normalization of production schedules and the trends of electrification. Thus, to cater to the existing and future demands for our customers, especially in higher growing emerging economies like India, we're planning to set up seven new greenfield, six of those will be in India; three for automotive and three for the non-automotive new businesses. In fact, you may want to note that our stand-alone business is already at the same size as MSWIL, which was demerged last year from SAMIL. Total India business including subsidiary is over INR15,000 crores in FY '22 and has grown at over 25% for the year. With this growth capex and purchase of related land and buildings, the capex for the next year is likely to increase to about INR3,000 crores plus/minus 10% as compared to INR2,200 crores this year. We also continue to focus on deleveraging. Our net debt-to-EBITDA ratio has further decreased from 1.8x in December 22 to 1.4x in March 23. And this creates enough balance sheet strength for us to embark in both, organic and inorganic growth. As the supply chain further normalizes, reduction in elevated working capital ensures that it deleverages. During the year, we completed seven acquisitions that will add to combined gross revenue of approximately USD 4.9 billion on gross basis and about USD 1.1 billion on a net basis. The full growth potential of all will be unlocked in coming times. It is important to note that all these transactions are expected to be cash EPS accretive cumulatively for the company. At the end, we would like to conclude that operational excellence, diversified business model, long-standing customer relationships, having a strong balance sheet and experienced management have combined together to make SAMIL a strong platform for future growth and look forward to exciting journey ahead with all of you.

Thank you. And now we are open for question and answers. Moderator, please take over. Moderator We'll now begin the question-and-answer session. The first question is from the line of Raghunandhan N. L. from Nuvama Institutional Research. Please go ahead. Raghunandhan N. L Congratulations, sir, on stellar numbers. And thank you for sharing order book details for both, the upcoming and ongoing programs in presentation. Sir, 3 questions. Firstly, as you mentioned in the opening remarks, global 4-wheelers are seeing an improvement in supply situation. And they are notably lower from the peak levels, which was seen in 2018-19. How are you seeing the ramp up in the near term on the 4-wheeler side in the developed markets? Secondly, energy costs have reduced, considering the current natural gas prices, which continue to correct, would you expect further margin benefits in coming quarters? And just lastly, on the order book details for both, upcoming and ongoing programs, what would be the average duration in terms of number of years we should consider by looking at upcoming orders and ongoing orders? Vivek Chaand Sehgal Thanks. Kunal, would you take this thing? And Vaaman, you can add up. Kunal Malani Sure. So Raghunandhan, I think on the 4-wheeler side, as you rightly pointed out and as Vaaman was mentioning, it is still around about 20% below pre-COVID levels in the developed world. With whatever production schedules that we have, we continue to see a bit of a ramp-up happening still. So we're not seeing any decline, etc, as yet. In fact, on an aggregate level for the year, we still expect tha

t the industry is likely to grow. Now the growth pace is obviously going to get calibrated depending upon how the environment plays out. But overall, the downside risks of this is much less than the potential upside is the way we see it. On the energy price, while we have seen a sizable decline happen in this quarter and ongoing as well, we anticipate at least up till now that things are looking pretty static to where it was in the end of the previous quarter. It, however, remains at least 3, 3.5x higher than pre-COVID level. So we are not out of the woods. And obviously, much of the geopolitical aspects will get played into it. The good part, however, is our conversations, I mean, with the efforts that the team has done to work with the customers, we've been able to share some of the elevated cost structures with the customers. And hence, that should aid well even if there is some amount of increased cost going forward. But overall, we expect that hopefully, the energy prices are not going to shoot up again going forward. On the duration of the order book side, the average duration is anywhere between 5 to 6 years. So that's the time span over which we expect this INR5.7 lakh crores order book to get delivered. Laksh Vaaman Sehgal Not much to add over there. I think Kunal covered that it well. I would just like to say, I think as a group, we've all come to -- we are thinking that these elevated cost structure are there to stay. Really comparing them to pre-COVID levels is not the right comparison anymore. We are living in a new normal.

Moderator Sir, your audio is not coming clearly. Kunal Malani I think Vaaman was trying to mention that the cost structures that are there on an elevated level is potentially the new normal, and we have to work around our own business around this area. What has been hit effectively is the lower end of the market. The premium and SUVs continue to do well. And hence, our product mix is also aiding our growth. So maybe that's the reason why we are not seeing as much of a downside risk as maybe some of the other players are. Laksh Vaaman Sehgal Absolutely. And also the order book being aligned towards the EV growth as well. I think that's really going to help there, new models that are coming up. Since we have a significant part of the new order book aligned to these EVs, we expect them to do well as well. So we should do better than what is the average expectation in the market. Moderator The next question is from the line of Pramod Amthe from Incred Capital. Please go ahead. Pramod Amthe First question is with regard to the vision systems. If I were look to at your revenue momentum, it looks pretty impressive at 30% Q-o-Q versus your own presentation talking about the muted growth in the regions which you cater. So what is this driving 30% growth on Q-o-Q? Is it more new orders or the content per vehicle has gone up? If you can give more colour to be helpful and the sustainability of this momentum. Vivek Chaand Sehgal Rajat, you are there? Rajat Jain Yes, I am here. Thanks for the question. So primarily, again, I think it comes down to the fact that we are working with OEMs on premium models and SUVs, and that's the trend that we are playing on. And that's the segment which is still seeing good performance overall and growth. So bulk of that is coming from there. And also, as you would know, there is also a lot of contracts which have been renegotiated, and all the discussions been going on for some time. So that also is helping to then reflect in the top line growth. Pramod Amthe Okay. And the second question is with regard to the debt, working capital and interest cost. Even though it's impressive to see the net debt coming down by almost more 10%, the interest cost seems to be still elevated and usually moved up by 80%. So is it more the cost going up itself is still a reflection and is it a more sustainable i

nterest cost on a quarterly basis? That's one. Second is, you are planning to substantially reduce the working capital requirement. So the reduction in net debt seems part of that? And what the extent of journey are covered in working capital reduction as the supplies improve? Or you feel there's more headroom available to cut your working capital? Kunal Malani So I think on the interest cost side, yes, things have obviously moved up on the interest rate side as some of our fixed rate instruments are getting refinanced into the newer instruments, yet the interest cost is going to move up.

Having said so, this quarter, there has been forex losses also that is embedded in the interest cost. Some of the corresponding gains have come on the top line side. So that's how it's been reported. From the perspective of debt, we do expect the deleveraging to continue on the organic side of the business. The working capital improvements are not out of the way completely. We are there some parts of the business has been able to do, but I think there is still a long journey to go. And as we go through this year and as more normalization happens through the year, I think we should be able to continuously deliver our -- I mean reduce our working capital going forward. Moderator The next question is from the line of Amyn from JP Morgan. Please go ahead. Amyn Pirani Yes. One clarification and one question. Firstly, you mentioned that the cost pass-through discussions with the OEMs for FY '23 are already done. So does it mean that the impact of that is already being seen in the P&L? Or will you get these recoveries in the coming quarters? Vivek Chaand Sehgal Vaaman, you take this, and then Kunal will follow. Laksh Vaaman Sehgal Sure. Yes. So FY '23, those ones have already been taken and been approved. Of course, because we are in a place where energy prices are moving around significantly and there's no visibility of how these things will play out other than what actually happens, these will be negotiated as we -- as we go down this year. So whatever was there for last year is already there and has been already reflecting in the numbers, and the discussion continues for how these pan out for the rest of this year. And these will be discussed at the end of the year. Amyn Pirani Okay. That's helpful. Secondly, on the investments and deleveraging, you mentioned that next year's capex is going to be higher, plus you will also have payouts for some of the acquisitions which were already announced in the last few quarters and which will be fully done in the next few quarters. So in that context, how should we think about the deleveraging cycle continuing next year? Kunal Malani I'll take that. Look, Amyn, I think you're going to view it from 2 different legs. On the organic side, the business will hopefully be doing better and better going ahead. And that implies that the profit generation, together with working capital reduction should be able to aid spending whatever that we have on the capex side, plus to also use some of the internal approvals for M&A. Then there is a whole host of M&As that we have anyway announced for which the payouts will happen in the ensuing year, and there is a large pipeline of M&As as well. So with what we have announced so far, I think we should still be within the 2x net debt-to-EBITDA levels. That's the way at least we see with the announced transactions. Moderator The next question is from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh I hope this is better. My question was on the order book slide. How do we tie this up, like could you share a little bit more about how you have done, the execution number, is it for the financial year? I assume that you are talking about. Secondly, like earlier, you used to disc

lose order book of around INR18 billion or so in SMRP BV that was outstanding order book that was for September. How has that number moved? So I'm just trying to sort of connect the order book numbers that you were disclosing earlier with what is there on this slide. Kunal Malani Okay. I think, first of all, this is not the order book number. This is the booked business. The booked business will combine both the orders which are not in production, which is what we call the order book as well as the business which is in production. And hence, this is what is going to get executed from this financial year, all the way over the next 5 to 6 financial years. If you look at the SMRP BV presentation, that would have the order book of both, the ones which is entity one, the ones which is the amount which is not under production, which is about 21-odd billion and the ones which are under production, which is around about 18-odd billion. That gives you a little bit of understanding of what the new orders versus existing orders is. Binay Singh That is clear. I'll check that out. And secondly, when we talk about next 5 to 7 year execution cycle and what will be sort of a replacement orders versus new orders just to sort of see what exactly will be the incremental revenue from current base? Any rough numbers on that? Kunal Malani Back of the envelope calculation, we were to do your 70 billion over 5 to 6 years would anyway imply slightly more than 12-odd billion of revenues. Moderator Next question is from the line of Veda Bhardwaj, an Individual Investor. Please go ahead. Veda Bhardwaj Can you give me an idea about the capex investment that you have highlighted about -- of about INR3,000 crores, if I am not wrong. On what specific areas it will be invested and what will be the duration of this CAPEX? Vivek Chaand Sehgal Vaaman, you and Kunal can take this. Laksh Vaaman Sehgal Sure. As you mentioned, this capex is going to go towards both, automotive and nonautomotive business. We're also expanding the facilities. We talked about 7 of them, 6 of them will be in India. And 3 of those will be in the automotive and 3 in nonautomotive side as we go towards our 2025 target and the diversification. These are the capexs that are related to orders that we have won, that we had to execute for the customers' new launches and the new programs that we are getting. As you can tell from the past calls, we've also talked about our expansion of doing acquisitions in Aerospace, how the order book has doubled over there. We are building new facilities in that as well.

So as you can see is an overall growth capex that we are putting into place, and this should reflect, of course, higher growth in our top line as we move forward and these orders get executed at the time. Kunal, you want to add anything? Kunal Malani The only additional piece, unlike maybe some of our peers said, we do own our land and building. So our capex numbers include the investments we'll be doing on land and building side as well. Moderator As there are no further questions, I now hand the conference over to Mr. V. C. Sehgal for closing comments. Vivek Chaand Sehgal Thank you, ladies and gentlemen. We are all really excited. Even though the conditions all over the world are a little bit on the tougher side, but we believe we are in the right position. And we are really amply funded and all that. So we are very excited with the future, and -- as it is happening and opening up in front of us. The Board actually congratulated all the people in the company, almost 150,000 of them, thanked them that a great job was done under weight of circumstances. I wish you all a good weekend, and thank you all very much. Thank you. Moderator Thank you very much. On behalf of Samvardhana Motherson International Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you make their own evaluation and assessment of the Company and of the relevance and adequacy of the information and should make such other investigations as they deem necessary.

# Call: Aug 2023

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August 17, 2023

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G -Block
Bandra -Kurla Complex
Bandra (E)
MUMBAI – 400051, India
BSE Limited
1st Floor, New Trading Ring
Rotunda Building
P.J. Towers, Dalal Street
Fort
MUMBAI – 400001, India

Scrip Code : MOTHERSON Scrip Code : 517334

Ref. : Transcript of Investor Call

Dear Sir(s)/ Madam(s)

This is with reference to our letter dated August 10 , 2023 informing about the audio recording of conference call with Investors on the unaudited financial results for the quarter ended on June 30 , 202 3.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regul ations, 2015, please find enclosed the transcript of aforesaid conference call.

The above information is also available on the website of the Company: www.motherson.com

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited
(formerly Motherson Sumi Systems Limited)

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 "Samvardhana Motherson International Limited (SAMIL)
Formerly Motherson Sumi Systems Limited
Q1 FY 24 Results Confer ence Call "
Augu st 10 , 2023
Management:
Mr. Vivek Chaand Sehgal,
Chairman
Mr. Laksh Vaaman Sehgal,
Director
Mr. Pankaj Mital,
COO and Whole Time Director, SAMIL
Mr. Kunal Malani,
CFO, SAMIL
Mr. Char Zawadzinski,
CEO, Modules and Polymer Products Business Division
Mr. Rajat Jain,
COO, Vision Systems Business Division



 Moderator: Ladies and gentlemen, good day and welcome to Q1 F Y24 Results Confer ence Call of Samvardhana Motherson International Limited .
As a reminder, all particip ant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal and operator by pressing * and 0 on your touch tone phone. Please note that this conf erence is being recorded .
I now hand the conference over to Mr. V. C. Sehgal . Thank you and over to you, Mr. Sehgal .
Vivek Chaand Sehgal : Thank you very much. Good evening, ladies and gentlemen. Thanks a lot for joining the Q1 Financial Year '24 results of Motherson.
I am glad to announce the SAMIL board has approved the quarter one results. Motherson outperformed the industry in spite of inflationary headwinds on account of interest rates and wage bills across the geographies. The company has delivered s trong performance and healthy growth of the topline as well as the bottom line on a year -to-year basis. All of our business divisions have performed well. We ha ve doubled growth on revenue and EBITDA. The leverage ratio remains at 1.4 level, which is well w ithin our target max of 2.5x. These results demonstrate that with our continued focus on operations and delive ring value to customers, Mother son is a strong platform for growth.
I have with me on this call Va aman, Pankaj , Kunal Malani , Char and Rajat to help me answer any questions that you might have.
I now hand it over to V aaman to provide you an update on the quarter ly highlight s. Thank you.
Laksh Vaaman Sehgal: Thanks , Papa . Good evening , everyone. SAMIL has had a strong start to the financial yea r with quart erly revenues of Rs. 22,500 crores and absolute EBITDA of Rs. 1,940 crores . At the outset, I would like to make clear that this is all organic growth , out of all the acquisitions that we have announced, only Rs 26 crores is what is part of the acquisitions in this topline figure for this quarter . So as you can see, this is a phenomenal growth of 27% in revenues and 64% in EBITDA on a year -on-year basis. I would also like to highlight that the PAT has grown for Rs. 142 cro res to Rs. 601 crores in comparison to t he previous corresponding year.
Further, as Papa already mentioned, the leverage ratio has been maintained at 1.4x despite the M&A payouts and higher engineering inventory . SAMIL as a platform is now able to take full benefit of group synergies and interlinkages and under the simplified structure, the outcome which is demonstrated in our momentum and consistent performance in front of all of you. We believe that the macro environment is stabili sing, although at some elevated levels and there are still some headwinds that remain such as rising interest rates and wage bills across geographies which we are dealing with. By and large though, the disrupt ions have normali sed and Mother son has now moved into business as usual mod e and moving into a year -on-year overview for all of you, which takes into the perspective the consideration of the seasonality of the automotive production which is as you all know significant.


 This quarter, the light vehicle production was arou nd 22 million, which is a 16% increase year -on-year. And for the commercial vehicles, it came in at 842k, which is about an 18% increase year-on-year. We believe the better availability of semiconductors has aided the stabili sing of volumes as the demand s upply lag is improving with the supply chain also easing . We are seeing strong growth coming from the organic side due to stabilizing automotive production and tailwinds on accounts of uptick in zero emiss ion vehicles and

the premiumi sation which
ducktails well with our new order wins resulting in 7 new Greenfields being set up in emerging markets . This we had mentioned to you before , 6 in India and 1 in China. We expect the CAPEX for the year to be at the upper band of Rs. 3,300 crores, with this growth momentum. And we also believe that with the M&As going ahead, we may relook at the CAPEX construct in coming quarters and see wha t that brings.
However, this is all really good news as we continue to grow in this environment. We would like to thank our custom ers for their trust and support and we continue to deliver as per the production schedules. There are ongoing conversations with customers with respect to the certain headwinds t hat we still see, which is definitely resulting in few of our plants which are still operating at sub optimum levels due to issues such as inflated cost structures, labor, pricing issues , etc. We continue to maintain our focus on improving the red unit's health and also stay focused on improving profitability on a sustainable basis.
M&A is another key pillar of our growth strategy. We are happy to highlight that we have closed 7 acquisitions since April 2023 , out which, like I said before, only Rs 26 crores has really come into the top line. So you will really see more of this momentum come in the coming quarters and in the New Year where all of this will really be captured. The customers have really supported us during these challenging times and we are thankful for that . We are working in close collaboration with them and we aim to bring innovative solutions to streamline and solve operational issues that our industry is seeing. These acquisitions will add a lot of value to our offerings and will definitely provide new growth opportunities for Motherson.
We believe this will contribute to additions in our yearly revenues of almost USD 5 billion in gross levels and about USD 1.1 billion in net levels. We have added 41 facilities into the Motherson ecosystem and again we are very grateful to our customers for their continued trust and we also welcome 8 ,500 employees of these new compan ies into the Motherson family. On top of this, three M&A s that we have announced are still pending closure, Cirma , Yachiyo and Dr. Schneider , which will further add revenues of USD 1.4 billion next year. It is important to note that all of these above are strategic in nature and all are also cumulatively cash EPS accretive . The faster integration of these assets will enable us to go after even more M&A s. The automotive industry continues to evolve with changing technologies required for zero emission vehicles and the premiumi sation. As a result, we believe there even more opportunities and customer driven deals with fewer players to really be able t o con clude these. We believe we a re in the driving position here and exciting times are up ahead for Motherso n.
With this, I would like to conclude the highlights and open the floor up for the question and answers. Moderator, can you please support that?
 Moder ator: Thank you. We wi ll now begin the question and answer session. The first question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Yes Sir, Thanks for the opportunity. Sir, my first question again is on these acquisi tions where you have mentioned that we have added about Rs. 26 crores of revenue. Where will this be mainly accounted within coming as a part of the stand alone or any particular segment? Can you just indicate where will it be getting accounted right now?
Laksh Vaaman Sehgal : Kunal will you take that?
Kunal Malani: Yes, a little bit in the polymer side, a little bi t on the emerging business side. The two we have closed is YMAT and Bolta . Bolta lies at Polymer, YMAT lies at emerging

business side. All of
them are in the consol , none of them are in standalone.
Siddhartha Bera: And second question is on the stand alone side, sir, so if you see the growth has been quite strong at 25% on the revenue side. Even if I look at the passenger vehicle industry volume growth, it has been quite soft like about 7% in the quarter. So , are we adding any new orders or what is driving this strong growth according to you? So , if you can just highlight a few reasons here.
Laksh Vaaman Sehgal : Yes, I'll take that and maybe the team can support. Look, we ha ve always told you that , SAMIL with all the JVs that we had signed and se eded in the past are now coming to a very good place where they are ready for exponential growth. The orders are taking which has happened in the past is now being executed. And these are very exciting JV s that have come into to the SAMIL side and the order execution is happening which is increasing our value content as well. So definitely we are place to grow perhaps bit faster than how the market is growing because of our strategic posit ioning and the products that we a re offering to the customers and the premiumi sation that we talked about and our value content growing up . So, that is the result of

the hard work of the teams to bring in the right products and that is what you a re seeing.
Siddhartha Bera : Got it. Also sir, if I look at this standalone numbers, there is a credit loss provision which has been reappearing eve ry quarter , even in this quarter also I see that about I think 11 crores - 12 crores of p rovisions have been factored in, possible to highlight what is this exactly and why it is coming up every quarter in the past few quarters?
Kunal Malani : While w e continue working and trying to turn them around and as part of it, there are ongoing conv ersations around this where we a re obviously taking a strong stance on some of these aspects. So conservatively, we are building some of these provisions in order to h ighlight that, we wi ll be happy to take losses on board but we will no t be running businesses at loss perpetually. So it is more a conservative piece. You would also have noted that some bits of improvement is visible when you look at minority interest has turned positive now or share of profits from investments have turned profitable now. So it is heading in the right direction, taking still some time, but yes, we wi ll be heading in the right direction at least .
 Siddhartha Bera : And sir, lastly, if we look at the net debt , that also has go ne up quite a bit, if I look at that compared to the last quarter. So any particular reason why it has gone up? Is it more seasonal or how should we understand this?
Laksh Vaaman Sehgal : Kunal?
Kunal Malani : It is seas onal in nature. You would see this trajectory h appening pretty much every year, where there is a build up as we move into the summer months and then there is a ramp up again once summer months come down. So , this is part of that build up that occurs. Besid es that, I think we have also built up s ome of the engineering revenue, you know, last quarter we disclosed $70 billion worth of order book . That incremental growth and as these production volumes come into play , the engineering associated with it is the other piece of the pie which is adding to the inventory piece of it . So, hence there is a working capital expansion pretty much similar to how the net debt has played out.
Siddhartha Bera : Got it, Thankyou.
Moderator : Thank you. Next question is from the line of Raghu from Nuvama . Please go ahead.
Raghu Nandhan : Thankyou sir, good to see extremely strong performance Sir, firstly on the profitability at Vision Systems or SMR, any cost pressure being seen here? Cost seems to be higher in this quarter compared to the past two quarters.
Vive

k Chaand Sehgal : Rajat?
Rajat Jain : Look , nothing in particular, it is as we shared, there are some softening on the commodity side which is helping and then there are some pressures on the wage side that we are facing in certain geographies. So it is a mix of various factors moving around. But I mean, what we also have seen last year is that we have had settlement with lot of customers , over the discussion s that we have been having and they ha ve supported us during that process and as we go into this year, this again is some discussion with customers wherever it is required. So , that i s something which will carry on but I would say nothing in specific.
Kunal Malani: Sorry if I just might add , so that you appreciate this a little bit more. I think last year we had mentioned very clearly that you should not be looking at it only on the quarter end phenomena and how the margins are perfo rming but more at an aggregate level for the year is a more reflective picture. The n if you look at SMR or Vision Systems , that was at 9.8%, if I remember right for the aggregate and this performance is again at absolute levels highlighting a little bit growth rather than degrowth from that p erspective. So , just bearing perspective and this is first quarter which seasonally is not the strongest quarter.
Raghu Nandhan : Thanks sir for that, very helpful. The seasonality which is associated with the first quarter, is there any specific costs whic h are , one is I understand employee cost , but apart from that, is there any other costs which are generally on the higher side in first quarter?
 Rajat Jain : No, so this is again, that i s for the Vision System s, right , this question?
Raghu Nandhan : Yes, sir.
Rajat Jain: No, there is, yes, nothing unusual other than the seasonal factors that we have. But again, if you are comparing quarter -on-quarter as Kunal also highlighted, there are some year-end final settlements that happen and also I think it would be worth noting that there were also some pending settlements that happened for the prior peri od which actually got converted only last two quarters. So , maybe that is something which if you compare with those last two quarters, it might be giving you a bi t of an anomaly there. But if you compare Q1 to Q1 quarter -on-quarter, you can actually see an improvement and that I think would be a more appropriate comparison for you.
Raghu Nandhan : Thankyou sir, very useful. And Kunal, in terms of energy costs in rec ent months, gas prices have

again started seeing a bit of increase. Would you consider taking hedges or is gas prices now
part of customer contracts going forward?
Kunal Malani: There are some pieces that are hedged, a lot of it is actually not hedged beca use a lot of has been discussed with customers either in terms of indexation or in terms of coming back to them as and when there is a change in the pricing structure . So it i s a mixed bag, but I think the industry in general and Motherson, I would imagine has started both evaluating this lot more closely and working with the customers to work parallelly to see if there are any inflection points at which we need to discuss one way or the other on the pricing front.
Raghu Nandhan : On the EV side of revenue, it i s very good to see Rs. 1,600 crore numbers and directionally EV transition is helping increase in content revenue and profit in dollar terms. Does EV business also have better margins ?
Laksh Vaaman Sehgal : I think look, we gave a lot more clarity on that in the Investor Day that we had last year . Definitely , we believe that the shift towards EV vehicles definitely has a good positive impact to most of our product s and as you know , we are actually engine agnostic in that sense. But for the EV offerings that we have be cause they have a lot more, let u s

say, aesthetic parts or more
technology embedded into the offerings, even the wire harness constantly changes if you a re looking at EV, it augurs well for us. Although definitely is to be seen how these offerings are accepted by the market and how they continue to grow. Like I said for Mother son side, either which way w e are on both the platforms, we are so , you a re seeing that the, we are there on the EV platforms, we a re there on the traditional platforms. So regardless of which ones r eally play out, I think we will continue to grow.
Raghu Nandhan : One last question . On share of profit from associate, there is an improvement , so, it would reflect better profits from Motherson wiring but losses have reduced from other associate . Any major associate that you want to call out , where there is an improvement?
 Laksh Vaaman Sehgal : Look, I think Kunal can help me on this, but there are multiple companies, there are multiple
joint ventures that we have and also on the India side, we a re seeing a l ot of progress that is coming up with all these smaller companies that are now growing to a good level. Of course, there remain some companies with some , with certain issues which is normal with the size of the group that we have . But we are quite focused on it. I think we already told you that we are very much focused on each and every red unit that is there and our goal is to reduce or bring to zero as many as possible in this five year plan and the a im is to make all of them green. So those efforts are p aying off as you a re seeing reduction in those numbers, the market coming back , some tailwind in the numbers that i s also coming, that i s helping the whole scenario. But we are quite focused and there i s a special team that i s only looking after these red units making sure that we are working together with the entire stakeholders including the customers to make sure that we have good solutions for all of this . On top of that, as you know we a re also acquiring companies which will help to br ing more scale to some of these issues that we have on the global basis. So , yes, so overall, there i s a multi form approach to solve this issue and definitely this number should continue to go down and if we have some luck with the numbers continue to increase that should really help it.
Raghu Nandhan : Thankyou sir, very helpful, that’s all from my side.
Moderator : Thank you. Next question is from the line of Amyn Pirani from JP Morgan. Please go ahead.
Amin Pirani: My question was on the wiring harness business. So on the consolidated segmental , you see a very sharp improvement in the profitability of the wiring harness on both Y-o-Y and quarter - on-quarter. Given that Motherson Sumi wiring has not really seen any margin improvement , is it fair to say that bulk of this improvement is driven by PKC ? And if that is the case, what is the outlo ok for the PKC business and the margin improvement trajectory there?
Vivek Chaand Sehgal: Pankaj, can you take this one please?
Pankaj Mi tal: Yeah. Well, the margin improvement has been all across and the business is not only consisting outside MSWIL of PKC but also MWSI and various other units of SAMIL . It includes also exports from India as well as our entities in Sharja h, in Thailand, Mexico and UK. So there are multiple areas and the focus has been in terms of making improvements . As Vaam an Sir mentioned earlier that wherever the red units were , for one reason or the other, there have be en in the past some sharp drops of the customers volumes in some of the regions and in many others , there were erratic production which have been causing a lot of pain and some of these areas have improved. So that is what is reflected and also the settlements with the custom ers to bring the cost levels to the real situation,

which is there and the situation is always moving and we all
work towards that, so that we can keep making the improvements and keep ourselves at pace with the changing environment.

Amyn Pirani: Okay, And just a broader question, last quarter, we had heard from you that the conversations with customers with respect to cost inflation pass through had been concluded, we had seen the benefits also of t hat. So as we stand at the end of 1Q , are there still some costs which are yet to
 be, fully , like pass through to the customers and other conversation going and are there any benefits that we expect in the coming quarters ?

Laksh Vaaman Sehgal : Look, these are moving parts, right? Can you tell me where energ y prices are going to be in the next couple of quarters? I do not think anybody really can. So , all those things which are still really moving, which are volatile, those conversations will def initely continue till we do not see stability in all of that. I think definitely, perhaps on the wage increases obviously they happen once a year, so those are cemented already done . But some of these bits which are moving part, they will be continuing con versations till we do not see stability in there and the customers also acknowledge that this has now become part of the daily operation. So wherever there is volatility that is not in our control, those conversations will continue. And I think the custome rs also appreciate that and acknowledge it.

Moderator : Thank you. Next question is from the line of Pramod from InCred Capital , please go ahead.

Pramod Amthe: Sure, So I was saying the wiring and modules both the divisions seems to be scaling a new high in terms of EBIT margins in recent quarters. As your disclosures have improved on this division al side, would you be a ble to give more color where it i s coming from, what parameters are leading to t his? So that we can try to predict them and try to build t hem in a part of our projection, or can you just give us some what is happening there which is driving this EBITDA scaling new highs in these two ?

Kunal Malani : Understand . Look , I think first of all, it is not only wiring and module & polymer division , but I think all our divisions have done well and the themes are actually commonly playing out for all the division s. There is a piece of operating leverage that is playing out give n the expansion in the order book and the execution of some of the earlier contracted orders . Vaaman spoken enough about I guess premiumi sation and value content etc. that is all get ting embedded in there. So that i s adding on the operating leverage side. There is a tailwind on account of some of the commodity prices etc., especially when you start looking at it from previous year to current year perspective, which again aids the profitability . There are headwinds, however, that still remains on the inflationary side, both on supply ch ain as well as on the wage side, so some pluses and minuses as the case is. But as we ha ve been saying now, things are looking relatively more stable. There are obviously still works to be done on many of the red units that are there. Those conversations are ongoing as some of the variables change, we need to be continuously discussing with the customers to figure out ways of getting those compensations in place. So that is now pretty m uch business as usual construct now as the way we see it. And hence we should be seeing again improvement as I said on a year -on-year basis as we move ahead as well. So the trends are clearly favo urable in that direction. We were at a pu re volume construct perspective, I think the industry i s, in spite of all the recessionary talk around, still continues to showcase growth. So I think we a re looking at better times ahead.

Pramod Amthe : Sure, And the sec

o nd one is the September quarter seems to be bulky with two large acquisitions to be part o f the revenue s if I see your SMRPBV presentation right? So can you indicate , have
 you decided where you will place these two large acquisitions in terms of divisional disclosur e and any impact we need to see on the margin profile, if that is the case for those division ?

Laksh Vaaman Sehgal : Kunal, can you take this? I a m not sure how much we can speak about these acquisitions at the moment.

Kunal Malani: Look, I think , SAS which we have closed will is a relativel y newer line of business in the sense that it has a much larger assembly component to it and hence we will likely classify this as a separate division. Along with some of the other similar kind of businesses that might be lying in some of our existing divi sions. So that i s the most likely outcome. We are obviously still looking through some of these aspects and then take a call around it. I th ink the other large one, if you are referring to the Yachiyo one that is still some time away, so we really have not given it a thought ar ound that construct. And if you are thinking about D r. Schneider, that will be part of the module and polymer business.

Pramod Amthe: And the last one is with regard to the M&A wins , the speed at which you are closing the deals, it looks impressive. So at the same time if I have to look at your PPT when you are talking about global growth and as you refer to the even though recession fears are there, but the actual volume momentum seems to be steady double di git. So wanted to know your thoughts, is these discussions were always on and is there a change in fund availability for these entities which is making you to get the deals at your valuation or terms and hence you are able to close it or what

is happening in the environment which is turning favo urable to you?
Laksh Vaaman Sehgal : Kunal , I can start and you can add in. Look , I think we ha ve always told you that we stay true to our vision to be a globally preferred solution provider and I think we have really focused on making sure that wherever the customers have issues we are really the people there to be able t o give them lasting sustainable solutions to these things. And our track record is speaking for itself. So whenever there has been acquisition that Motherson has done in the past, we have solved those problems, we continue to hold those as sets, we invest in those assets, we are growing together with the customer and our track record really speaks for itself. So , I really cannot comment on the others, but I can tell you that definitely we are extremely focused on the customer and working together with them, finding sustainable solutions and trying to get out of the mess that we ha ve seen in the last few years with all these impac ts that have come and hit on all sides and finding good solutions to these companies, which have good technology or have strategic location advantage or many things that could be working for it which the customer wants to preserve and make sure that when a company like Mother son comes in not only do we preserve that but we enhance it and that is why the trust is there and I think that is all I can say . Of course, extreme hard work done by the teams , the board really appreciated. This is a large number of ac quisitions that have happened in a short period of time. The entire Motherson team has been working round -the-clock to make sure that the customers' requests have been answered and we ha ve given it our best shots to come up for lasting solut ions for these companies and we are really quite proud of our efforts and we ha ve been patient in the last few years waiting for the right moment to really go out there and do acquisitions. So that is a culmination of all these
 things coming together and definitely very, very hard work done by the teams to get us here and to make sure that the customers trust is kept full in us.
Kunal Malani: And if I might just add in spite of all this, our leverage is still going to be below 2x. That highlights how our existing business is performing as well as the comfort we have on som e of the newer assets that will come on board. And if things are , where they are, we will probably be give or take in and around where we are today on the leverage as well . So, this is not coming without much expansion on the leverage ratio side.

Moderator : Next question is from the line of Nishit Jalan from Axis Capital, please go ahead.
Nishit Jalan : Just two clarifications. Vaama n, in your opening remarks, you mentioned that there are few M&A s which are pending and which will lead to , which w ill add $1.4 billion of revenue s next year. Just wanted to understand which three acquisitions you a re talking about? Because if I understand correctly there are more than three acquisitions which are pending closure. And secondly, you also mentioned that a part increase in debt from Q4 to Q1 is also because of payment for the acquisitions. Is it possible to quan tify how much did you pay in Q1 to complet e all the acquisitions, just wanted to understand how much is seasonal and because of increase in engine ering inventory and how much is because of M&A ?
Laksh Vaaman Sehgal : Second one, I will request Kunal to go to . But look, what we were saying was that the three acquisitions that are still to happen are Cirma which is the aerospace one, the Yachiyo which is the Honda San one that we that we announced and Dr . Schneider. So , there are antitrust approval s that need to happen, there are closing things that need to happen. So , all these are moving parts and as they close, that is when they start to get added. When I said that they will add USD 1.4 billion, that is the proforma for the full year that will come. So obvious ly as every quarter comes, depending on which quarter of the seasonality as well, that will get added to the topline of the company and of course the ones that are profit able that will add there as well . And we believe like we said that they a re all EPS accretive , I believe that we have structured them well to get of f the ground running with these things and they will immediately add to both topline and bottom line of Motherson . So, that just depending on the closing times for these acquisitions , as you know these are all regulatory things that happen , but couple of them have already closed. So you will see some of them already kick-in in the next quarter. Some of them will kick-in, definitely Yachiyo will be more towards the next year somewhere around March we believe the closing will be . But the work does not stop for us. I think obviously once we announce the acquisition, we already start working together with the customers , togeth er with the teams as much as are allowed to do in a legal manner to start preparing ourselves so that as soon as it closes , the impa ct is immediate. So that is what I meant in th e first part, I hope I am able to answer that . If you want further clarification , please let me know.
Nishit Jalan: No, I think it i s clear. I just wanted to , just one doubt , SAS acquisition is being closed now and it will be part of revenues in Q2?

 Laksh Vaaman Sehgal : Which one?
Nishit Jalan: SAS, auto system technique which we announced in February.
Laksh Vaaman Sehgal : Yes, from next quarter onwards. So Kunal, correct me.
Kunal Malani: Yes, it will be part of Q2 .
Nishit Jalan: And Kunal, if you can just answer that debt part it will be very helpful.
Kunal M alani: I think this quarter

, basically closed YMAT and Bolta and Prysm as well. Altogether, I think the payout would be somewhere in the Rs 150 crore region.
Moderator : Thank you. Next question is from the line of Rajesh Kothari from AlfAccurate Advisors . Please go ahead.
Rajesh Kothari : So, I have just one question , I actually missed the opening remark, if any by the management. Just wanted to know in your view , how you think the capacity utili sation from here on, do you see significant improvement in capacity utili sation based on the key customers outlook on the industry ?
Laksh Vaaman Sehgal : Yes, thanks, look, capacity utili sation is a broad term for us. We have been doing thousands of products and we also , if you ha ve been following us that we did a significant part of the CAPEX for the order book that we announced in the last quarter was already done. So all that you are seeing where we are investing now is for future growth in taking due for of course the new order s that we are getting and also of course the new acquisitions that are coming in, which will add on their own CAPEX there. But on the capacity utilization bit, I think for the order book that we have, we are sub stantially covered. We a re only getting ourse lves for future growth that is coming and happy to answer any more around that if you have further questions.
Rajesh Kothari: No, basically my question is a little bit different. What I am saying is, over the next say , 12 to 24 months, do you see significa nt improvement in capacity utilization from current levels based on the outlook from your customers?
Vivek Chaand Sehgal : Rajesh, this Chaand here. Just wanted to tell you that if capacity utilization if you imagine that if we are working on 100% , then we will always fall short and stop the customer line . So, we do not want our capacity to be utilized more than 75%. If it goes to 75% immediately, we start to make it half, because that means the models are doing very well an d we have to have another plant on the ground because one month to another the capacity sometimes needs tre mendous amount of growth. So it is not, we a re not a ceme nt producing company that the capa city utilization 100% -120% is great . In the component car production , we do not want to go beyond 80%. So the whole planning of setting up a Greenfield happens when the plant has already hit 80% capacity.


 Rajesh Kothari: No, so, you are absolutely right. So , my point is basically currently where are we and of course we are putting up CAPEX and the capacity based on the customers outlook and the guidance. So currently where are you?
Vivek Chaand Sehgal : We have 32,000 parts here. Which capacity are you worried about?
Rajesh Kothari: See, overall generally, because I am sure you can not give me product wise and plan. .
Vivek Chaand Sehgal : We do not make one part, so we ha ve wiring harness, polymer, so many parts, I mean we do not sell in the open market anyway.
Laksh Vaaman Sehgal : And we are still below the COVID levels of the automotive industry. So there are still, we believe 15%-20% to go at for the highest that we have reached and we are slowly creeping back. But I think the outperformance that you are seeing by Mother son is because we grow faster than the market, we grow more value than the market and the premiumi sation and these trends that we have talked about are really playing out in our favor, which helps our products wh ich are directly impacted as the numbers grow. So look, no one really knows the 12 to 24 month thing. I think we a re still grappling with quarter -on-quarter with the last couple of years being with multiple different issues that have been hitting us. But we are optimists, we are die hard optimists and we believe the next 12 to 24 months will be much better .
Vivek Chaand Sehgal : We ha ve gr

own 27% in this quarter also, anyway year-on-year.
Moderator : Thank you. As there are no further questions, I will now ha nd the conference over to the management for closing comments.
Vivek Chaand Sehgal : Thank you. I think it is important for you to understand that we are very customer focused and when we are growing it is automatically means that the customer is growing. We do not sell anything in the open market. We ha ve never done that before also neither are we doing it now. So capacity utili sation and all that for us is to some extent is irrelevant. But if it helps you, moment we will touch 80%, we will try t o bring it down by a new plant and tried to bring it to 40%. So that is the way we have to be becaus e in the automotive business it i s required , but I think the board again congratulated that under such tough cir cumstances, the companies have done such a good job , all the engines are firing. We also would like to say that in the first quarter,

we ha ve just in March -April, we have actually just closed all the past years, whatever increases and decrea ses had to happ en, we ha ve done that. And first quarter, we are waiting fo r whatever is going to play out then it has to be applied and put pressure back on the customer or on the other forces to make sure that the price is pai d. I hope and wish all of you a good weekend tomorrow later. Thank you very much for the all the questions. Bye -bye.

Moderator : Thank you very much. On behalf of Samvardhana Motherson International Limited , that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

# Call: Nov 2023

Samvardhana Motherson International Limited
(formerly Motherson Sumi Systems Limited)
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November 16, 2023

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G-Block
Bandra-Kurla Complex
Bandra (E)
MUMBAI – 400051, India
BSE Limited
1st Floor, New Trading Ring
Rotunda Building
P.J. Towers, Dalal Street
Fort
MUMBAI – 400001, India

Scrip Code : MOTHERSON Scrip Code : 517334

Ref. : Transcript of Investor Call

Dear Sir(s)/ Madam(s)

This is with reference to our letter dated November 9, 2023 informing about the audio recording of conference call with Investors on the unaudited financial results for the half year and quarter ended on September 30, 2023.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of aforesaid conference call.

The above information is also available on the website of the Company: www.motherson.com

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited
(formerly Motherson Sumi Systems Limited)

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"Samvardhana Motherson International Limited
(Formerly Motherson Sumi Systems Limited)
Q2 FY24 Results Conference Call"

November 09, 2023

Management:

Mr. Vivek Chaand Sehgal,
Chairman

Mr. Laksh Vaaman Sehgal,
Director

Mr. Pankaj Mital,
COO and Whole Time Director, SAMIL

Mr. Kunal Malani,
CFO, SAMIL

Mr. Rajat Jain,
COO, Vision Systems Business Division



Moderator : Ladies and Gentlemen , Good day and welcome to the Q2 FY24 Results C onference Call of Samvardhana Motherson International Limited.

This conference call may contain certain forward -looking statements about the company, which are based on the company's beliefs, opinions and expectations as of the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in listen -only mode , and you will have an opportunity to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to M r. V. C Sehgal. Thank you , and o ver to you, sir.

Vivek Chaand Sehgal : Thank you very much . Good evening, ladies and gentlemen. Thank you for joining the results conference call of SAMIL. First of all, a very Happy Diwali to all of you and your family. I'm pleased to announce that the board has approved the results for Quarter 2 . Motherson has delivered a consistent performance against a backdrop of global uncertainties. We have posted the highest -ever quarterly revenues.

All the divisions have shown good double -digit growth. The customer continues to trust Motherson , with the highest ever booked business of US 77.3 billion U.S dollars. The environment is also offering us a lot of opportunities. We have announced 15 acquisitions since September 2022 , and the team continues to explore more. This is definitely a work -in-progress quarter , and I have with me Vaaman, Pankaj, Kunal and Rajat to provide further business insights and clarify all your questions . I hand it over to Vaaman.

Laksh Vaaman Sehgal : Thanks , Papa. Good evening, everyone. So, as Papa was saying , SAMIL has delivered the highest ever quarterly revenues of 23,500 crores , which is about 28% growth year -on-year and an absolute EBITDA of about 2,000 crores , which is 34% growth year -on-

year. All the business divisions have performed well and were further supported by four acquisitions coming on stream in this quarter.
These were SAS, the mirror business of Ichikoh, Saddles and Rollon . Our ROCE on business , excluding the Greenfields and the M&A that w ere done in the current five-year plan h as improved from 12.6% in FY23 to now 1 6.0% in H 1 FY 24.
As we speak, we have a solid booked business of more than $77 billion U.S. dollars , which is up from 69 billion as reported in March 2023. All of this w e have been able to achieve all of this in a challenging business environment where wage inflation across key geographies, rising interest rates, and geopolitical uncertainties continue to mount pressure.

Thankfully, there is slight respite from ener gy and commodities stabilising , although these are at higher levels than pre-COVID . The automotive production developed markets were impacted by the annual summer shutdowns, disruption in the supply chain for key European OEMs and labour strikes in North America.
At a global level, production remains stable at 22 million due to significant growth coming from emergi ng markets, specifically India , and now India and China comprise about 40% of global LV volumes.
With the ever-changing and unpredictable external factors evolving industry dynamics, we have taken several measures and initiatives to remain agile and breathe with the market. A few I would like to highlight. We continue to remain in constructive discussions with our customers as sharing of inflationary cost structures will remain a recurring feature in the short -to-medium term.
At the cu

stomers' behest of acquisitions, we have added 22 facilities in Europe and 7,000 associates with the recently closed M &A. Given this footprint expansion, we have also announced a phase d reconfiguration in a few countries in Europe . This is done to streamline our operations , improve efficiencies , and deliver more synergies. The current quarter's results include a one-time cost provision of about 250 crores INR , which would enable us to be competitive on a sustainable basis and capture future growth from our reorganised footprint.
In emerging markets , specifically in India, there has been a spurt of growth opportunities for both auto and non-automotive businesses . India is among the fastest -growing economies , and as you are already aware, most of the OEMs are now building new capacities to support this growth. We're also investing 1 ,500 crores of CAPEX in India to set up ten new Greenfields , a few of them which will come online this year and the remaining in the subsequent fiscal year. This includes capacities for both automotive and non-automotive busine sses.
Therefore, we are revising our full-year CAPEX g uidance to about 4 ,500 crores plus / minus 5%. This is done to support the growth that is coming out of emerging markets , and CAPEX outlays for the acquired assets, which were not part of the earlier guidance.
Our net debt has increased by 5 ,000 crores, b ut this is mainly driven by the payouts for the acquisitions of nearly 3 ,800 crores, which were closed during the quarter a nd the higher CAPEX that we are going to put in to capt ure these growth opportunities.
Consequently , the leverage ratio has also increased to 1.9 times EBITDA . please note this is a temporary increase and well within our stated policy of 2.5 X. As you can imagine, to capture these growth opportuni ties, we definitely do have to i nvest in CAPEX . I'm pleased to inform you that we have announced 15 acquisitions since

September 2022, which have a combined pro forma revenue of about $6.4 billion U.S in gross revenues and about $2.6 billion in net revenues.
Integration of closed transactions is progressing well and is completely on track.
I would like to thank our customers for their continued support and trust in Motherson , and with this , I would like to conclude and open the floor to questions and answers.
Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Raghunandhan N L from Nuvama Institutional Equities.
Please go ahead.
Raghunandhan NL: Sir, my first question on the stand alone side is that raw material cost as a percentage of sales is higher than the last three quarters , and even the employee cost is higher.
What has led to this cost increase, is there any one-off, and woul d you expect the RM

cost to sale to normalise ahead?
Kunal Malani: If you're referring to employee cost. Employee cost is a function of the nature of the business that we are in. If you look at it as a percentage , employee cost has actually decreased on a quarter -on-quarter basis i t was 11.4% as I see for the three -month period June ’23, and it is 11% for the three -month period September ‘23.
The absolute value would obviously go up because we have done more business . The top line has gone accordingly in that line. If you're referring to the cost of material, it's a mix of businesses , as you know in standalone that we do , and it's dependent on how the commodity prices are , etcetera, etcetera.
In this particular quarter, you also had the busine ss that we had acquired, the DICV business , which has a metal c omponent to it and then it varies depe nding upon h ow those commodity prices have played out. A t an aggregate level, I think the margins in the standalone business has actually improved , and

that's showing you the operating
leverage that's there in the existing business , also showcasing in some way how the growth in India is playing out.
Raghunandhan N L: Just to understand and sum up so this increase in the raw material cost wo uld be mainly because of the DICV metal components effect a nd would there be any increase in input prices as well in this quarter which you think can normalize in the coming quarter?
Kunal Malani: It's a v ariety of different businesses . There are metal, polymers, wires, and wiring harnesses . So, given the variety of mix , it's very difficult to predict how things is going to move , and much of this is reall y a pass -on construct , at least in India . The majority of it will have a pass -on element to it with some lead-lag effects. So , we don't really worry too much about it.

Raghunandhan NL: Stand alone When we break it up , there is wiring harness , modules and polymers. When I look at the segmental reporting of these emerging businesses , how much of that number would be coming from the standalone?
Kunal Malani: We will come back to you . It’s very difficult to really get it.
Raghunandhan NL: Secondly, on SM P, profitability has reduced on a Q oQ basis. Would it be mainly due to lower volumes a nd higher employee costs ? Was there any one -off?
Laksh Vaaman Sehgal : So, for SMP, as you know, the majority of the business is in Europe. So , definitely , if you're looking a t on quarter -on-quarter and not year -on-year, you will see differences because this quarter has a lot of holidays in Europe and the shutdown s. So, it's not really the right reflection . You should look at it year -on-year. Apart from that, of course, there are multiple c hallenges in the European region you know what's happening in the macro economy front . Not only that, but some of the customers are also not hitting the volumes that they wanted on the EV front. Luckily for us, we're engine agnostic s o where we might not be selling as much on the EV side, some of the platforms on the non-EV side are getting extended. So , those kinds of challenges are still there , and you are seeing quite a bit of macroeconomic pressure still coming up now the winter is coming, a lot of things are still to play out over there, but like we mentioned in the in the report that talki ng to the customers and getting those discussions with them on support for capacities that were not filled up or for commodity prices, fluctuations that are happening. They're ongoing. I think the good part is that look, the confidence is on us ; they're giving us more and more acquisitions. We're taking on more assets there. So , definitely , in times to come , once it stabilises , we'll show a better result, and we are working closely with the customers to take support where we are getting hit for no fault of ours.
Raghunandhan NL: And the impact of wage increments, would that be already factored in numbers or is there any major increase expected in the coming quarter?
Laksh Vaaman Sehgal : For which are you talking about in general or are you talking more about ?
Raghunandhan NL: In general sir?
Laksh Vaaman Sehgal : So, most of the wage increases that have already happened have been factored in. There could be certain locations where there could be certain events where the regulation changes or something like that where we have to change i n mid-year, but most of them are already you're already seeing the impact of that.
Raghunandhan NL: Sir, lastly , on the loss of net monetary position in Argenti na, the net effect is 57 crores , and this should be one off or is there any more impact expe cted in Q3 excluding this

the interest cost is 360 crore . Would that be a fair number to work with for the coming
qu

arters?
Kunal Malani: In Argentina , it's a special situation where the Central bank has disallowed FOREX
payments for importing material , and hence you have liabil ities sitting in dollars and
euros , which you are unable to remit , and as the currency has devalued, it's created a
large FOREX loss. The impact is classified it in interest costs because there is
corresponding cash that is there where we a re earning interest.
So, this is the net monetary position , which is the income you're generating on the cash
that you're sitting on versus the FOREX loss that you have incurred there, which is the
130-odd crore number given in August and September ; there was a very steep
depreciation in the Argentinian Peso a fter this regulation came into play . Where things
stand, I believe the new government is coming into play in November , the elections will
happen sometim e now , and by December , there will be greater clarity on how the
monet ary position is going to look like going ahead. So, it is difficult to comment on it
whether it's one of or not, but hopefully , after this depreciation , the impact will be
significantly less , even if there is a ny.
Secondly, on the interest cost , you're right on the 360 that the number may be a little
bit actually lower becaus e there would be other charges , etc., the upfront payment , etc.,
that is done for all the debt that was raised right now for all the acquisitions. Those
would have also brought up the interest cost to some extent. So , if it's on a normalised
basis, this would look more like 300 crores to 320 crores versus the 360 you are
referring to.
Moderator: Thank you. We have our next question from the line of Jinesh Gandhi from Motilal Oswal
Financial Services. Please go ahead.
Jinesh Gandhi: I have a few questions from my side. One is with respect to they called out for organi c
growth of about 18% at the consol level ; any colour which can give on either organic
EBIT DA or organic EBITDA marg in for the quarter to have a like-to-like comparison?
Kunal Malani : Sorry , could you repeat the question again ? It was not very clear.
Jinesh Gandhi: In the presentation, we have called out for organic growth of 18% at the revenue level.
Similarly, can you talk about what organic EBITDA or EBITDA margin for the quarter?
Kunal Malani : The EBITDA margins for the quarter for the organic business, is that what you're asking
for?
Jinesh Gandhi: Yes.

Kunal Malani : So, that is, I think it is 8.4% odd if I remember right, the number is there I think it's 180
crores is what you need to reduce from the 2 ,000 crores. So , that's the 1 ,820 n umber
for the organic piece , which should be tantamount around about , I think 8.4 if I'm getting
the math right.
Jinesh Gandhi: Secondly, we have also called out for restructuring in Europe. So , is the large part of
the cost already reflected in the second quarter or we expect some more provisioning
coming in the coming quarter , and what exactly are we doing there?
Laksh Vaaman Sehgal : So, that is the majority w e're taking it upfront. We've added 22 facilities and 7 ,000
people. So, obviously , a lot of those facilities that we have taken over are not runn ing
at full capacity , as these were some troubled facilities th at the customer asked us to
take over . So, we're looking at merging some of the facilities, r eally rationalising footprint
in that context. So , we are really breathing with the market because we are growing
significantly in that region.
So, that will again require some reorganisation . These are all that we have already put
into play. These were all parts of the acquisition when we took that over. So , we're
taking them all upfront. So, the majority is already there.
Vivek Chaand Sehgal : Jinesh , I said in the beginning that this is a work -in-progress qua

rter . So, we would
close a lot of the acquisitions I can't giv e immediately magic this thing a bullet which will
solve the problem , but give us three months to watch what happens next quarter .
Jinesh Gandhi: And lastly, we have talked about the book ed business going up to USD 77 billion at the
consol level . SMRPBV also shared the number, w ould it be possible to share the net
order book number of SMRPBV , which needs to be shared for March 20 , which was
close to euros 20 billion , 19.7 to be precise, what would it be for September 23?
Kunal Malani : Jinesh , we've moved to the book business construct I think it will give a wrong picture.
The book ed business give s you a better reference point t o see how the trajectories
versus the revenue stream that you're seeing on a quarterly or annual basis as the case

may be. So, request if we live with the book ed business contract.
Jinesh Gandhi: So, in that context , the delta and book business over a period of time is the gross addition, that's the simple way to look at it?
Kunal Malani : You are saying , is this gross reve nue? So, look at the order book ; the book ed business moved from 69 billion to 77 billion, which is only automotive on the non-automotive side at least on the aerospace side , you would see we've highlighted the fact that after the acquisition of AD industries will be 1.3 billion on the aerospace side as well.
Jinesh Gandhi: This USD 77 billion is the gross revenues , right not the net revenue as we report in P&L?



Kunal Malani : No, this is in relation to the economic revenue that is closer to the net revenue construct rather than the gross revenue.
Moderator: Thank you. We have our next question from the line o f Arvind Sharma from Citi. Please go ahead.
Arvind Sharma: Sir, the first question would be on the broader demand scenario that you are seeing in the SMRPBV business ; on the organic part , where do you see demand going on from here, both for the industry as well a s for SMRPBV that was the first question?
Laksh Vaaman Sehgal : You're seeing a lot of new launches that are coming up in the Europe region , and I guess in the globe in general, I mean , SMRPBV is not a global enterprise. So , it's more helpful if we ta lk about the different regions ; we've talked about the immense traction that we're seeing in t he in developing economies ; we're seeing a lot of stuff that's happening in India. So , the demand is holding very, very strong here.
Internationally as well, like I said , there are some challenges in EV with some of those models. Cu stomers have spoken about that, b ut whenever that happens , the customer comes back , and even more facelifts and new models are launched to capture the customer back . Our strategy of 3CX 10, no customer, no country, no component , is favouring really well for us because we are not overexposed to EV, and we're that engine really agnostic.
We are seeing growth even though there may be pockets where demand could be weaker. Motherson continues t o grow because of our diversification strategy.
Arvind Sharma: Just one clarification : somebody asked you previously as well if these 250 crores of one-time cost provision is it reflected in the 2Q P & L anywhere .
Kunal Malani : Yes, it's coming as part of the exceptional items.
Arvind Sharma: So, this entire 250 crores is in the second quarter, the one which you report?
Kunal Malani : That’s right.
Moderator: Thank you. We have our next question from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Sir, the first question is on this acquisition what we understand is in the past , this company used to do about like 11.5% margins. I understand we are in the process of restructuring. So, any colour, how much improvement can w e potentially say in a year when

we are done with this entire restructuring process and the business is happening in a normal pace ?



Laksh Vaaman Sehgal : Sir, which acquisition are you talking about we've done 15 since September 22 , so which one are you talking about ?
Siddhartha Bera: This is by SAS , which I had com e for two months in the quarter .
Laksh Vaaman Sehgal : So, SAS is a running business, and it is a profitable business. So , it is very different to some of the other acquisitions that we have made . So, some of the reorganisations are more towards the other acquisitions , which were not performing as well and which we need to restructure , but SAS is looking more towards growth. We've actually added CAPEX and, therefore , growth. There's not much r estructuring or one-offs that are that are happening over there . There could be a small exception, but in general , we are seeing that as a growth business. Kunal , maybe you want to add something there.
Kunal Malani : If you're referring to the margins of SAS, please bear in mind it's two months ; August, September, and August is where the summer shutdowns have been. So , this is no t necessarily reflective of asset s capability if we were to put it. We do anticipate t hings to improve in Quarter 3 and Quarter 4 when the production levels are much more normal.
From a restructuring perspective, as Vaaman was mentioning right now, we see a lot of synergy benefits and lots of areas where it can grow, and the business is structured

on a more variable cost structure versus some of our other businesses. So , if we see
some of the places which are unviable , at least in SAS, it's a lot easier and more flexible
to move the production centres around. So, it's a relatively more flexible manufacturing
construct.
Laksh Vaaman Sehgal : Yes, it's important that you understand the real synergy of Motherson SAS b ecause
whatever Motherson SAS is assembling right now , Motherson currently produces. The
synergy benefits are tremendous, and we hope to play them out in the coming quarters.
It's just been two months. Please give us some time, but it's a very exciting opportunity .
It really transforms us to a Tier-0.5 and gives us a lot more ability to grow on the
assembly s ide as well.
Vivek Chaand Sehgal : I think i n just two months, we've alrea dy transferring one from S MP to SAS business
because ….
Laksh Vaaman Sehgal : So, you already saw that there are some business movements from our SMP or polymer
business into Motherson SAS. So , we're already starting to push through the synergies
and like I said , please give us some quarters , and a lot of that will play out down the
line.
Siddhartha Bera: Sir, the second question is on this CAPEX number of 45 billion now, shall we assume
that this will be the normalised CAPEX going ahead , and does this factor in the CAPEX
for the new acquisitions also which we have done?

Kunal Malani : Yes. So, that's the exact reason Siddhartha that we are highlighting the revised CAPEX.
We had highlighted 3,000 (+/-10%) earlier , now we are revising to 4,500 , which includes
a portion of the CAPEXs for the newly acquired assets that have been assimilated in
this quarter. Also, it includes the 10 actually 11 Greenfield / Brownfield that is be ing set
up in emerging markets , 10 of them in India, 1 of them in China.
If you remember , we highlighted 7 of them to you in March '2 3, which was part of the
3,000 that we talked about. T here are 4 new ones for which have the orders now , which
are under the execution stage, for which the additional CAPEXs would be required.
So, the 4,500 really carries a lot of growth CAPEX into it, given how the Indian
environment is, and how we are seeing a lot of traction on the non-automotive si

de of
the business as well . Hence, you would not say it's a normalised maintenance CAPEX .
If we were to put it tha t number would probably be half-odd or so of this number.
Moderator: Thank you. We have our next question from the line of Pramod Amthe from Incred
Capital. Please go ahead.
Pramod Amthe: What I was asking was the 45 million CAPEX which you guys have called out, is there
a scope to give it by division -wise that can help us to build the reven ue profile or growth
profile going forward?
Kunal Malani : I don't have the details right now m aybe we can add some of those details going
forward, but I think , as I mentioned , you should consider half of it as give or take regular
maintenance , which wil l flow and all the divisions i n their respective places, the new
ones we can give you more colour as we go ahead, we don't have it right now .
Pramod Amthe: And the second question is with regard to the broader industry -related trend for wage
cost. The type of negative surprises some of the auto OEMs faced in the US, d o you
see that falling thr ough for some of the Tier-1 and Tier-2 suppliers also as increased
wage cost when you renegotiate or second considering your global operations and
inflation being pretty high in many of the countries you expect some repercussions of
the same in many other plant s?
Rajat Jain: So, look, as far as we are concerned, we have already closed this year's increases , and
we are doing it year -on-year. So, we don't have a pile-up of three years and then put
together as one contract , which mi ght be there in more unionised environments. So, for
us, it's a regular. We've already been talking about inflationary pressures in the last year
and this year as well. So , we are already aware of such increases to date . Now , how
does that affect on other companies really , we can't comment.
Vivek Chaand Sehgal : We can't guide ; we don't even know what will happen.

Moderator: Thank you. We have a question from t he line of Joseph George from II FL. Please go
ahead.
Joseph George: Just a couple of questions. One is when you look at the debt level at the end of
September and you think of how it will move over the next 6 months, can you please

guide us on the pluses and minuses that will come through in the next 6 months , maybe
more acquisitions or payment against more acquisitions, working capital moving up and
down , etc. ? Just some guidance will be helpful.
Kunal Malani: Let's put it this way w e can' t really guide on acquisitions ; difficult to predict when it will
happen, but n eedless to say there is a str ong pipeline, there is a lot of…
Joseph George: Can I just interrupt you guys sorry s o when I said the acquisition, I was referring to
payments for the acquisitions that have been announced and yet to be made so that is
one and whether you expect some reversal of the work in capital , etc., going to the
second half of the year?
Kunal Malani: So, organically if you're referring to, I think we should continue our deleveraging path
organically even after considering the 4,500 crores of CAPEX guidance that we have
spoken about. I think working capital, it would have seen our presentation earlier in
March, we had highlighted around about 2 ,000 crores of additional inventory, that
number is down to 1 ,500 crores. So , directionally things seem to be improving .
As we synergize with some of the acquired assets, we do expect Quarter 3 , Quarter 4
to play out better t hat's how traditionally our business has been where Quarter 3 and
Quarter 4 have typically been better than Quarter 1 and Quarter 2 . So, with that concept
we do expect some amount of deleveraging to happen .
Laksh Vaaman Sehgal : Look I want to reiterate that this is a really, really exciting time for us here at Motherson.
We have patiently waited for t

he last four years , waiting for this moment really in a sense
where the customer is asking us to go and pick up all these acquisitions when interest
rates were extremely low , and a lot of deals were happening ; we were patiently waiting
and deleveraging. So , we have come down significantly because we knew that we have
to grow at when the time comes , there will be an opportunity for us to really make large
acquisitions and increase our footprint in the customers' portfolios , and that's what
exactly is playing out. So , it's not that we are looking at these numbers and saying the
numbers have gone up significantly. This is has been planned for us we deleverage
from our erstwhile levels because we anticipated that this growth there would be a
window of growth , and if you can understand, we are literally the last man standing in
that sense where the customers are saying , please look at some of these acquisitions
and support and we have the headroom to be able to do it. So , this was a n event which
is really setting us up for the future, a lot of growth will come in ; as you can s ee, we're
putting in a lot of investments for these acquisitions and the growth opportunities , and

this will p lay out in the coming quarters, I mean , 15 acquisitions in 12 months t hat is the
pace that we really haven't seen before and like I said we are prepared for it.
Joseph George: The s econd question that I had was in relation to CAPEX. So, you have upgraded the
CAPEX number to 4 ,500 crores for this year, but this wouldn't include CAPEX that you
would incur for some of the acquisitions which are yet to be completed d ue to get
completed, I think in 4Q, which will add another billion also in terms of revenue. So,
would it be right to assume that for FY25 we should look at a CAPEX number , which
would be higher than what you have guided for FY 24 because some of those
acquisitions will happen towards the end of FY24?
Kunal Malani : Joseph, I think Va aman highlighted 10 new Greenfields for which we are setting up, for
which we are spending 1 ,500 crore ; that has nothing to do with any of the acquired
assets. So , this is not the normal CAPEX level that our business will be carrying going
forward. These are growth CAPEXs , more specifically in India , just given the trajector y
of what's happening in India. As you see , every OEM has announced expansions , and
as vendors , we do need to be ready to be able to cater to these expa nsions that
happening in India . Plus, on the non-automotive side, there is a great amount of traction
to set up facilities in India and showcase our strength in there. So , that's the organic
part. You're right to the extent that the assets with which we haven't closed the CAPEX
associated wit h that are not embedded in this n umber , and as they close, we will have
better colour. We can come back to you with whatever change s need to be made
around this, but for the current set of business , as for the current quarter, we do
anticipate 4,500 crores this year should be more than sufficient.
Moderator: Thank you. As there are no more questions, I would now like to hand over the call to V.
C Sehgal for closing comments. Over t o you, sir.
Vivek Chaand Sehgal : Thank you all very much. I would again request you to understand that this is a work -
in-progress quarter. We are always seeing that traditionally the second quarter is
always where the holidays come in Europe a nd then coupled with the UAW strike in
U.S, it sort of dampe ned the whole particular thing, b ut I believe that the quarter was

phenomenal and the results, the teams worked very ha rd to deliver these superlative results that are there in front of us. Thank you very much and wish you all a very, very Happy Diwali and all the festivity. Thank you.
Moderator: Thank you, sir. On behalf of Samvardhana Mo

therson International Limited , that
concludes the conference call. Thank you for joining us and you may now disconnect your lines.

# Call: Feb 2024

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February 16, 2024

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National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G -Block
Bandra -Kurla Complex
Bandra (E)
MUMBAI – 400051, India

Scrip Code: 517334 Symbol: MOTHERSON

Ref. : Transcript of Investor Call

Dear Sir / Madam ,

This is with reference to our letter dated February 12 , 202 4, informing about the audio recording of conference call with Investors on the unaudited financial results for the third quarter and nine month s ended on December 31 , 202 3.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the aforesaid conference call.

The above information is also available on the website of the Company: www.motherson.com

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited
(formerly Motherson Sumi Systems Limited)

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"Samvardhana Motherson International Limited (SAMIL)
Formerly Motherson Sumi Systems Limited
Q3 FY24 Earnings Conference Call "

February 12, 202 4

Management:

Mr. Vivek Chaand Sehgal,
Chairman

Mr. Laksh Vaaman Sehgal,
Director

Mr. Pankaj Mital,
COO and Whole Time Director, SAMIL

Mr. Kunal Malani,
CFO, SAMIL

Mr. Rajat Jain,
COO, Vision Systems Business Division



Moderator: Ladies and gentlemen, good day and welcome to Q3 FY24 results conference call of Samvardhana Motherson International Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

I now hand the conference over to Mr. V. C. Sehgal. Thank you and over to you, Mr. Sehgal.

Vivek Chaand Sehgal: Thank you. Good evening, ladies and gentlemen. Thank you for joining the Result Conference C all of SAM IL.

I'm pleased to announce that the board had approved the results for quarter three and congratulated the various teams. SAM IL has delivered a strong performance across all business divisions on the back of automotive industry having good growth across regions. The leverage ratio has been reduced to 1.7x from 1.9x. Having accounted for all the closed acquisitions, we are very comfortable with our debt and liquidity profile and the visibility to reduce further by the year end. India is at the center of our exp ansion plans. We see a lot of traction coming for automotive and non -auto businesses in India. And to support this further growth, we are setting 11 Green fields in India.

Our focus on operations, proven financial discipline, and continued trust by our customers are demonstrated in our results.

I will now hand over to Va aman to provide further business insights, and the team is here to answer all your questions. Va aman !

Laksh Vaaman Sehgal: Thank you, Papa. Good evening , ladies and gentlemen. I'm pleased to announce that we have achieved outstanding results in the quarter, showcasing robust revenue growth and a consistent improvement in EBITDA.

SAMIL reported revenue of Rs. 25,700 crores reflecting a Y -on-Y growth of 27% and EBITDA of about Rs. 2,400 crores reflecting a Y -on-Y growth of 42%. Our net profit on a normali sed basis is at Rs. 733 crores and has grown by 61% on Y -on-Y basis. The reported PAT has impact of hyperinflation about Rs. 190 crores, particularly in our operations in Argentina, where the currency has signifi cantly devalued from about 200 Pesos to a US d ollar in March 23 to about 800 P esos to a US dollar in December 23, resulting in strict controls by the regulators there. We are in discussion with our customers on the best way forward. There's more information on this on slide nine.

Our performance is to be viewed against a backdrop of stabilizing macro indicators with energy and commodity pricing showing visible signs of improvement. However, inflation and the geopolitical conflicts continue to create headwinds for us. The global aut omotive production has witnessed good growth on an aggregate basis , 9% year -on-year, 6% quarter -on-quarter, with a quarterly run rate production of 23.9 million cars at par with pre-COVID levels. Whil st developed markets are still behind about 10 %-15%, I t hink emerging markets continue to propel growth. Sequentially, there was a slower ramp up by North American OEMs post the UAW settlement and significant growth in the EU, albeit on a lower base and India coming of peak de mand during the festive period.
In the 3rd Quarter , Motherson closed three acquisitions being Dr. Schneider, Deltac arb and SMAST. The M& As that have been closed during the year are contributing meaningfully and are adding revenues of about Rs. 4,000 crores in revenue and EBITDA of about Rs. 410 crores in this quarter. Happy to inform you that the integr ation for all the closed M& As is going seamlessly and as per plan.
India has always been

an important market for Mother son and continues to be a hotbed of new opportunities for auto and non -auto businesses like Papa was saying. Most OEMs are building new capacities and to support this growth and align with the customer requirement s, we are building 11 new Greenfields in India which are in different stages of completion and the majority of them will come on stream in FY25. There's more i nformation on this on slide 12.
We are reiterating the CAPEX guidance given in the last quarter of Rs. 4,500 crores plus minus 5% for FY24. Given the substantial inorganic growth, M&A payouts about Rs. 4,550 crores net of cash and CAPEX for future growth , our leverage ratio had ticked up in the last quarter. I am pleased to tell you that there is a reduction in this bringing it down back to 1.7x from 1.9x where we were. We're also fairly confident, as Papa was saying, with the current visibility of this going sub 1.6 by year end. We are q uite comfortable with our liquidity position with undrawn committed lines and cash for about Rs. 11,000 crores and incrementally committed financing for pending M&As. This provides us with sufficient firepower to continue to move towards our Vision 2025 targets while maintaining financial prudence. There's more information on this on slide 11.
We continue to monitor the ROCE metric by focusing on improving operating performances across our divisions and the red , yellow , green status of all our plants. ROCE excluding the Greenfields and the M&A's that are done in the current 5 -year plan has improved from 16% in the first half of the year to more than 17% in the 9 months. Even on a reported basis, the ROCE is north of 15% as of 9 months FY24. This is short of our target, but will only improve from here as we move.

Our perform ance is a testament of our hard work and trust by our customers and we will continue to build on this momentum. With this, I would like to conclude and open the floor for any Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Siddhartha Be ra from Nomura. Please proceed.
Siddhartha Bera: Thanks for this opportunity and congrats on a good set of numbers. Sir, first on this model mix, which you said has been an issue in terms of the vehicle OE mix being weaker in the quarter. Just wanted to clarify, this impacts only the SMR vision or module segment, or there is an impact which is there in other segments as well?
Laksh Vaaman Sehgal: This is Vaaman here. Thanks for that question. Of course the larger impact is on the international business because the share volume is much larger. But just so that you know, I think we still maintain that the long -term trajectory will be more favorable towards these trends that we have spoken about before of premiumi sation, the higher level of cars and the transfer that will happen from one type of engine to the other. But

it's just happening at a much slower pace and there will be variations in the quarter . So it is di pped a little bit. We still believe that the long -term impact will continue in the trend that we've seen over th e last I think couple of years a lbeit at a smaller slower pace. The good news is that we are fully supplying to all the different models. So where you see one thing go down, we see growth in the other sectors, and that's how you're seeing still growth in the overall performance of the company. I hope I wa s able to answer your question.

Siddhartha Bera: Yes, so follow up on that is that if you look at the profitability, clearly, it has been much ahead of what we would have expected, and given the weaker mix, that was also a surprise. So, can it possible to indicate whether we can see sort of this sustaining or improving going ahead. And does this also factor in some of th

e cost pressures which you have highlighted on the labor side and other areas in the quarter?

Laksh Vaaman Sehgal: Yes, thanks. Look, of course, it's been a challenging quarter. I would say a challenging year, right? I mean, there were multiple impacts that were happening with geopolitical wage increases, commodity moving. So I think one, of course, we are grateful to the customers for their support and help as well as we go through these things and try to discuss with them the different impacts. And of course, the team's hard work to continue to focus on reducing the cost, improving the efficiencie s and delivering the performance. So it is a kind of a mixed bag. I think there are new and new challenges that we saw in the last year. But like I said at the start of my speech as well, that we're seeing more stability. I think the worst is behind us. Things are stabili sing, and we have reached that new normal that we'd spoken about in the earlier calls and that is again helping us to now build efficiencies and show you improved numbers. I think as this continues to stabilize, we should have eve n better performance from here.



Siddhartha Bera: Sir, o ne last question is when you have indicated the incremental revenues from the new acquisitions in the quarter than the profitability, the biggest one was Schneider and if I look at the profitability , it is close to 10% probably in the quarter. So, Schneider I remember was acquired at maybe close to 0% margin. So are we already close to double digits for that entity or am I reading it correctly? So just need ed your clarification ?

Laksh Vaaman Sehgal: Yes, I think you are reading into everything, so that's good. But look, that's the part of how we do acquisitions, right? We look to pick up assets that are performing poorly, work together with the customers to create a plan, increase operating efficiencies, and we enter the asset already with a game plan of how to improve it. So that's obviously playing out. Our plan is under execution. The teams are over there that are making sure that this asset continues to grow from here , not be i n the in the financial condition that it was and of course it's all part the plan that we had put into place when we were going to acquire that asset and to turn it around and that is playing out. So the teams are doing quite well and ahead of their targets .

Siddhartha Bera: Got it sir. So last question , if I may , we have seen interest costs continuously going up. So if you can guide now with the debt levels also coming down like you have guided, what should be the sustainable level of intere st cost we can see going ahead?

Kunal Malani: Hi Siddhartha, Kunal here. So look, there is a function also of our low cost debt getting refinanced at current rates, which is what is driving this delta that you are seeing. Plus, there is the whole Argentinian net monetary position, which is also lying in the interest cost right now. We hope that the Argentinian piece we are able to solve along with the customer sooner than later and should not be an ongoing feature forever. The res t as I think we de -lever, you should be able to start seeing some of the reductions that will happen on the interest rate side as well. Having said, so do bear in mind that we still have a 300 million bond payout coming due, which is a 1.8% bond that will be coming due in June. So when you adjust these factors against the current rates, obviously you may still see some rise on a quarter ba sis. But on an average yield on the debt, you should be able to see a reduction.

Moderator: Thank you. Next question is from the line of Amyn Pirani from JP Morgan. Please proceed.

Amyn Pirani: Thanks for the opportunity and nice to see the ROC E number on a reported basis also starting to improve. My first question is on the wiring harness busine

ss , very strong improvement on EBITDA as well. So first, the clarification is a large part of this driven by PKC and the reason why I ask this is because that business also has a lot of volatility because of the exposure to China. So how should we think about this going forward?

Pankaj Mital: Hi, this is Pankaj here. Well, this is all around. So this is the total number of the whole wiring piece, including be it India or PKC or MWSI or other subsidiary companies in the

wiring space. So you would have seen that in the wiring space, yes, there ha ve been improvements because the business was hit in the past with the rising cos ts and also supply chain issues which have been getting normali sed and improvement in the performance all across. PKC does have some business in China. I mean, it is not the largest piece of business because our larger pieces are in Europe and in America s, but we have seen improvement in China as well from the past. So this is all around, all across imp rovements which have been done.
Amyn Pirani: Just on the impact of the Red Sea, you have mentioned as to how things were looking in 3Q. But I'm guessing they have become more problematic as this quarter has gone by. So just for our understanding, in case freight rates were to move up massively becaus e of this, how does the current arrangement with OEMs work in terms of whether it is borne by you or is it a pass -through? And are there discussions because you're already having a lot of discussions with the OEMs on a lot of cost items. Is th is something which is an extra thing or is there a pass thr ough here already incorporated?
Pankaj Mital: See, generally, freight costs depending on the different contracts with the customers because if we are procuring something which is directed by the customer, of course it's a pass through whereas if we are delivering certain products to them, in many cases customers have an arrangement where they pick up the products and they pay for the freight. So again, in a way it's a pass -through, but where we deliver, it's our cost and these kinds of things get discussed because we work in a transparent and a trustworthy way with our customers. So these are issues which may not be part of the contract, but they come under discussion. So there are two aspects to it. One is that the cost of the shipping goes up as the routing gets changed and also the lead time of the products which are to be delivered or imported into different geographies, they get impacted which we re passing through the Red Sea.
Vivek Chaand Sehgal: Just one addition, most of our production is taking place close to where the customer is, so it wouldn't be too much really. Pankaj , if you can elaborate.
Pankaj Mital: Most of our business is located in the geographies where the customers are. So that's how we have always operated. So it is just a mention that probably that there are issues which can happen because of the Red Sea , but majority, more than 95% businesses very close to the customer's location. So that doesn't get hampered in that sense. But if it leads to on an overall basis, some issues that as of now , we don't see any issues in businesses which we are doing close to the customers.
Moderator: Thank you. Next question is from the line of Jinesh Gandhi from Ambit Capital. Please proceed.
Jinesh Gandhi: Hi sir. My question pertains to this clarification on revenues of acquired assets in the quarter of close to Rs. 4,000 crores. This includes Dr. Schneider as well as SAS Auto

and other acquisitions done in second quarter, right? That's for all the assets acquired in the current financial year and not just the assets acquired in 3rd Quarter.
Kunal Malani : That is right.
Jinesh Gandhi: Got it. And secondl

y, with respect to this Red Sea issue, so while obviously freight rates and those things will be volatile, but are we seeing any impact of this on our efforts to normali se inventories, which has started to show some results over the last few quarters? Are we seeing that getting impacted?
Kunal Malani : Look, Jinesh , right now we are not seeing an impact. I think it is still muted. Having said so, obviously if this becomes very volatile, this is the natural impact of saying, then we have to keep a higher inventory level to take care of any supply chain volatility. Bu t as things stand, we should still be deleveragi ng on the working capital side.
Moderator: Thank you. The next question is from the line of Gunjan Prithyani from Ba nk of America. Please go ahead.
Gunjan Prithyani: I have a couple of questions. Firstly, on the comments that you made around the low - cost debt getting refinanced, I think this is something that you will see a lot playing out through the market where everybody is seeing these refinancing happen now. In that context, are you seeing a lot of opportunities of M&A come up in the market and should we expect this momentum that we've seen in the last year or so on acquisitions from

your side that sh ould hold up this year as well?
Laksh Vaaman Sehgal : Look, fingers crossed. I mean, we will only do acquisitions which the customers really tell us. But if seeing the trend that is happening, I think what you're seeing is fairly accurate. There should be a lot of opportunities coming our way this year. But like I said, we don't wake up in the morning and try to hunt for companies with issues or something like that. We are patient, we will follow the customer's lead. We only do acquisition on the customer's behest. But yes, it looks like there will be a lot of opportunities coming this year.
Vivek Chaand Sehgal: We actually guide d them at 36 billion for the end of next year, isn't it? We think she's right because there is going to be a lot of pain in the system.
Gunjan Prithyani: Sorry, I missed that number, sir. What is the guidance for?
Laksh Vaaman Sehgal : That's a 5-year target, which we had said in 2020 that we would like to be a $36 billion company. So we are hopeful that we get opportunities to get that this year for the remaining bit that's still there.

Gunjan Prithyani: Okay, got it. And if you could also talk about this Lumen acquisition that you did in December, I think it's a very different segment than what we've been doing so far. So some color around that will help. Is it like a new segment that we're looking to scale up?
Rajat Jain: My name is Rajat Jain. I'm heading the Vision Systems Vertical . So yes, in a way, you are right that it is an expansion into a new segment. So Australia, as you would know, that there is no automotive manufacturing in Australia anymore, but it's a very thriving market for import of cars and then also for the dealer fitments. So this is a company which works very closely with OEMs and creates the kits for dealer fitments. So as the cars get imported, they are all going through these dealer fitmen ts for side conversion, for tailor fitting, for all the accessori sation that happens. So all of that then is coming as a new addition through this company and then they are also going into the same business in other markets. So they are gradually g oing into South Africa. They're also going into US , American markets. So it is still a very small setup, but yes, holds a very high promise in the future.
Gunjan Prithyani: OK, got it. The second question I had was on the SAS. In your presentation, you talk ed about onboarding of new customers, start of vertical integration. Can you just update us more on what's happening at SAS? And how should we think about both the revenue ramp up that you all had called out and the m

argins there, how should they improve factoring that vertical integrat ion is happening? A little bit color around now that the company you've integrated the acquisition into, how you've integra ted the acquisit ion, so some color around that?
Vivek Chaand Sehgal: Sure. So just want to add that Lumen's acquisition, almost 30% is wiring harness. Right, Pankaj?
Pankaj Mital: Yes, sir. So there are a lot of things which come from the group's strength, which we bring into this acquisition as well.
Laksh Vaaman Sehgal : So, I'll just take the SAS question on the strategy side and Kunal maybe will add a little bit onto that for the numbers. Look, SAS was very important for us because they 're a real tier 0.5, fully managing all the assembly, all the suppliers and delivering the entire cockpit dashboard for customers in global locations. And I think with our footprint manufacturing cap ability and our customer spread that allows us to really take a full solution to the customers all the way from designing, manufacturing, assembly and supplying just in time, just in sequence, just in line to t he customers for that. So , of course, integration was the first step which has been completed. We are pleased to announce that it's gone exactly as per plan. The customers are also quite happy. There were absolutely zero disruptions in supplying to the customers. On top of that, now we can go to the customers with a complete solution of not just obviously the assembly bit that SAS was doing, but also the manufacturing piece, the design and engineering piece, which complements what we are doing together with SAS. So for the new

quotations, we are going to the customers as one unit, giving them the complete solution to be able to do things that they were probably not able to get from Motherson group in a portfolio and that's what's really exciting, that we can take a larger piece of the manufacturing, engineering, and assembly side, and the customers can focus on what they do best is selling their cars and that's already started to play out. We've already going to customers bidding on new programs. So hopefully that should show color in a couple of years once those programs wins happen and the launches happen, but it's a really exciting moment for us to integrate them and add another level of, let's say, offering to our customers and it's really been welcomed by the market. And like I said, SAS has the opportunity to bring in new customers from the Motherson fold. And our Polymer division has now the capability to deliver the just -in-sequence, just -in-line, complete cockpits like we haven't done before. So that's on the strategy side. O n the numbers bit ?

Kunal Malani : Gunjan, I'm presuming that the numbers are clear. On slide 9, we had highlighted what three acquisitions are delivering. All of them are margin accretive and profitable as it stands in Q3.

Gunjan Prithyani: Okay, last question if I can squeeze in on the PKC outlook . Given that there is still the exposure to US and Europe truck cycle , is there anything that we are reading from our customers that things may be slowing down for this year on the truck outlook both in US and Europe ?

Pankaj Mital : See the outlook which we have is that in Europe, there has been some softening of the demand may happen. But in US, at the moment, the demand is quite strong as it was before. So it continues on a strong footing in that sense as of now.

Moderator: Thank you. Next question is from the line of Pramod Amt he from Incred Capital. Please proceed.

Pramod Amthe: So following up on the same SAS arguments you put out, considering that it's a large piece of your top line, you have achieved in the first quarter itself 11% margin looks like. Is there any one -off you booked here and what's the runway for margin expansion because this looks t

o be a margin accretive business now versus when you acquired it?

Kunal Malani : So look, SAS was always a profitable business. So I am not sure where that comment is coming from. But having said so, yes, I think we've been happy with the performance of the asset and hopefully as it gets transformed under the Motherson scheme, where we can add a lot more components to it, a lot of customers to it, and also learn from it. I think at an aggregate level, we should be able to synergize very well with the asset. The early stages of vertical integration has already kick -started, so it does augur well to how the asset can play out as we move ahead. Having said so, I think the business has



a degree of volatility that will happen, so I would not suggest to start looking at it on a very quarter -on-quarter basis. I think every business has its own nuances and might be better off to view it over a year period or at a few quarter period rather than just look it at one quarter and build things out. There is no one -off that exists in this quarter. The one-off of Argentina that is part of SAS has anyway been called out separately as you would have seen. When it comes down to the other assets, as I said, it's all margin -accretive. When Dr. Schneider was brought in, we had highlighted that it would be profitable from day one and I think the team has done well to deliver that. We continue to work on it to try and build further synergies on this and hopefully improve the performance from here on. So right no w, as it stands all the assets that we have assimilated as on date are all profit able.

Moderator: Thank you. Next question is from the line of Basude b Banerjee from IC ICI Securities. Please proceed.

Basudeb Banerjee: A few questions for Kunal . First, if I look at Q -o-Q interest also increase of almost Rs. 130 crores – Rs. 140 crores. So out of that, 122 crores bec ause of Argentinian adjustment am I right ?

Kunal Malani: That is right. A large chunk is driven off the Argentinian piece. The Forex loss is associated with that.

Basudeb Banerjee: And the rest minor increase is because of the refinancing higher cost, what you expect ?

Kunal Malani : That's right. So if you remember, we had a Rs. 2000 crore NCD which has been paid down in September. And the new financing is obviously at a much higher cost. So that's the larger piece of the delta.

Basudeb Banerjee: The Argentinian devaluation part is one -off. So that quantum of interest payout won't happen from next quarter onwards?

Kunal Malani: That's right. Just to be clear, this is still right now non -cash in nature. It's no t that there is any payment of F orex loss that has been realized. It's done on a mark -to-market basis and obviously we are working with the customers to try and find a solution for it. Right now, the Argentinian regulations does not allow us to pay the vendors , so no imports are being allowed to be paid and hence that's the reason why the mark -to-market on

the payables is causing this Forex loss.
Basudeb Banerjee: Sure. Second clarification again reported EBITDA includes Rs. 69 crores impact of Argentina which is almost 3% of EBITDA . So even this reported 9.2% actually EBITDA should have been 3 %-4% higher on an adjusted basis. Am I right?
Kunal Malani: That is right.



Basudeb Banerjee: Third clarification qu estion, revenue due to recent M& As, as you have me ntioned that Q-o-Q increased revenue from M& As, Rs. 3000 odd crores from Rs. 1800 crores to Rs. 4800 crores and correspondingly reported depreciation increases around Rs. 150 crore Q-o-Q. So this rise in the pre -reported Q -o-Q is purely driven by this higher inorganic revenue tripling in P&L or is it… .
Kunal Malani: I could not understand the lat

ter part, Basude b.
Basudeb Banerjee: Rs. 870 crore of r eported depreciation last quarter is now 1000 crore plus. So this whole increase is because of the higher inorganic revenue coming into P&L. Is that the way to look at it?
Kunal Malani: That's right. That together with some of the, as you understand, there is the whole PPA accounting , the purchase price accounting where some portions of the acquired assets are depreciated, the intangibles, the customer receipts, the contracts etc. So that piece also enhances the depre ciation and amorti sation piece.
Basudeb Banerjee: So any part of this quarter ’s the depreciation and amorti sation is one -off or it will remain at this level?
Kunal Malani: No, there is no one -off. This will continue. What would happen is over let's say 3, 4, 5 years, it's depending upon which other asset and you know what the PPA adjustments are over next 3, 4, 5 years, these will all die down and then it becomes normalized to the book value of the asset , so d ifferent assets will follow a different trajectory there. So you may see at an aggregate level some change, but there is no one -off.
Basudeb Banerjee: And last question is roughly Rs. 4000 crore of incremental inorganic revenue means just some $2 billion. So, Yachiyo plus Schneider plus SAS altogether, other small ones, how much one can assume the broader incremental inorganic revenue. Basically, wanted to understand how much is left on the recurring basis to come into your quarterly P&L?
Kunal Malani: So if you're asking about the acquisitions which haven't been closed, we have Yach iyo, which is the largest one, which is yet to come in. We have CIRMA, AD Industries and Lumen. I think these are the four which are left. If I remember right, I think altogether would be around about 1.2, 1.3 billion , ya 1.1 odd billion . That's the amount that is yet to come in from the acquired assets. Having said so, among the acquired assets, this time around, for the quarter, the full three months of SAS was there. The full three months of Dr. Schneider was there, which are the two l arge ones. Saddles etc, I think, all has been now there for a few months. Delta is the only one which is the re for just a month or so but that's a much smaller asset.



Basudeb Banerjee: Understood, that's great. Will it be right to assume this delta 1.2 billion to trickle down fully in fiscal 2025?
Kunal Malani: Yes, for the full year, yes, it will start moving in absolutely. Sure.
Moderator: Thank you. Next question is from the line of Vivek from JM Financial, please proceed.
Vivek: So my question is on the arrangement with B IEL Crystal. If you can share your thought process around this arrangement and what is the potential that lies ahead of this arrangement ? Thank you.
Laksh Vaaman Sehgal: Thank you for asking th is question, Vaaman here. Look , in the last five year plan, we were very clear that while we will continue to focus on the mobility and the automotive business, we will also look to diversify the business and use our strengths in engineering, manufacturing, where we have other opportunit ies in other industries. That's why we set up complete teams to look at healthcare, again, manufacturing of products, logistics and as we were building up these teams at aerospace and defense, of course. So as we continue to make progress, and you kn ow there is a big push in Make I n India and a lot of new customers are coming in, new industries are growing on the manufact uring side and automotive having very strong reputation and capability in delivering highly engineered products , I think this was an opportunity that came to us for a partner in BIEL to make products in the consumer electronics space. We had a

meeting of the minds and a good partnership has been started and we're going to
obviously also tr

y to grow in the consumer electronics space. So this will continue to
diversify the revenue stream , give us opportunities of growth when perhaps there are
difficulties in some other industries, this will continue to grow and bring in additional
opportunities for our people.
Vivek: Thanks, Va aman. Any timelines for this arrangement to see a movement in terms of
product and customers?
Laksh Vaaman Sehgal: Look, we will come back to you. We've just signed the deal with the partner over there.
As we start to get into that and start putting in the capacities, we will come back to you
and tell you a lot more of what we are doing over there. Currently bound by
confidentiality contracts and what we are trying to do , but rest assured it's a very positive
development. We feel it's an exciting revenue stream for us coming down in the future
and definitely we will already start to sho w in about this in the new year perhaps in a
small way but grow up fast as we are successful as a partnership. So please stay tuned
and we'll come back with more color on it o nce I have more stuff to share.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference
over to Mr. V. C. Se hgal for the closing comments.

Vivek Chaand Sehgal : Thank you. I think a lot has been said. Vaaman , I give it to you to d o the closing
comments, please.
Laksh Vaaman Sehgal: So, once again, thank everybody for their time to come onto the call and ask all the
questions. As always, we are always available to answer any follow -up questions. The
contacts are there on the website. Please feel free to reach out to any one of us. We
look forward to your continued support. It's been a lot of hard work put in by the teams
and this being the last quarter of the year, definitely all the teams are focused on
finishing strong and entering into the last year of our 5-year plan. So please stay tuned.
A lot of exciting updates coming up and look forward to speaking with all of you in the
next quarter. Thank you so much. All the best. Bye -bye.
Moderator: Thank you. On behalf of Samvardhana Motherson International Limited, that concludes
this conference. Thank you all for joining us and you may now disconnect your lines.

# Call: Jun 2024

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June 5, 2024

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National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G -Block
Bandra -Kurla Complex, Bandra (E)
MUMBAI – 400051, India

Scrip Code: 517334 Symbol: MOTHERSON

Ref. : Transcript of Investor Call

Dear Sir(s)/ Madam(s)

This is with reference to our letter dated May 29, 202 4 informing about the audio recording of conference call with Investors on the financial results for the quarter and financial year ended on March 31, 202 4.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the aforesaid conference call.

The above information is also available on the website of the Company: www.motherson.com

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited
(formerly Motherson Sumi Systems Limited)

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 “Samvardhana Motherson International Limited (SAMIL)
Formerly Motherso n Sumi Systems Limited
Q4 FY24 Earnings Conference Call”
May 29, 2024
Management:
Mr. Vivek Chaand Sehgal,
Chairman
M
r. Laksh Vaaman Sehgal,
Director
M
r. Pankaj Mital,
COO and Whole Time Director, SAMIL
M
r. Kunal Malani,
CFO, SAMIL
M
r. Rajat Jain,
COO, Vision Systems Business Division



Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY'24 Results Conference Call of Samvardhana Motherson International Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vivek Chaand Sehgal . Thank you, and over to you, Mr. Sehgal.

Vivek Chaand Sehgal : Thank you. Good evening, ladies, and gentlemen. Thank you for joining the results conference call for S AMIL . I'm pleased to announce the Board has approved the results for the full financial year 2024. S AMIL has delivered its best ever performance, in which all key parameters registered a high double -digit growth.

The leverage ratio has been reduced to 1.4x from 1.7x a nd debt has been reduced despite huge, large M&A payouts and growth capex during this FY. We are trusted by our customers and the automotive booked business is of nearly 84 billion and gives you long -term visibility. We are setting up 18 G reenfield plants and 6 new Greenfields announced in this quarter, 13 of them in India, four in China and one in Poland.

I will now hand over to Vaaman to provide further business insights. Then the team is here to answer your question.

Laksh Vaaman Sehgal : Thank you, Papa . Good evening, ladies and gentlemen, and welcome to the S AMIL’S Earnings Call for the Full Year 2024. The company reported full year revenues of approx. INR98,700 crores, up 25%; EBITDA of over INR9,300 crores, up 46%; and PAT of over INR2,700 crores, up 82% compared to FY'23.

All business divisions have done exceptionally well on a full year basis, along with the fact that Emerging Businesses segment for the first time has reached a revenue of approximately $1 billion with strong profitability. It has been the highest margins amongst all our divisions. The full year results, however, are to be viewed against the backdrop of macro factors stabilizing, although at elevated levels. I'm referring to Slide 5 in our presentation. The manpower inflation continues to pose challenges f or us, and further commodities are showing an upward trend with copper already sitting at the 10,000 mark and aluminium at 2,500.

I would like to clarify a majority of our commodities are with pass-through effect, although with a lag to the customer. Further, the volatility in the Middle East will continue to mount pressure on the logistics supply chain for us.

While the global light vehicle production grew by approximately 8% to 91 million in FY'24, the growth is visible across the board in all key geographies.

Europe and North America, however, are still 10% to 15% lower than pre -COVID levels and emerging markets continue to drive volume growth. The automotive mega trends of

premiumization and SUVs are playing out as we have stated to you before in our key geographies and our businesses continue to benefit from content increases on the back of these trends.
As the auto industry transitions to low and zero emission vehicles, the shift is happening at varied pace across geographies as OEMs adapt and evolve their strategies. The growth in EVs and Hybrids is lower than anticipated a year ago especially in develop ed markets. (please refer to slide #7 in the presentation ). I would like to highlight that Motherson's Portfolio is power -train agnostic and poised to gain from industry trends and content.
The well -diversified business model with 3CX10 as a strategy enables us to mitigate regional risks and capitalise on various new opportun

ities while ensuring stability and resilience. As an example while some pockets were impacted in FY24, we gained in oth ers, such as growth
coming out of emerging markets for auto and non-auto, Trends of premiumisation playing out in developed markets. (For more details on this you can refer to slide #11 & 12). As the auto industry transitions to low and zero-emission vehic les, the shift is happening at varied spaces across geographies as OEMs adapt and evolve their strategies.
The growth in EVs and Hybrids is lower than anticipated than a year ago, especially in developed markets. Please refer to Slide 7 in the presentation. I would also like to highlight that Motherson' s portfolio is powertrain agnostic and poised to gain for industry trends and content.
The well diversified business model with a 3CX10 strategy has enabled us to mitigate the regional risk and capitalizing various new opportunities while ensuring stability and resilience.
As an example, while some pockets were impacted in FY '24, we gained in other such as growth coming out of emerging markets for auto and nonauto, trends of premiumization playing out in developed markets. For more detail in this, you can refer to Slide 11 and 12.
I would like to highlight that the full impact of closed acquisitions that have come in will impact -- this customer and component mix will further get diversified as these get fully embedded in our results. The company is well positioned to benefit from t ailwinds in emerging markets. This year alone, we are adding 6 Greenfields across India, China, and Poland. More information on this is on Slide 16.
This is over and above the 12 that we have already announced earlier. We will be investing INR2,000 crores on new Greenfields in FY'25. 70% of this capex will be towards nonautomotive Greenfields . Overall, we are likely to invest in capex about INR5,000 crores plus or minus 10% in FY'25.
On the inorganic front, SAMIL has closed all announced acquisitions. I would like to highlight that FY'24 numbers only factors 6 months of Dr. Schneider and 8 months of SAS. The impact of other key acquisitions, such as Yachiyo, AD Industries and Lumen would only be visible for FY -- from '25 quarter 1 onwards.
If acquisitions closed during the year, annualized along with Yachiyo, AD Industries and Lumen. The reported revenues would be approximately INR 1,13,000 crores versus the current reported



revenue of approximately INR98,700 crores for FY '24. Another important milestone will be crossed for us with the sales crossing the 1 lakh mark.
While we are investing for future growth, we're also very much disciplined in our approach. The leverage ratio, as guided to all of you by Kunal, has improved to 1.4x from 1.7x with a reduction in gross debt of about INR1,800 crores compared to December 2023. It is important to note that we are back at FY '23 levels on leverage despite the large M&A payouts and growth capex done for the future in the current fiscal.
We are quite comfortable with our liquidity position with undrawn committed lines and cash of approximately INR15,000 crores as of 31st of March '24, which gives us significant firepower to pursue more growth opportunities while maintaining financial prudence.
The company's disciplined approach has resulted in positive rating actions with Moody's Ba1 rating under review for upgrade and Fitch upgrading senior secured bonds to BBB - investment grade. It is a testament to our commitment towards ensuring sustainable growth and delivering long-term value for all our stakeholders.
We are extremely grateful to our customers. Their trust is reflected in the automotive booked business of close to almost $84 billion, which is up from USD 77 billion reported in September 2023. Please note that this

automotive booked business does not include the Yachiyo

as yet. Nonautomotive booked business will further add to this number. The full year results demonstrate SAMIL as a robust platform for growth underscored by clearly laid -out plans, that is our 5- year strategic plans that guide our direct ion. We are in the -- as we're in the fourth year for our Vision 2025, I would like to provide an update on the various metrics.
One, the pro forma gross revenue is estimated at approximately INR1,72,000 crores or $24 billion on a constant currency basis. Please refer to Slide 27. Two, the company remains focused on ROCE and absolute profitability, and I'm happy to report that the ROCE has improved to 17% in FY '24 compared to 11% in FY '23. Please refer to Slide 18.
And finally, the nonautomotive business incubated as a part of Vision 2025 strategy has started to shape up with a potential to grow exponentially from here with changing times and alternative supply chains being set up. Among a few lesser -known facts post the acquisition of AD Industries, our Aerospace division is now one of the key suppliers of structural and engine components to Airbus and Boeing.
The Health and Medical facility is also well on track to receive certification and will start supplying to the new set of customers in the current financial year. Given our manufacturing DNA and operational expertise, new customers have approached us to pr ovide solutions in new segments, as a result of which we are further investing and diversifying into consumer electronics. I would like to congratulate the team on delivering stellar results as we push on to reach our Vision 2025 targets. The team and I are happy to answer all your questions. Thank you very much for patient listening.
Operator, could you please assemble the questions?


Moderator: Our first question is from the line of Kapil Singh from Nomura.
Kapil Singh: Congratulations on a very strong quarter. Just one clarification on -- there is some onetime items here that are mentioned for Q4 EBITDA. If you could just help us understand, there is INR197 crores contributed by customers towards forex and also INR69 crores of forex gain. So, I just want to understand these are accounted for in which line item and which business division it represents? And this is for which period? And also, if you can give some colour , is there is -- is this for the full yea r FY'24? Or there can be more such claims which we may realize...
Vivek Chaand Sehgal : Kunal, can you take this?
Kunal Malani: Yes. So, Kapil, the INR 197 crores is in reference to compensation that we have received for the losses that we suffered in Argentina. If you remember, last time or last quarter, we had highlighted some of the challenges we have in Argentina given how the f orex devaluation happened in that part of the world, which we had said that we will be working with the customers to share, which is part of the compensation that we have received. This has been embedded as revenues because it's come as a com pensation not netted off against cost.
The cost of this is still residing in finance costs, given that how the hyperinflation accounting -- but at the EBITDA level, this has come as compensation for what you have seen in the finance cost. Hence, we have classified that as one-off from an EBITDA perspective. We are not seeing that same thing plays out at PAT level because there it gets netted off against the forex losses that we have in the financial cost. Hope that answers...
Kapil Singh: Can I just ask, for the -- this is for the Q4 FY '24, is this reflecting in the profit after tax? I believe you're referring to the full year.
Kunal Malani: Yes, I'm referring to full year, absolutely, right. So, if you're referring to the Q4 data -- in the Q4 data, there are other elements also in there which includes INR69 crores of forex gains as well tha

t are sitting in there. So that's the INR 266 crores number that is based. The size is INR 197 crores, there is a forex gain, which is again netted off against the forex losses given the hyperinflation accounting is residing in the interest costs.
Kapil Singh: And this INR 197 crores in Q4 is -- and INR69 crores, both of these are in revenue or where are they accounted for?
Kunal Malani: So, your INR197 crores is accounted for in revenue, INR 69 crores would be in other expenses, netted off against other expenses.
Kapil Singh: Okay. Okay. And this is for which business -- okay, you mentioned that it is for covering the losses, understood. And which period does this cover up for? This is mostly in FY '24?
Kunal Malani: That's right.
Kapil Singh: Okay. Are we having more claims? Or FY '24 claims are settled?

Kunal Malani: This one, we are not adding more claims on. Obviously, the hyperinflation scenario and Argentina continues to evolve. Same is true for Turkey as well. And as it plays out, we will work with the customers to see how we are able to get their support.
Kapil Singh: Sure. And could you also talk about there is a INR 231 crores deferred tax asset -- could you just talk us through that? What has caused that? And what could be the effective tax rate for next year considering this?
Kunal Malani: Look, the deferred tax assets as the performance of different parts of the group has improved as well as some of the international reorganisation that you're aware that we have done has resulted in our ability to claim some of the past tax losses. And hence we put INR 231-odd crores as deferred tax in this quarter, incrementally over normalised levels, if I had to put it. On a more normalised level, I would think the ETR would be somewhere in the 25%, 26%, 27% level, somewhere in that level.
Kapil Singh: Okay. And sir, just lastly, I wanted to check, we are putting in a lot of capex for next year with these Greenfields . Any indication on the potential revenue that these facilities can generate at full utilis ation? And also, if you could give some colour on the Consumer Electronics capex ? What is the capex there? And how much is the capacity put up or what is the end product?
Kunal Malani: So, Kapil, the capex , we don't give revenue guidance, as you know. So, it will be incorrect for us, right, to talk about the Greenfields in particular. You can do potential assessment with some asset turnover effect that you want to have some sense of it. But we'll be spending around about INR2,000- odd crores across these 18 -odd Greenfields , which will be coming up in different points in time. Typically, the Greenfields typically take anywhere between, let's say, 6 to 18 months for the ramp-up to happen depending upon what product line it is in. Vaaman, you want to add.
Laksh Vaaman Sehgal : Yes. Look, I think like as said, we are bound by confidentiality clauses to dis close too much around the sales and the capex of the individual things. But as you can see, the growth is quite visible in all the new business segment that we are reporting as an individual segment. We will take some cues from that. We expect it to grow rapidly from here on an exponential basis as these plants come into commission and these things get paid out, but we'll only be able to give you more information about that later in time as these things become that much more significant. But we are definitely putting the platform for the business to grow significantly.
Kapil Singh: Sure. Sir, I was not looking for a revenue guidance, but just maybe some more colou r, particularly on the Consumer Electronics side because it ’s a new division. Anything you can share in terms of product at least?
Laksh Vaaman Sehgal : We had already shared in one of our last results, the joint venture that we have formed and how we are building on that. You could look at that for cues. But as of right now, we are not allowed to disclose anything more on it.
Moderator: Our next question is from the line of Jinesh Gandhi from Ambit Capital.





Jinesh Gandhi: Congrats on great set of results. A couple of clarification from my side. One is that this Slide 27, which you are referring to – we have 2 items, INR 14,500 crores and INR 14,000 crores. So that is the impact of – if we consolidate the – all the acquisitions for the full year, that ’s what it is?
Laksh Vaaman Sehgal : Yes. So, because we are always measuring ourselves as compared to what we set out for our plan in 2020 for Vision 2025. So, if we allow everything to move in, like, for example, forex rates, etcetera, we kind of fix them at that point in 2020, so that we can really have an apples -to-apples comparison on how we have done on delivery of our 5- year plan.
So, if you look at, of course, the FX rates of the – that we have set at that time and we set the vision because, of course, we are in multiple geographies, multiple different forexes plays out. It’s out of our control whether something moves up or down, plus you take what is the full year run rate of these acquisitions that we have done, with that conversion rate of the FX, we are somewhere around the $24 billion mark.
Of course, the way the current forex is – the forex rates are, the number on like – on an accurate basis is slightly lower. But again, we are only measuring ourselves as we committed for our 2025 FY plan at that time in 2020. So, taking all of that and this has been consistent how we ’ve done it for all our 5-year plan.
We are – wanting to show you that just in the – up to the fourth year, we ’re already at that $24 billion out of $36 billion. We still have a bit of runway to grow. But like I said, we are maintaining all financial prudence to make sure that we deliver the strongest results and

preparing the company for long-term growth.
Jinesh Gandhi: Got it. And would it be possible to talk about what would have been EBITDA for the full year if we consolidate all the acquisitions for the full year as against INR9,300 crores
Laksh Vaaman Sehgal : It will be a little bit difficult to do that because, of course, some of these acquisitions that we have acquired have been distressed. And of course, with us coming in and doing a lot of the reorganization changes, it will not be reflective of what is really the current situation. I think some of the bigger ones that you are seeing, for example, SAS, all of that has already played out.
But you're going to have to give us a couple of quarters to see how the new ones are panning out. But of course, our endeavour is to do much better than what we have -- where we got these assets and that has been the track record and history of Motherson to be able to deliver on that. So, we are hoping that you will see that in the next quarter itself.
Jinesh Gandhi: Got it. And second clarification was regarding this one -off forex gains. So, the entire INR 266 crores is residing in fourth quarter, INR 197 crores is in revenue, INR 69 crores is in netted off in other expenses. Is that correct?
Kunal Malani : That's right.


Jinesh Gandhi: Got it. And lastly, from the capex perspective, for the full year, we are expecting to spend INR5,000 crores, including INR 2,000 crore s in Greenfields . So, would you be able to share, apart from this INR 1,400 crore s in the new business is 70% of INR 2,000 crores, broader areas where we are investing, which businesses are we investing in?
Kunal Malani : I thought the information is already there on Slide 16.
Moderator: Our next question is from the line of Abhishek Jain from Alfaccurate Advisors Private Li

mited.
Abhishek Jain: Congrats for a strong set of numbers. Sir, in the Vision Systems growth Y -on-Y is 16% but EBITDA margin remain flat at 10.3%. So, what is the outlook ahead on the margin side and the top line growth?
Rajat Jain : So, Abhishek, as you know, SMR is a very diversified business working with most of the OEMs globally in all the geographies. So if you see the growth this year as well when we compare to the vehicle volume growth has been pretty good. So volume growth has bee n about 8% and what we had delivered about 16%. Of course, the growth is not the same in all the markets. China has seen a very different growth curve. And we are not so much present with the Chinese OEMs, and that 's on purpose. So what you see is a reflection of our overall improvement that we've seen year -on-year.
Also a point that needs to be considered is last year and Q4, when you see, those were the one -off, which we had a write -back of litigation that we were having, which was about $10 million. So if you do a like -to-like comparison, then it shows a 9.7% EBITD A last year compared to a 10.3% this year. So that would actually show that the growth in profitability is higher than what we see actually in the reported results.
Abhishek Jain: So sir, in last year, in FY '24, there was also impact because of the labour strikes in the U.S. So most of this will not impact in this year. So most of the margin will improve further from 10.3% to 10.8% or 11%?
Rajat Jain : So as I said, I mean, this year, of course, had its own set of challenges. So there was Red Sea crisis. As you rightly said, there was also the strike effect in America. And while there was a catch -up in the later months, it did have an overhang. So clearl y, as we go forward, we will overcome all these challenges. If you see the ROCE performance, I think the ROCE performance has been very good, and that is where we focus. And going forward, we are coming very close to the group objective of ROCE performance. So you would see better performance on ROCE going forward.
Abhishek Jain: Okay. And sir, in Wiring Harness business, there 's a very strong growth of 19% Y -o-Y in FY '24. And further, there is an increase of the copper prices in this year. So what is the impact of the increase in the copper prices the top line and the EBITDA side? Positive or negative?
Pankaj Mital : So definitely, with copper prices rising, it will also – the revenue will grow up and copper is all passed through with a lag, but that's how it is and how the copper increases , get passed when it goes up or comes down.

Abhishek Jain: So is there any benefit of the increase in the copper prices in quarter 4 in the Wiring Harness business?
Pankaj Mital : Not significant because when it 's rising, copper prices rise, there will always be a slight negative impact because the pass -through is at a later date. W hen copper prices decline, then they can be benefit for a certain period of time.
Abhishek Jain: So most probably, the next quarter number will be better than this quarter because I think we will be able to pass on the cost to clients, right, sir?
Pankaj Mital : I mean, there are lots of factors. As you know that our businesses are in multiple geography, multiple customers, and there are a lot of factors which impact the businesses. And as I said, when you look at only the impact of copper, at a certain point of t ime, depending on how the average copper price being during the quarter and at what price the price has been adjusted before the quarter with a particular customer because there are different pricing norms with the customers, starting from wh ich month to which month . So it's an amalgamation of all of it together. That 's how the results will look like on.
So I can 't predict exactly how will the overall quarter look like, but always, as

a team endeavour
and Motherson has been to continuously keep improving things which are within our control and improve our operational performance and improve return on capital employed, that 's what we focus on. Because our products are also getting more and more enriched. And – so just looking at margins is not the best thing for us and hence, the company always focused on ROCE.
Abhishek Jain: And my last question on the recent acquisitions of Yachiyo and others. So what would be the incremental revenue you will be able to get in the first quarter because of these acquisitions?
Laksh Vaaman Sehgal : So again, if you look at Slide 27, you can get a little bit more idea of that. There 's a column which talks about the pro forma impact of closed M&A on net revenue, which is estimated, it's about INR14,500 crores.
Abhishek Jain: INR14,500 crores on an annual basis?
Laksh Vaaman Sehgal : That's correct.
Moderator: Our next question is from the line of Gunjan from Bank of America.
Gunjan: I just had a quick follow -up on the INR197 crores and INR 69 crores one -off that we have in quarter 4. Is there a way that you can call out which segment is this coming through? And because the reason I ask is in most segments, the margin seems pretty much what you do in Q4 or it's been within the range, but in modules, the margin has seen pretty significant expansion.
So is that 's where it is getting reflected? Is that a fair reading?
Kunal Malani : No. It is getting Integrated Assemblies. It's disclosed in Integrated Assemblies also, I think, on Slide 22.


Gunjan: Okay. Okay, got it. Okay. And then anything in particular to call out in the Modules and Polymer business on the margin expansion? Or is there something we need to read from change in mix, and this is where the margins are sustainable now? Because it 's typically been in the 7%, 8% range in this quarter has been quite meaningful improvement.
Laksh Vaaman Sehgal : Yes. Thanks for noticing that. Look, we 've been making a concentrated effort to improve margins. But of course, the delivery of the company on ROCE as a whole, and margins play a part of it. So we have definitely been taking a lot of actions to improve it. Also, we have been speaking about a lot of the sharing of the costs which we got some support from the customers as well. We have to thank them because they have had the confidence in us and continue to award us some programs and share some of the costs which are out of our control, which has, again, been played out.
But definitely, we seem to – we would like to maintain these and grow from here as we move forward. It was on the lower side in the past, but a lot of efforts are being made to improve this aspect of that divi sion and to catch up with the rest of the group. So it is a concentrated effort and hopefully, we 'll maintain growth from here.
Gunjan: Okay, got it. And just following up on that, in the past, you all have spoken about these renegotiations and a lot of cost increases which have happened in the last 2 years. There were constant conversations with customers. So is that an exercise which is to a large extent behind
now and it is more to do with what happens to commodities incrementally and we pass through that? So that onetime exercise is behind for now?
Laksh Vaaman Sehgal : Ma'am, I wish it was a onetime exercise, but there are new challenges that come out every quarter. There was a challenge of energy prices spiking in a couple of quarters, that has stabilized now. There are some – like now copper will be the automatic pass -through, but similar
commodities and they spike up, those kind of conversations happen with the customers. So it is a constant thing that we keep talking to our customers. Obviously, also when there are programs that are done phenomenally well, the reverse conversations also hap

pen.
So we want to focus on making sure that we can deliver the product in the most efficient manner. And whatever is an extra noise, which is not in our control, that 's something that we sit together
with the customer and make it in a fair equitable basis so that we support each other and continue
to grow. But definitely, there 's been a lot of work that has been done to make the operations
more efficient. And as we – the macroeconomic indicators start to stabilize, that 's when you
start to see much better perfo rmance and there's no spikes that are moving up in them.
And I think that 's the kind of level that we have reached with the macroeconomic environment
as well. So like I said, I hope that this continues, and things are stable. As they are stable, we
can continue to show improved performance as we put in our efforts. But there are volatile things
that happen or certain changes that come in the environment. We have to deal with it as it comes in and, of course, sit with the customer at the end of the quarter and the year and try to get a fair
outcome out of it.


Gunjan: Okay. Got it. And last question on the M&A. Clearly, you' ve been talking about more
opportunities coming to the market. And now from a balance sheet perspective also, there is
flexibility. Now if you were to sort of just give us a little bit of sense on what sort of inorganic acquisitions that we will be keen to pursue in terms of segments, in terms of – is there a new –
so you did talk about consumer durable, but bulk of the acquisitions come through in other segment now? Any colo ur how should we think about that?
Vivek Chaand Sehgal: I think we 've guided you in 2021 with a 5- year plan – It was in '19 -'20. And we had set a target of $36 billion. That 's the kind of range that we are talking about. We have enough to qualify the
difference between $36 billion and today 's target, whichever you take it. So please be sure that
we will not let our egos take over. It has to be customer directed. Customer is very important for us. And we have the trust of the customer. So depending upon the volatility and the other factors which are there in the world today if you will look at the VUCA world .
But I think there will be enough opportunity for us to make sure that we cross our target and as well be of huge , immense help to the people in those particular acquisitions and, of course, the
customer. So we don't really get carried away by a particular size or quality of the assets. We
believe that together with the customers, we have to work to make sure that this particular thing is achieved. And if the customer is happy, then definitely all our divisions, all our companies actually benefit because there's less stoppage of production and things like that. So it's a huge
philosophy that we follow. This is the sixth 5-year plan. And very difficult to guide -- I can't tell
you what is happening.
So all I can say is wherever the thing will be, it will be related to the customer. And the ability
of Motherson is we are not Gods or anything like that. We work together to solve the problem
of the three of us ; the customer, the company and Motherson. So I hope that would answer it.
But further than that, we can't give any colour or give, let's say, names or anything like that or
the division where it will happen. But a lot of opportunities customers calling up all the time,
telling us what to do. So we wil l keep evaluating that. And the results will come to you.
Moderator: The next question comes from the line of Amyn Pirani from JPMorgan.
Amyn Pirani: Two questions from my side. First of all, if I look at the list of your Greenfields , you are doing
a few of them in China also. Historically, as well as today also you mentioned that you are not
present in a big way with the local OEMs. Given that most of these Greenfi

elds are still
happening within the automotive segment, can you give some colo ur as to are we continuing to
be with the global OEMs in China? Or is there some plan to increase engagement with the local
OEMs who are gaining share?
Laksh Vaaman Sehgal : These two that you are seeing in China for Integrated Assemblies are for global OEMs, specific programs that we have won that we will deliver.
Pankaj Mital: And the other one is the Wiring Harness one where we work with our joint venture partner, and we support, as you know, on the commercial vehicle side. It's mostly Chinese truck makers and
their joint ventures with global truck makers. So we do supply to al l the joint ventures -- with


the global truck makers like Daimler and so all those things we are doing. So for that purpose,
it's there.
Laksh Vaaman Sehgal: And also, I mean, I think it's important for you to understand that we are not putting up capacities

for Chinese customers or something like that. I think we have taken a view as a group that we will, in a calculated manner where we know that the customer is growing well, and we have a good probability of success, we are also catering to the local market. Of course, it's a small portion of our sales. But as the market will change and evolve, we will also change and evolve.
When entered that market, the international OEMs dominated.
Now you've seen that some of the Chinese OEMs are setting up s hop, outside as well. So why would we not offer our services that we know that we can give them a good solution and we can maintain our profitability and recover our investments. We will definitely look at those opportunities and treat them on a fair and equi table basis. It was just historically, when we acquired this company, we focused on it. But we are adapting to the market as the market needs.
Vivek Chaand Sehgal : And I think to add to what Vaaman has said, I personally feel, in my view, that the Chinese manufacturers, OEM suppliers, ancillaries and all that will have a very tough time when they go out of China. And that's where Motherson facilities will get a better opportunity to be more competitive because the playing rules will be in our favour . We're already there.
We already know the challenges and etcetera. I think the Chinese ancillary suppliers will have a tougher time. That's what I feel. Though they are very good, might subsidize and might do, whatever. But I think out of China, it's a level playing field, and we would be in an advantageous position. That's just my view.
Amyn Pirani: Understood. No, that's good to know because they are expanding in Europe where you obviously already have a very strong presence. So that's a very interesting point. Secondly, just a clarification, this INR 5,000 crores NCD that you are planning to raise, is it mostly some debt in financing? Or are we looking at keeping some cash for some extra capex going forward or -- for M&A?
Kunal Malani : Look, it's an in- principle approval. As you know, the regulation requires us to take an in-principle approval. And last time, we have taken INR 3,000 crores. We had issued INR 1,500 crores. We've taken INR 5,000 crores depending upon the need of the business, we will come back and announce what is the size. So -- this is an in -principle approval for INR 5,000 crores.
Moderator: The next follow -up question is from the line of Kapil Singh from Nomura.
Kapil Singh: Just one follow -up. Is it possible to comment on Yachiyo's performance for last year? Or is it possible to share numbers in that ? But if not, at least qualitative comments on revenue and margin performance would be helpful.
Laksh Vaaman Sehgal : Look I think -- look, we would like to focus on what we have inherited, and we will again see what we do with that in the results. I mean you can look up whatever is there, publ

ic record that



is there available in the public domain as they were a public company before we acquired it. So you can have a look at that.
But of course, there are some bits which have been kept by Honda San such as Goshi , which is a part of the products that they offered. So you really won't get a like -for-like information from there. I would suggest, please wait for a quarter. You will see the first quarter result of Yachiyo, and then we can answer a lot more questions and we have full grip over the entire business and the accounts.
Moderator: Our next question is from the line of Suhrid Deorah from Paladin Capital.
Suhrid Deorah: My apologies, I joined the call a little late. I have two questions. One is that from your vantage point currently, how do you see the business environment and the M&A environment?
Laksh Vaaman Sehgal : Look, from the business side, I think our strategy of 3CX10, no customer, no country, no component to be more than 10% of our business has really helped us through this volatile times.
Different geographies go through different periods. We can get into it region-wise. But of course, great bright spot is in India. Record number of cars produced, and we hope that this will continue in the year. We know the European outlook; a lot of challenges have been there. So we are looking at consoli dating more over there. We've done a ton of acquisitions.
And as you can see, the trucks are also going up and down depending on the geography that you are there. So again, I think what we do at Motherson is that we try to focus on where the bright spots are and continue to grow those operations. And breathe with the market where there are challenges and make sure that we are the last people standing over there, so that when the business comes back, we can grow. And that's the kind of thing that we have been doing.
With the acquisitions, we have further, obviously, cemented our closeness to the carmakers, to a lot of our customers and penetrate more and more, increase the content, have their trust and are being asked exclusively to go after these acquisitions, a reco rd number of acquisitions for us. We are busy integrating them into the Motherson DNA. So the challenges still remain. We are -- we were just discussing, I don't know, if you were on the call or not, that on a like -to-like

basis from where we set the plan for Vision 2025, we are going at $24 billion.
We still have $12 billion to go. So those are opportunities that we still are on the lookout for.
But again, no gun to our head or something like that, that it has to be done at any cost. We will, as you have seen in this quarter's performance, maintained our leverage ratios, maintained our profitability, maintained all the growth targets, and continue to invest in Motherson for the long term, whatever that number will be at the end of this year.
But definitely, we see hope. There's a lot of trouble issues that are still out there in the world that the customers may need us to solve. And we will be opportunistic about it. So teams are not -- don't have any time to really be not focused. I think a l ot of stuff still on our plate that we continue to solve as we move forward and hopefully, end the year and the 5- year plan very strong.


Moderator: As there are no further questions from the participants, I would now like to hand the conference over to Mr. Vivek Chaand Sehgal for closing comments.
Vivek Chaand Sehgal : Thank you very much for all the questions. I hope my team could answer them to your satisfaction. We are still a very OEM -focused company, and we have a lot of issues on what we can say, what we cannot say. But to the best of our ability, we try to explain things to you. But it's interesting to see th

at if you look at this last year, we have been telling you all that there are a lot of acqui sitions happening. In fact, we've closed 18 acquisitions. A company which gets that kind of opportunity, definitely ha s the trust of the customer.
And even now, we are inundated by requests, not just from the OEMs, but even from the customers , from the component makers themselves which are asking us, "Can we be a part of SAMIL", the way we professionally manage all the acquisitions and all that. People h ave done 2 or 3 acquisitions and closed on 2 or 3 acquisitions as well. Motherson has a good record. We have not closed any acquisitions. We have not shifted. We have taken all the challenges head on. So I think the next year is going to be -- this cur rent year is going to be a very fulfilling one because we have the trust of the customer, and please don't have doubts that we will not cross our targets.
With that, wish you all a very happy evening and business in the coming time. Thank you very much. Grateful.
Moderator: On behalf of Samvardhana Motherson International Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

# Call: Aug 2024

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August 21, 2024

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MUMBAI – 400051, India

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Ref. : Transcript of earning conference call

Dear Sir(s)/ Madam(s)

This is with reference to our letter dated August 13, 2024, informing about the audio recording of earnings conference call on the unaudited financial results for the quarter ended on June 30, 202 4.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the aforesaid earnings conference call.

The above information is also available on the website of the Company: www.motherson.com

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited

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"Samvardhana Motherson International Limited (SAMIL)
Q1 FY2 5 Results Conference Call "

August 13, 202 4

Management:

Mr. Vivek Chaand Sehgal,
Chairman

Mr. Laksh Vaaman Sehgal,
Director

Mr. Pankaj Mital,
COO and Whole Time Director, SAMIL

Mr. Kunal Malani,
CFO, SAMIL

Mr. Rajat Jain,
COO, Vision Systems Business Division



Moderator: Ladies and gentlemen, good day and welcome to Q1 FY2 5 Results Conference Call of Samvardhana Motherson International Limited.

As a reminder, all particip ant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone.

I now hand the conference over to Mr. Laksh Vaaman Sehgal . Thank you and over to you, sir.

Laksh Vaaman Sehgal: Good evening ladies and gentlemen and welcome to the S AMIL's Earnings Call for Q1 FY2025.

The Company reported quarterly revenues of approximately Rs. 28,900 crores, which is up 29% EBITDA of Rs. 2,785 crores, which is up 44%; and PAT of Rs. 994 crores, which is up 65% compared to the same quarter last year. Being a ROCE focus ed Company , we monitor this metric diligently. And I would like to report that the consolidated ROCE based on Q1FY25 annualized basis is now sitting at 18%. While we have a bit to go towards 40%, we will surely make more progress on this number in coming quarters.

Both organic businesses and acquired assets have demonstrated strong performance in this quarter. While on one hand, the organic businesses continue to improve absolute profitability and provide growth over the market. On the other hand, acquired assets continue to contribute to our enhanced size and scale.

All the M&As announced over the past many quarters have been successfully closed in SAM IL. And SAM IL is now a more diversified and robust platform of growth for all stakeholders. It is important to highlight that all acquired assets together have been margin -accre tive. And as synergies start to unfold, things should improve even further.

These results are to be viewed against an external environment, where on the macro side, certain pockets of challenges still remain, such as commodities like copper remain inflated during the quarter and is now showing signs of softening. The logistic costs creeped up signi ficantly due to the Red Sea crisis and congestion at the Asian ports, which resulted in longer lead times and hence higher inventories. You can see more on this on Slide # 6.

On the vehicle production side, I want to highlight that the light vehicle production remained largely flat on a year-on-year basis. Significant amounts of growth coming out of India and China is being offset by softness of demand in the developed markets, especially Europe. Some of the industry forecasts are projecting light vehicle production

to be flat or even slightly de -grow in fiscal 2025 as compared to fiscal 2024. This is being attributed to the evolving platform mix due to sluggishness in EV pickup. Motherson , however, is a powertrain neutral Company which positions us well in the medium term. Further, the automotive trends of premiumization and SUV still hold forth and continue to drive content per vehicle growth, which again augurs well for us as well. Please refer to Slides # 7 and #8 in the presentation for more information on this.
The diversification towards the non -automotive business, which we set out in our five - year plan, is now gaining traction. On the aerospace side, during the quarter, we closed the acquisition of AD I Industries, which brings in capabilities of soft and hard metal machining, which is critical for engine components, and setting our footprint right next to the customer. In India, we are setting up two plants to support new product lines and vertical integration and are expected to come on str eam in the second ha lf of FY25.
Another key non -auto business being developed is the consumer electronics. It is truly a testament of engineering and manufac

turing capabilities we have at SAM IL. This new
vertical, we envisage that will require investments of around Rs. 2,600 crores over a period of time. We are setting up state -of-the-art facilities with an estimated area of more than 130,000 square meters for this project. We expect start of production around September - October, with subsequent ramp up in production over the next year.
Our CAPEX for the quarter was Rs. 1,078 crores. As announced earlier, we are setting up new plants to support growth coming out of emergi ng markets. Out of the 18 Greenfield s we have announced earlier, two have been operationalized and commence d production in India and China respectively. Additionally, we are adding one new plant in Mexico. I woul d like to highlight that seven Greenfield plants are being set up in the non -automotive space in line with our diversification aspirations.
For further details on this, please refer to Slide # 12. Our CAPEX guidance remains the same at Rs. 5,000 crores plus minus 10%. However, with all the acquisitions closed and in light of the increased business parameter that we have with these new businesses, we are reassessing this. And businesses such as Ya chiyo, Lumen and ADI have all come in.
During the quarter, net debt increased by Rs. 3,000 crores. This is primarily attributed to the M&A closures and increased working capital requirements due to the Red Sea crisis and vo latility in customer schedules.
The increased working capital expected to normalize in the second half of FY 2025.
Despite the increased net debt and CAPEX for growth, the net leverage ratio at the end of the quarter remained at 1.5x. This reflects a strong focus on our financial prudence. The net leverage ratio is well within our management targets and our comfort, and our

focus is to constantly deliver. Our disciplined financial track record is demonstrated by multiple rating upgrades by esteemed agencies. Please refer to slide 11 for details.
On capital market actions, I would like to provide an update on the following. During the quarter, we also issued our first dual investment grade bonds of US $350 million being a debt neutral transaction for us. We are comfortable with our debt maturity profile and have access to well diversified set of capital resources with 1.4 billion available from committed and undrawn facilities and also unrestricted cash and cash equivalents. Please refer to the debt and liquidity profile on slide 13.
Our equity continues to be very dear to us. If we were to consider raising fresh capital, it will be for the growth of the Company . Over the past 18 months, we have closed a record number of M&As and we continue to see more opportunities in the developed markets.
On the organic side, we are continuing to invest in growth CAPEX in the emerging markets for both automotive and non -automotive businesses. As we evaluate these opportunities, we want to proactively develop our capital structure that will position us well to be able to undertake some of these opportunities. We hence thought it is prudent for us to take an enabling resolution for potential capital raise in the future. I would like

to thank the team for delivering great results. And with this, I would like to conclude my
remarks and open the floor for your questions. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first
question is from the line of Jinesh Gandhi from Ambit C apital. Please go ahead.
Jinesh Gandhi: A few questions from my side. One is if I look at the organic growth excluding acquired
assets, the number which we provided, organic growth had been largely flat on Y oY
basis. Do you expect this trend to continue given the commentary of muted vehicle
production growth or we should be continuing to grow ahead of the industry based

on
the Greenfield plants which are coming ?
Laksh Vaaman Sehgal: Thanks, Jinesh . Which number are you referring to ?
Jinesh Gandhi: Primarily deducting the Rs. 6,000 odd crore from the revenues and looking at organic
growth.
Laksh Vaaman Sehgal: Right. So, look, I think definitely there is quarter on quarter variance that happens , Q4
versus Q1 and Q1 over what we had last year. We are also obviously adding in a lot of
the new businesses that are coming in. Sometimes in quarters, depending on the
launches and as they are taking, you could see some differences that happen on a
quarter basis. But overall, we are seeing growth because of the macro factors of
premiumization and the SUV trends that are happening and our growth in content. So,

over a longer period of time, we are seeing definite growth that is happening, not just
because of the acquisition, but also on the organic side. But like I said, there could be
small variations that happen on q uarters, depending on branches.
Jinesh Gandhi: Content obviously is one of the key drivers for our work on this category. And second
question is on the consumer electronic component business where we are looking to
invest about Rs. 2600 crores. So, is this entirely for JV with BIEL Crystal or this is
beyond that?
Laksh Vaaman Sehgal: So, this was particularly for the investments that we are making for that JV , for our
businesses that we are gearing up for that consumer electronics business. we believe
that we will have a good chance for winning a lot of business from customers.
Jinesh Gandhi: And by what will be the timeline for this investment of Rs. 2600 crores , by when it should
be up and running ?
Laksh Vaaman Sehgal: So, we have already see n some of that business start towards the second half of this
year and it will ramp up next year. And this investment will continue for over a period of
time, so a couple of years as well. So, we are bringing that information out upfront, but
as the facility comes up and the business picks up, this will be over a period of time.
Jinesh Gandhi: And the 18 Greenfield plants which we are investing for. Would they be largely
operational by end of this financial year and ramp up by second half FY26 ? Is that the
right way to look at it?
Laksh Vaaman Sehgal: We just mentioned that some of them have already been operationalized with two of
them that have come on. The rest of them are in varying stages. So, yes, some will
come on later half of this year and some will obviously p ush into the next year as well.
Jinesh Gandhi: And any sense on what could be revenue potential of these Greenfield s?
Laksh Vaaman Sehgal: You know, it's because it's automotive and non -automotive. I think we want to stay
focused on our FY25 number. This will add significantly to the organic side, but definitely
a lot more will come as these businesses ramp up in coming years. So, cannot give you
the number exactly on that, but definitely there is a lot of growth to come from this
organic investments that we are making.
Jinesh Gandhi: Got it. And last question on the enabling resolution. So, this will be only if we get any
good inorganic opportunity or this will also be to manage our organic opportunities in
some of our de bt covenants?
Laksh Vaaman Sehgal: We are very comfortable with the organic opportunities and the debt covenants. As we
said, we are at 1.5x net debt to EBITDA . So, we are very far away from our covenants.

We will continue to deliver on the organic side. This is definitely enabling for what more
comes in the future and if a larger inorganic opportunity comes. We have a clear target
for FY25, which is to be 36 billion with a 40% ROCE. But that's just preparing us
because we see a lot of challenges that are still

there in the European markets and the
amount of focus that we are getting as being a superior engineering Company in India and the further opportunities that we will get. So, this is only for what we d on't have on our hand right now. Everything that we do have, we are fairly comfortable with our debt profile and how the businesses are delivering with the continued performance that they are giving. This was really a very spectacular quarter for us to have these kind o f numbers on the first quarter.

Moderator: Thank you. The next question i s from the line of Mumuksh Mand lesha from Anand Rathi Instituti onal Equities. Please go ahead.

Mumuksh Mandlesha: So, firstly, on consumer electronic business, can you talk about what kind of business opportunity site is there with this investment? And also, I mean, what kind of customers we have with us for this business?

Laksh Vaaman Sehgal: Look, these are all highly engineered products. Again, we are working with a joint venture of B IEL Crystal . So, we want to get into more of the glass side of products. They are varied customers, all consumer electronics customers, could be relevant customers for this. And I believe that as the push is coming in India to manufacture more and more electronics, this augurs well and gives us the capability. And we will build a lot of custom ers in this field. At this point, this is all that we are able to say.

Mumuksh Mandlesha: On this overall non -auto picture for us, what kind of growth we see over the medium term or what kind of revenue share we see for this non -auto side sir?

Laksh Vaaman Sehgal: Thanks. So, the target was always to be 25% business to come from non -automotive. So, of course, as you can see that not just the consumer electronics, even the aerospace and the defense businesses, these are also g rowing quite nicely. We also have a medical facility that is coming up in Chennai, which is helping us to diversify in that field. So, these are some of the segments that we have identified. We are building businesses, and I believe a large flavor of this will come in the next five -year plans as these businesses take scale.

Mumuksh Mandlesha: Got it sir. On the electronic assembly you mentioned in the previous question sir. I just want to understand what is this kind of product basically you are talking about?

Laksh Vaaman Sehgal: The JV is specifically for glass products that go on a lot of electronic instruments.

Moderator: Thank you. The next question is from the line of Raghu nandan from Nu vama Research. Please go ahead.



Raghunandan: Sir, firstly, in consolidated numbers, the raw material cost to revenue has significantly reduced by 290 b ps YoY. What would be the main factors leading to this reduction? I mean the copper prices have gone up 15 %. Can you also indicate on the input commodity side, which would be the main commodities apart from copper and plastic for us?

Kunal Malani: Raghu, I think the way to think about it is two, three things are embedded. One, obviously, the mix of businesses has changed. In quarter one, as an example, you did not have the integrated assemblies part of the business, which traditionally does carry a lower amount of, let's say, raw material in comparison to some of our other businesses. 2) Needless to say, if you think about last year, this time you were seeing a fair amount of headwinds, a fair amount of unknown electricity cost etc. which were all getting bloated up. And hence, there was a pain period for which we had told you that we are working with the customers to reprice our products. And hence, what you are seeing in th is quarter is how that repriced s ituation is looking like from our cost of raw materials perspective. 3) As part of some of the commodity conversations which had gone or been last year around similar time zones, some of t

hem were constructed
with the pass -through elements. And that, again, is what you are seeing now in terms of the raw material percentage.

Raghunandan: Got it, sir. So, integrated assemblies with higher margin, repricing from customers, and commodity pass -through would be the main elements. When I come to the standalone business, again here, if I look at raw material cost to revenue, it has reduced Y oY and on a Qo Q basis. In presentation, you have also referred to in sourcing activities leading to support for margins. If you c an elaborate on the same please?

Kunal Malani: Look, the answers here also are somewhat similar. There is a whole host of new businesses which also got assimilated in this time zone. Some of our existing businesses were merged into SAMIL , so really the two numbers are really not comparable again.

Raghunandan: Got it sir. On the aerospace business, the revenue during the quarter was over Rs. 300 crore. In one of the earlier press releases, the order book was indicated at $1.3 billion. How much would be the current order book and over what period is it expected to be

executed?
Laksh Vaaman Sehgal : We have not come up with independent numbers for the individual verticals. We will consider that and come back to you. But of course, there is a significant ramp up that will happen in later years as we have put up significant CAPEX for building up new facilities for the aerospace orders that we have won. So, you will see further growth that happens in this business. Also, we know that there is some slowdown that is coming in aerospace on the international side, but India still continues to be a buoyant mar ket

where we see a lot of growth opportunities. So, we will come back to you with more on that number .
Raghunandan: Thank you Vaaman for that. In one of the slides, you have mentioned about delay in launches in EVs, which has some impact on vision system integrated assembly. How much would be the share of EV in these segments and in overall revenue, how much would EV programs contribute?
Laksh Vaaman Sehgal: We can look at that number on the SMRPBV numbers that we disclose.
Kunal Malani: Vaaman, I will help on this. EV is currently 9% odd share.
Raghunandan: And this will be EV plus hybrid or pure EV?
Kunal Malani: This is just pure EV.
Laksh Vaaman Sehgal: Just so that I can add some more to what Kunal said, I think what is important for you to understand is again, we are powertrain agnostic. So, there are delays on the EV side . We are seeing extensions of the ICE programs, which we are also on. So, thanks to Papa's direction, we have always maintained that EVs will take some time to come on board. We cannot compress time. So, we always had a balanced approach and made sure that we were winning orders both on the ICE side and on the EV si de so that if there is a slowdown which is happening and it's taking longer for the EVs to pick up, we are still very much growing still with the content that we have on our ICE programs. So, that augurs really well for us, as we are still seeing growth where there might be pockets of slowdown for others.
Raghunandan: So, ICE and hybrid would both help our growth. I remember that EV was 20% of order book . What would be the share of hybrid, if you remember offhand?
Laksh Vaaman Sehgal: I don't remember that number offhand , I am sorry. But again, hybrids are getting a lot more traction now. But we will look at that number and come back to you.
Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.
Jinesh Gandhi: My question is on the inorganic growth side. So, in the past, we had been staying away from powertrain related components. Do we still maintain that stra tegy or now we are open to both ICE and EV related power train components ?
Laksh Va

aman Sehgal: Thanks for that question. I don't think we ever said we will stay away or stay close. I think our v ision has always b een to follow the customer. So, wherever the customer wants us , we will definitely be there. I think we always want to have a balanced

approach . If you know that we have also taken over the business of the Yachi yo where a portion of that business is coming from fuel tanks, and we believe that the market is big enough for all sorts of different technologies to coexist and have opportunities for Motherson to grow. And for example, even in the future, if hydrogen is to come, then again fuel tanks will be necessary. So, we are staying very close to what the customer wants. And also, our acquisitions are only at the customer's behest. So, we really don't decide which way we go. We are just supporting our customers' ambitions. And in that, we will always maintain a balanced approach and look at both ICE and hybrid and of course, any other electric opportunities that also c ome.
Moderator: Thank you. The next question is from the line of Kapil Sing h from Nomura. Please go ahead.
Kapil Singh: I wanted to check; we have done these acquisitions recently. Where are we in the synergy journey for these? How much of it, according to you, has been explored up till now? Or is it very early days and there is a lot of ground to cover?
Laksh Vaaman Sehgal: Yes, thank you for that question. Motherson always believes that we take our time with the acquisitions to understand them deeply and integrate them and make sure that we take the right step forward. So, definitely it is early days, I think the journey has just begun with these acquisitions. So, please keep watching this space. We will definitely

come back with a lot more on this, but definitely, when we acquire the companie s, we set ourselves with a plan and we just started to execute that. Until one year, we are also very deeply understanding the functioning of that Compa ny and understanding what the customer requirements are also. So, we are still in very early days and definitely more synerg ies will come as we go down the line.

Kapil Singh: And on the consumer electronic division, I wanted to understand is this currently the Rs. 2600 crores CAPEX, is this one line of CAPEX with the JV that we are doing, or is there, because you referred something to assembly as well, so I just want to be clear whether these are two separate lines of businesses, or currently we are looking at just one opportunity ?

Laksh Vaaman Sehgal: So, there are multiple opportunities. And the Rs. 2,600 crores investment encapsulates all of them. So, of course, we are a highly engineering -focused Company , so we are not just going to be doing manufacturing. We will also be doing assembly and any post - operations that would require , we want to be the complete solution for our customers. So, obviously, that starts with the more basic assembly. But then as you keep building on that, you will get into more highly engineered parts which we are building for already as well. So, there is Rs. 2600 crores for the entire CAPEX for this entire project for all the businesses that we envisage that we need to build to make sure that we are delivering the solution to our customers.



Kapil Singh: Okay, so some of these will be outside the JV as well. Is th at the right way to understand?

Laksh Vaaman Sehgal: That's right.

Kapil Singh: And in terms of the return profile, because it's a new division for us, so if you could get some color, are we following the same guidelines, which are 40% ROCE, and we have seen sometimes the Greenfield s when they come up in automotive business, they are loss making initially, and then it takes some time to stabilize and increase

the margin.

So, just if you could give some qualitative color on return profile , asset turns and expect ed time to turn around or break even ?

Laksh Vaaman Sehgal: Sure. Look, these are new businesses that we are getting into. So, definitely, we are also learning as we go along. But our focus has always remained at that 40% ROCE. We do envisage that since these are businesses that move much faster, automotive program takes almost two years to develop and lasts for five to seven years. But on consumer electronics side, the cycle is much, much shorter. Newer products come out every single year. So, definitely the margin profiles and the investments correspondingly are d ifferent for these businesses. And we will continue to give you the color as we continue to perform and deliver to our customer expectations. So, definitely the 40% ROCE target is maintained, and definitely we strive to be much faster in our development as required by the industry and also turn the asset turns and deliver more profit as required for achieving those 40% ROCE targets.

Kapil Singh : And if you could just refresh us on the CAPEX plan for this year and in light of this investment, is that included already or is there any change?

Laksh Vaaman Sehgal: Yes, Kunal can add on that, but like I said in my opening comments, we are still maintaining that Rs. 5,000 crores for all the businesses that we envisage right now. Of course, because the number of acquisitions is high and as we are getting deeper in, we are looking at those numbers constantly. But we still hope to cover around that Rs. 5,000 crore mark plus minus 10%. If there is some change or some significant new order wins as we have enter ed these businesses, that comes, w e will come back to you on that, but this entire CAPEX is covering all the new facilities that we want to build in the automotive an d non -automotive side.

Kunal Malani: That is right. We will come back next quarter if we have to change this around using the revised business parameter. But right now, we are still on the belief that it should l ie within 5,000 plus minus 10%.

Kapil Singh: Sure. And just if you would share some, what kind of visibility you have on doing further acquisitions, how is the pipeline looking like? That would be my final question.



Laksh Vaaman Sehgal: Look, the market continues to be a challenging one. I think you've seen that the pace has really increased. We continue to see more opportunities that are there in the pipeline and are hopeful to hit our 2025 targets. But again, we will be extremely picky and we will only go after where the customer wants us to be. But that being said, there definitely are still challenges that exist. And again, we are hopeful that you will find good targets that will h elp us achieve our 2025 vision.

Moderator: Thank you. The next question is from the line of Amit Shah from Shine Capital. Please go ahead.

Amit Shah: I just wanted to congratulate the Company for crossing the 1 lakh crore revenue mark. It's probably one of the very few companies in India which has crossed this milestone. So, congratulations for that. Com ing back to the quarter Q1 FY 25, you all reported a super revenue growth of 29%. Just wanted to have a better clarity of what th e numbers would look like for FY25 and probably FY 26 because this year is going to be a year where you are going to see a ramp up of a lot of the acquisitions and we a re almost coming into picture and a lot of these acquisitions actually have EBITDA where the margins are actually better than our Company level margins. So, according to you, what would be the revenue and the PAT estimate for FY25 because some of the brokerages that I was seeing in India, some of the brokers were looking at Rs. 5000 crore PAT number or another broker was looking at a Rs. 4000 crore PAT number. So,

you think
this number is a reasonable number according to you, or this number can be little more aggressive going ahead . So, what is your sense on that?

Laksh Vaaman Sehgal: Thank you for the kind words at the start of your comments, but I'll request Kunal to comment on this please.

Kunal Malani: Amit, as you are aware, we rea lly do not guide on how the topline or the bottom line is going to play out. What we can certainly say is we are right now at 18 % annualized ROCE for this quarter. Our target is 40 %, as you know, in our five -year plan. This is the last year of our five -year plan. And we plan to traverse the maximum that we can between 18 % to 40 %. We do believe we should improve significantly from where we are right now as we head towards the end of the year. There are multiple levers for the same. Part of it, you rightly alluded to the fact that you are yet to see some of the synergy benefits from the M&A come into play. You are also yet to see some of the efficiency parameters that should help in reducing some of the capital inefficiencies or capital that is blocked right now in working capital which should get released in the later part of the year. As 83.4 billion order that we had announced last year as that comes into SOPs , you should see some of the equipment getting sold to the customer for which we are currently carrying it on our books and hence s hould again lighten the capital at our end. And we continuously work on building efficiencies on the supply chain side to be able to again optimize our capital deployment there. So, hence multiple levers by which we do believe that overall, the ROC E should be trending upwards as we head .



Amit Shah: Got it. This is probably the last year of this five-year plan. So, what do you aspire for the next five years plan? Is it go ing to be in terms of profitability? Is it going to be in terms of revenue? Because in terms of ROC E, we are still at around 18%, and our target of course is 40%. Probably this year, we may probably inject 300 or 400 basis points in terms of ROC. But do you see in the next five-year plan, are you all targeting a billion dollar kind of a profit in your next five y ear plan? Is that a possibility that you are thinking when you are looking at the acquisitions, is there a thing where you can build it in your organic business as well? A billion -dollar profitability, maybe for the next five year plan. Is that a number that you will be okay to work on?

Laksh Vaaman Sehgal: Thank you for those comments. Look, we will come back to you with our five -year plan. We usually kick that off around September, October with our internal team, so honestly we don't even know where that five -year plan will take us. We are really very much focused right now on delivering this five -year plan. I think you have to take all our targets with what is really going on in the world as well. All these targets were set before we knew that COVID was around the corner in 2020. And yo u can understand all the different events that have happened since that time. I think in lieu of all the events that have happened in the world, I think you would see that Motherson has really outperformed by any means on all the parameters of global growth and what has really happened in terms of circumstances in this world. That being said, we don't change our targets or just because COVID came or the Ukraine crisis or energy crisis or inflation or whatever you want to say that has happened , we do not det er from our targets. So, we have maintained it. We still believe that we have a very good shot of hitting them. But I think even in the ROCE targets, you have to understand that ROCE doesn't happen overnight. It's something that takes time. We are a growth Company . As you invest for growth, the ROCE goes the other way. But as those busine

sses then start to prosper
and the businesses play out and the productions ramp up, the ROCE numbers also comes. So, if you take those targets with all the businesses that we have had at 2020 when you were deciding these targets, you will see that there is been a steady growth in the ROCE delivery. And of course, the ROCE always comes under pressure when we do the new acquisitions and growth as that will only come in the future. So, if you look at it like that, you will see that we have tended extremely well. The Company has definitely outperformed our targets on the organic side. And as these new organic businesses spent 5 to 7 years ' time with us, when we clean out the old issues with the Company , start building new pipelines and start delivering on the new orders, the ROCE starts to inch up a bit. The target of 40% is as a group. Multiple verticals have already achieved that 40% target with their organic business. And of course, no business is available at that 40% target when we start. It's a buildup process by a lot of hard work of the teams. So, we are extremely pleased with the efforts of the teams, what we have been able to achie ve. And definitely we will push everything we have got for this last couple of quarters till the end of 2025. And then we will also come back to you with the next target. But rest assured, it's going to be a big number, and it will definitely not be

diluted on our ROCE targets. And definitely we will push the teams to deliver to the best. But you'll have to be patient. We can't let any cats out of the bags because there really is no cat to be let out as we ourselves will decide that target in these coming months and we will disclose it to the market. I hope I wa s able to answer your question.
Amit Shah : I just have one last question. I was just referring to your Slide # 7 where you have given the production volume for global light vehicles and global commercial vehicles. The Q2 numbers, estimated numbers are only lower end as per the slide. So, how are you seeing the Q2 numbers? Are they representative of these numbers for the Company ? Or will we be doing a lot different what was we have been doing ?
Laksh Vaaman Sehgal: No, look, Q2 globally for the automotive side is always weaker because it has a large number of holidays in August. So, that is a natural phenomenon that happens every single year. I think again, the best comparison would be to compare our performance Q2 over Q2 of last year. And as the teams again, like I said, continue to perform better, the volumes continue to happen due to the new launches. And of course, some impact will come because of the holiday season. But we do envisage that t he next few quarters, we will continue to perform as all our plans of resilience and our customer focus and driving up of efficiencies continues to take shape. So, we are, again, very hopeful and positive and continue to deliver on all our programs that are running. And hopefully, we will be much better than where we were. Of course, cannot give any guarante e to what happens in the market, but this is generally what happens in Q2 because of the holiday season, you see a slight dip, bu t that catches up in Q3 and Q4.
Moderator: Thank you. The next question is from the line of Gunjan from Ba nk of America, please go ahead.
Gunjan: I just had a few clarifications. Firstly, on the acquisitions that have been concluded, is there anything pending to be paid out still for those transactions?
Laksh Vaaman Sehgal: Kunal, I don't think there is anything left there, is there?
Gunjan : So, while maybe Kunal joins back, maybe I can go to the other question if that's okay. So, the other question was on this non -auto, the emerging business as you call it. You know, you all had laid out this aspiration to get to 25% and we are roughly now at about 9% or s

o. Now that you have visibility on at least two or three of these businesses like electronics and aerospace with the AD I Industries transaction, could you just give us a sense on how should we think about this 25% now? Is it in the next two, thre e years, this seems like a very viable outcome? I am just trying to think about how to build this extremely new segment in M otherson where now there is a better handle. I mean completely the electronics business sounds quite optimistic, aerospace with AD I Industr ies sounds quite exciting. So, how should we think about the revenue growth over the next three, four years?

Laksh Vaaman Sehgal : Yes, thanks, Gunjan . I think again we will come back with a five -year plan on these diversified businesses as we get a much better handle on all of them. As you can imagine, there were a lot more imagination when we set them out in 2020 with, of course, plans in place to go after these businesses, but they have shaped up much better than what we envisaged with all of these taking grip at the right time. I think we will come back to you with more color on that, but definitely the idea of 25% of group revenue will only be there, perhaps even grow in the next five years. But at the same time, it's not that we want to lose focus of the automotive business. That's always been our main business. And that too will continue to grow. So, the pie will continue to grow. And these businesses will obviously grow tremendously because they are at a much lower base than where we are with the automotive business. But yes, a very exciting future is definitely on the cards. I think you are seeing the traction that we are receiving is probably from one of the highest le vels that we have seen in these new areas of business. We are building the right partnerships, we are getting the right customers, and I think it's a very exciting future. And then what is the tailwind of what is happening on the India market, I think we are very well positioned to take advantage of these and grow very rapidly in the next few years . But please give us some time. We will give you a lot more clarity on the next five-year vision plan for all these new businesses .

Gunjan: Yes, I just wanted to check Kunal , if there is any pending payment for the acquisitions concluded?

Kunal Malani: No Gunjan, there should be nothing significant. There will be some payouts which has been withheld on account of how the contractual arrangements are. But nothing of any significance going ahead.

Gunjan: So, it's fair to assume that if there were to be nothing, not assessing any incremental acquisitions, but in the next two, three quarters, the debt should significantly come down because of the reversal of working capital and the cash flow generation in the business.

Kunal Malani: That is right. We should be looking at a del everaging path going ahead. And we had anyway guided in the earlier part of the year as well that end of the year should be looking one or better in terms of net debt to EBITDA . And that's the trajectory that we still see. The only part from an M&A perspective, you may want to keep in mind we have announced a new one in this quarter, which is our joint venture with Sojitz , where we have bought Sojitz stake . That payout will happen in Q2.

Gunjan: How muc h is that, Kunal?

Kunal Malani: Around Rs. 230 to Rs. 240 crores.



Gunjan: Okay, just last on from a capital perspective that this enabling resolution that we have , is this keeping in mind that we don't want to really breach 1.5 net debt to EBITDA when we come across a large transaction should we keep 1.5 as a threshold in mind ?

Kunal Malani: Look, our financial policy is two and a half, I think Va aman alluded to the fact that this is fo

r growth opportunities, and we are proactively looking at different opportunities. As you can imagine, there is a lot of pain in the Western world, given how the inflation is played out, given how excess capacity resides. And hence, M&A is an active space for us. And we are only trying to proactively manage our capital structure for any future opportunities that might come our way. One and a half is not really the guidance. It's at comfort level. Our financial policy remains 2.5x net debt to EBITDA.

Moderator: Thank you. The next question is from the line of Joseph Geo rge from IIFL. Please go ahead.

Joseph George: Just a couple of questions and one clarification. The first one is when I look at your depreciation line, despite the addition of 3 acquisitions in the June quarter, sequentially the depreciation amount has come down. So, is this a good starting point for upcoming quarters or is there any one -off in the quarter?

Kunal Malani : Maybe I can take that. Both depreciation amortization for the last quarter, that is 31st March 24, had certain items that had to be recalibrated at the end, specifically in regards to the lease pieces, given these are newly acquired assets that were still getting assimilated then. As of now, with what we know, what you are seeing in the curren t quarter is more reflective of what you should be seeing going ahead. Having said so, ADI Industries, Yachiyo as well as Lumen Industries, it's there for part of the quarter only. Yachiyo is for full, ADI and Lumen is for part of the quarter, so there might be some changes as we look through the full quarter piece as we move ahead. But these numbers are possibly more reflective. Also, there are PPA adjustments, as you know, which will happen as more data around this topic is picked up by our auditors. We booked Goodwill of around about 6 00 crores in this quarter, but the PPA is yet to be finalized. And there might be some variations but should not be very significantly different to what you are seeing right now, give or tak e.

Joseph George: The second question was for the accounting with respect to the JV with BI EL. Will it be a line-by-line consolidation or will it be ac counted for a share of profits ? Because we

call it a JV, so, I am sure .
Kunal Malani : A line-by-line consolidation.
Joseph George: Perfect, thanks. And the last question was with respect to the commencement of the operation. So, just a clarification there. I thought you mentioned that the manufacturing in the JV with BI EL will start in September, October. Did I hear you right?



Laksh Vaaman Sehgal: That's correct.
Joseph George: Okay, and lastly, the assembly operation, when is that acceptable, sir?
Laksh Vaaman Sehgal: Testings already started.
Moderator: Thank you. The next question is from the line of Avish Bhansali from Chanakya Capital Services Private Limited. Please go ahead.
Avish Bhansali: Can you just talk about the slowdown that is currently going in Europe and America? Also, the slow ada ption of EVs. How you see this impacting us in near term?
Laksh Vaaman Sehgal: Thank you for that question. I think the thing that Motherson is always focused on is 3CX10. No customer, no country, no component to be more than 10 % of our business. I think obviously for the countryside, India is the largest one that crosses that threshold, but otherwise most of the other customers and the country that we are present in is much below that threshold. So, even though there is slow down in the market , sometimes when it comes to like EVs that we are talking about or flattish growth , Motherson is still able to grow because of our diversification and customer profile in our products. And of course, that our products are constantly evolving and are growing in content as the new program develops. So, there is a lot more fea

ture -rich content as
we are doing interiors, exteriors, a lot of the attributes inside are constantly growing in product value for us. That's how we overcome some of the situations in the market when they may be dips in different produc t lines of the customer. And our diversification really helps us to overcome these patches. So, we are very cognizant of it. We track each and every unit of ours. We are seeing where the program launches are happening on time or are getting delay ed. And we use those facilities to of course be able to do diversified business. So, if one customer or one product line is not doing well, hopefully the other customer product lines have a nice mix and there is uptake on the others. That's how we try to overcome an d balance the effects that happen. And as you can see, M otherson has constantly beaten the market based on these principles. So, there would always be pockets of these kinds of times and definitely our div ersification strategy and the presence that we have built now over in 44 countries, I think that's what really helps us to grow even in times where there may b e, like I said, some slower offtakes of cust omers on certain product lines.
Moderator: Thank you. Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to Mr. Laksh Va aman Sehgal for closing comments.
Laksh Vaaman Sehgal: Yes, thank you. Thanks to everybody for being on the call and for asking all the questions. As you can see, Motherson is providing a lot of information on all our results, and all of these have already been posted on the website. If there is any, of course, any



follow -on questions or any clarifications, we are very happy to take them. The board congratulated the team on a very successful quarter one. And as you will all agree, with a tough background, we have really done our best here and provided the best result possible with all the efforts of the teams. So, thank you for your faith and confidence in us and we continue to execute, and we look forward to talking to you all in the next quarter. T hank you so much. All the best.
Moderator: Thank you. On behalf of Samvardhana Motherson International Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Obligations
and Disclosure Requirements) Regulations, 2015 . For the transcript, best efforts have been made, while editing the translated
version of voice file for grammatical, punctuation , formatting and factual corrections etc. The audio recording of transcript is available at website of the company, viz., www.motherson.com. This discussion contains based on the currently held beliefs an d
assumptions of the management of the Company, which are expressed in good faith and, in thei r opinion, are reasonable and
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# Call: Nov 2024

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November 19, 2024

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MUMBAI – 400051, India

Scrip Code: 517334 Symbol: MOTHERSON

Ref. : Transcript of earning conference call

Dear Sir(s)/ Madam(s)

This is with reference to our letter dated November 12, 2024, informing about the audio recording of earnings conference call on the unaudited standalone financial results and consolidated financial results for the second quarter and half year ended on September 30, 2024.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the aforesaid earnings conference call.

The above information is also available on the website of the Company: www.motherson.com

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited

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"Samvardhana Motherson International Limited (SAMIL)
Q2 FY25 Results Conference Call"
November 12 , 202 4

Management:

Mr. Vivek Chaand Sehgal,
Chairman

Mr. Laksh Vaaman Sehgal,
Director

Mr. Pankaj Mital,
COO and Whole Time Director, SAMIL

Mr. Kunal Malani,
CFO, SAMIL

Mr. Rajat Jain,
COO, Vision Systems Business Division





Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY'25 Results Conference Call of Samvardhana Motherson International Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the p resentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Vivek Chaand Sehgal. Thank you, and over to you, sir.

Vivek Chaand Sehgal: Thank you. Good evening, ladies and gentlemen. Thank you for joining the Quarter 2 Results Call for SAMIL. I'm pleased to announce the Board has approved the results for Quarter 2 of Financial Y ear 2025. The company has delivered a resilient performance in a subdued automotive production environment with various pockets of challenge. As you know, where challenges exist so do opportunities. Our diversification strategy of 3CX10 helps us t o mitigate regional volatilities. The diversificat ion is further bolstered with the addition of new companies , new components, increased penetration with customers and expansion in countries.

Our business continues to grow at a commendable pace. The automotive book business is a healthy USD 88 billion of lifetime sales ensuring future visibility of revenues. We continue to follow the customer and aspire to be a sustainable solution s provider while keeping the financial prudence in check. I would now like to hand over to Vaaman and the team to provide a walk - through and business insights for the quarter. Over to you, Vaaman.

Laksh Vaaman Sehgal: Thank you, Papa . Good evening, ladies and gentlemen, and welcome to the SAMIL Earnings Call for Quarter 2 FY 2025. SAMIL reported quarterly revenues of approximately INR 27,800 crores, up 18% with a reported EBITDA of INR 2,641 crores, up 32%. In terms of bottom line, our reported PAT for concerned share is INR 880 crores registering a growth of 336% on a year - on-year basis. There is a one -time adjustment for fair valuation gain in respect of the acquisition

of the controlling interest in erstwhile joint venture with Sojitz for the 270 acre industrial park in Chennai. The normali sed EBITDA is INR 2,463 crores and the normali sed PAT concern share is INR 747 crores. This is all in presentation Slide 9 if you want more details.
Please do note that quarter 2 is usually a seasonally weaker quarter with the summer holidays and plan t shutdowns in Europe and our performance should be viewed in this context. On the revenue side, we continue to grow due to various contributing factors. The organic business continues to outpace the industry growth and deliver consistent increase in content as a result which we have registered a 4% to 5% growth over the market using the light vehicles numbers as a proxy.
Further, the acquired assets continue to contribute to enhanced size and scale and open multiple avenues of synergies with the rest of the business. As of September 2024, we have a large automotive book business of $88 billion providing visibility over the future revenues, which is to be execute d over the average of next 5 years to 6 years. On profitability, despite all the external factors at play, we have remained resilient and delivered an absolute normali sed EBITDA and PAT of INR 2,461 crores and INR 747 crores.



All businesses continued to improve operating efficiencies and all costs have been taken upfront. We are working closely with our customers and are in continuous dialog for sharing some of the pain created by the volatile production environment. In the qua rter, the automotive production declined by 5% on a year -over-year basis (refer to slid

e 6 ). There are also various regional factors
at play. In Europe, for example, it is being attributed to delay in new launches due to lower than anticipated demand for e lectric vehicles.
In China, for instance, there is a shift of consumer mix which is visible between the regional and the international players. So the auto industry is going through a transitionary period with change in platform mix and content. On a year -on-year basis, excluding China, EVs have not really grown as anticipated, while hybrids are picking up at a faster pace and ICE models continue to have long tails.
Due to this unanticipated platform evolution, the OEMs are realigning their strategies and program launches are impacting the production volumes in the near to mid -term. The quarter also saw a mixed bag of macro indicators with interest rates and inflation being stabili sed and showed signs of cooling down, but commodities such as copper while cooled down during the quarter is again on the rise. Energy prices in Europe as well are at an increasing trajectory. All this coupled with logistics and supply challe nges have led to increased inventory and working capital requirements. We have more information on this on slide 5 and slide 13.
In this uncertain business production environment, I would like to rep ort that the consolidated ROCE based on H1 FY'25 last 12 months basis has improved to 1 7.3% from 16.9% reported for FY 2024. Our constant focus on improvements in each unit has made this possible despite subdued production consequently resulting in an inflated working capital. As some of these aberrations normali se and we get full impact of acquired businesses and EBIT, we anticipate further improvements in ROCE.
To stay aligned with the market conditions, we have recalibr ated our capex estimates by FY'25. We are now estimating to spend INR 5,000 crores +/- 5% versus the earlier guidance of INR 5,000 crores +/- 10%. This is despite the enhanced business parameter due to the newly -acquired businesses such as Yachiyo, Lumen, ADI, etc. Even though these all are there, the capexes are still going to be part of the earlier guidance.
As an update on greenfields , we now have 5 out of 19 operationali sed and in ramp -up phase. We expect another 8 to come on line in the second -half of this fiscal year. This is a strong testament to our commitment to invest as per our customer requirements.
We closed the quarter with a net debt of approximately INR10,500 crores versus INR13,500 crores in June 2024. The net debt in the quarter currently includes INR 1,500 crores of CCDs, which were issued in September as a part of the capital raise.
Without the CCD, the net debt position is approximately INR 9,000 crores. As a result, our net leverage is 1 times, a significant improvement over 1.5 times as we reported in June 2024. This is on slide 12. This is also well within our stated policy of 2.5x. Our balance sheet has been strengthened and it is well geared for potential opportunities. On non -auto side, the



diversification towards the new businesses is gaining traction and is on a strong growth path. I'm pleased to highlight that the consumer electronics plant has come on stream and has delivered its first batch of customer deliveries and are now in the proce ss of ramping up serial production. This is a significant milestone for Motherson and will be a driving force for the future growth of the non -automotive business. The aerospace division with 16 facilities situated nearshore and best-cost countries across Europe, North Africa and Southeast Asia are all well entrenched into the aerospace ecosystem.

Our suite of capabilities ranging from the structural metallic parts to engine parts and we are supplying to marquee customers. During the quarter, we also announced a new JV with our existing pa

rtner, Hamakyorex san to provide core logistics 3PL services, EXIM and sustainable packaging solutions to various customers in Japan to start with. Our non -automotive business is already at a revenue run -rate of INR 3,000 crores per annum. As we add these new growth spurts and ramp -up production in the ensuing quart ers especially in the consumer electronics business would create an even stronger growth trajectory for the non -automotive business.

Thus, in a seasonally weak Q2 which was further mar red by pockets of macro challenges, we've been able to deliver a resilient performance, improve our diversification and strengthened our balance sheet for enhancing growth. The costs associated with the challenging environment is already embedded in our H1 results. As we look ahead, we expect some of the pain to subdue and we definitely aim to achieve much better H2 performance.

In this regard, our diversification strategy holds us well in an uncertain environment. Powertrain agnostic portfolio, large automotive book ed business and a strong c ustomer relationship enables our organic business to have high visibility. And finally, a much stronger balance sheet will enable us to pursue new growth opportunities.

With this, I conclude my remarks and happy to answer any questions that all of y ou might have. Operator, please.

Moderator: Thank you very much, sir. We will now begin the question answer session. Our first question is from the line of Gunjan from Bank of America. Please go ahead.

Gunjan : Yes, hi, thanks for taking my questions. Just two questions. Firstly, on the acquired assets, the revenue seem pretty much in line with last quarter, but there's clearly been deterioration in the profitability. So is there something which was one -off in this quarter or anything to call out there?

Vivek Chaand Sehgal : Kunal?

Kunal Malani : So, Gunjan, this is a seasonally weak quarter. We had highlighted it again and again. In this quarter, you have the summer shutdowns in Europe. So it's a fairly sizable impact when you think from our operations perspective in Europe plus summer shutdowns in other parts as well do occur. So it has always been a seasonally weak quarter.



One-offs that we are talking about, I wouldn't say one -offs, but obviously, the production schedules have been erratic as I think Vaaman was mentioning in his opening remarks as well, there is lack of clarity around the EV production schedules, the SOPs, q uite a few of them are getting delayed, awaiting better time and better demand environment in which to launch those vehicles and so on and so forth.

So for many of these volume/uncertainties, the reality is in our quarterly pieces we would be taking the entire cost in and then we will be working with the customers to try and find solutions for it and try and do gain sharing going ahead. So this has bee n, as you see it over the last 2 years , 3 years, 4 years at least post -COVID, this is how it has been playing out. We do take the entire cost in upfront and then we do work towards finding solutions for it. And hence here also, we anticipate that H2 will l ikely be better than H1, at least that's what we anticipate right now.

Gunjan : So this I guess would be applicable to the entire business itself where all the costs have been taken forward and you will see some of these costs easing through in the second -half and which would mean margin improvement in second half. This is more applic able from a margin improvement perspective?

Kunal Malani : That's right.

Gunjan : Okay, got it. My second question is on the -- on the leverage. I mean, you did speak about the working capital, but if I look at in the span of six months, actually despite raising of fairly sizable equity money, the debt has remained pretty stable. So how should we think about you know wor

king capital reversal? And also if you can share a little bit on how -- whenever the normali sation happens, the deployment or the opportunities that we've been talking about, how should we think about that? Is tha t something which is in next 12 months, it can take longer any thoughts around that?

Kunal Malani : So look from a leverage perspective, our leverage has come down on a net basis. It is down to 1x in this quarter from 1.5x in the previous quarter. Having said so, there is still cash on the books, which has got paid down in November. As we mentioned, we w ould be utili sing the proceeds to pay -down the debt as it comes due. In November, we have utili sed around about INR6,000 -odd crores. The remaining will also get utili sed within the month of November as the debt comes due. So the entire QIP pr oceeds, including the CCD piece will be residing or will be going towards repayment of debt or to a very large extent directly or indirectly.

When it comes down to CCD itself, please do note that it is lying in debt right now. Though it is actually in the form of equity, as you can understand, it is a convertible instrument. But from an accounting perspective, it is residing as debt till the point it gets converted. So you may want to recalibrate that portion when you're computing your debt on the bala nce sheet.

From where the working capital is right now, I think as Vaaman was mentioning, the production schedules have been uncertain, there is geopolitical risks associated with how the Red Sea effects are played out, there were commotions on the port in the US and so on and so forth. There are multiple reasons why the business took a conservative stance across the globe to load on some





amount of inventory in order to prevent any disruption to the customer in this uncertain environment.

At the same time, obviously, expectation of better production, which did not necessarily play out in the month of September. We'll see how it plays out going ahead. But if it does not, the inventory anyway gets recalibrated to meet the production requireme nts as it plays out. So directly or indirectly, we should be able to see a declining trajectory on the working capital requirements from here on. And much of what was increased in September should go do wn as we go through the next 6 months.

Also, Gunjan, this has traditionally been always the quarter in which we have the peak working capital because you come off the summer shutdowns, then you build up the inventory in anticipation of the ramp -up in quarter 3 . Quarter 3 typically is the peak production volumes and hence you build -up that inventory in anticipation of that production volume kicking in. So there is a degree of seasonality in there, but then there is a degree of conservatism, as I said, that we have built -in right now in it, which we expect to normalize as we go ahead.

So from a leverage of around about 1x right now, we anticipate that by March '25, we should look somewhere between 0.5 to 0.75x depending upon how the production schedules and deleveraging takes place.

Gunjan : Got it. That's quite helpful. And if you can comment on the growth opportunities, I'll join back the queue.

Kunal Malani : We can't really talk about the inorganic piece. Organic pieces, I think you would have seen that we have commenced 5 of our 19 facilities in this H1. In the H2, we will be commencing 8 of the remaining facilities. So a chunk of that will be coming on stream. Vaaman spoke about consumer electronics kick starting. We have done our test runs on it and now they will start producing for the customers and the ramp -up is expected in H2. This i s about considering the larger facility, which will only kick -start in l atter part of '26 -- early '27.

So all -in all, I think organically, there are many legs of growth. You've seen th

e 88 billion order

book as well. That's also grown from the 83 or 84-odd billion in March. So multiple facets of it and that's why we do believe we will outperform the market. What we do not obviously know is how the market does and that remains an uncertain piece. But whatever be it, I think with our positioning and our diversity, we should be able to outperform the market.

Inorganically, we will react to it. I don't need to tell you the state of affairs on some of the peer sets. You would probably know them better than we do. But on a relative scale, I think we will be one of the players having the strongest balance sheet in the industry now and that should augur well, especially when pain increases and there are only few players which can actually provide solutions at that stage.

So that's the positioning we have put ourselves in and that should augur well as some of these opportunities play out. Time -wise, very difficult to predict on the inorganic front, we always have our head -on our shoulders. So w e're not in rush to do anything in here, but we'll work





pragmatically with the customers to find a good solution and a solution that works for them as well as works for us financially.

Gunjan : Got it. Thank you so much.
Moderator: Thank you. Our next question is from the line of Amyn Pirani from JP Morgan. Please go ahead.
Amyn Pirani : Yes, hi. Thanks for the opportunity and congratulations on a good result in a tough global environment. My first question is on Europe. You had done a significant restructuring last year. And this year, we've seen some of your large customers in Europe act ually shutting down plants. So my question was that was your restructuring in anticipation of what is happening at your customer end this year in Germany and Europe or does this mean that there is more restructuring to come based on the actions of your OEM customers?
Vivek Chaand Sehgal: Vaaman and Kunal?
Laksh Vaaman Sehgal: Yes, I can take that -- yes, I can take that. Look, if you see the news that is coming out from all the German OEMs and the -- in general in the industry outlook, we are being cautious. I think the good thing about us is that we have had obviously multiple opportunities of growth, m ultiple acquisitions. And hence, obviously some restructuring has been deemed necessary to make sure that all the plants are running at high efficiencies. At this point, we don't see any further consolidation from our end.
Like we said, we have a very strong order book. We have a very strong delivery schedule that has to come up, but small things we'll keep pruning to make sure that all our plants are running at high efficiencies. But luck y for us, we have an order book, and we have a growth trajectory, and the reorgani sation is going to make sure that all the plants are driving high efficiencies.
Amyn Pirani : Okay. That's good to know. Secondly, you know, since you've decided to utili se the QIP proceeds for reducing debt and then whenever the organic opportunities come up, I'm guessing you'll have to lever up again. So is it because you believe that the debt you may have to take for the inorganic opportunities will come at a lower -cost because you could have kept the cash balance also. I'm just trying to understand from a allocation point -of-view, like how you're thinking about when you need to lever up and what are the interest rates going to be?
Kunal Malani : Amyn, if we would have kept the cash, you would have asked why is interest and interest income coming so much, then we would have had the other problem.
Amyn Pirani : I just want to know -how are you thinking about it? Obviously, analysts will never be happy, but --
Kunal Malani : Look, I think the thought was very simple. We had taken the money with the anticipation that we pay -down the debt because it's diffic

ult to predict when the inorganics will happen, how it will happen. Last, mind you, our is a reactive strategy. We've said it again and again on the M&A front and for reaction to happen, the customer also views our balance sheet. So , if the customer views a stronger balance sheet, it obviously provides confidence to them on being able to give



us larger opportunities and that's what we anticipate and hope that they are able to see. So bringing this down is just helpful.
And at the level that we are in with our performance and credit ratings, I don't think re -levering is a challenge. And hopefully re -levering will be at better terms given the organic businesses are doing better and we would have also shown performance on o ur existing inorganics that we have done in which has generated synergies growth over a period. So we do believe that this is a better capital structure to go with and then work with the bank as and when the requirements come in.
Amyn Pirani : Okay, great. I'll come back -in the queue. Thank you.
Moderator: Thank you. Our next question is from the line of Joseph George from IIFL. Please go -ahead.
Joseph George : Hi, thank you for the opportunity. Just one question. When you mentioned that the second -half of the year will be much better than the Q2, is that related to the typical seasonality in the business where we see a stronger second -half compared to Q 2, Q2 is obviously marked by summer holidays, etc. or are you really seeing an improvement in the underlying business excluding the seasonality impact? And if so, what are the factors?
Vivek Chaand Sehgal: Kunal?
Kunal Malani : So it's a mixed bag of multiple things. One, you would see from a production levels, quarter three, quarter four at an aggregate level tends to be higher than quarter one, quarter two combined, because the production levels in quarter three, quarter four t ends to be higher given the summer shutdown, etc is not there and the winter shutdown is a much shorter period than the summer shutdown is. So that's one.
Two, as we mentioned from a margin profile perspective, you have the -- all the pains getting taken in the first few quarters and you work actively with the customers to either see compensation solutions or pain sharing as the case may be. And that starts kicking -in only in H2 and hence you'll see a ramp -up on H2. We've always said always please give us on an LTM basis, you may get our picture wrong if you look at us from a quarter -on-quarter basis.
And we do anticipate that even in H2 at an aggregate level, we should be better than what we

did last year -plus better than what we have done in H1 right now. At least with what we know of the market today, that is what we can foresee. The market volatilit y remains, uncertainty remains, geopolitics remains, which is all difficult to predict. But on the positive side, we have a much diversified platform on every count, which even if any of these were to hit us, we do believe we'll be a lot more resilient tha n many other players on a relative scale, we should hence be able to get a much larger share of growth opportunities going ahead.

Joseph George : Got it. Thank you.

Moderator: Thank you. Our next question is from the line of Suhrid Deorah from Paladin Capital . Please go ahead.





Suhrid Deorah : Hi, good evening. I just had a broad industry question. As an outsider, it seems to me that the Chinese auto manufacturers are becoming more aggressive and more relevant, not only in their own country, but in other countries. Could you give me a sense for how you guys think about their presence and how the company is positioned to take advantage in terms of working with them?

Vivek Chaand Sehgal: I think the Chinese have to expo

rt, don't forget that and any country which is importing from China has to pay a huge bill in the forex side. In this kind of environment, it's not going to be so easy just to be an exporter of c ars and to be importing c ars. So I think it's too early to say, I think jury is out -- if the governments will come back with their -- what is happening in the U.S. side, the numbers are going to be pretty complicated. So it’s not too easy to do that. Vaaman, you have something to say on that?

Laksh Vaaman Sehgal: No, I agree with what you are saying. I think of course, the Chinese are setting up plants in European countries and it will be interesting to see how they fare over there. I think that the good news for Motherson, in particular, is that we are already there present in Chi na. We have already at 29 facilities. And of course, while we cater largely to the international OEMs, selectively, we've also started to cater to the local OEMs and started to build our relationships there. And thanks to our joint ventures over there, I think it's a pretty comfortable position for us. And as these businesses will start to now come outside of China, we also have an advantage since we are already serving quite a few of them in the local countries. So, in that sense, I think we are fairly covered. But like papa said, the jury is out there. Let's see how they perform. One thing is to perform in China and it's a different game to be outside. And if that is the case, definitely we will also get a ch ance to serve their needs in the international countries.

Vivek Chaand Sehgal: Well said. I think you're right. And also please keep in mind that selling a car is easy if you're importing the whole CKD portion of it. But to manufacture it in different countries, different geographies, different people, the Chinese people are very, very industri ous, very good in China, but really are they as good when they go out or is the local people who are producing in the local countries, are they as efficient in the same? I have my doubts on that, but it's upon you, how you look at it.

Suhrid Deorah : Thank you so much.

Moderator: Thank you. Next is a follow -up question from the line of Gunjan from Bank of America. Please go ahead.

Gunjan : Yes, hi, thanks for taking my question again, I just wanted a little bit more colour on the consumer electronics business. You mentioned that the first batch of production happened in this -- in November and we get into mass production. So anything that you can share now in terms of the revenue scale -up of the business?

Vivek Chaand Sehgal: Vaaman?





Laksh Vaaman Sehgal: Yes, I can take that. Look, it's still -- it's still, of course small. I think we have said that our bigger plant is already starting construction this month and that will take a year and a half for it to be fully up and that's when you will see the full impa ct of the volumes. But I think the good news is that, look, it's not -- you can't go from 0 to 100 witho ut having any experience in it. So from a much smaller plant that we set -up for the pilot line, I think that's already been approved and that's going to start supplying like we have informed. So that's a very big step for us. In terms of revenues, the impact is still fairly small. That w ill continue to ramp -up till the main plant is up, but we will come back to you when the revenues get meaningful.

Gunjan : Okay. And if I were to think from the INR 3,000 crore s run-rate that you put for the emerging businesses and this will add -in, is there a number that you can sort of talk about for the exit of emerging business revenues because this is -- there are many things which are going on here on the aerospace, on cons umer electronics, on the medical side as well. So anything that we should keep in mind as an exit revenue run -rate that is po

ssible in this segment? I mean, I'm talking about the entire emerging business piece ?

Laksh Vaaman Sehgal: So we give a clear direction that we want it to be about 25% of our overall portfolio. It's still much smaller than that, but I think as we are now ending the 5-year plan and now that we are well-entrenched in these new industries, we'll be able to give you a lot more, let's say, micro picture on individually these industries in the next 5-year plan. But the long direction that was set by papa for the group was the 25% of diversification and I think that's something that we will continue and keep in mind as w e move forward. So it will be quite sizabl e in this next 5 -year plan.

Gunjan : Okay, got it. Thank you so much.

Vivek Chaand Sehgal: I think the largest plant of Motherson which was supposed to be in USA will be beaten by the plant which is coming up in Chennai. And just for your -- to give you an image of what kind of plant it is going to be about 500 meters long, half a kilometre and it's huge. That could even beat the Alabama plant of Motherson. So a lot of things in store. Yes, we have the time. It takes time to build this plant and get the production line, so really watch this thing.

Moderator: Thank you, sir. Our next question is from the line of Avish Bhansali from Chanakya Capital Services . Please go -ahead.

Avish Bhansali : Yes, thank you for taking my question. I just wanted to know that if you see on the segment side of the modules and polymers, the margins have declined like by 130 basis -points. So any colour on that would be very helpful ?

Laksh Vaaman Sehgal: Yes, look, like I said, I think some of the most of the piece that we were looking at in terms of the restructuring was in the modules and polymer piece. So definitely, we are setting up the base so that we can stay in line with what's happening in the market . But I'm quite confident that this quarter was probably one of the weakest quarters that we have, and we should improve moving forward from here.



So please don't just look at it one quarter. I think year -on-year, as you will see the improvements coming, I think we are making the right moves in the reorganization and with the acquisitions, we have a good growth opportunity funnel. That's over there a nd I'm sure that a much better performance is coming in upcoming quarters.

Avish Bhansali : Thank you. That's all from my side.

Moderator: Thank you. Next is a follow -up question from the line of Joseph George from IIFL. Please go - ahead.

Joseph George : Thanks again. I had a follow -up question on the consumer electronics business. So if I recall right from, I think either Q 1 or the last fourth quarter con call, there were two pieces to the consumer electronics piece. One was the assembly b usiness and second was component manufacturing in the joint -venture with BIEL. If it's possible, can you give an update on the two of them separately? And secondly, the large plant that you m entioned will come up in 1.5 years . Is it assembly o r is it compon ent manufacturing? Just some clarification there.

Laksh Vaaman Sehgal: I can take that.

Vivek Chaand Sehgal: Go ahead, Vaaman.

Laksh Sehgal: Look, both of them have come online and the larger plants are obviously between both of them are the larger pieces, of course, the manufacturing piece together with our joint -venture partner. And like I said, on the pilot lines, we are quite happy because the lines have been set -up and have been approved and we are starting the small shipments as we speak. So the plan is to be big in both, but manufacturing of the glass pieces is the one that's going to be the largest part of the business.

Joseph George : All right. And that's the one coming up in 1.5 years?

Laksh Vaaman Sehgal: That's right, I think the pilot lines are already d

oing both of them in a small way, but the last plant will be coming up in one and a half years. That's correct.

Joseph George : Perfect. Vaaman. Thank you.

Kunal Malani : If I might add, Joseph, just so it is clear to you the entire consumer electronics business is a joint venture with BIEL once they get the approval. Right now, it is lying as an 100% arm. So both the size of component and the assembly pieces are with them and the pilot line is covering both. Once that is successful, the idea is to zoom that out into the larger facilities. So that's the purpose behind it. And as this works out well in the next 1.5 years' time , you should see the new facility up and that's when the sizable ramp -up will happen.

Joseph George : Understood. Thanks so much.
Moderator: Thank you. Our next question is from the line of Raghunandan from Nuvama Research. Please go-ahead.





Raghunandan : Thank you, sir, for the opportunity. Good evening. One question. The profit share from associates has seen a large jump both on a Y -o-Y and Q -o-Q basis, any specific entities which have done well, anything you can call out?
Kunal Malani : No. Look, I think in general, businesses have done well. Our China joint -ventures have done well. Our Indian joint -ventures have done well. So that's part of the reason. The other part is we -- we bought stake from Sojitz, as you're aware in our MA SL facility and land was sold to our joint-venture as well . That profitability is also residing in that piece of around about I think INR 70-odd crores, if I remember right. So that's there in the presentation as well. You can pick it up from there. So that's the other reason why the share of profits from joint -ventures have gone up.
Raghunandan : Thanks, Kunal for that. On the order book side being a powertrain neutral company, we have strong exposure to all powertrain vehicles. How do you classify the focus on hybrids? What would be the share of hybrids in our order book and current revenues?
Vivek Chaand Sehgal : Go ahead, Kunal.
Kunal Malani : So, Raghu I think in our portfolio, we have currently diversified it or split it between EVs and non-EVs. In t he non -EVs, hybrids also exist, b ut as you know, hybrid is a combination of ICE plus an electric motor/battery etc. embedded to it. So from our product portfolio perspective, we do not club it separately because it is not necessary that the product has a different construct in a hybrid.
And hence we -- it's difficult that all product lines, it is difficult to put it under sector because we still supply the line, the customer could decide to make an ICE or a hybrid as the case may be. So we may not be able to fully decipher it at our end. And hence our linkage is between EVs and non -EVs way to put it. Having said so, hybrids have caught the fancy of the market. I think that's the highest -growing segment. And for any slowdowns that we' ve seen EVs at least versus anticipated growth, we do see hybrids kick -in. And in most of the cases, we would have that share as well. So directly or indirectly, I think our order book does reflect a decent proportion of all different powertrains including hybrids.
Raghunandan : Thanks, and also fair to assume that content per vehicle is generally higher in hybrids compared to ICE?
Kunal Malani : Generally it would be if you look at typical hybrid it will typically have a premiumization angle even if it's within the same model and hence it obviously carries in a higher content because it's supposed to be a much mo re premium product than the ICE is. So, yes, generally it's true.
Raghunandan : Thank you, sir.
Moderator: Thank you. As there are no further questions, I now hand the conference over to Mr. Vivek Chaand Sehgal for closing comments.
Vivek Chaand Sehgal: Thank you. Thank you for your questions. I hope you f

ound a reasonable answer to them. Look,
quarter second as Vaaman and Kunal both said is always kind of a question where you don't





really know how the market will go, b ut I think technically we think the quarter 3 and quarter 4 would be the real performance of the group will come even further. We are very sure that they will do better, so wish you all a good evening and a good week ahead.
Moderator: Thank you. On behalf of Samvardhana Motherson International Limited , that concludes this conference. We thank you for joining us and you may now disconnect your lines.

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as they deem necessary.

# Call: Feb 2025

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February 21, 2025

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National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G-Block
Bandra-Kurla Complex, Bandra (E)
MUMBAI – 400051, India

Scrip Code: 517334 Symbol: MOTHERSON

Ref. : Transcript of earning conference call

Dear Sir(s)/ Madam(s)

This is with reference to our letter dated February 14, 2025, informing about the audio recording of earnings conference call on the unaudited consolidated financial results and standalone financial results for the third quarter and nine months ended December 31, 2024.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the aforesaid earnings conference call.

The above information is also available on the website of the Company: www.motherson.com

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited

Alok Goel
Company Secretary

Mumbai – 400051, Maharashtra (India)
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"Samvardhana Motherson International Limited (SAMIL)
Q3 FY25 Results Conference Call"
February 14, 2025

Management:

Mr. Vivek Chaand Sehgal,
Chairman

Mr. Laksh Vaaman Sehgal,
Director

Mr. Pankaj Mital,
COO and Whole Time Director, SAMIL

Mr. Kunal Malani,
CFO, SAMIL

Mr. Rajat Jain,
COO, Vision Systems Business Division



Moderator : Ladies and gentlemen , good day and welcome to Q 3 FY'25 Results Conference Call hosted by Samvardhana Motherson International Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. V . C. Sehgal. Thank you, and over to you, Mr. Sehgal .

Vivek Chaand Sehgal: Thank you. Good evening, ladies and gentlemen. Thank you for joining the Results Conference Call of SAMIL. I am pleased to announce that the Board has approved the results for the Quarter 3 of Financial Year 2025.

Some of the key highlights are our diversified and resilient business model continues to deliver steady performance in a challenging business environment. We are getting continued support from our customers in navigating through these short -to-medium -term challenges.

I am pleased to announce that our leverage ratio has improved to 0.9. This will be the lowest level in the last 10 years, highlighting our robust balance sheet, which will support future growth opportunities.

Our first plant for the consumer electronic business has operationali sed during the quarter. We are expecting a sharp ramp -up during the ensuing quarters, which will further strengthen our non-automotive play. We continue to invest in opportunities that could support our future growth albeit with careful consideration.

I would like to now hand over to Vaaman and the team to provide a walkthrough and business highlights and insights for the quarter. Over to you, Va aman .

Laksh Vaaman Sehgal: Thank you, Papa . Good evening, ladies and gentlemen. SAMIL reported robust quarterly revenues of Rs. 27,666 crores, reflecting an 8% year -on-year growth. EBITDA stood at Rs. 2,776 crores, up 13%, and PAT reached Rs. 879 crores, marking a solid 20% increase on normali sed level and 62% on reported basis.

On the revenue side, the business continues to grow at a faster rate than the market. The auto industry de -grew by 1.2% on a year-over-year basis and excluding China, it de -grew by negative 4.8%. Against this, SAMIL registered a 7.5% growth.

On profitability, we have delivered a robust performance with 10% EBITDA margin driven by our focus on operational and cost control measures.

SAMIL continues to demonstrate resilience and stability, underscoring the strength of our well - diversified business model. This steady performance is particularly notable given the weak production environment.

 The industry remains in a transitional phase as global OEMs continue to navigate the shift to clean mobility and evolving consumer demand trends. This is further exacerbated with shifting geopolitical landscape and trade dynamics.

The shift of production to EV and hybrid platforms continues at varying growth rates across different regions, which we have shown on slide 7. While premium OEMs are recalibrating their strategies to introduce new models across platforms and segments, the mass market manufacturers are expanding their offerings with a slew of new launches across multiple powertrains. I would like to iterate that SAMIL is a powertrain neutral company with more than 95% of our product portfolio being engine agnostic.

Just to give a sense on the broader business environment, interest rates stayed mostly steady. Commodities like copper experienced price volatility and energy price in Europe are on a worrying upward trend. There are indications of supply chain stabili sation and logistics cost decrease supporte

d by po rt decongestion on key trade routes. This development should help us to release working capital by the end of the year. You can see more on this on Slide 5.

We have had many inquiries about trade tariffs and rollbacks, and we would like to provide you with an update. While different countries are working through the trade agreements, the implications in the global auto industry are yet to be fully understood.

Motherson has a globally local strategy with a manufacturing plant in close vicinity to our customers. All material flows like commodities are typically pass through and so they are customer nominated parts. Any change in tariff from these parts would have a pass -through effect. For the remaining procurement, we work actively to locali se and hence the implications , if any, for Motherson will be very limited. Further, as tariffs is an industry -wide issue, these would ultimately be repri ced by the customers.

In the medium term, for a global player like us, we would be better placed to optimi se our production in more favorable jurisdictions and thereby provide a faster and unique solution to the customers. However, it's early days and we continue to evaluate how the trade dynamic shapes up in the future and will work with our customers to find mutually beneficial solutions.

Moving back to the results, during the quarter, we have operationali sed two green fields, notably one in the consumer electronics that my father spoke about before and one in precision metals and modules. Further, an additional six are expected to come on stream in the ensuing couple of quarters. More on this in slide 14.

Motherson has achieved a new milestone in the non -automotive play with the start -up production consumer electronics plant . While the first batch of delivery is entered in November, we have significantly ramped up serial production in January and this will start reflecting in the emerging business from next quarter onwards.

 The Elastomer Division has also made significant in -road overseas with the start of construction with first greenfield outside of India. This will serve as a near -shore production base to European OEMs and open doors for new opportunities in and around the region.

We have further extended our collaboration with Honda -San with the acquisition of Atsumitec , a global metal and machining specialist having a footprint in 7 countries and a revenue of US$412 million and a healthy margin profile of about 8% bas is FY2024 numbers. The interesting piece of this asset is that all core high value -add capabilities such as heat treatment, carburi sing, precision machining are all in -house available.

With Atsumitec , we get access to manufacturing footprint in new countries like Vietnam and Indonesia, further increasing our exposure to emerging markets and related growth opportunities. Atsumitec's capabilities are complementary to our capability set. The country resides in India and Mexico, and hence we now have a global potential to pivot and serve more customers across industries as we start to unlock some of these synergies.

On the balance sheet side, Effective net debt for the quarter is approximately Rs . 10,500 crores versus Rs 11,500 crores in September 2024. Basis t his, the net leverage ratio is now under 1 at 0.9x. You can see more on this on Slide 11.

We continue on our deal leveraging trajectory with a much stronger balance sheet geared to go after large opportunities. During the quarter, we also fully utilised the QIP proceeds to pay down debt. The full impact of the interest cost reduction should be visible from Q4 onwards.
To greet with the changing market dynamics, we have further recalibrated our Capex estimates for FY '25 . We are now estimating to have a reduced spend of about 4,500 crores plus minus 5% versus the earlier guid

ance that we gave you of 5,000 crores plus minus 5%. The Capex spend for growth primarily in emerging markets remains intact on a full -year basis. You can see more on this on Slide 13.
Finally, I would like to report that the consolidated ROCE based on the nine month FY '2 5 numbers has improved to 18% from 17.3% as reported in the last quarter. As we move towards the end of the year, the teams are working relentlessly on core operations and working to de lever some of the working capital by the year -end. This should further enable improvements in our ROCE.
Thus, in a weak production environment, we have been able to deliver a steady and resilient performance. We are engaged with our customers for sharing some of the pressures related to changing business dynamics. While the environment is what it is, volatility also creates opportunities for Motherson to thrive. It gives us the opportunity to address issues in the supply chain and pain points of our customers and be a sustainable solution provider across our industries.
 The M&A pipeline is running hot with deals in various stages across automotive and non - automotive businesses.
With this, I conclude my remarks. And I have Pankaj Mital sir, Rajat Jain and Kunal Mala ni on the call, and we would be happy to take your questions that you may have. Thank you, and over to you, operator.
Moderator: Thank you very much. We will now begin with the question -and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladie s and gentlemen, we will wait for a moment while the question queue assembles. Participants, you may press star and 1 to ask a question. The first question is from the line of Aditya Jhawar from Inves tec. Please go ahead.
Aditya Jhawar: Hi. Thanks for the opportunity and congratulations on good numbers, resilient numbers in a tough environment. My first question is on our emerging business. It would be great if you can give a breakup of revenue of the emerging business as we had given in Q1 presentation.
Laksh Vaaman Sehgal: Kunal, you want to take that?
Kunal Malani: Yes, Aditya, we give that in every yearly basis, so you will see that next quarter.
Aditya Jhawar: Okay . And you know , Kunal, on the consumer business, how should we expect a ramp up over the next one to two years? Any broad numbers you can share with us?
Kunal Malani: Broad numbers? As we have again said, it's a fairly confidential piece. But needless to say, I think the ramp up is extremely significant. It will be a Burj Khalifa kind of a ride out.
Aditya Jhawar: Okay. That's good to know. And any update on the JV investment? So , our JV partner was supposed to infuse equity with 10% stake and scaling up to 49%. Any update on that, Kunal?
Laksh Vaaman Sehgal: Kunal, I can take that. I think they have just received the approval for the equity investment and they are just in the final stages of getting their internal approvals for the same. And hopefully by next quarter, we would be able to give you more color on that. But it seems that they have got all the approvals to be able to go and make the equity investment.
Aditya Jhawar: Perfect, perfect. My final question is on the wiring harness business. It's a pretty impressive margin expansion despite , you know , weaker revenue print . So, if you can help us understand that what drove this expansion and should we expect this margin as more of sustainable going ahead .
Vivek Chaand Sehgal: Pankaj , do you want to take this ?
Pankaj Mital: All right . Basically , we have been working through all the regions to optimi se and to improve and the focus has been on human res

ources, as you know, Motherson does have its own resources
 and its capital, so we have been improving on that. Plus while markets have been choppy and markets have been down in some of the regions, we did get, we mentioned about two years ago that we have received additional orders which have started to kick in and therefore we could balance the portfolio and keep our facilities optimi sed.
So, that's the main reason as to how we continue on this path. Really we can't predict how the

markets continue to behave as w e are quite well diversified in different markets. As you know, the commercial vehicle markets have been at a low number in Europe. We do believe that in the coming quarters, in the next coming year, they are inching upwards, hopefully. U.S. markets have been quite stable and China is still a little bit lower and still surviving on exports also from China.

Aditya Jhawar: Okay . Sorry , just to summari se, I mean, you mentioned that there was a favorable product mix, as well as geographic mix, along with cost saving. Is that right, Pankaj?

Pankaj Mital: Yes, basically, it's been, the teams have been working hard since everything went up literally after COVID and it's a human resource content business. We have been improving our facilities, improving our productivities and efficiencies. And we have also in -sourced multiple products, which also supports the customers. So , we do share the benefits with the customers also when we in-source and those benefits are there reflected within us as well.

Aditya Jhawar: Perfect, perfect. That's it from my side. All the best.

Moderator: Thank you very much. Participants, you may press star and one to ask a question. Next question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Good evening, sir. Congratulations for a very resilient performance. My question is on emerging businesses. You know, w e started this consumer electronics plant, but emerging business revenue has seen a bit of a dip in December quarter. Also, the margins are holding pretty steady. Usually when we start the new plants, sometimes there is an impact coming on account of that also. So , if you could help us understand seasonality of revenues and also if there should be some impact on margins for to start off with itself, we are making good margins in the Consumer Electronics division and by when do we expect to hit optimal performance in that division ?

Vivek Chaand Sehgal: Kunal, will you take this please?

Kunal Malani: Yes, sure. So, Kapil, I think on the emerging market side, you are right, there has been a slight decline on the revenue front when you look at it from a quarter -on-quarter basis. As you can see, most of our emerging markets on the automotive side, sorry, most of our emerging market businesses are in the Indian automotive side. And that piece of the puzzle has shown a decline in both commercial vehicles, particularly in commercial vehicles and businesses associated with it, like heavy equipment, machinery, etc. I think that part of the business has been on a decline in India and that's how that impact is visible.

 Having said so, areas like aerospace continue s to grow . Areas like our IT business continue to grow. And consumer electronics become the cherry on the top in some way. It's coming, however, for only a month in this three -year period. So , as we look forward, I think the ramp -up is going to be steep. So , you should be able to see that the emerging markets portfolio as a whole will continue to be showing the maximum growth among the portfolio set that we have.

On top of it, Atsumitec is also going to get added to this portfolio. That's a sizable piece where our corresponding assets are again resi

ding in India and Mexico. And then the idea is to synergi se between India, Mexico, and the 9 facilities that Atsumitec has and thereby grow both not only automotive business, but their capability sets are equally good for the non -automotive part. And the aim will be to use that capability set and grow both the auto and non -automotive part. So , I can only say look out for the emerging market segment as we move to the ensuing quarters.

Kapil Singh: Yes, no thanks for that answer. I also wanted some color on Consumer Electronics division. How much time does it take before it hits an optimal profitability profile for the first plant?

Kunal Malani: It's been two months of production. I think where things stand, things look reasonably more stable than frankly what we anticipated. So , I think things are looking good. Much depends now on the customer also and how quickly he or she wants to ramp up production.

We are ready our new facility. The second facility will also come up by quarter 2 of next year and then the larger one will come in in beginning of FY '2 7. So, putting all of it together , as I said, I think the ramp -up is going to be steep, obviously subject to customers' support coming around the way.

Kapil Singh: Sure, sir. And one question I had on your interest cost, if you could give some color here. You know, it's been still a bit on the higher side. Are there any one -time elements here? And how do you think about on a normali sed run rate at current level of debt?

Kunal Malani: Yes, so I think when you look at debt, some of the pieces which are over and above the debt piece which resides in the interest cost is one is Forex losses. This time on account of the volatility seen in variety of different currencies, there is roundabout I think 35 or 40 crores of Forex losses that reside into the interest cost bucket.

Secondly, you are aware that in September we had done cumulative convertible debentures. The accrual for that, while I don't think the company needs to ultimately pay for it, but from an accounting perspective, we are accruing that at 14% return, and that is adding another 30 -odd crores into the interest cost bucket.

The third element is some of the debt that we had to pay down using the QIP proceeds that only happened in November. So , you are seeing around about 1.5 months of impact on some of those reductions. And hence you will be able to see the full quarter impact in quarter 4. So, I anticipate quarter 4 numbers to trend downwards by somewhere between 50 to 75 crores from here on.

 The Forex piece is a little bit unknown. That is dependent now on how the currency plays out. But mind you, most of the Forex losses are also accounting entry because we do have corresponding hedges. So , there are MTMs and translation gains and losses which negate it. So , overall, our asset liability is relatively matched up. But then yes, from an accounting perspective, we do need to recogni se mark -to-market pieces.

Kapil Singh: Thank you, sir. I wish you all the best. I will come back in the queue.

Moderator: Thank you. Next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Yes, hi, thanks for taking my questions. Just following up on the emerging businesses, could you also give some color on the aerospace piece ? Because there was a pretty healthy order book that you all had flagged earlier on that and you also flagged in this presentation about becoming a Tier-1 supplier for the commercial aircraft. So , if you can give some color on the where the revenue for this business stack -up, how should we think about the growth on the aerospace side?

Vivek Chaand Sehgal: Vaaman?

Laksh Vaaman Sehgal: Yes, look, you know, we have two facilities that are coming up and that they should be coming up in the

first quarter of July 26 sort of a timeline. So , I think, again, we have a large order book there. I think in the next quarter, we can also disc lose more on the order book over there, but that's seen very good gains and definitely a lot of the expansion is coming up at the two facilities that are coming up specifically for the aerospace expansion. Like I said, we will be able to give you some more on the order book on the next quarter.

Gunjan Prithyani: Sure. I am just trying to get the revenue, you know, sort of some color because I think this is pretty small piece if I look at F24, right ? It was somewhere around I think 300, 350 crores. I am just trying to get some sense with the acquisition and this execution. How big can this be? Can this be like, you know, 3-4 times of where the F Y24 revenues were?

Laksh Vaaman Sehgal: You mean, with the acquisition itself or with the growth? We have definitely very high targets for where we wanted to grow. Definitely at 10 x is what we are targeting in the next few years . So, we want to do much better than that.

But also you have to understand that a lot also depends on how the customers pull because in this business there are only two major customers. The rest are obviously also there, but there are two very large ones. And you know what's all is happening with some of these customers with the supply chain issues. But, we believe again in the long -term prospects these customers will ramp up and I think we will see more of that coming this year.

That's why I was saying if you be patient , I think at the end of next quarter we will really be able to tell you how all of that is picking up. We are quite optimistic, and it seems like the worst is behind us . So, we should be ready for some high levels of growth in this business.

 Gunjan Prithyani: Okay, got it.

Kunal Malani: Sorry, if I just might add, Gunjan, you are talking only 350, which are only part of ADI Industries. ADI Industries itself is €120-130 million business. So, if you add that, I think on a clocking basis, the business should be able to see very significant growth as we release the numbers in quarter 4.

Gunjan Prithyani: Okay, got it. The second question I had was on the Japan piece. Congratulations again. It looks like a pretty good acquisition. If you can share two things, one, when do we expect the payout and consolidation of this business on the timelines? And secondly, where would Japan , after this acquisition concludes, where would Japan stack up in terms of percentage contribution to our revenues? Because I think that's been a white space for us. If you can share how big Japan exposure will become with this acquisition.

Vivek Chaand Sehgal: Go ahead, Kunal.

Kunal Malani: So, Gunjan, I think with Atsumitec and Yachiyo businesses, I think together, it's not only by Japan, mind you, these are all global businesses to begin with. From a capability -side perspective, we have tapped into Honda -San obviously in a fairly big way, and we are very happy with the support that we are receiving from them. Atsumitec itself should get closed in March is what we anticipate right now. So , while you won't see much of the revenues kicking in in quarter 4, but quarter 1 onwards, you should start seeing pretty much the full of Atsumitec coming in.

I think the interesting piece is as some of these elements come together, there are multiple areas where we can leverage the Japanese presence, not only in cross -selling to other Japanese OEMs,

but also supporting Honda -San and many of their other product lines across the globe.
At the same time, each of these businesses carries a fair amount of R&D engineering capabilities.
The objective would be to not only utili se that in Japan and their existing ones, but to take them
global as well. And not only in their

product portfolio, some of their capability sets can actually
be used across the board. For example, there is a great amount of automation that is embedded
in many of their facilities. Frankly, we can learn a lot from that and start building that out in
some of our other faci lities as well.
That's been also the thought behind the joint venture that we created with Matsui, which is on
industrial automation. And hence, the idea is to start leveraging the base of Japan, the
engineering and manufacturing capabilities there, to not only do it for Japan and Japanese
customers, but then to leverage this across the globe and then cross -sell to other customers , other
product line s and so on.
Gunjan Prithyani: Okay, got it. This is pretty useful. Just the last question from my side on the S AS, the integrated
assembly segment . You know, the margin, of course, there is improved a lot, but you also talk
about, you know, how you are able to find avenues for growth from other segments as well. If


 you can sort of talk about how that business is growing, is it more to do with the in -sourcing that
we had spoken about when the acquisition was done or is it some other cross -selling
opportunities that you are seeing? So , some color on that , please.
Laksh Vaaman Sehgal: Yes, Kunal, if you let me, I can take that. The idea with integrated assembly was to really push
on to become a Tier-0.5. So, you know, and we are pivoting ourselves to be an engineering,
manufacturing and assembly specialist.
I think what we are also seeing is the customers are wanting more and more of the supply base
to do the entire assembly of the car and the logistics operations. So , this fits in really well with
that. I think, you know, we are targeting more and more businesses to move up the value chain,
not just the cockpit business which we are doing. We want to do more and more modules , and I
think we are getting good traction.
So, still early days, but I think we are in the right direction. All the things that Kunal also spoke
about with more focus on industry automation, our businesses that we are growing in the
logistics side across close connect with the customers and their wish to really push more of the
assembly businesses over to their suppliers , I think this fits in really well.
So, a gain, this is an exciting area of growth. I think we are targeting to do a lot more than what
it was originally doing and build capability there and hopefully there should be some good news
of us being able to do that in the next upcoming quarters and winn ing businesses which will
really be able to bring this division to its full color.
Gunjan Prithyani: Okay, got it. Thank you so much.
Moderator: Thank you. Next question is from the line of Amyn Pirani from J PMorgan. Please go ahead.
Amyn Pirani: Yes, hi. Thanks for the opportunity. My first question is on the announcement that you made for
becoming a Tier-1 supplier for commercial aircraft s. Can you specify what components or parts
you will be making for this?
Vivek Chaand Sehgal: Kunal.
Laksh Vaaman Sehgal: I think we have to come back. I don't think we are allowed to give you the exact components on
that. But Amyn, as you know, we are focusing a lot on the structure side and being able to do
more and more of those kind of parts. So, look, it's all part of the strategy once we entered this
segment to increase the customer base and the ability of our products are being able to do.
You're also seeing that two new facilities are coming up in the aerospace segment, which will
again, together with the ADI Industr ies, increases our product portfolio with complete capability
on the machining side. And that's something that we continue to grow with the customers and
have success with that.


 Amyn Pirani: So, no, that's actually this Tier-1 with this company is actually quite a big thing . So, yes, we will
wait for more details on that when you can share. Secondly …
Kunal Malani : Amyn, you will hear more about it in the next few days.
Amyn Pirani: Okay . Look forward to it . Look forward to it. On the consumer electronics piece, just a
clarification . So, you have already started ramping up one plant. I see in your presentation two
more plants coming up next year. So , is this for the same product line and the same partner or
are we something else , if you can just help us understand on that?
Laksh Vaaman Sehgal : Kunal, maybe I can start an d you can add on. Look, plan t that we are setting up is a very large
plant. It is in Chennai, so the first plant was always the prototyping plant where we were doing

much smaller volumes and kind of showing that we are capable to do it and build the competence from there , so that when the last plant comes along and the large volumes have been able to execute out of that plant, we are able to do that at a size and scale, which is demonstrated already . So that is the idea, I think we ha ve been fairly successful at doing it at the smalle r set up . Small er setup is still quite large for us, but compared to the new plan t that we are setting up, it is very small. So everything is kind of relative. I think it i s moving at an exceptional pace and I think the teams have done a wonderful job to be able to deal with this new technology and it is only going to be supplementary or growth in which we are already doing a smaller way in a much larger way than the big plan t will set up next year.

Amyn Pirani : In this last year , Atsumitec acquisitions, again seems to be a decently profitable business with good revenues. Historically, you have been almost exclusivel y powertrain agnostic. I think you started doing acquisitions when with this one, where you are getting into things which are related to more engine kind of components . So should we assume that going forward you are relatively more open to doing this, is there a slight change in thought process g iven there is so much uncertainties regarding ICE EV, how should we think about this?

Vivek Chaand Sehgal: I think this particular point is your point of view. How you think about . I think the change is not going to be as dramatic as what people are feeling at that from one day to another, the change will happen. So I think the objective is basically to take over these high capability companies and then over a period of 5 years, 10 years , you are then actually using that as a base of engineering and technology and capabilities, and then coming out how you are going to solve , what our company's objectives are. So it is not for one day to another , if you are thinking it is bad, then of course, we would be in trouble, but we know for a fact that it will not be from one day to another. We have a period of 10 years , 15 years to use that particular technology and then A, give that competence or a geographical spread to new customers because at the movement we are only tied up to one customer and give it to the other customers and also in the process come up with the future technologies where we want to be, which would be in the emerging businesses and all that . So there is a lot the basis wh ich we are taking this particular companies over for.

 Kunal Malani : And if I might add, look our strategy remains exactly the same. This is a customer led piece . Its not w e decided to go to powertrain. The customer had requested much like every other asset that we look at. And it is the collaboration with them to find solution for them as well as to find solutions for ourselves in t erms of our product lines and our capabiliti

es getting an answer, the matching of the two that results finally in the acquisition.

Amyn Pirani : Understood. Thank you. Thank you for this, I will come back in the queue .

Moderator : Thank you. Next question is from Jinesh Gandhi from A mbit Capital. Please go ahead.

Jinesh Gandhi : Hi, sir. Co uple of questions from my side, one is when you talk about consumer electronics CAPEX of Rs. 2,000 crores, it was for all the three phases put together , right ?

Kunal Malani : Yes, the Rs. 2,600 crores is for all the three phases put together.

Jinesh Gandhi : Got it. And any sense o n how much you have invested in first phase?

Kunal Malani : It is happening over a period of time. I don't know the exact numbers. To be frank, we can come back to you. It is roundabout. I am taking a broad guess, it should be somewhere in the Rs. 700- Rs. 800 c rores level.

Jinesh Gandhi : Got it. And second, with respect to you said the revenues from acquisitions third quarter FY24, any sense on what will be the EBITDA contribution from those acquisition s?

Kunal Malani : I don't have that number with me right now. We don't have that number . We can get back to you separately.

Jinesh Gandhi : Sure. I will take that offline.

Moderator : Thank you. Next question is from the line of Pankaj from Affluent Assets. Please go ahead.

Pankaj : Thanks for taking my question. Am I audible?

Vivek Chaand Sehgal: Yes, go ahead.

Pankaj : Sir, as I understand the tariff I think which is being spoken about in the news these days is expected to impact the automobile industry, especially the European, Mexican and Canadian countries . So just wanted to understand what is our exposure to these countries and as you mentioned in your introductory message that most of the things will be passed on, the raw material and other things, so would these tariffs, if they g o through from your side have any impact on our topline and bottom -line?

Vivek Chaand Sehgal: I think the topl ine will increase, but there will be that lag period. So that could be 2 months that could be 3 months. But I don't think it is going to be a show stopper or something like that. But

 the topline will definitely go up because the tax rate gone up and c armakers are definitely going

to increase the prices.
Pankaj : Sure. And second thing, s ir, regarding this consumer electronics, as I understand is this the same EMS space which you are talking about or is it something different from that? And secondly, if this is the same EMS space, whether it is low margin, high value or high margin low value segment?
Kunal Malani : Very difficult to define , high v alue low value. It is all relative in nature . I don't know what reference you have. From our perspective, we are doing electronics manufacturing if that helps you, but I don't know how to define what is low value high value.
Pankaj : So would the margins from this segment be same as our 9%-10% margin or would it be higher than that?
Kunal Malani : We expect it to be margin accretive.
Pankaj : Thank you.
Moderator : Thank you. Next question is from the line of Raghunandan N from N uvama Research. Please go ahead.
Raghunandan N : Congratulations, sir for strong results. Sir, firstly you highlighted about container prices which has come down by 15% between Q3 to Jan. This certainly indicates positive on working capital , but freight cost is generally 2% of our sales. Would this also be benefit be partly retained or fully passed on to the customer?
Kunal Malani : No, this will have a portion that we will retain. There is some portion which is a pass through , there is some portion which is retained . But I think the bigger impact more than the cost front is actually on the working capital side because once you have an ability to predict when the material is going to reach the

shores that is what gives you the comfort on keeping lower levels of inventory and having a lower , let us say , BOQ, etc. So that is where I think we anticipate a lot more liquidation of inventory as we move to quarter 4 and even beyond.
Raghunandan N : Thanks for that. Sir, standalone business profitability is lower. Would this be partly because of front ending of certain costs for upcoming capacities , any one -off impact that you can highlight?
Kunal Malani : Look, I think a couple of things happened on the standalone side. You are aware that Euro depreciated against INR and hence obviously export revenues got hit. On top of it, European markets have generally been underperforming and hence in general the volum e trajectory has been lower. So the operating leverage didn't play out a nd then the commercial vehicle market, which is again housed in standalone as well was underperforming in India including the high equipment and the heavy equipment side and that had a dent again on the overall revenues and hence the lower operating leverage.
 Raghunandan N : So we would not be doing any capacities building for increase in supplies to Mother son guidance because they have lot of c apacity additions happening over the next three quarters?
Kunal Malani : We are adding capacity on the Motherson , you are referring to the wiring portion of our business, I am assuming , or you referring to MSWIL ?
Vivek Chaand Sehgal: Are you talking about the wiring harness or the wiring business ?
Raghunandan N : So at our standalone, would the capacity needs to be increased to supply to Mothers on wiring business?
Kunal Malani : Yes, new facilities are getting done for MSEW . There is one new facility that is coming up as well.
Raghunandan N : Understood, sir. One clarification , on consumer electronics , you alluded to that there is an approval for the JV partner to take an equity stake. What would be the range of stakes, sir? Would it be 40%-49%, which was announced earlier ?
Kunal Malani : Contractually, it is 10 %-49%, so we will wait to hear from the JV partner what they are comfortable with.
Raghunandan N : Understood, sir. On the CAPEX guidance, which was reduced Rs. 500 crore and this reduction is in global businesses to which segment should it relate to?
Kunal Malani : It is actually relate d to a variety of segments. Essentially, when you are seeing both either lower production levels as well as delays in SOP's. We a re planning to recalibrate our CAPEX to meet those revised expectations of customers , so that is how the recalibration has been done . Some of it is getting postponed to a point when they will be starting the SOPs, some capacity additions have been delayed out till there is better clarity on how the v olume trajectory is playing out.
Raghunandan N : And the region wise , it would mainly be in Europe ?
Kunal Malani : To a large extent, I would say ye s, and Americas as well to some extent.
Raghunandan N : Thank you very much . I will get back to the queue.
Moderator : Thank you. Participants, you may pr ess * and 1 to ask the question. Next question is from the line of La xmi Narayana from Tunga Investments. Please g o ahead.
Laxmi Narayana : Thank you. if you j ust to take a look at your wiring harness business , what ha s been the India growth because I think last year around 36% of our wiring harness business comes from India.

So just want to understand how that business, what is the composition of the business in the last 9 months in India business and how it has actually grown ?
Vivek Chaand Sehgal: Are you talking about MSWIL or ?
 Laxmi Narayana : I am talking about the revenue growth last 9 months in your writing harness business, what is
the Indi

a part of the business growth?
Vivek Chaand Sehgal: Wiring harness business is only for India. That is MSWIL . Wiring harness business is also international, which is in SAMIL w hich one are you wanted to know about?
Laxmi Narayana : There is a JV with this Kyungshin right? So that is part of this entity, correct?
Vivek Chaand Sehgal: SAMIL, yes.
Kunal Malani : I don't think we have exactly what the number of India is right now. We can come back to you.
Laxmi Narayana : Got it. And there is any increased EBITDA margin in the wiring harness business , what is the margin band you like to operate this business at?
Vivek Chaand Sehgal: We don't give guidance on margins, but we believe in ROCE . I think , so really can't guide you on that.
Laxmi Narayana : On this particular wiring harness business, you also have anything which is made in India and exported outside and how much is that?
Kunal Malani : So there are multiple products that do get exported.
Pankaj Mital: We do export from India to some markets, but as you would have seen, the moment a market is maturing, we have b een setting up the plan ts in most regions. So we used to export in ASEAN we now have a plant in Thailand, w e manufacture there and support the ASEAN market s. We have plants in the Middle E ast from where we are supporting our various customers and we are also exporting from India . So the plan ts have been expanding and since earlier we had set up the plant in Mexico and then of course with acquisitions more and more plant got added in, so mostly we have been trying to be closer and being in the same region where the customers are or where we could do better logistics , but we keep many options for the customers as customers like us have the multitude of options to work with us.
Laxmi Narayana : Got it. Now also in your annual report , you had mentioned that there is a moveme nt towards high voltage wiring harness es pecially in the E V. Just want to understand how that has actually picked up in the last 9 months sale, either in terms of sales or in terms of order book. Is it when you are getting a mix of high voltage wiring harness as well as regular one? Can you just throw some light on that?
Pankaj Mital : As Mr. Sehgal earlier mentioned that for India market there is another company called MSWIL which supports the customers in India both on the high voltage as well as low voltage harnesses both for EV cars or ICE cars, hybrid cars , all kinds of cars . As far as SAMIL' s business is concerned , we also support our customers globally in whichever kind of vehicles they are making, so all the commercial vehicles which are coming up at the electric vehicles, we are supporting our customers both on the voltage as well as high voltage side in different regions.
 As you would know the penetration of the electric trucks has been not so much at the moment. But we do support them, s o we are working together with them, and we supply to them also other products which we are making and as they embark on the journey in the future with different power trains also, different configurations we are all working together with them to support them. And you did ask about our other joint venture, which is with Kyungshin . It also supports its customers, which is Hyundai and Kia. Bot h are the low voltages and high voltage side.
Laxmi Narayana : And what is the revenue that entity makes that Kyungshin joint venture ? That is included as part of this revenue, which you actually put in your presentation, right?
Vivek Chaand Sehgal: Sorry, did you say potential joint venture?
Laxmi Narayana : No, the current joint venture with Kyungshin which you have for Hyundai that is part of the ….?
Vivek Chaand Sehgal: It is 20 years old, by the way what do you want to do? You want to know the numbers

of that ?
Laxmi Narayana : My question is that is part of the wiring harness business, which you report in this entity that includes the revenues from that joint venture also , correct?
Vivek Chaand Sehgal: That is true.
Laxmi Narayana : And what is that revenue?
Kunal Malani : We will talk about this on an annual basis. So you will hear about this a s we release our annual results.
Laxmi Narayana : Thank you.

Moderator : Thank you very much. Participant s, you may p ress * and 1 to ask a question. Ladies and gentlemen, you may press * and 1 to ask a question. Next question is from the line of Kapil Singh from Nomura. Please g o ahead.
Kapil Singh : Yes. Thanks for the opportunity again. Just one question I had on the Vision Systems business. We mentioned some effect of unfavorable platform and geographic mix. Could you elaborate a bit on this? And are you seeing we are at the peak of this effect, or this could increase a bit i n 2025 ?
Vivek Chaand Sehgal: Rajat, you are there on the line?
Rajat Jain : Yes, I am one the line. So ye s, look, I think we all know that the industry is go ing through a bit of flux on the new platform s and new model introductions. I think customers are trying to figure out what is the right time to make new launches. So you would see different OEM s having different plans on how they want to have this new model introduction strategy. So w e are seeing a bit of delay somewhere and some margins are, maybe not at the volumes that were expected,
 but this should settle down. We do also see somewhere where the ramp ups are start ed and we also expect that in a few quarters the ramp up should get stronger in some customers and s ome geographies. So it is an evolving developing situation, I think we h ave to go through this. We are working very closely with our customers to support in these changes and we are going through this with them together for the next few quarters and then it will start to look much better .
Kapil Singh : And can you talk a little bit about increased traction in China as well in this division? What did you see happening over there ?
Rajat Jain : Yes, we have good presen ce in China with most of the OEM s and there are some OEMs who are doing by themselves , but then there are other OEMs who are open to get int o new technologies and buy high quality and high technology components. We are engaged with those sets of customers and they are also doing very well. So we are having good growth with those customers with the volumes growing in China. So yes, to some extent we do see the slowdown that we are facing in ramp ups and new model induction in Europe and US is offset partially with the higher volumes within Chin a. So that is obviously with our divers e portfolio helping us to keep very similar levels in the current quarters and going forward.
Kapil Singh : Thanks , sir. And when you say adverse geographic mix, you basically what I am trying to understand is it that China mix will be a little bit adverse on profitability compared to the Europe and US markets ?
Rajat Jain : Each OEM would be different, it would be very hard to say, so as you can imagine every model, every platform comes with different margin , different challenges and we keep improving with all of those platforms as we go along. So we work with the customers , we work internally. So yes, it is always a mix and ye s, as we are going through this very volatile situation , you do see some impact and it can be favorable , it can be unfavorable and we keep changing, but on the whole , we look very strong in terms of order book and also the new months that are coming up. So as I said in the next few quarters, it should all start to settle and start to look better.
Kapil Singh : Thanks a lot. Look forward to that. Thank you so much.
Moderat

or : Thank you. Next question is from the line of Pankaj from Affluent Assets . Please go ahead.
Pankaj : Thanks for giving me an opportunity again. Sir, just wanted to understand the impact of this Russia -Ukraine war on our business, to ask you whether the war has impacted our business because there is chatter, there is noise that now things will be settled on and this work would be put to an end. So going forward, will this development help our business?
Vivek Chaand Sehgal: Vaaman, Kunal, can you take that?
Laksh Vaaman Sehgal : Look, from our side, we didn't have any facilities in the Ukraine or any of the affected areas. So from our side, we were relatively insu lated. The customers are fairly moved those production from affected units to other European locations, so actually, we have not really seen too much
 impact on our business. K unal, you can correct me if I am missing something, but from my side not really much of an impact.
Pankaj : My question was after the start of this war, the economy of Europe went to doldrums. Did it have any impact on our business and if it revives, what would be the developments for us?
Laksh Vaaman Sehgal : Look, I think two things, one, we have a very diversified business model . So not anyone country is able to really affect Motherson's business. Thanks to the diversification that we have been able to pull off with the businesses . You have seen that we ha ve also made a pivot towards other growth areas in different indust ries and also some times when the periods of turmoil are there, we have the opportunities of growth. So back in 2020, we were probably one -third s maller than where we are t oday. So all th ese throw up opportunities for us to grow, so w e don't really believe

that it is all bad scenario. There have been real opportunities for Motherson to grow and get closer to the customer and look at new business opportunities in th e periods of volatility and uncertainty.

Kunal Malani : And if I might add, we do have and w e did have facilities in Russia which obviously cannot produce if the sanctions etc ., taken out. It enables us to get back into that market. As one, two, as an immediate hit , obviously the whole energy crisis in Europe was a function of the Ukraine - Russia issue. Presumably if that gets resolved, at least some of the cost pressures on the energy may ease out as we move forward and these are at least two immediate impacts that may be positive for us as it moves. Besides as Vaaman was s aying with turmoil there is always opportunities .

Vivek Chaand Sehgal: And also I think Europe is not in doldrum, they are in a bit of trouble, that is for sure, but Europe is still very strong and everything, it is in the slight weak side that is alright, it is part of life.

Pankaj : And, sir, if you can help me with any guidance for FY26 , topline? Gro wth guidance?

Vivek Chaand Sehgal: I think I just give you one clear indication that we have a clear target till the end of this financial year that is March '25 the new this thing will come in the new fi ve year plan that we will have and that is what we can tell you about 26 , but yes, growth all over, we are sure this is going to be growing.

Pankaj : Thank you, sir . Thanks a lot.

Moderator : Thank you. A reminder to all the participants, you may press '*' and '1' to ask a question. Next question is from the line of Rishi Vo ra from Kodak Securities. Please go ahead.

Rishi Vora : Thank you for the opportunity. Just o ne clarification on the results , in our consolidated numbers, other operating revenue has seen a sharp jump, can you just give us some color on what has resulted in such a sharp jump?

Kunal Malani : So part of it is the income obviously coming on account of the parking of funds that we had done before paying off debt. So 1 .5 month

s, those funds were invested in variety of different

 instruments. Some of that interest income is residing in there. That is one chunk of it. I think that would be the largest chunk of what those would be.

Rishi Vora : It is a part of other operating revenues , is it?

Kunal Malani : Sorry. You are talking about other operating revenue . Other operating revenue will have a cost of different things in it. There will be places like scrap sales that may have happened , to have caused it. There will be a whole host of different things residing in there.

Rishi Vora : Because s equentially, there was a jump of Rs. 250 crores, s o just wanted to understand, is th at something that you could highlight?

Moderator : Rishi, should you have any follow up?

Rishi Vora : No, thank you.

Moderator : Thank you very much. Ladies and gentlemen, I now hand the conference over to Mr. V . C. Sehgal for closing comments.

Vivek Chaand Sehgal: Thank you very much. I am s orry. I have to catch a flight, so I ha ve to get onto the telephone call. But I think the Board was very pleased that in such circumstances , the company has come up with the expectations much to the good surprise of the Board. And I think all the teams have done a phenomenal job in this particular endeavor. And we are hopeful that the opportunities are there , so just watch the space is that I can say the future is really bright . Thank you and wish you all a go od weekend.

Moderator : Thank you very much , sir. On behalf of Samvard hana M otherso n International Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

such
other investigations as they deem necessary.

# Call: Jun 2025

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June 05, 2025

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G -Block
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Bandra (E)
MUMBAI – 400051, India

BSE Limited
1st Floor, New Trading Ring
Rotunda Building
P.J. Towers, Dalal Street
Fort
MUMBAI – 400001, India

Symbol : MOTHERSON Scrip Code: 517334

Subject: Transcript of earning conference call

Dear Sir / Madam,

This is with reference to our letter dated May 29, 2025 , informing about the audio recording of earnings conference call on the audited standalone financial results and consolidated financial results for the quarter and financial year ended on March 31, 2025 .

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the aforesaid earnings conference call.

The above information is also available on the website of the Company: www.motherson.com

This is for your information and record.

Yours truly,
For Samvardhana Motherson International Limited

Alok Goel
Company Secretary

Page 1 of 16 “Samvardhana Motherson International Limited (SAMIL) Q4 FY25 Results Conference Call” May 29, 2025 Management: Mr. Vivek Chaand Sehgal, Chairman Mr. Laksh Vaaman Sehgal, Director Mr. Pankaj Mital, COO and Whole Time Director, SAMIL Mr. Kunal Malani, CFO, SAMIL Mr. Rajat Jain, COO, Vision Systems Business Division

 Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '25 Results Conference Call, hosted by Samvardhana Motherson International Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference to Mr. V.C. Sehgal from Motherson. Thank you, and over to you, Mr. Sehgal. Vivek Chaand Sehgal: Thank you. Good evening, ladies and gentlemen. Thank you for joining the SAMIL results conference call. I'm pleased to announce that the board has approved the results for the quarter 4 and the full year of financial year 2025. First, I'm thrilled with great joy and pride to highlight that this marks our 50th anniversary of Motherson. We have come a long way, where my mother and me started the business in 1975 with INR 1,000 and today, to over INR 1.13 lakh crores on a net basis or 25.7 billion on a gross basis for financial year '25. To tell you, INR 1,000 in India goes a long way if reinvested. To commemorate this special occasion, the board has recommended a bonus issue in the ratio of 1:2. That is, one bonus equity share for every two equity shares held. On behalf of the company, I would like to express my gratitude to you, the entire shareholder community for your confidence in Motherson. We should also like to thank our customers for their trust and continuous support. We also express our sincere thanks to over 200,000 strong Motherson family members for their efforts, dedication, and exceptional hard work. I'm pleased to announce that the Board congratulated the Motherson team for an exceptional performance over the 5-year period despite numerous challenges in a very, very volatile world. The company achieved its highest-ever sales, outpacing the automotive industry by building several new facilities, integrating a record number of 23 acquisitions and successfully entering new industries. It has also exceeded customer expectations and quality and received multiple global awards. While delivering an all-round growth and expansion, we remain focused on free cash flow and are able to bring the leverage ratio to the lowest level at 0.9 net debt-to-EBITDA in the 5-year period. For more results -- for more details on the results, I would like to hand it over to Vaaman and his team to provide a walk-through and business insights. Over to you, Vaaman. Laksh Vaaman Sehgal: Thank you, Papa. Good evening, everyone. Motherson has delivered its best-ever performance to date, reporting full-year revenues of approximately INR 113,600 crores, an increase of 15% year-on-year. EBITDA rose by 17% to INR 10,877 crores, while profit after tax, our concerned share is up 40% to INR 3,803 crores compared to FY '24.
 This performance has come in a challenging production environment and is a strong testament to our most important strength that is our execution capabilities, which have been supported by a well-diversified business model. It provides a cushion against volatilities, enabling strong resilience from our side. Performance over the last 5 years is perhaps a clear demonstration of the strength of our diversified business model, and you can see more of this on Slide 4. In this period, we have grown revenues at about 19% CAGR, EBITDA at 21% CAGR and PAT concerned share at 68% CAGR. Needless to say, all this in a period which saw every possible type of uncertainty and volatility, be it COVID, semiconductor shortages, geopolitical conflicts, I could go on and on, ever-changing trade dynamics, you understand this picture. So coming back to the performance for FY 2025. While the macro environment remains largely stable, g

lobal light vehicle production declined by about 1%, reaching around 89.7 million units. This softness was most apparent in the developed markets, while emerging markets such as India and China demonstrated resilience and registered low single-digit growth. As we ride through the current financial year, there are signs of softening of production volumes, driven mainly by uncertainties created by evolving trade dynamics and evolving platform mix. However, increased penetration of both hybrids and EVs, continued trends of premiumization and increasing preference for SUVs continue to be the tailwinds and are contributing to content growth. While the trade policies are what they are and will keep on changing, we worry about what is in our control. A lot of you have been asking about implications of the recent changes in the trade politics and policies, and I would again like to reiterate that we follow a global-local strategy and hence, majority of our U.S. sales is USMCA compliant. For the remaining portion of the sales, we are in constructive discussions with our customers regarding the pass-through of tariff-related charges and do not seeing material financial impact. You can see more about this on Slide 19. The uncertainties around trade dynamics led to pre-buying and buildup of safety stock in March 2025. This implied higher receivables and inventories, and consequently higher working capital. Our working capital as of March 2025 has expanded by approximately INR 2,000 crores, and there is an opportunity to reduce it in ensuing quarters. You can see more on this on Slide 14. We have come a long way in our diversification journey, and you can see more information about this on Slide 20. On the customer front, I'm happy to announce that we've already achieved 3CX10. On the geography front, there's a fine balance between developed and emerging markets. While developed markets are going through some flux, the emerging markets, on the other hand, are showing tremendous promise and
 growth potential. More than 50% of our revenues in FY '25 came from emerging markets. As highlighted, developed markets are experiencing some structural changes, and we are taking proactive measures to stay aligned to these changes. We have already announced a series of transformative measures in Western and Central Europe to breathe with the market, enabling a cost block optimization of approximately EUR 50 million, which we hope to be realized over the next couple of years. These structural changes, while volatile in the short term, are also throwing up new opportunities such as reshoring of RFQ packages. This is a perfect example of our diversification strategy, shielding us from regional volatility. Additionally, this provides us multiple acquisition opportunities to solve supply chain problems for our customers and remaining true to our vision of being a preferred sustainable solutions provider. On the business front, I have some further

interesting developments to share. The Vision Systems vertical has made strong inroads into camera monitoring systems in the CV segment with lifetime sales of over US$400 million. This is a strong testament to our electronics and software capabilities that we have developed homegrown in SMR. In the aerospace business, which we started in this 5-year journey, has already grown 5x in a year. And today, we're proud to say it's a Tier 1 supplier to Airbus across its portfolio. You can see more on this on Slide 22. Consumer electronics is having a very rapid ramp-up and is on track to reach a capacity of 15 to 17 million units by the end of FY '26. There are two new greenfields to support the vertical integration, and these are also on track for start of production, which you can see more on, on Slide 23. We are also setting up a new PCBA plant to strengthen our vertical integration. And this will also be capable to cater to exter

nal customers apart from our internal needs. Building on the capabilities of the aerospace division, we are setting up a new greenfield supply components for equipment used to manufacture silicon wafers, thereby supporting players in the semiconductor industry. Looking at all these new developments, our capex guidance for the next year and including for our existing business is about INR 6,000 crores plus or minus 10%. 50% of this is regular capex and 50% is purely growth-oriented. Majority of the growth business is towards the non-automotive piece. While we continue to invest for future growth, our approach remains prudent and disciplined with net effective debt-to-EBITDA ratio at 0.9x as of close of FY '25. We remain well within our stated policy with strong balance sheet capability. Our consolidated growth for FY '25 is 17.2%. However, if we normalize ROCE by excluding the greenfields that have been operational in Q3 and Q4 and including Atsumitec, which we just closed a few months ago, this comes close to about 17.7%.
 Moreover, there is an additional INR2,000 crores of expanded working capital, which I highlighted earlier, which if normalized would mean a ROCE of more than 18%. Finally, there is no better proof of the stability and strength of the diversified business model than a large book business order of approximately US$88 billion. We're extremely proud of our journey so far, and we are sure that with the continued trust of our shareholders, support from our customers and spirit of our global teams, we are on a very exciting journey ahead. The future is really bright. With this, I conclude my remarks. I have with me on the call, Pankaj sir, Kunal and Rajat, who will be happy to take your questions now. Moderator, if you could please take over. Moderator: Our first question comes from the line of Binay from Morgan Stanley. Binay: Congrats on the performance in a very challenging environment. My first question is on the presentation on Slide 24, you've given $2.7 billion of non-auto order book. And then in other slides, we've given $1.3 billion is coming from aerospace. So could you share where is this remaining $1.4 billion coming from? Is it consumer electronics or which business is this? Laksh Vaaman Sehgal: Yes. This is Vaaman here. It's coming from all of the others. Of course, consumer electronics is also growing at a fast pace because we already have those plants at operational plus we said that the additional plants are also coming upstream. But they're a mix of all the other businesses, and we expect this to grow even further in the coming quarters. Binay: And is it fair to look at the remaining $1.4 billion revenue because we've increased -- we've added another plant in the consumer electronics business this time. So we increased the plant over there. So is it fair to say that you sort of have some revenue estimate of those plants added in this order book? Laksh Vaaman Sehgal: Yes, but still more to come. As you know that the order book of that business is generally small. Consumer electronics business is only about 6 months to 1 year at max. So once the plant is up and ready, you will see a lot more of those -- that order book come in because that's when we have visibility to those orders. Unlike the automotive, which is 5 to 7 years, the consumer electronics is much shorter. But yes, this is also for the other businesses, like I said. So just watch out for this space, we believe a lot more growth is to come in these new businesses. Binay: That is very helpful. And Vaaman, just on the consumer electronics, like we gave this line that 15 million to 17 million units by end of FY '26. So like what exactly the unit? Like, for example, is one phone screen one unit, that the way to think about it? Because when you look at the pictorial depiction, the third plant looks significantly bigger than the second plant.
 So I'm just trying to see that with just the second plant, we're talking about 15 million, 17 million units. In the third plant scale, like what exactly -- or am I understanding units incorrectly, that one phone is not one unit. Laksh Vaaman Sehgal: Good question. Actually, our joint venture is into glass. So it's not just phones, it could do a lot of things in the future as well. So right now, of course, we are starting with one product line, but these -- the technology and the capability is able to cater to multiple of different devices. So right now, yes, it is more towards the phone side. But like I said, the further capability will come into other products as well. So like I said, you have to use some imagination with that. But we'll provide you a lot more information in coming quarters as that starts to come up to steam. Kunal Malani: So if I might add, you already -- some bits of the products that we are doing, as we move ahead, we have highlighted again and again that we are not going to be just an assembler, we want to do the manufacturing and engineering of it also. And hence, going ahead, there is a portion of backward integration that will also start featuring into our consumer electronics space. Binay: No, we hope to see these products at your Motherson Investor Day, which you usually hold every once in 5 years. Just last question, what is the final -- like we earlier said INR 2,600 crore investment in consumer electronics. What is the number now because we've added plants over there? Kunal Malani: Look, right now, it remains the same. What you are seeing on the slide that you're referring to is pertaining to the INR 2,600 crores. I think that Vaaman was mentioning, there's obviously conversation ongoing for further expansions. We have highlighted it also when we had raised capital in September last year. Some of those conversations are ongoing. And as we progress through the year, you'll hear more about it. Moderator: Our next question comes from the line of Raghu Nandhan from Nuvama Research. Raghu Nandhan: Congrats on strong performance in challenging times. Firstly, to Kunal sir, first on the module and polymer business, cost seems to have increased Y-o-Y and Q-o-Q? Any cost pressures you would like to call out? Was there any one-offs? Laksh Vaaman Sehgal: This is Vaaman here. Definitely, that was a place where we had the maximum pressure because of course, the customer mix over there is still figuring out that their program launches. We did have some issues and launches as well, which we have now taken care of and they're all behind us. So definitely, this was one place that we look back and say that this is a place that we can make

more improvements coming up in coming quarters, and it should only improve from here. Kunal Malani: Look, if I might add, the European market in the last quarter was obviously going through some amount of production realignment. We saw around about 8% or 9% decline in the automotive production, which meant the volume throughput was
 somewhat limited in the European market, which was the largest part of the business in MPP. And hence, the cost looks elevated on that account as well. Keeping that in mind, in April, we would have seen we have also announced a transformative plan to target around about 50 million of costs. A lot of that is part of this division as well. And in the next couple of years, we should be able to target that cost and reduce that piece as well. Raghu Nandhan: On the consumer electronics phase, the first plant started operation in November, how is the ramp-up happening? Would it be too early to give out a revenue number for Q4? And the 15 million to 17 million capacity, would it be possible to indicate a revenue potential? Laksh Vaaman Sehgal: Look, we are not allowed to give out too many numbers for these plants.

But I can tell you from the quality perspective, everything was matched. We definitely did a very good ramp-up, a record-time ramp-up for all our customers in that plant. And the joint venture is going really, really good. We have a great cooperation. The customers have been extremely happy. But we'll be able to really tell you once the new plant is up and those orders kick in. And only then we'll be able to tell you more about that. But I can tell you from a more structural side, it's really much better than our expectation. Raghu Nandhan: On the global situation, over the medium term, how do you see the shifts happening in the supply chain? And in terms of some of the global OEMs have been talking about increasing U.S. production over the medium term, would Motherson stand to gain within that you already have a strong presence in U.S.? How do you think the supply chains will align over the medium term? That's my last question. Laksh Vaaman Sehgal: Very good question. I think this is something that Papa has been driving in the group for a long period of time that we are not a company that wants to do a lot of exports. All our plants are local. We try to make them locally competitive, support locally, invest in them. So definitely, whenever there are shifts like these, we have a good opportunity to grow because of our geographical presence in all the countries where these markets are and our close presence to the customers. So I think that's been one of our strengths in waves of these volatilities and uncertainties that you see. And hence, the performance also is in front of you. We are much more agile to be able to shift production as the customer needs and are already physically present in all those locations with capacity present. This is also something that Papa forced us to do that as soon as the plant reaches about 75%, 80% of capacity, we start paving way for how to increase it in the short term and be ready for increased production. So that's worked really well for us and also the reason why the customers are looking to us for providing solutions for those places where they have not been able to get these solutions.
 So overall, like I said, I think the performance of the company has been phenomenal on -- even though all these things that you're talking about of shifts of production volatility, uncertainties are there, we have coped with it much better because of our production base. Moderator: Our next question comes from the line of Nitij Mangal from Jefferies. The line of the participant has dropped from the question queue. We'll move on to the next question. Our next question comes from the line of Kapil Singh from Nomura. Kapil Singh: First of all, congratulations on a very strong performance in the 5-year plan and look forward to meeting you for the next one. My question is on the modules and polymer products division. You mentioned there were some challenges. But given that we are in turbulent times and there have been tariffs-related issues as well, just want to understand whether it was Q4 that faced most of those challenges? And what should be the starting point for us to look at the margins of this division? Would it put the annual margin to the right benchmark? Or -- because the presentation also talks about some inherent cost changes. So if you could just articulate that as well, what are those? And how are you looking to handle them? Laksh Vaaman Sehgal: Okay. Thanks, Kapil, for that question. I'll start and maybe Kunal can support me on some of that. Look, when you're running 400 facilities globally, even if you have a problem in 5% of them, that's 20 facilities, right? So first of all, we have to understand the nature of our business. We are taking over companies that are financially in distress. Sometimes, the customer is taking -- telling us to take a lot of programs on, which are complicated. So always we are ready f

or some sort of a situation where things have not really gone exactly as per plan, and that's part of the business. Yet we have a very strong DNA of never give up. It's never that we have ever given up a program or platform or a unit or something like that. And we work together with the customer, the people. And the whole group really supports to be able to solve the issues that they are on the field. So likewise, even in this situation, I think we did have a couple of launches that perhaps did not go exactly as per -- as we had planned them. Numerous reasons why, but we're not a company that gives excuses, we're not going to get into that. We could have definitely done better. And that's something that we are planning for as we move forward. And we have strengthened these things in the last quarter. Definitely, from the way I see it, that the worst is behind us. The pickup in the margins should only be positive from here as long as, of course, the volume holds. Now you do see that the customers are still figuring out their product portfolios, which are the EVs that they are launching. Some of them are having some success, some of them are not getting the response that they originally envisaged. So it is a mixed bag. And again, our diversified customer base in these regions, the bolt-on acquisitions that we have done, all of that should, again, as we're solving the problems as they go along;
 should all go better. And you should look at it as a year-on-year number, so not a quarter-on-quarter numbers. Too many factors affecting it on a quarter basis. So definitely for the next year, I think you should see a stark improvement from where we are. Kapil Singh: That's quite helpful. The second question is on the acquisition opportunities. Given this environment, we are seeing many companies facing challenges and we've historically been good in taking these opportunities. Given the current scenario, how you think about the acquisition opportunity and the landscape over there? Will there be any new considerations that you will take into account besides the usual one that you do? I ask this because of the changes in cost structures which are taking place and also the changes in supply chain. So just some -- I know you can't talk about specific opportunities, but just broad high-level thoughts will help. Vivek Chaand Sehgal: This is Chaand here. Look, we

are always open to acquisitions. And we -- personally, I think that this makes more sense than a joint venture or trying to reinvent the wheel ourselves because once you own the company, then you have the complete freedom to go anywhere in any country and make this thing. But I have always been guiding my people that you have to make sure that a customer is standing behind asking for that particular acquisition. So if it's only that you feel that's a good business, well, I'd rather that I have a customer telling me that he needs that product and hence, he wants us to do the acquisition. So Motherson is always open for acquisitions. But like we have said always, and you can see it in the past, all the acquisitions that we do are -- there's a customer standing behind it. And that then gives us a chance to make all three of us happy in that particular thing. Probably that's the reason why 47 of our acquisitions are all doing well. So I hope that answers your question. Kapil Singh: Very much, sir, and look forward to more of those happening through the next year. Just on the Aerospace division... Vivek Chaand Sehgal: I hear month. Kapil Singh: Certainly. Just lastly on the aerospace division, we saw very strong revenue ramp-up over there through to last year, but margins have come off. So just if you could share some color over there as well what's really going on? Laksh Vaaman Sehgal: Yes. Look, aerospace has been a great addition to the group. Of course, you're seeing numbers now with the addition of A

D Industries as well. That was also a unit that was struggling with profitability. So of course, we are making huge inroads together with the customers to improve that and driving group synergies to bring that to the level where we expect in Motherson.

 So obviously, in the short term, you've seen where it takes a dip. Apart from that, we're also expanding the facilities, we're building. We build greenfield facilities, together with our partners, in Bengaluru. So those are ramping up. The customer situation is improving gradually, but in the right direction. But we believe there's further improvements to come. And also, we are pivoting these industries to be serving some of the other customers, such as semiconductor and things like that, which would also helps to deal with the cyclicality of some of these things when they happen. So again, these are just offshoots right now. You're seeing good growth opportunities. The profitability will come surely in coming quarters. And again, request you to look at it more on a year-on-year basis and really see where we are able to take it by next year. Moderator: We'll take the next question from the line of Amyn Pirani from JPMorgan. Amyn Pirani: My first question was that now that fiscal '25 has ended and we are at the end of the last 5-year plan, any initial thoughts for Vision 2030, the broad areas that we should be looking at, what are you thinking about over the next 5-year horizon? Vivek Chaand Sehgal: Amyn, we are not thinking. We already know what it is. And Motherson works in a way that by December of 2024, fourth -- fifth year last quarter, the whole group had already worked together as to what the number will be for the next 5 years. And we are going to inaugurate that number where, Vaaman? Laksh Vaaman Sehgal: We are going to have an investor conference in September, and we will tell the full team, the details around it. But Papa, maybe you can -- since the question has been asked, and we have finished the 5-year plan, you can at least give them the highlight of it. Vivek Chaand Sehgal: If I give them a number, they'll have a small heart attack. So I mean if you're up to it, I can tell you the number. But I think the details on all this is -- will probably be best served if we give you around, I think, August or -- October, November I think this year when the investor conference will be held. At this time, we are wanting to hold the conference in Bombay, I think, to make it easier for most of them. So we'll probably hire a football team or something. Okay. The number of all the groups and everything put together, we are targeting for 2030 will be US$108 billion on the top line. And of course, the ROCE remains same at 40%. I hope all your hearts are fine. Amyn Pirani: Yes. Now even more reason for us to look forward to the details as when you host the investor conference. But yes, thanks for giving a glimpse of what we should expect. Just one or two follow-up on the accounting. This consumer electronics venture that you have, just from my understanding, is it a consolidated or this is part of the unconsolidated JVs that you report, just from a reporting and accounting point of view? Kunal Malani: It's consolidated, Amyn.

 Amyn Pirani: Okay, consolidated. Okay, okay. And secondly, your tax rate for this quarter was very low. I noticed that the same thing happened last year fourth quarter. Is there something which happened in the 4 quarter that just we should be mindful of? Kunal Malani: No, look, I think, obviously, during the other quarters, you are building it out on an estimate basis. Then at the end of the year, you have the final outcomes and then you get to whatever is the adjusted tax base, depending upon how the previous quarters are looking like. Having said so, there were some one-offs that occurred all

the way, totalling to around about 47 on a net basis -- 45 on a net basis. which included some of the tax refunds that we got some places where we reversed our DTAs and some one-off costs on account of repayment of -- or the prepayment of debt that we did with the QIP money. So altogether, that impact is around about 45. Majority of that is in the tax bucket. And hence, you're seeing this at a slightly muted level. But a better way to look at it would actually be the -- for the year piece rather than for the quarter piece. Moderator: Our next question comes from the line of Jinesh Gandhi from Oaklane Capital. Jinesh Gandhi: A couple of questions. First is, we have taken approval for raising debt of INR 8,500 crores. So can you talk about that? What are the applications which you're looking for that? Kunal Malani: Look, this is once a year, we take it. It's on an estimated basis. It's not that there is something getting planned imminently. It's an in-principle approval that has been sought from the Board. And obviously, when we do raise it, you will hear about all the details, including the use of proceeds and so on. Jinesh Gandhi: Got it. And secondly, the consumer electronics business including the Phase 1, which is operational, are we thinking about the applying for PLI for electronic components? Are we eligible for that? Kunal Malani: Yes. We are eligible for that, including some of the SPAC-related, which are special -- especially created by the local government, the state government for the electronic manufacturing piece. So yes, we are part of that. Jinesh Gandhi: Okay. So we'll be. Thirdly, with respect to the PCB assembly greenfield capex which you're putting up, you have mentioned it for autos, but are we also thinking from non-auto perspective? Is that also an opportunity, given that there's, again, reasonable input content there? Kunal Malani: Look, like with everything else, it's a capability set that we are building. So obviously, while it is currently for backward integration on the automotive piece, but once we are there, there's nothing stops us from going for any other industry as well.

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Page 12 of 16 Laksh Vaaman Sehgal: That's right, Kunal. I think the most important piece is that we bring that capability to us in-house. And as you know, the customers are also requiring the more and more of the electronics on the automotive side is done in-house. This is a push from the government as well, which, of course is the good opportunity for all of us. But we are not stopping there. Our idea is much larger. We're looking at the right partnerships to enhance capabilities over there. And of course, we're fully capable to do right now what we need for our business, but we are thinking quite larger. And of course, as things develop further over there, we will come back to you and tell you about those also. Jinesh Gandhi: Okay. Vaaman, any sense on how the imports on PCBs are currently? And what is the opportunity set that we are looking at? Laksh Vaaman Sehgal: Look, this is something that we've been working on for a while. Of course, the wire harness business itself is also doing some of that. And we are -- now what we're doing is we're putting the entire groups requirement as one. So SMR has a requirement. Rajat is telling me that a total of 15 lines globally is the requirement of -- we already have. And we're building now, of course, for the Indian requirement and in the future also be able to export. On top of that, like we are talking about our expansion in the consumer electronics. More and more components are coming with PCBA requirements. So we're just preparing for that. We have a large requirement of our own. We're catering to that. And like I said, we will build further on from here once we have secured our own requirement. Jinesh Gandhi: Got it. And just missed that 59 number. What was that, which Rajat mentioned? Rajat Jain: So what I was

trying to tell is that we only have 15 lines globally across the group. So we already have. And it was to your question that what is the potential and what's the size. So it's not that we don't have the capability, we already have, but it's about preparing more for what we see coming in the future. Vivek Chaand Sehgal: Everything is getting electronics. We'll need more and more of that. Jinesh Gandhi: This is a step in right direction. I was just trying to understand how big this opportunity can be. Moderator: The next question is from the line of Gunjan Prithyani of Bank of America. Gunjan Prithyani: Just a couple of follow-up questions. On the consumer electronics business, is it possible to share all the INR 2,600 crores number that you had given on CAPEX commitment, how much of it has been done in fiscal '25? And also this INR 6,000 crores, which we again have given that non-automotive would be 50%, so is it possible to break that further and give some sense on how much goes towards consumer electronics?
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Page 13 of 16 Kunal Malani: Look, in the period March '25, I think we have done around about INR 900 crores to INR 1,000 crores out of the INR 2,600 crores. So part of that obviously flows into the '26 capex guidance. And then you are seeing some of the other pieces, which are semiconductor linked some of the PCBA pieces, some of the medical pieces, which are all in the works right now, new aerospace facility coming in, which are all part of the non-automotive part of the group. Gunjan Prithyani: And so fiscal '26, I mean how big this INR 1,000 crore could get to, like we end up spending the entire INR 2,600 crores within F '26 itself? Kunal Malani: Look, it is difficult to really say it for certain. But having said so, right now with our plan, the larger facility is supposed to kickstart by mid of FY '27. Going by that, a majority of it should get spent in this year if we are going to be ready for that facility in mid of next year. So I would imagine most would get spent. Gunjan Prithyani: Okay. So that -- the new greenfield plant is part of this INR 2,600 crores capital commitment? Kunal Malani: That's right. You're talking about the large greenfield... Gunjan Prithyani: The large new greenfield plant, yes. Kunal Malani: It's not new. It's part of the 20 -- it's always part of the INR 2,600 crores. So -- but you're right. Gunjan Prithyani: Okay. And the 15 million to 16 million units is only the Phase 1, which is sort of already underway, the Plant 2 and Plant 3 will add on top of that. Is that understanding correct? Kunal Malani: That is right. So one plant is already underway. Plant 2 will kick start in the next few months. And that is where we are seeing that the ramp-up of this to be somewhere around the 15 million to 17 million units by the end of this year. And obviously, then our largest facility will kick in, which will further enhance this capacity plus build in all the other backward integration pieces as well. And hence, that becomes a much more comprehensive portfolio going ahead. Gunjan Prithyani: Okay. Got it. And just last clarification on this piece. This consumer electronics business, I noticed when you move to the capex slide, you put it in lighting and electronics, whereas when we talk about the order book, we call it in the non-automotive piece. So you -- I'm just slightly confused in terms of where is it coming in revenues. Is it coming in the lighting and electronics revenue stream? Or is it coming in non-automotive somewhere? Kunal Malani: No, it is in the lighting and electronics piece. It is more driven out of the fact that it is electronic division. And hence, it is residing in that division. As that business becomes
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Page 14 of 16 larger, we will start putting it out as a separate item, much like we have done for integrated assembly as an example. Gunjan Prit

hyani: Okay. That's clear. The other question that I had was on the on the wiring harness business. Now when I look at the margins of the business, they have actually -- if I look at quarter or even if I look at annually, they've done quite well. But when I look at the,India there has been some pressure on the India piece. So it seemed like a lot of that margin expansion or improvement is coming from PKC. Generally, that industry has been under pressure, right, commercial vehicle. Just trying to understand, what's happening on the margin piece on wiring harness? And it's a little bit different from what we are seeing on the Indian entity? Pankaj Mital: So this is Pankaj here. When you're talking about the India piece, there are two components to it. There is a stand-alone business, which has done very well; there is also domestic Indian industry, which is part of the subsidiaries or the associate companies. And there, there has been a lot of expansion. So you would see that there has been a lot of growth in the new plant setups. If you see the commentary from MSWIL, you would note that there have been expansion expenses relating to new plants and some delayed launches by the customers, which have impacted, to some extent, the margins, but they have still been able to manage very good return on capital employed. So the focus has been on growth there. And the global business is not on PKC because it's one Motherson, so as a whole division. There are multiple units around the world. Coming out of COVID, we had a lot of challenges in the supply chain. We in-sourced many things. The team around the world worked very hard and worked together with the customers to find unique solutions, continue to work on VAVE and optimizations and improving the efficiencies. So that is -- all resulted in a good set of numbers. Gunjan Prithyani: Okay. Got it. And last question. On Slide 20, I think you talked about -- or 20 or 21, I think you talked about Yachiyo being able to cross-sell beyond Honda. Can you talk a little bit more about this? I mean, what is the potential? How should we think about the growth in Yachiyo? And the overall Japan piece, which sort of stands at about 2%, I think, which you mentioned in your country-wise, how should -- how is that composition changing with all the acquisitions that we've made in -- with the Japanese OEMs now? Vivek Chaand Sehgal: Look, Yachiyo is a new entrant into Motherson field. What we have been able to show to under management is that immediately with them coming, we have got them the orders from other carmakers as well. Till now, they were only working for Honda. All Honda cars all over the world, carry their sunroofs. Now they have already broken ground with new ones.

 Next step is to bring in the German carmakers and American carmakers as well into the fold. So Yachiyo has a terrific history. It's probably very competent and probably the only living company at the moment doing this business. So we're grateful for Honda-san have trusted to give us this. But I think there's a tremendous amount of future for them. What do you think, Vaaman? Laksh Vaaman Sehgal: Yes. Absolutely, Papa. I think not just that, I think fuel tanks are also there, and we're seeing the resurgence of hybrid vehicles. And people thought that a fuel tanks won't be used anymore, well hybrid is still using them. So that's growing quite fast for us, and they have incredible technology in that and probably the world's best capability in doing so. So a lot of potentials or a lot of new business opportunities entrance into new customers. We are very happy with how Yachiyo has integrated together with Motherson to create another product line for us, multiple product lines for us and getting a lot of good feedback from our customers as well that this is something that was needed to bring in. So far, I think you will only see that Yachiyo continues

to grow. We're in it need to invest further to diversify the customer base and even perhaps bring in more product groups and also possible acquisition opportunities as they become even stronger. Moderator: The next question comes from the line of Preet from InCred AMC. Preet: Sir, if you could just break up the organic and inorganic revenue for quarter 4 financial year '25 and for the full year? Kunal Malani: For the full year, on the inorganic side, we have done around about INR 8,500 crores. This is there on Slide 10 of the presentation. I think if you look at it from a year-on-year basis for the 12 months, we would have grown organically around 7% or 8%. And if I look at it on a quarter-on-quarter basis, then it will probably be flattish on the organic side. Moderator: The next question comes from the line of Pankaj from Afflut. Pankaj: Based on gross revenues, which currently... Moderator: Pankaj, sir, Sorry to interrupt. Your line was not audible until now. Could you please repeat your question once again? Pankaj: This question is for Sehgal Senior. You talked about 5-year Vision 2030 destination, I mean. Is the $108 billion of revenues, which you talked about, is it based on gross revenues, which currently as on FY '25 was around $26 billion? Or is it based on reported net revenue, which is around US$13-odd billion? Vivek Chaand Sehgal: Very good question. I had already requested that we are not wanting to give more details. But normally, we go on gross revenue. That's because many different countries,

 many different taxi and all that. So we follow a number which is gross, and that's how you should look at it. And let's wait till another 3, 4 months, and we'll give you all the details as much as you want. Pankaj: Sure, sir. So it means 4x -- around 4x to 5x in the next 5 years? Well, thank you and good luck for the same. Vivek Chaand Sehgal: Sir, we are on the seventh 5-year plan, and we have started from what 12 crores to 100 crores, 100 crores to 200 crores, 200 crores to 10,000 crores, 10,000 crores to 1 billion, 1 billion to 5 billion, 5 billion to 18 billion, which we didn't do because of COVID. And then that time, we did about 9 billion, and now we're at about 26 billion. But this 5-year plan, just keep in the mind that we have lost almost 3 years because of COVID and related problems. And so we only had 2 years to go from 9 to 27. So that's about 3x. And now we want to go, as you said, 4x, 5x, I don't know. Xs are not important. But the main thing is the whole group is standing behind this target and with bottom line, please. Moderator: As there are no further questions from the line of the participants, I now hand the conference over to Mr. V.C. Sehgal for closing comments. Vivek Chaand Sehgal: We actually had no intention to take the storm out of the people's this thing, but I think there was genuinely a request to give some kind of indication as to what our target could be. I just want to reiterate that this particular target is the aspirations of Motherson. They have done this particular thing every 5 years. They have come up, and they have never adjusted the number. And so I look forward to seeing all of you in the investor conference. And that time, we are thinking -- this time, we should do it in Mumbai, so that more and more people come and have a look and also understand from the teams themselves as to what they visualize the future to be in the next 5 years. So wish you all the best, and thank you for attending this call. Thank you very much. Bye-bye. Back to you. Moderator: On behalf of Samvardhana Motherson International Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Safe Harbour: The transcript for the Investors' Call has been made for purposes of compliances under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 For the transcript, bes

t efforts have been made, while editing translated version of voice file for grammatical, punctuation formatting etc., that it should not result any edit to the content or discussion. The audio recording of transcript is available at website of the company, viz., www.motherson.com . This discussion contains based on the currently held beliefs and assumptions of the management of the Company, which are expressed in good faith and, in their opinion, are reasonable and can may include forward-looking statements. Forward-looking statements involve known and unknown risks, contingencies, uncertainties, market conditions and other factors, which may cause the actual results, financial condition, performance, or achievements of the Company or industry results, to differ materially from the results, financial condition, performance, or achievements expressed or implied by such forward-looking statements. The Company disclaims any obligation or liability to any person for any loss or damage caused by errors or omissions, whether arising from negligence, accident, or any other cause. Readers of this document should each make their own evaluation and assessment of the Company and of the relevance and adequacy of the information and should make such other investigations as they deem necessary.

## Call: Aug 2025

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August 20, 2025

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MUMBAI – 400051, India

Scrip Code: 517334 Symbol: MOTHERSON

Ref. : Transcript of earning conference call for the quarter ended June 30, 2025

Dear Sir(s)/ Madam(s)

This is further to our letter dated August 13, 2025, whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of financial results for the quarter ended June 30, 2025.

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the Transcript of the said earnings call, for your information and records.

The transcript of the earnings call is also available on the Company’s website at www.motherson.com

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited

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 “Samvardhana Motherson International Limited Q1 FY '26 Results Conference Call” August 13, 2025
Management: Mr. Vivek Chaand Sehgal, Chairman Mr. Laksh Vaaman Sehgal, Director Mr. Pankaj Mital, Whole Time Director and Chief Operating Officer Mr. Kunal Malani, Chief Financial Officer Mr. Rajat Jain, Chief Operating Officer, Vision Systems Business Division


Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Results Conference Call, hosted by Samvardhana Motherson International Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. VC Sehgal from Motherson. Thank you, and over to you, Mr. Sehgal. Vivek Chaand Sehgal: Thank you very much. Good evening, ladies and gentleman. Thank you for joining the SAMIL results conference call. I am pleased to announce that the Board has approved the results for the first quarter of financial year 2026. I'm pleased to share that Motherson has delivered a resilient and disciplined performance in the first quarter of financial year '26 with our highest ever quarterly revenues. Despite persistent industry headwinds and tariff-induced volatility, our teams have executed with agility and precision in driving operational efficiencies, reinforcing customer trust across our global operations. We have taken several steps to mitigate the impact on our business, and Vaaman will talk more about them. In these volatile times, uncertainty often breaths opportunity. With our strong balance sheet and disciplined financial approach, we are well positioned to seize the growth opportunities as they arise. As we move forward, we remain committed to sustainable growth, innovation and value creation for all shareholders. We appreciate your continued support and confidence in Motherson's journey. For in-depth details on the results, I would like to hand it over to Vaaman and the team to provide a walk-through and business insights. Over to you, Vaaman. Laksh Vaaman Sehgal: Thank you, Papa. Good evening, ladies and gentlemen, and thank you for joining the earnings call for Q1 of FY 2026. The company has delivered a resilient performance with robust revenues of INR 30,200 crores and EBITDA of INR 2,466 crores, whilst navigating a challenging business environment. We reported a normalized PAT of INR 667 crores. This performance has to be viewed in a backdrop of dynamic production environment heightened with tariff-induced uncertainty. As a part of our conservative accounting policies, we booked the associated costs upfront and continue to engage actively with our customers on sharing this pain.

On a year-on-year basis, the global light vehicle industry grew by 1.7% with the growth primarily coming out of emerging markets of India and China, while the developed markets such as Europe and North America degrew by 4%. On the commercial vehicle side, whilst there were signs of softening, cyclical reduction is now visible in North America, having degrown about 29% on a year-on-year basis. More information on this is on Slide 7. Against this industry performance, Motherson delivered a 5% growth on a year-on-year basis, which is contributed by our resilient and well-diversified organic business and well-executed mergers and acquisitions. On the profitability side, the business environment of late has become very complex with evolving trade policies, ongoing geopolitical conflict and volatility in forex. All these are putting pressure on the supply chain. Further, there are persisting structural issues in the developed markets. The cumulative effect of all of these factors have resulted in a transitory impact on our profitability this quarter. We are taking concrete steps, and I would like to provide a brief walk-through on some of them. First, to address the structural issues and beat with the market, we have launched a series of transformative measures

in Central and West Europe aimed at delivering cost savings of EUR 50 million over the next few years. As a first step of this transformative road map and alignment with the works council and representative authorities in the different jurisdictions, we have booked provisions amounting to approximately INR 136 crores as exceptional items in this quarter. The actual cash out will happen over the course of the next 3 quarters. This will have a payback of less than a year. Secondly, in relation to the evolving trade policies, I would like to highlight that Motherson is well positioned to navigate this landscape. We have a globally local strategy and hence, a significant level of our production is the local -- is in the local country of consumption. As a result of this, majority of our sales to the customer in the\ U.S. are USMCA compliant. For the noncompliant piece, we are engaged in fruitful discussions with our customers to pass on some of these tariff-related impacts, albeit with a lead lag effect. In light of the recent shift of tariff policies towards India, we do not foresee any material impact on us as our export content to the U.S. is less than $10 million for Q1, with most being on ex work incoterms. Please look at Slide 6 for more information on this. Thirdly, we are setting up a number of greenfields to cater to the growth coming out of emerging markets and non-auto segments. As these begin to come on stream, there is a certain amount of start-up costs that is being incurred upfront. As some of these greenfields ramp up during the later part of the year, we should see a positive impact on the bottom line. There's more information on this on Slide 11.

And lastly, as the year progresses, some of the recently acquired assets will be better integrated and will begin to contribute meaningfully. While the operating environment presents its challenges, we remain firmly on our organic growth trajectory, underpinned by a capex spend of approximately INR 1,200 crores -- around INR 1,200 crores during the quarter. Having successfully operationalized 3 greenfield units and 11 additional facilities progressing through various stages of completion -- this is shown on Slide 11. These strategic investments enhance our position to capitalize on growth in the emerging markets. As of now, we remain in line with our capex guidance of about INR 6,000 crores plus/minus 10%. However, we will recalibrate this as the year progresses in line with the changing production environment. Our leverage in the quarter saw a slight uptick with a net effective debt-to-EBITDA ratio at 1.1x. This is shown on Slide 12. This is primarily contributed by the expanding working capital owing to the high amount of uncertainty in the supply chain and further due to the sharp volatility in foreign exchange, there is a translation impact on the debt of about INR 600 crores. While we remain well within our comfort zone, our business divisions are actively implementing targeted initiatives to optimize working capital. Combined with ongoing operational measures, these actions will support our deleveraging efforts as we progress through the current fiscal year. While the current environment presents short-term challenges, we remain focused on supporting our customers with upcoming model launches and addressing supply chain constraints. Periods of uncertainty often create new opportunities. And with our strong balance sheet, we are well positioned to pursue and capitalize on them. I would like to conclude my remarks by reemphasizing that this is a work in progress quarter and all the steps that we are taking to mitigate the prevailing headwinds and breathe with the market. The business teams continue to work hard and burn the midnight oil. I have the team with me, and I'm happy to open the floor for your questions. Operator, please. Moderator: Thank you very much. Our first questio

n comes from the line of Aditya Jhawar from Investec. Please go ahead. Aditya Jhawar: So just one question on the U.S. tariff. So we clearly understand that on the auto business, the impact would be very negligible. But on the consumer business, if you can help us understand, how should we think about it considering so many news flows about implication on tariff. That is question number one. Question number two is that with regard to the similar line of thoughts, how much capex we have incurred so far? And how should we think about the revenue ramp-up in terms of the next couple of years?



Vivek Chaand Sehgal: Thanks, Kunal, Vaaman, will you take this? Laksh Vaaman Sehgal: Yes, I can take some of it and Kunal can maybe add on the capex side. Currently, there's no impact on the consumer electronics business. The business is pulling as per the demand of the customer, and it's exempt from the U.S. tariff. So we don't see any implication on that. Of course, the larger facility is to come on stream only by middle of next year. So there's still a lot of time for that to happen. But the customer has not shown any indication of any slowdown in -- or change in demand. And we are continuing to set up those facilities for the envisaged requirement, which is only growing. It's not going the other way. Kunal, can you give a number for the capex? Kunal Malani: Yes. So Aditya, if I understood you right, our capex for the quarter is INR 1,200 crores, which is as per what is there in the presentation. For the year, we are still guiding towards the INR 6,000 crores plus/minus 10%. Among the greenfields that are there, there are 2 which have been a little bit postponed by a few quarters, one in aerospace and one in the elastomers one, but that is about the change out of the INR 6,000-odd crores, pretty much 50%, 50% between growth and regular capex. So right now, I think with what we know, this is what we think we may likely end up in. In case, as Vaaman mentioned in his earlier comments that in case if the production environment looks different, then we will obviously recalibrate to meet the production requirement needs. Aditya Jhawar: It's very helpful, Kunal and Vaaman. My question, Kunal, was pertinent to the consumer business that how much capex we have incurred till date? And how should we think about revenue scalability, if a broad sense you can give? Kunal Malani: Pretty much half of what we had anticipated has already been spent about. Obviously, the largest piece will come with the larger facility, which will come in Q2 of next year. So nothing has changed as per what is the original plan. We remain exactly as per what was the original plan. Aditya Jhawar: Sure. My final question is on the recent partnership that we have signed in Taiwan. So clearly, sunshade and roof system and encouraging, I mean, space -- we expected to see good growth. So what is the thought process in terms of which are the markets that we are targeting, how much capex we plan to incur in this line of business? And what kind of profitability we should expect in this? Yes. That's it from me. Vivek Chaand Sehgal: Go ahead, Kunal. Kunal Malani: So look, I think a very exciting product. More so as you think about premiumization that is taking place in India and the globe. As you know, we do cater to the global OEMs and in the luxury segment where this becomes a pretty used product, so to say. And as part of



Yachiyo, there is a fair amount of in-sourcing opportunities that also exist, especially on the sunroof side. So I think from a potential perspective, it is fairly high considering the amount of content that we provide on the luxury interior space where products of this nature is applicable. And from a, let's say, the joint venture itself caters to India as well as to all our in-sourcing requirements

. So initially, I think the start will be small to get to understand the business and the dynamics associated with it. But then the ramp-up can be fairly, fairly quickly given the large in-sourcing opportunity itself that this particular product offers us. Laksh Vaaman Sehgal: And just if I can add to what Kunal is saying, the capex is fairly, fairly low in this product because most of the stuff is anyway our capability on injection molding and smaller parts, which are sourced. So the capex is not very huge for this product. It's actually a very high ROCE business. So we are quite excited with some wonderful partners in Macauto, and that should scale pretty quickly. Aditya Jhawar: That's very good to know. All the best. Vivek Chaand Sehgal: Thanks. We already have the orders. I just wanted to add. Moderator: Next question comes from the line of Kapil Singh from Nomura. Kapil Singh: Sir, we have mentioned the certain challenges as far as EBITDA impact is concerned on Slide 10. Is it possible to elaborate a little bit on each of the 4 points, like structural issues, what are we facing as a company and how we are tackling this? And on the tariff as well, what percentage of the revenues are non-USMCA? And are there any tariff-related costs which we have booked? Are these going to be only for this quarter? How much are they? Any color can be given. That would be my first question. Vivek Chaand Sehgal: Kunal? Laksh Vaaman Sehgal: I can start, and maybe Kunal, you can add on to that. I think even on our last couple of calls, we were quite vocal about how there is a change that's happening in Europe with, of course, the customers still figuring out their production for EVs and hybrids and mixes over there. And of course, the large number of acquisitions that Motherson has done in the region, we are looking at consolidating our footprint there and of course, also breathing with the market and figuring out good ways to make sure that we are ahead of the curve for the demand that we see that's coming up. So that has only been heightened by some of the macroeconomic issues that are playing out over there. But we are quite firm because we have the orders, we have the order book, which, of course, we tell you also every 6 months. And our order book remains strong, but there is a transitionary impact as these different models and the customers are figuring out their production volumes. And we see an opportunity with the acquisitions that we



have done to increase the order book and consolidate our footprint. And the timing is just right. Most of these things, as I spoke about in my opening remarks, will pay back in -- within the year and of course, will play out in the next couple of quarters. And this is a necessary step to secure our operations in the region. And as you know, the pass-through of some of these costs has been discussed with the customer. There is a time lag that this takes, but this was all discussed as we had acquired these assets and prepared a plan at that time itself to put some of these restructurings in place. So we are quite confident again that in the quarter 3 and quarter 4, you should see the impact of this play out and lead to a much better result in the region. Of course, we are hoping that the demand only improves from here, and there's no further impact. But we are quite confident and on track as per our plans to put these restructurings in place and make this region that much stronger and deliver better profitability. On the tariff, as we said, I think our group is always focused on sourcing locally, producing locally, supplying locally. So we do not have a very large number of business that is really being exported to the U.S. from outside of U.S. That's a big strength of Motherson, and that has played out really good for us. As you can see that the number was a fractional number compared to what we do and also perhaps most

ly just some customer-directed kind of stuff that happens. We structurally are in a very good place to supply U.S. from U.S. and the impact for us has been minimal. Kunal Malani: Yes. And if I could just add a few bits on it. Look, I think you've seen us invest a fair amount on the greenfields, including what you saw in the consumer electronics space, which we have kick started from November onwards. As the ramp-up happens, I think the profitability will be more visible. Right now, it is still in the ramping up phase, and hence, you do have some amount of start-up costs that exist. We bought Atsumitec at the end of last quarter. So this quarter, we have assimilated, it's early days, but that integration benefits are yet to flow in. And hence, these are, again, pieces that will play out as we go through the rest of the year. On an aggregate basis, we do believe that at a reported level, this will probably be the lower end of our quarter. So the next few quarters, and right till the end of the year should be looking better than where this quarter is right now. And that confidence is coming from all the stuff that Vaaman spoke about in terms of the transformative measures that we are taking in Europe, together with the passing off some of the tariff issues that we have for which the costs are embedded into our P&L right now, which will all get transferred to the customer or claim from the customer.



And then the ramp-ups of the greenfield and the integration of the M&As that we have done. I mean just to highlight, our non-automotive business has grown at around about 40% on a year-on-year basis, which again adds to the diversity, resilience as well as potential growth as the profitability of those kicks in during the latter part of the year. Kapil Singh: Thanks, sir. Just on the divisions, modules and Polymer products and also emerging businesses, we see that the margins have come down. Anything additional you want to highlight there? Are there any nonrecurring items here which you would like to quantify? Laksh Vaaman Sehgal: Kunal, just for the -- I can again start and Kunal, please support. I think again, on the modules and polymer side, this is where we are seeing the largest chunk of the breathing with the market and the largest amount of acquisitions that we've also done to consolidate our footprint in the region. Hence, you're seeing that impact has largest been taken over there. The other divisions are -- have a more spread out footprint across Europe. And Modules and Polymers will definitely bring the largest impact coming down the quarters for the transition that we are putting through. Kapil Singh: And sir, on the Emerging Businesses division, if you could just highlight there, are we seeing the peak impact there in both of these divisions this quarter? And what was the reason for Emerging Businesses division margins to come up? Laksh Vaaman Sehgal: Sure. I can again start and Kunal can support. As you can see, the growth over there has been tremendous and the largest amount of new facilities buildup is also happening in the emerging businesses, which is all incurring upfront costs for the large growth that we anticipate next year. So that is some impact is from there as well. As you can see, there's -- the volume has not -- has gone up significantly, and the EBITDA is just preparing for the large step-up that we will see again next year. Kunal Malani: And if I can add, I think this is where you would see the consumer electronics piece, which is still in the ramp-up phase, and hence, the profit margins are obviously dilutive right now in nature. This is also where the Atsumitec business has got embedded, which is again margin dilutive right now. And as the integration of that asset happens, we should be able to see better profitability as we move ahead. And then this also has the aerospace business where this quarter is a seasona

lly weak quarter. And hence, again, as the rest of the year transpires, I think we should be able to see improved profitability on that account as well. Kapil Singh: Understood, sir. So this could be the peak impact. Is that the way to understand? Kunal Malani: That is the way we see it with what we know today, that is the way we see it. That's why I said from an ensuing perspective, we should be able to see better performance on a reported basis. Moderator: Our next question comes from the line of Pramod Amthe from InCred Equities.



Pramod Amthe: So continuing on this module business, considering that it's the largest EBITDA contributor and the margins have slid from almost near 9% to around 6%. Considering the type of actions which you are taking now, do you see a visibility when it should come back to the 8% type of margins? Vivek Chaand Sehgal: Vaaman? Laksh Vaaman Sehgal: Yes, we don't guide on the exact number. But directionally, like we said, I think Q3 and Q4 should be much better. And Q2 always has the summer holidays, which is the largest revenue source for this division. As you know, August is all the shutdowns. So definitely, you should see the trend improve backward and go further from there in the second half of the year. Q3 and Q4 should show very strong performance. Pramod Amthe: considering the amount of write-off or the provision which you have made, it looks like just 1% of your EBITDA for the full year. But how can it be so transformational that it can improve your EBITDA by almost around 200 basis points? Can you give more color what has actually happened, is it plant related or customer related? Laksh Vaaman Sehgal: Yes. So it's not the only one that we have done. We had done it in past quarters as well, and we believe there is a significant amount of new launches, which are coming up towards the latter half of the year after which we should see significant reduction that we've already planned for in the past quarters for that to happen. So we're almost at the tail end of all the transformation that we need to do. As you know, we acquired these assets more than a year ago. Almost in the last 2 years. So we have been doing a lot of work to get it to stream. And it takes about as much time to integrate and to really show the results. So that's why we are quite confident that towards the latter half of the year, the trend should improve and the improvement should show on the bottom line, and we should be part of some of the key critical launches of the customer as well. Pramod Amthe: Sure. And the second one is more a strategy -- sorry, shall I go ahead with the next question? Kunal Malani: Yes, please. Pramod Amthe: Yes. So second one is more in terms of strategy side. Considering that now tariffs are the reality and different countries have reacted in a different manner. Any major change the way you are looking at M&A strategy template or any tweaks you are making when you are looking at the new acquisitions in the global landscape? Vivek Chaand Sehgal: Look, Motherson has always grown exponentially in time of crisis. So I don't think we're going to change that strategy. But I think one particular thing which is happening is the goodness of our thinking and the focus of being outside India being in the local country where we are producing, that has paid off very well.

We are laughing all the way to the bank actually. I think it's only to be extended to other businesses, other verticals also now, not just automotive, but I believe the other side also, we will have quite a chance to actually take advantage of that. Vaaman or Kunal, Pankaj, what would you think? Kunal Malani: No, agreed, sir, I don't think there is any change in strategy. In fact, in these volatile times, we are probably finding the best of opportunities. And with the balance

sheet strength that we have of a leverage of 1.1x, there is enough headroom that is there for us to capture this opportunity. So I think our diversified business model provides the resilience that we can capture these opportunities in not so good times. And that's exactly the position that we are in right now. So the pipeline remains strong, and hence, M&A is looking more imminent now considering the fogginess of the tariffs seems to be reducing. And hence, our ability to then consummate some of these transactions may improve as we look through ahead. Moderator: Our next question comes from the line of Raghu Nandhan from Nuvama Research. Raghu Nandhan: Sir, firstly, on revenue, what would be the contribution of acquisition revenues on Y-o-Y basis Atsumitec has been added. And I think AD Industries also was there on the first part of the quarter last year. Vivek Chaand Sehgal: Kunal? Kunal Malani: Yes, sure. So Atsumitec has added around about INR700-odd crores, give or take, in this quarter. So excluding Atsumitec, it is a 2% growth, if that's what you're looking at. Having said so, as we have communicated again and again, the ability of doing M&As come from the resilience of the business. So I've never understood this concept, again, as I said, of inorganic and organic from a growth perspective. But if it helps, that's what the numbers are. Raghu Nandhan: And we know that inorganic has always been a part and will continue to be. Sir, secondly, on consumer electronics, last time you had indicated 15 million to 17 million units of capacity ramp-up by end of FY '26. Would we remain on track towards this capacity? And would it be possible to indicate what is the revenue potential of this 15 million to 17 million units? Vivek Chaand Sehgal: Vaaman, would you take this? Laksh Vaaman Sehgal: Yes. Vivek Chaand Sehgal: We can't disclose. Laksh Vaaman Sehgal: We can't really. We can't disclose more than that, but I can give you a directional sense. Of course, we are quite excited about the largest facility coming up in Motherson next year.

And the customers has not shown any signs of slowdown on pickup over there. In fact, only opportunities of further growth. So we still remain on track. And we believe that the revenue potential is really meaningful on this business and will scale quite fast. You have to be a little patient with us. Of course, we are building this very large facility. It is going to come on track next year. But directionally, again, I can tell you that we are on track to spend the capex for it, and we are on track definitely also to achieve the sales that we envisaged from this business. It's only on the positive side. There's nothing that has changed over there. Please wait a couple more quarters, and you'll get a lot more color on that. Raghu Nandhan: Sure, sir. We'll wait for that. Just a last question. 10 new plants have been added in FY '25, which is a big achievement and 8 more plants are coming up in FY '26. Growth capex was over INR 2,000 crores in FY '25 and '26 will be another INR 3,000 crores . If you can give some thought about how we need to look at the revenue potential of greenfields, which are getting commissioned last year and this year? Vivek Chaand Sehgal: Kunal, can you take that? Kunal Malani: Yes, sure, sir. So Raghu, I think very difficult to decipher it on a plant-by-plant level. And given these are across multiple different product groups or divisional, it makes it that much more difficult. But in general, if I were to put it, there is a portion which will be visible in account of stuff like consumer electronics, stuff like aerospace, etcetera. And then there is a portion which is also being done on account of backward integration, which will be visible in margins, but may not come in revenues. So hence, don't necessarily link things to revenues because some of them is backward integration plays, wh

ich is expected to aid margin improvement and not necessarily revenue growth only. Moderator: Our next question comes from the line of Jyoti Singh from Arihant Capital Markets Limited. Jyoti Singh: Just one question on the module and polymer product that margin fell around 230 bps year-on-year. Is this purely cost driven? Or are you losing pricing power in certain contracts? Vivek Chaand Sehgal: Kunal, I think -- go ahead, Vaaman. Laksh Vaaman Sehgal: Yes. No, again, I don't see any losing of any of our contracts. In fact, we have a very strong order book in Europe. But the trajectory of the region as such is not showing intense amounts of growth, while Motherson is still maintaining our sales figures. And of course, with the acquisitions, we are increasing our order book. So we do not see any threat to our business. I think, of course, there is a consolidating landscape over there as the customer kind of figures out what is the key models that they want to launch.

EVs did not launch to their expectation in the last few years. And now they're coming up with a new range of EVs, which is very exciting and I think is more attuned to the market. And a lot of these launches are going to happen in the next couple of quarters. So I don't think we have a revenue challenge. It's more of this consolidatory and transitional period where we are making sure that our footprint is absolutely well connected to the customers' needs and the acquisitions are well integrated, so that we have plants with high amounts of capability to deliver to their expectations and to the right level of manpower in those regions with the changed landscape that's over there. But I definitely don't think there is any revenue challenge in the region. Kunal Malani: Just to highlight the fact that, look, it's not a dip from 8.7% to 6.4% in this quarter. If you look at last quarter itself, it had dipped to 6.5%. So in fact, it is fairly stable from where things are in the last quarter. The reason why it had dipped is because of a substantial decline in the automotive production happening in Europe, which came as a surprise in quarter 4, for which the transformative measures have been undertaken and which will get executed, as Vaaman was mentioning, over the next few quarters. And then you will be able to see a ramp-up as one. Two, as Vaaman mentioned, you will be able to see the ramp-up as the H2 new program launches occur, and that should be able to drive better utilization as well. And three, I think from the perspective of all the operational improvements that the team has been working on, those will start becoming more visible as with the new programs. And hence, those are expected to be at much better profit margins than where things are currently. Jyoti Singh: Understood. Sir, just one more question. On the pass-through side, like now companies are talking to pass through of the tariff thing to the customers. So are we thinking this will be easier for us to pass through price to the customer? And what's your view overall on the pass-through side? Vivek Chaand Sehgal: See, pass-through for us is already in our contract with the customer. And I don't think the customer -- the kind of products that we make is something which is available in the market, and we have a lot of competition and all that. In fact, most of our competition is in deep trouble at the moment. You could just look at the market cap that those companies have, and you will understand the problems for them are even more severe. But for us, it's easier because we are in that mindset and we have the advantage of buying the assets at a very, very cheap pricing. So I think the advantages are huge. And thanks to the team, the debt of the company is very low. Just the EBITDA is just what, 1.1 or something to that. So that particular advantage that we have is huge. And we don't really have a challenge the way you are t

hinking. Vaaman or Kunal? Okay, all right.



Laksh Vaaman Sehgal: Yes. Moderator: Our next question comes from the line of Gunjan P. from Bank of America. Gunjan P.: Just a few clarifications. The aerospace plant that you referred to greenfield plant has now been deferred. How should we be thinking about the revenue ramp-up from the aerospace then because the expectation was pretty high from that segment as well, right? So if you can talk a little bit on the aerospace business. And secondly, on the consumer electronics, I just want to confirm that there is one greenfield plant which commissions in Q2, right? Is the revenue contribution is of meaningful nature that we should like think about for that business coming from this quarter itself? Vivek Chaand Sehgal: Kunal? Vaaman, I don't know if Kunal is there. Kunal, Go ahead. Kunal Malani: So Gunjan, on the aerospace side, this is alignment with how the build-out rates are being planned by the customers. So the delay is not on our account. It's just how the industry is shaping up. And this is in alignment with, again, the rest of the production plan associated with the programs that are there. So it is an outcome of how the customers are thinking about it. So from our perspective, there is real no change. It is not that the orders are gone or it is not that the ramp-up is not planned. Yes, the ramp-up may get a little bit delayed, but it is not a problematic one from a size scale perspective. So overall, even in this year, you should be able to see a sharp ramp-up on the aerospace revenues, subject to any new surprises that hopefully doesn't come our way. On the consumer electronics side, you're right, the new facility is supposed to kick start in this quarter, in fact, in the next few weeks. And it is in combination of these 2 facilities that we said we should be able to ramp up to somewhere between the 15 million to 17 million unit levels by the end of FY '26. That piece remains on track, obviously, subject to customers feeling comfortable. But from our perspective, we are ready for that. Gunjan P.: Okay. Got it. So I'm just double-clicking on this emerging market business. If I just take the acquisition value out from the other -- from the emerging businesses, there's actually been a dip in the business. So I'm just trying to make sense has been -- what has been the drag because there's a INR 700 crores contribution, right? So on a Y-on-Y basis, it's close to about 6%, 7% decline in that business. Is that -- am I reading it right? Because there are also acquisitions which have added in the business? Kunal Malani: So you're partly right that on a quarter-on-quarter, you would be seeing a slight degrowth, which is partly on account of the seasonality that we just mentioned around aerospace. It is also driven off the seasonality around some of the metal businesses that we have in the



commercial vehicle space, which has been a little bit on the softer side than what was there in Q4. But overall, I think going ahead, we should not be seeing -- we should be able to see improvement on this going ahead. I believe that's the way we see it right now. But if you look from a year-on-year perspective, we are still growing with the same line. Gunjan P.: Yes, there's about 15% growth. Got that. Okay. The last question I have is on the debt, 2 quarters, again, working capital, I understand the environment is tough. But can you just talk a little bit more how do we see that reversal of working capital? What's really been the issue on that front? Vivek Chaand Sehgal: Kunal, go ahead. Kunal Malani: Yes. So well, the issue is twofold. One of it is driven off how the entire tariff structures played out. And hence, the lack of clarity meant you had to continue keeping some of the excess working capital, if I were to put it, just to

manage the final outcomes that may have been whatever that it could have been. And hence, from a conservative perspective, one went ahead with keeping an excess working capital. Two, there is a portion which was driven of the geopolitics. If you saw during the quarter, whether it was the Iran, Israel situation or the Gaza or Ukraine and Russia, et cetera, all of them had degrees of flares that occurred, which caused panic among the freights and the movement of goods. And that meant, again, that to want to keep a higher level of safety pieces in place in order to make sure that production is not impacted by any of those. In fact, even the freight costs have been higher in this quarter given the volatility that existed on this account. And thirdly, I think there have been some regulatory payment term changes in some parts of the world, which has also impacted the working capital. All of these, we believe, are transitory in nature again. With the tariff clarity, we should be able to directionally bring this down going ahead with the better -- hopefully, again, better clarity on both tariff and no new geopolitical concerns. Hopefully, the freight piece is stable, but yet to be seen. So subject to the freight piece being stable, we should be able to reduce further. And on the working capital for payment term change, we will be working to realign the working capitals accordingly to meet the new payment norms in those parts of the world. So directionally, I think we should still be on a declining trajectory. Again, in September, just prewarning, September is our peak working capital month given that immediately after the summer shutdowns, you have to ramp up for increased production. So you may still see some higher working capital in September. But in H2, you should be able to see the decline again.



Moderator: Our next question comes from the line of Avish Bhansali from Chanakya Capital services Private Limited. Please go ahead. Avish Bhansali: I just wanted to get a sense on how we are seeing the Chinese demand shaping up, especially on the Europe side as Europe is also going to ban the CO2 emitting vehicles from 2035 and also the Mercedes, which are one of our biggest customers also, they also were like not able to cope up with this. So any color on that? Vivek Chaand Sehgal: Sorry, I don't understand your question. Avish Bhansali: Yes. I just wanted to know what are your views on the Chinese competition, especially in the Europe market. Vivek Chaand Sehgal: Chinese competition? Avish Bhansali: Hello? Am I audible? Vivek Chaand Sehgal: Yes, go ahead. Vaaman, Kunal, Pankaj, free for all of you. I don't think competition is too much. The real effect will come when they will start exporting the cars and making the cars in Europe. But you would not -- you think it's very easy because cars can be exported and every country can afford it. That's where the whole problem comes. But anyway, our view is that there's much, much, too much time for the Chinese cars to actually come and make a spread in the world. World makes at the moment 80 million, 85 million cars given on in a particular year. And the whole Chinese companies can't take care of that. So they are at best about 16 million, 17 million cars. So it's a bit overwhelm, but it's your view. What do you want to believe. But our view, it's not going to be happening in the next 5 years. Pankaj, Kunal, anybody who wants to add on? Laksh Vaaman Sehgal: Yes, sure. Papa, I think what you said is correct. Pankaj, please go ahead. I'll add on after you. Pankaj Mital: You go ahead, sir, first, please. Laksh Vaaman Sehgal: So a lot of the -- I think people forget that Motherson itself has a deep presence in China. We have more than 30 facilities over there. And we are also supplying to the Chinese carmakers, and that will definitely help us as the Chinese carmakers if they are successful in building these f

actories outside of China. We have a lot of partnerships in China as well. So we are kind of well positioned more than anybody else because of our deep presence there, and we are already supplying to the local OEMs in a small way. But if that grows, we're already positioned to be able to take advantage of that. As you know, if the Chinese carmakers and they are setting up locations outside, they will need also local supply bases.



And again, us already being in there in China and being globally there with our facilities capable to supply to them. When the real growth does come, we do have a very good chance to grow with them in these markets. But then again, like Papa said, I think a lot of things have to happen before those numbers that they are producing outside of China and then shipping are meaningful. We are watchful, but completely prepared for that situation. Moderator: Our next question comes from the line of Joseph George from IIFL. Joseph George: I just have one question. In your presentation, you have mentioned that the total exports from India to the U.S. is about $10 million or less than $10 million. Would you be able to quantify what is the total exports into the U.S. for you? So manufactured parts outside the U.S. exported into the U.S. And here, I'm not talking about parts that are fitted into, for example, car manufactured by a European OEM who then sells the car in the U.S. I'm talking about your parts manufactured outside the U.S. and go into the U.S. as parts. Would you be able to please quantify that? Vivek Chaand Sehgal: Kunal, we've done some work on that, but mostly, we have plants. We have more than 25 plants in the U.S. But maybe I think Pankaj, he wants to know about the maquiladora and all that. The wiring harness that we do in U.S., but in Mexico, but we supply to U.S. I think he wants to know about that. Pankaj Mital: Yes. But in those cases, our products are USMCA compliant because if we are manufacturing in Mexico and even if there are some imported components, then they are added into the overall value addition requirements. And that's why we mentioned that most of the products are USMCA compliant. And wherever there are some customer specified materials, which are not USMCA compliant or otherwise, that's -- those are the items where the tariffs are being passed on to the customers. Joseph George: Sure. So what I'm trying to understand is just like you have quoted the number for India to U.S., similarly, would you be able to quote a number for manufacturing outside the U.S. and exported to the U.S. in the form of parts, not fitted on cars? Vivek Chaand Sehgal: No, no, no. That's exactly what I was asking that my team to help you with. The $10 million is actually the thing which is not covered in the tariff this year. That's what -- Kunal, that wasn't it? Kunal Malani: That's right. So the $10 million, Joseph, is the approximate size of the parts that are flowing from India to U.S. For the other parts that you're mentioning or from movement of goods from other parts of the world to U.S., majority of them will be happening in Mexico, which will be compliant under the USMCA piece. Then there is a piece which is anyway getting manufactured in the U.S. And hence, it is only a small delta that might be moving in terms of some of the customer-nominated parts that are moving from a part to the other, like if you're making an interior



in Alabama, some of the parts, the customer may have nominated to come from some European supplier, which will be coming in into the Europe. And hence, it's an automatic pass-through in that regard. But obviously, the agreements have to happen for that to occur. So on our own account, there isn't much that moves from one part of the world to the other. And whatever that does in the U.S. would largely be und er the USMCA compliance piece. Vivek Chaand Sehgal: And that's the basic plan of Motherson. Motherson was never an export company. We never -- we would have taken the awards of highest export from India. We were not even mentioned. So that's the plan of Motherson is not to export. Moderator: Our next question comes from the line of Kapil Singh from Nomura. Kapil Singh: Just wanted to understand, you mentioned that a lot of companies are in trouble and some of your best acquisitions have happened around these times. But you also mentioned that probably things were more cyclical at those times, and you have mentioned some structural issues as well. In light of this, how you are thinking of acquisition opportunities right now would be very helpful to understand. Vivek Chaand Sehgal: Sure. See, 47 acquisitions that we have done have been only at the customers' behest. So for us, every tumultuous time, the acquisition that is happening is because the customer wants it to happen, and that's why the whole particular thing is so exciting for us. So I think definitely, it is very clear that this whole promotion that has been created is very, very fertile time for us to do the acquisitions. So please watch the space. We are going to do a lot of acquisitions. And our new target is already there, $108 billion. That's 4x of the last target that we had. So we feel this is going to be a very exciting time, 5-year period for us. And of course, in -- Kunal, when are we having the investor conference in Bombay? Kunal Malani: September 5th. Vivek Chaand Sehgal: September 5th. So it's just a little time away, a month away. And you will understand why we are so excited about the whole thing. Do I answer your questions? Kapil Singh: Thanks so much, sir. Looking forward. Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. VC Sehgal for closing comments. Vivek Chaand Sehgal: Yes. Thank you very much. Thank you for your questions. I know we try to give you as much clarity as we can. But these are exciting times. We feel that it's uncertain, but it makes sense for us because we know that we can deliver. We get some reference from the



customer from time to time, and the customer is telling us he is really in trouble, because a lot of these suppliers are in doledrums for whatever reasons they pursued. As usual, in general, we are following the principle of 3CX10, which is no country, no customer, no component is more than 10% of our business. And we as you will see in the presentation, we are very much within our comfort zone. So I think I would recommend that you do attend the investor conference. It's on the 5th of September. Kunal and his team are going to be inviting all of you. And we're doing it this time in Bombay. So please keep your directory. Thank you all very much, and wish you a good week ahead. Thank you. Vaaman, do you want to add anything? Laksh Vaaman Sehgal: No. Nothing to add. Thank you. Moderator: Thank you. On behalf of Samvardhana Motherson International Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines. Disclaimers: This transcript for the Investors’ call has been made for compliance under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. No part of this document shall be reproduced or transmitted in any form or by any means without the prior written consent of Samvardhana Motherson International Limited (“Company”). This transcript has been edited for the purpose of factual accuracy, better reading and clarity. Best efforts have been made, while editing the translated version of audio recording, for grammatical, punctuation formatting etc., so that it should not result into any edit to the content or discussion. The audio recording of transcript is available at the website of the Company, viz., www.m

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# Call: Sep 2025

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September 12, 2025

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MUMBAI – 400051, India

BSE Limited
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Rotunda Building ,
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MUMBAI – 400001, India

Symbol: MOTHERSON Scrip Code: 517334

Subject: Transcript of Motherson Institutional Investor Meet 2025

Dear Sir / Madam ,

This is with reference to the disclosure dated July 29, 2025 ; September 05 , 2025 and September 0 6, 2025 made by Samvardhana Motherson International Limited (hereinafter referred to as "Company "), whereby the Company has inter -alia intimated about Motherson Institutional Investor Meet 2025 ("Meet") and further intimated about the upload ing of the presentation and audio -video recording of the Meet on the Company's web -site.

In respect to the above -mentioned , please find attached transcript of the Meet . The above transcript is also available on the Company 's website at www.motherson.com .

The above is for your kind information and records.

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited

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Page 1 of 36 Motherson Institutional Investor Meet 2025 September 5, 2025 Management: Mr. Vivek Chaand Sehgal, Chairman Mr. Laksh Vaaman Sehgal, Director – SAMIL, Vice Chairman – Motherson Group Mr. Pankaj Mital, Whole Time Director and Chief Operating Officer Mr. Kunal Malani, Chief Financial Officer Mr. Andreas Heuser Head, Regional Chairman's Office (Europe and North Africa) Mr. Rajesh Goel Head, Regional Chairman's Office (Southeast Asia, Japan, South Korea, Australia and New Zealand) Mr. Rajat Jain, Head, Vision Systems Business Division Mr. Frederic Boumaza Head, Integrated Assemblies Business Division Mr. Amit Bhakri President, Modules & Polymer Products business Division Mr. Arjun Kochhar Head, Logistics Solutions division Mr. Gaurav Gulati Chief Information Officer Mr. Christophe Ancey Head, Modules & Polymer Products Business Division Mr. Vishal Kabadi Head, Lighting, Electronics and Precision Metal and Modules Business Division Mr. Barrie Painter Chief Sustainability Officer and Head of Global MARCOM Mr. Kunal Vohra Head, Energy Business

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Page 3 of 36 Master of Ceremony: Motherson Institutional Investor Meet Edition 2025. We're thrilled to have all of you here and are so grateful that you could make it during this festive season. It is an auspicious time, and we thought there could be no better time for us to take you through our journey thus far and where we are going here on. I'm Akshaya. I've been part of the Motherson group for around five years now, and I'm excited to kick things off on stage today. Folks, 2025 has been a very pivotal year for Motherson. Many special milestones have come together and culminated through the course of the year. For one, Vision 2025, our previous five -year plan, has come to a close and kick -started Vision 2030, our next five -year plan. And this one's as bold, as ambitious, and as transformative as all of our six previous five -year plans that have been unveiled through the course of Motherson's history. We're celebrating another very important milestone this year. Ladies and gentlemen, Motherson has turned 50 this year. Can we have some cheer for th

at? That's right, from a one product, one location company, we're now present across thousands of products in multiple industries in 44 countries all around the world. Now, what a transformative journey that has been. And just to put things in perspective, that's half a century of Motherson being around and really living and breathing its vision every single day to be a globally preferred, sustainable solution, provider to its customers and to all of its stakeholders. Now as we look back and as we reflect on this incredible legacy, we cannot celebrate it without celebrating all of you here, our partners in growth, our growth partners. You guys have been pivotal, you guys have been integral in getting us to where we are today. And we wanted to take today evening to hear more from you, your insights, your perspectives, and even anecdotes through your association with the group. How about we make this a little interactive and let's have a show of hands if you've been associated with the group or you've covered the group in your research or you've just been a financial partner even to the group since our IPO. Can you raise your hand? Our IPO was way back in 1993. Not a lot of hands, but glad to see that some of you are here. We expected that the folks that had invested in the IPO would be living their best life on an exotic island somewhere. But we'd like to hear from you, sir, if I can interest you in a question. Can I have a mic, please? Thank you. So we'd love to hear from you. What do you think differentiates Motherson, or what did you find unique about our group through the course of your association with us? Attendee: First of all, as the name suggests, name itself is relationship. And during my course of interaction, I would say 13 years now, I have seen that you value every relationship, including bankers, you value every relationship. That is something really touches me. Then the second thing recently, when I was having discussion, you have crossed the number of employees that the State Bank of India has. So, I mean, that was amazing. That was amazing. Another thing that I saw today, in my relationship earlier, I thought mainly automotive company, but today the kind of diversification I have seen and especially the health section, which I shared with Sehgal sir also. I mean, I'm really amazed at that and that is what I told

Page 4 of 36 your representatives there that the next year I come back, I would like to see this as the biggest section. India really needs that. And finally, I would say that Motherson is the pride of India. You are the pride of India. Master of Ceremony: Thank you very much, sir. We really appreciate that. Thank you very much. Can we hear from a few more people, maybe you, sir? Same question, what do you find unique about the group and what differentiates us in your opinion? Attendee: Well I will say, it's been a fantastic journey of learning and just one word, Chaand Sehgal. The man's vision, his determination, his aspiration and his attitude of never giving up. And his, you know, every time you meet him, you come back with a little bit of a heart attack. What is this man doing? But every time he makes it, every time he makes it a reality. So, I have seen it over the last 25 plus years and I think his ability to execute not only in India, but across many continents, many countries with many different nationalities, I think is something what we all have to learn in India if we want to truly globalize. So I think, you know, this is the man who's made a big difference. There's a lot to learn from him. I think Motherson is one institution, I believe, that has always taught us to dream beyond the boundaries. And I think the way each year they come up with their, each five years they come up with a vision, I think it's amazing. I mean, their never give up attitude, I've only seen it in two companies in India, in Motherson and Reliance. This is the only two companies in India where I've

seen that they want to break every barrier and every boundary. So, I would just say hats off, Chaand Saab, great, great deal. Many congratulations. Problem is we only have one Chaand Sehgal in India. I wish we would have had many. Master of Ceremony: Very well put, sir. Thank you very much, sirs. We'd also like to hear from some of the newer folks who've been associated with us more recently. Can I have a show of hands for those who've been associated with the group through this five -year plan, that's 2020 to 2025? Sir, we would love to hear from you. Again, what differentiates Motherson and what excites you about our growth story so far? Anupam Johri: Hi, my name is Anupam Johri from Raiffeisen Bank. We are an Austrian bank and we have seen Motherson over the last, I would say, decade or so. And we have been, (A) following the group, and (B) trying to become banking partners for it in Central Eastern Europe, where our bank is quite strongly represented. And I'm extremely happy we managed to do this. And we are now a part of your growth story. And we hope to be associated with you for many years in the future. Master of Ceremony: Thank you very much. Thank you. Round of applause, please. Now, ladies and gentlemen, you'll all agree that Motherson from five years ago is very different from Motherson today. And we're going to continually evolve as we go towards 2030 and beyond. And today for us, this investor meet for us is about sharing with you how we perceive that evolution and what we think is going to really catalyze our growth going forward. Having said that, I think it's a great time to jump into the program that we've put together for today. I really hope you got a good chance to look at our Motherson Experience Centre. If you didn't, it's right behind you. I do highly recommend that you go catch some of our products. We've displayed our Marquee products and capabilities there, and this will really give you a touch and feel of what we do at Motherson every single day. Now, right after this segment, we'll have our Vice Chairman and we'll have our key leadership team come up and

 explain to you how we've truly formed and shaped Motherson and poised it for the next phase of growth, 2030 and beyond. Master of Ceremony: And after that, we've put together an interactive session for you, and I urge you to have engaging conversations with our leadership, our management, our product team to get to know Motherson a little bit deeper and take home with you a larger part of the group. Having said that, I would like to now jump into our next segment. I would like to call upon Kunal Malani, our CFO, to please come up on stage. Kunal has put together a few special elements in his presentation, program that he'd like to take you through. Please join me in welcoming him. Kunal Malani: Among many other things, Mr. Sehgal tells us keep running, keep running towards the goal. So we take that pretty literally. But a very, very warm welcome. Good afternoon, everyone. Welcome to all our investors, analysts, growth partners. Welcome to our Motherson Institutional Investor Meet 2025. We are deeply grateful for your presence here. You have supported us. You have shown your confidence in us. And the fact that all of you have taken time and come here, I think is a testimony to it. And our deepest thank you for doing that. You make this day a lot more special for us. This is the first time we are organising this in Mumbai. Our objective was to come closer to all of you all, let you experience Motherson more easily. That's how you see this immersive setup, gives you hopefully an expanse of what Motherson has become now. And not only that, we've got now 120 of our senior management here, including our top leadership from across the Globe. Between them, they would have something like 2,000 years plus of experience. So please feel free to meet them, interact with them, probe them. Most of you will ask us the hard questio

ns. Here's the opportunity. There's a whole team here to answer this set now. So please make our lives easy. Please ask them the questions. You know, when the invites were sent in, a lot of you had called up saying, should we come? What's new? I think we know all, Motherson is well researched. We all know about Motherson. So, for the benefit of all, maybe I'll reiterate what today is all about and what to expect. Firstly, in our interactions, discussions, we've all spoken about our products and capabilities. We've spoken about how we increase content how we have moved towards becoming, you know a design engineering, manufacturing and assembly powerhouse. Today you get to see it, you get to touch it. That's why we urge you to please visit the display centre or the experience centre right behind you. It's constructed to give you a good feel of what we do and the expanse of what we do here. Secondly, I think our business model, as all of you are aware, is a very diversified one, and that provides the resilience that the business model delivers, which enables it to then be on a continuous growth path. Today, you will see how we do it. You will see what's the fire that drives this. Thirdly, I think most of you are aware, as Sir just mentioned, we are extremely customer centric. Relationships is something that Mr. Sehgal has embedded in each of us and how we should manage that across all stakeholders our teams will demonstrate today. How we gain

 the trust of our customers and actually of all stakeholders and in the process. What does it mean for your Company and finally as we conclude our Vision 2025, we head towards Vision 2030, you will see how we have achieved some seemingly impossible goals. And hopefully you will get a glimpse into the method behind the madness that we are on. So to sum it all, I think our intent is to keep you all engaged, keep you all entertained, keep you all on your toes. And at the end of the day, I hope when you're leaving and you're thinking, hey, here I met a transformative company. We met a management team which walks the talk, a management team which gives full effort, and hopefully you will get a feel of the spirituality and the blessings that enable us to achieve any goal that we set upon. So, without further ado, maybe we kickstart the event. To begin with, it's just appropriate, I guess, we look at Vision 2025 and after all the hard work that we did in Vision 2025, we were having a few restful days. And in those, we figured out that Mr. Sehgal and Vaaman is playing golf. So, we were a little perplexed, something's up. We weren't sure, so we said, hey, let's send a filming crew to figure out what is it that they are thinking and doing. So please enjoy a short film. and let's see how the swinging goes. Thank you so much. Video Clip (available in the video recording of the event) Master of Ceremony: Motherson story is centred around three pillars. It's philosophy, it's people, and it's operational and financial excellence. Now to give you a glimpse of what Motherson of the future looks like, may I call upon Laksh Vaaman Sehgal, our Vice Chairman, to come up on stage. Please join me in welcoming him. Laksh Vaaman Sehgal: Check that this mic is working. Yes, it is. Thank you and welcome to everybody who made their way to our Investor show we do this every once in every couple of years this one is of course a special one because we show you a report card on the last five years and we show you the glimpse of what we want to achieve in the next five years. But I'm happy to say that it won't be just me showing that we're going to show you some management depth. I'm going to get a lot of people on here to take you through this journey and sir, don't be too worried because we have 120 people who have been trained directly by Papa. And my advantage is I inherited some chromosomes also. So, there is a team behind him. But yes, big shoes to fill. And I've got lots of things

to share with you, lots of achievements that we've had. And I'm going to start my presentation without taking too much time. But the tagline for my presentation is Journey of a Lifetime. It has a lot of meaning, multiple meanings in fact. One, because if you see that all the backdrops of my slides will have pictures that have actually been taken on my trip. that I went on before we initiated this Vision 2030 to Manasarovar to get blessings of Baba. And as some of you may or may not know, that's in Tibet. It's quite an arduous journey. And that's something that was really meaningful to me and something that I will come back to in my presentation to explain to you how life -changing that was. Apart from that, of course, journey of a lifetime also. We are celebrating 50 years of Motherson, 50 years of my father working. We have to thank him. Thank you. Thank you so much. And it's really been a wonderful journey. And we're all

 grateful for Papa. If you didn't start being employee number one 50 years ago, all of us would not be here. So, thank you so much for that. So now I need to move forward and, of course, deliver the scorecard or the report card. And I see a lot of you eagerly waiting to hear what we did in this last five -year plan. But I think it's important before I really get into showing you our achievements, put a backdrop and take you back to 2020. Yeah, I know, going back to 2020, it's a year best forgotten with all the problems that were there. But that is also the year that Motherson launched our Vision 2025 and set the plan. And as you all know, that period of COVID when we all thought maybe it was one bad year, there were numerous other crises that were just looming around the corner. If you see my slide that I have behind me, you'll see that in all the five-year periods of the five-year plans that we made, this last five-year plan really took the cake in all the unpredictability, volatility, crisis, problems in the world. While in the previous five-year plans, we'd have one issue in a year or one issue in two years, we had multiple issues in the same year, hitting us one after another. We practically lost two years just thanks to COVID. And after that, the semiconductor, geopolitical issues, inflation, interest rates going up. I mean, I can go on and on and on. That was the backdrop of us setting one of our most ambitious targets and, you know, us still keeping them. This is also to show you what the prediction was for automotive vehicle production in the world for the next five years, based on which we based our five -year plan. We were supposed to go close to 100 million from about 90 million odd vehicles being produced. What we actually did was way lesser than that. We actually lost more than 60 million cars of volumes that were missed in this period. And it really was a disaster for the automotive industry, because all sorts of predictions of volumes were really thrown out. And the entire industry was just struggling just to get back to where we were pre -COVID. In fact, even now, as I speak, we still haven't reached the volumes of cars produced pre -COVID in FY25. So that is the strain that the automotive industry went through, not to talk more about the issues, but even all of us know how this EV thing panned out and what the predictions were of EV launches. And we really lost a lot of business in this time. Even though we had all these disruptions, industry challenges, global geopolitical events, which created havoc around the world. Motherson did not change our targets. We are known for not changing our targets. While the others were increasing, decreasing, and doing a whole bunch of different things, we stayed strong. And in fact, we went inward. We started to look at all the things that we could do better, even though the volumes were not coming from the industry. And we said, we can make ourselves stronger because we know that at some point the industry will bounce back.

And we also said, this is a good time to pivot our business. And we shared that with you, that we want to transform Motherson on a journey of just being an auto component supplier to being something much bigger. So now I'm going to show you the scorecard and show you what all we did, even though we had some of the biggest challenges facing us in this five -year period. Firstly, we solved our issues with our red units. In FY20, we had 46 red units. And I'm really proud to announce that over this five -year journey, we have had almost an 80 % reduction. All these units have turned into green or

 have got out of the negative situation. And we believe in this last five years, in the next couple of years, the remaining entities will also be converted to green. So, this was a phenomenal performance for our teams. Getting rid of the bleeding units, converting them into cash generation, making the company stronger, and driving profitability up for the Group. Not only that, every single unit of ours was having a focused way of increasing the fixed asset turnover ratio. We wanted to sweat our assets more. The maximum amount of CAPEX that we spend, apart from land and building, which we own in most of the cases, put it into our assets, our machines. And if we could find ways to increase the utilization of this, this is something that really helped us to improve our bottom line, and something that you will see has really added to our competitive advantage. On top of that, staying focused on cash flows, working with our suppliers, working with our customers, we were also able to achieve a meaningful reduction in the net working capital days, which really improved the financial performance as well. with a stronger financial performance. Of course, we were able to build Greenfields. I'm really proud to tell you that we built 37 Greenfields in this last five-year period based on orders that we had won. While you saw that the industry actually was shrinking, we were actually growing based on the strength of converting all our plants into green, making sure that we stayed close to the customer, delivering on our promises, rising in their quality status. And you can see 36 of these have really come in the emerging markets where the growth is there, and we have won significant business from our customers. We also promised you that we would diversify the customer base further. As you can see, 3CX10, no country, no customer, no component should be more than 10 % of our business. On the global markets, you can see that we have balanced it a lot more. But the good thing here is even in those places where we are more than 10%, those are emerging markets where the businesses are increasing. So, the ones that you see in red are actually emerging markets which constitute more than 50% of our business, which gives us an extremely balanced approach to where all our assets are, where our business is, and a huge growth opportunity as we are putting investments where the customers are still growing. Of course, India is home ground. We made sure that we continue to invest in India. In fact, really meaningful growth in India. We have grown almost three times our sales turnover over here. We invested significantly into our facilities. Now we have 160 plus facilities in India. And we all are really excited about the India story. And with the full competence on engineering, the facilities, state of the art, and our associates of more than 100,000 capable people, I think we're best positioned to take advantage of the India story that's playing out. And you'll see some of that come out more in the presentation as I take you through it. We're known for acquisitions. This last five -year plan was no different. We did a record 23 acquisitions in this five -year period. In fact, a lot of them came towards the butt end of the five-year plan, because if you all remember, right after COVID, interest rates were at near zero, there was a lot of

exuberance in the market, and you heard a lot of deals that were being done at crazy valuations. And a lot of people also invested crazily in EV. And my father has been extremely vocal saying, please be careful. We need to make sure that this EV transition will happen. And in fact, it can't happen at the pace which everybody is seeing.

 So, we have to be cautious. And that's exactly what played out. Majority of these 23 acquisitions actually came in the last couple of years because the customer supply chains were faltering. We saw that the EVs didn't take off. Lot of people paid heavy prices for assets and we were called in because we had one of the strongest balance sheets and the operational performance behind us to be able to go and solve these issues for the customer and we picked up 23 acquisitions in this last five -year period. And we added facilities with competence and capabilities throughout the globe. A key concern that all of you have is on tariffs. So I want to address that upfront. Motherson is not affected by tariffs. Why? Because it was always Papa's philosophy that we should source locally, produce locally, supply locally. While the whole world was going on this globalization trend, we made sure that we are strong in every country that we are in, and we are making complex modules where we are close to the customer, so we get rid of risk, such as currency risk, logistics risk, all these things that are playing havoc in the world today. So, our philosophy is really vindicated with this strategy working out for us, and our Businesses are all producing and sourcing locally, so we have a minute impact if any from that from the tariffs and again all our facilities in US are there to gain with more and more production coming over there? So, I wanted to make sure that you all understand that that even though a large chunk of our business comes from the US, it's actually manufactured in the US. This is one target of no customer being more than 10% that we achieved in this five-year period. As you can see, the biggest customer is about just under 9%. That gives us an extremely healthy customer base with no one customer being too large or us being too exposed to. And I think with this five-year plan and the new industries that we're going to enter, this is going to become even more diversified. Not only did we grow with our automotive marquee customers, we also added 40 marquee customers in different industries that we are proud to call our customers in this five-year plan. You will see this in the new industries and the new verticals as I present them to you. And I believe that we have created a very strong platform for growth with our penetration into these customers and are absolutely poised for explosive growth in this next five-year period. On the component side, wire harness still remains the strongest part of our business and the largest chunk. But this again, you will see that a lot of new products have been added and the toughest thing is to get entry into the customer with the new products, now, we believe it it's the right time and in this five year period with all the Investments that we have made in the green fields and as these come up to fruition. We're going to see a lot more diversification in the product group as well and we have made immense strides in showing our capability to the customers and convincing them that we can really copy what we have done in the automotive world into these new industries and bring in a lot of new products as well. Let's not think that we haven't made investments for the products on the automotive side. As you will see, we have also added really amazing technologies in the automotive side with sunroofs, fuel tanks, a whole bunch of new products which we were not in there before. And these also are huge white spaces for us to grow in. These were the ones that I was just talking about. As you can see, these are all excellent technologies which we

can cross -pollinate and take through all our customers globally. And not just in products, these are technologies in different materials. We are now also doing things in glass, which we had never done before. We're looking at different technologies and

 different composites. And all of this is really culminating to the performance that I'm going to show you in the next few slides. And all of these have tremendous amount of potential for our Vision 2030 target. Here is where you see what our non-automotive business is as part of the whole. You might think, yes, it's still a small part, just under 5%. But please understand that our business itself has grown multiple times in the last five years. And it's still a billion dollar business with multi billions of order book, which we are going to execute in this five -year period. And the real growth of our business of the non-automotive business will show its colors in this five-year plan. So even though it might look small today, it's going to be quite large in this next five-year period. And we're all extremely excited to show you behind in all the product groups and with the team members here to show you how capable we have become in front of the eyes of the customers and how exciting it's going to be in this next five -year plan. On the softer side, we were recognized by Time Magazine as one of the world's best companies in 2024. We added 85,000 people to our family in this five -year plan. We do not solicit any of this, but I think it was a very welcome acknowledgment. And we are very grateful and proud to have this kind of recognition from Time

Magazine. So let me try to put all of this in perspective now for you. While the automotive industry you saw has not grown, Motherson grew 2.5 times where we were in 2020. So, this was of course, thanks to our organic business, our acquisition opportunities. All of this has culminated in tremendous amounts of growth. But Motherson does not only focus on the top line. Even on the bottom line, we did not sacrifice our targets. We had a 3x growth on EBIT and almost a ~5x growth on PAT with this top line growth as well. In Motherson, we say top line is vanity, bottom line is sanity, cash in the bank is reality. We've learned that over the years and we definitely have proven that with our report card here. But profitability is not everything. ROCE is everything. And that's what we focus ourselves on and you can see, again, in this five-year period, we have meaningfully doubled our ROCE from 10% to 18.5%. And this is something that, again, despite the 23 acquisitions, 37 Greenfields, and investing over 15,000 crores in this last five-year period, we've still managed to show you this, ROCE with very much focus on the free cash flow and profitability of our units. And that's something that I'm really, really proud of. On top of that, as shareholders, I hope we have happy shareholders. We've paid out a record number of dividends. We did not miss a dividend even in the COVID year. We knew that our shareholders needed money at those critical times. We paid that out. We conserved cash, but we made sure that we paid out dividend every single year. And the highest dividend was paid out last year in FY25. All of this was done by not labouring up the balance sheet. In fact, the opposite. We have the strongest balance sheet with the lowest net debt to leverage ratio ever in a decade, perhaps, and puts us in an extremely strong position for the next five years. And we will continue the same disciplined financial policy to make sure that we are capable for all the growth that we want in the next five years. In fact, all the rating agencies, extremely grateful to them, have also upticked us in their ratings, and we have a rating as good as our sovereign country. So, this is, again, a huge achievement of all the

 team here at Motherson in this five-year plan. Now, finally, coming to what most of you care

about is the value for shareholders. As you can see, this is what the broader markets delivered and the indices which we could compare ourselves with. Motherson beat all of them. In fact, we were 6.3x times, but the best of the markets delivered 4.5x. For some shareholders who raised their hand that they put money in an IPO. If you put one lakh rupee in the IPO, today It's almost sixty crores. So that's the value that has been created by the shareholders who believed in us, who believed in Papa's journey, the Motherson name and I hope have delivered returns up to your expectations. And if that hasn't hit you yet, and you still don't think that's a very good performance, let me leave you with one last statistic. Everything that we achieved in the last 45 years to get to a certain point, the size that we built in the 45 years, we have now 2.5 times that just in the last five years, that we've built another Motherson and a half, just in the last five years that we did in last 45 years of our existence. That's the pace that we are growing at. That's the exponential growth that Motherson is looking at and that's the ambition that we have. And that's this wonderful team has delivered for you in this five-year plan. So, for us and for everyone associated with us, Vision 2025 has been an astounding success, and I'm really grateful for your trust, for our team's effort to really get us there. It's really been nothing short of miraculous, and we are so, so proud of what we have achieved as a team and as a family in this five-year period. But not only in the numbers, not only did we grow 2.5 times, even more importantly, we transformed a Motherson. From being just an automotive company, we have become something much bigger. And to explain that to you, I want to take you through a few more slides. One, we really focused on engineering. When the market was not growing, we said, we need to get stronger. If we want to build more with our customers, give them bigger solutions, we need to focus on engineering. Today, we have 35 engineering centres, out of which maybe 12 were added in the last five -year period. Over 10 % of our people are engineers. We have doubled the number of patents that we hold to 3,000. We have added more patents, critical ventures in technology and association with people who are leading technology in the world. And our ability to give the best in quality of the highest engineered products to our customers has been achieved by Motherson by really focusing on the engineering side. Manufacturing is our bread and butter. We really did amazing stuff in there as well. I had spoken to you about this a little bit before but here you can see in every single advanced manufacturing processes technology or machinery, Motherson added all of these to our fold. So again, we could solve the customers' problems and make sure that we are completely up to date with their requirements of delivering the best in class, technology and products to their end customers. As you can see we have added complex technology solutions in different materials in different machines and different aesthetic parts to our customers and this is something again, which is really going to help us move up the value chain deliver much better margins and grow together with our customers finally on the assembly side. We took one step up. We acquired SAS, now called Motherson SAS. This does complete management of the customer's supply chain. Also doing complex assembly, managing the entire supply chain, maybe 2,000-3,000 suppliers for one product, delivering just in time, just in sequence, just in line. So, the customers don't see us just as a manufacturer anymore. They see us as a full system solution provider, also being able to do assembly, logistics, and just-in-sequence supplies,

 and being able to manage complex supply chains. And this will take us to the next level, which I will talk about later in my presentation and hopefully bring

a lot of growth for us in the next five years as well. So, to sum that up, Motherson is not a pure auto component company anymore. We are now a design, engineering, manufacturing and assembly specialist ('DEMA'). And this is what's going to propel the next five years of growth, because we're going to focus on every single opportunity that has or constitutes these four things, and we will go after it. And I believe there is a huge opportunity for us. And you will see the fitting 2030 target, which makes sure that we take this in the background and make sure that we go after all the big markets in the world where we can do this for our customers. So, like I said, I'm going to talk about the 2030 targets, because becoming a DEMA specialist has opened up a whole bunch of new industries that we can go on. 2025 is done now. Now we need to know what we can do. Where are we going in 2030? And we have to come up with a plan and a target for 2030. And true to our history, true to our purpose, actually, Motherson is a very unique company because we actually have a slated purpose. And maybe I should take you through that because I want you to understand why it's so important for us and how it correlates with us setting our target for Vision 2030. Actually, our purpose has four parts, and I'm going to read it out to you together. We strive to continuously delight all who put trust in us and go after seemingly impossible goals so that we provide sustainable opportunities for all our associates and are proud to be part of something larger than ourselves. Each one of these words has deep meaning for us and is deeply correlated with everything that we do at Motherson. And fittingly for all of this, our new target has to be seemingly impossible. Motherson is not that company that you know, is conservative and go for an easy target where we'll achieve something easily. We're not that company. We go after impossible targets. Because for us, what we become while we strive to go after impossible targets, think out of the box, get out of our comfort zone, that's what the real Motherson is. And that's the real magic of Motherson. So fittingly, for 2030 as well, we need to come up with a target which is seemingly impossible. But before I get into that and tell you what our impossible target is going to be for this five-year period, I want to share one more really important milestone for us that we achieved in this last five-year period, which is really, really a huge thing of honor for us. My papa was inducted in the Automotive Hall of Fame in Ford Museum in Detroit last year. Papa, will you please join me on stage? Big round of applause please for our Hall of Fame inductee, Chaand Sehgal. So, I wanted to bring Papa on stage. Of course, Papa, it was such a big honor for all of us for you to be up there. You're only the second Indian who's received this award. What a wonderful event that was in memory. How did you feel? And please tell us about that. Vivek Chaand Sehgal: Actually, I feel humbled. I think the award was basically for all the Mothersonites. They have done all the hard work, and I just go and take the award. I think Lord Krishna tells Arjun that you are Nimitmatram, I've already done all these jobs, I've already done. So I feel very humbled.

 Laksh Vaaman Sehgal: Thank you, Papa. It was a great, great honour for us to be there with you. But apart from that, I also, I want to talk to Papa because he's the one who originated the first -year plan and Created all the stress for all of us here at Motherson that now that we have to keep coming with the five -year plans that we did that may be you can tell us how it started and why we do this. Vivek Chaand Sehgal: Well, we listed our company in 1993. 1993 we were about eleven crores / two million dollars was a turnover. And I was lucky, I had Nimesh Bhai and Durgesh Bhai coming to meet us every year, finding out what was happening about the car company. And I h

ad done some calculations on the computer, which was a new thing at that time, you know. Computers were not very common. And I just put the component prices and Five years this thing and it was coming out that we would be somewhere around close to 100 crores Turnover and we were 12 crores or 13 crores under that. So, I was very proud and I was telling the Durgesh Bhai and Nimesh Bhai, boss we will be 100 crores by this thing. But why should I tell you that? I think you better watch what happened. Video Clip (available in the video recording of the event) Vivek Chaand Sehgal: Not just that. Thank you, Durgesh bhai. Thank you, Nimesh bhai. But also top line vanity, bottom line sanity, cash and bank reality, is their guidance to us. And the most important thing for us, which they gave us, they made us understand ROCE. It took me six months to understand ROCE, or my people to understand what ROCE is, but we followed it blindly. That's what we did. But you can see the progress of Motherson. Every year, we give you a top-up, what's happening in the company, what's happening over there. And right from going 12 crores to now, I don't know, 25 - 25.7 billion in this year. Hats off to you guys. Hats off to Enam. Thank you. Laksh Vaaman Sehgal: Thank you. So, from a 12 crore company imagining to be a multi billion dollar company, we have to follow in the same path and think of something big. So how did we set our vision 2030? Is it just that he comes? and says, all of you, you got to do this target? Not really. Actually, the Vision 2030 is all of us coming together as one team and dreaming together. We dream, we say in Motherson, we dream with our eyes open. We all do all the work and then we all come together and jointly build this target. And I have a small video for you so that you can appreciate how these targets are built and how, as a team, we have bought into that. I'm going to share this AV with you. Video Clip (available in the video recording of the event) Laksh Vaaman Sehgal: Yes, it is 108. It is a big target, but I'm going to spend the next hour or so trying to convince you how we're really going to get there because we believe that we really have a fantastic chance to deliver 108. But before I do that, I want to show you all the targets for Vision 2030. Of course, you've heard the 108 target in gross revenues. We are going to maintain the 40 % ROCE target for the group. Of course, all the new businesses are not going to achieve that on day one. Over the five-year period, as they grow, they're going to creep towards that 40% mark. The existing businesses in Motherson, which are already mature, should be doing that or much better. And collectively as a group, we will march towards that 40% ROCE. In the diversification, we've held strong. No country, no customer, no component to be more than

 10% of our revenues. And we will have the financial discipline to pay out up to 40% of our consolidated profit as dividend throughout this journey to make sure that again we stay with the financial discipline and operational excellence that we have achieved in the numerous past five-year plans. But this five- year, there's going to be something different. We successfully took out MSWIL, which has been extremely successful for us. And we believe that many companies are ripe to now leave the SAMIL fold and be independently listed on their own. And we believe that it's not just going to be divisions. We're going to create a lot more independent companies from SAMIL, which they have been incubated and stand on their own feet and unlock a tremendous amount of value for all our shareholders. So how does Motherson do it? How will we go after 108 and what will be the way that you know we have used to be successful to grow thus far? I think the answer to that is something very simple. I think everybody wants to know our secret sauce and really this is what enables us to do that. This is what we call the Motherson C

hakra. It's the return on trust. And I want to take you through it very quickly to make you understand how Motherson grows in perpetuity. First, it all starts on that left hand side with that QCDDMSES, the consistent delivery of performance, quality, cost, design, delivery, management, safety, environment, sustainability. These are the parameters that the customers look at suppliers on. And if you rank in the highest of these parameters in front of the customer, your trust goes up from the customer on you. Naturally, they think that you are a dependable supplier, you're a reliable supplier, you give good quality, and their trust goes up. When the customer's trust goes up, you're asked to do more. That could be obviously new business, that could be setting up new joint ventures, setting up new capacities, and in our case, also doing acquisitions to solve their supply chain. When we are asked to do more, our content and value in the customer's shares goes up, and we live our vision of being a globally preferred sustainable solution provider. That's how Motherson really does it. That's our secret sauce. That's our philosophy. That's what enables us to show you the performance that we have done over these last six, five-year plans. Now I'm going to get into a little bit of these philosophies with practical examples of what we have done in the group so that you understand how that really connects with everything that we do. The first one. Let's talk about operational excellence. And for that, I would like to call up on stage one of the newest members of the Motherson family, the head of Motherson SAS. This is the assembly company where we are doing just-in-sequence supplies to our customers and managing their entire supply chain. They don't do any manufacturing. They are experts in logistics, supply chain management, and assembly. And I'd like to call up on stage the head of this division, Frederic Boumaza. Please come up on stage. Please share with everyone what you've been doing. Frederic Boumaza: Ladies and gentlemen, the mobility industry is transforming at a very high pace. We are facing shorter product life cycles, increasingly complex modular systems, dynamic regional markets and frequent demand fluctuations. In this environment, speed and adaptability are more than ever essential. To continue to grow and lead the race, mobility players have to evolve, to transform their operation to become smarter, leaner, more cost efficient. At Motherson, we have launched an excellence program around operation to drive efficiency, particularly in logistic and assembly, across the 400 locations we have worldwide.

 What are the main pillars of this operational excellence roadmap? First, using digital model of our factories, we optimize layout through scenario simulations, enabling us to have the most efficient material flow and assembly line configuration. By doing that, we are improving the surface needed in our factory, reducing it by 20%. Following up an upgrade of our digital model into digital twins, we collect numerous data out of our operation. And we are capable with that to even continue to improve our physical world, reducing the staff and manufacturing costs by 15% in direct areas. In addition to leveraging digitalization, we deploy numerous of automation technologies. Several of our warehouses are fully automated. With linear pick and play systems and automated guiding vehicles for unloading and loading tasks. Assembly robots and cobots are used to automate different activities to reduce manual efforts and improve the productivity. Precise quality control are made thanks to robotics with high end vision systems and analytic software. The implementation of all those automation technologies allow us again to reduce the direct efforts in our factories by 20%. But that's not all. AI. The next level is that the global implementation of standardized solutions supported by digital model, digital twin, and c

onnected automations allow us to collect further data. Those data are used to power AI systems, identifying new opportunities of improvements human observations. Thanks to those improvements, thanks to AI, we foresee a further improvement of our efficiency by 20%. Ladies and gentlemen, finally, scaling all those solutions across the entire Motherson Group is a strategic priority. With 400 locations worldwide, we have the scale and a vast landscape to make a difference. Vaaman, I'm really excited about the next five years and the plan that we have, and I'm convinced that the Operational Excellence Roadmap will support delivering the right results. Laksh Vaaman Sehgal: Thank you so much, Frederic. Frederic has been a wonderful addition to the Motherson family. And you can see that whatever he's building in Motherson SAS can be deployed to all our units and something to all our facilities globally. So we are all very, very excited about all the things that Frederic is going to bring and upskill us in our capability. Now, I did tell you that majority of our CAPEX is spent in land and building. On top of that, the next biggest item is our machines. So if we're going to build, we are able to extend the lifetime of our machines, we're able to generate much higher returns from our assets. And I would like to explain how we're doing that by calling on stage Amit Bakri, our head of robotics and the polymer division in Asia. Amit, please come on stage. Amit Bhakri: Thank you, Vaaman. So good evening all. As Vaaman explained, the four core pillars of Motherson are design, engineering, manufacturing, and assembly. It becomes our prime duty to make sure that we strengthen these, to our comparative advantage. Let's focus on manufacturing and engineering. Now, we all know that some of our businesses are capital intensive. And hence, again, it becomes we are acutely aware that making our assets sweat over a long period of time and increasing the asset life becomes primary for impacting ROCE. ROCE is something that Mr. Sehgal has taught us for years and it has percolated down to the last associate and we've simplified it in such a good format that everybody understands how they contribute to the ROCE. One of the examples that we want to explain to you is how we have actually

 extended the life of an asset, and we've done many, but this is very special because Mr. Sehgal actually bought this machine in 1988. An injection moulding machine bought in 1988 is still running. Actually, I shouldn't use the word still running. It's running even better with lower power cost, lower cycle time, and higher accuracy. And we've done that by developing all this capability to refurbish and extend the life of machines all in house, not depending on external suppliers. Let me show you a quick AV. Video Clip (available in the video recording of the event) Asset 37 years in service and still growing going very-very strong. Half the battle is won when our associates understand the ROCE equation that when the denominator goes to zero ROCE goes to infinity half your job is done and Everybody is super motivated to make sure that we respect our every rupee that is spent, and we respect every asset that we own. And 37 years, Vaaman, I think you should really consider giving, instead of long service awards to employees, also long service awards to some assets, which we are doing really well. All this capability we are building, or we have built in -house. If we go to the assembly part of the manufacturing and assembly, Every secondary process that you can imagine, we now build in house. We build our own welding equipment. We build our own assembly lines. We build our own end-of-line testing equipment’s, which gives us tremendous advantage, comparative advantage, because we can now launch programs on time, accurately, and have a delightful customer at the end of this program. If you talk about material handling, we've also

done a lot in this space. We build our own automated guided vehicles, autonomous mobile robots. So everything which comes into our factory from raw material entry to exit of finished goods, we actually do with our own AGVs and AMRs. And we are able to now scale this globally with great precision. Why do we do all this? Why is this important to us? We are very, very aware about frugal automation. We are very aware of each rupee that is spent in the company. And again, like I said, how each asset has to be utilized to the fullest. 37 years was a great example, but we have innumerable examples across the group where we do this. All of this impacts quality, cost, delivery, sustainability. I mean, this is great for sustainability, environment, and so on. And at the end of the day, this all translates to comparative advantage for Motherson and a very, very happy customer at the end of the day. Thanks, Vaaman. Laksh Vaaman Sehgal: Thank you, Amit. That was very insightful. I think what we are doing with our capabilities in robotics, and you're going to see that in more different parts of the presentation, we are really making sure that we have the best-in-class technologies to keep all our plants alive in all the countries. If we are going to compete with low-cost countries from much higher-cost countries, that can only be done through smart automation, using machines, extending lifetime, of our current assets, and we're doing that phenomenally well and keeping all our plants alive globally. Next, I want to move on to another example to show you what we've been able to do in the moment of crisis. Logistics, for decades, was something that was fairly smooth for us.

Page 17 of 36 But as we all know, in the last five-year plan, we also had a lot of crises in logistics. Prices of logistics shot up. We had the red sea issue. And in Motherson, we never let a crisis go to waste. We looked inward and we found a good opportunity to create an internal vertical of logistics so that we could tackle some of these issues up front. As you know, we are just in time, just in sequence suppliers to our customers. So rather than waiting for others to come in, it out and find a solution, we built our own team in-house and tackled it head on. And for me to explain to you how we did that, I'd like to invite on stage Arjun Kochhar, the head of our logistics division in Motherson. Arjun, come on stage, please. Arjun Kochar: Thank you, Vaaman. Good evening, everybody. In an increasingly interconnected and volatile world, even the smallest supply chain disruption can cause cascading effects on delivery competence. We at Motherson have spent the last few years developing proprietary technologies and deploying logistics specialist boots on the ground across the World to monitor and optimize our supply chains in near real time. And this has given us the two greatest tools to combat disruption and crisis, agility and resilience. I'm happy to report today our 3PL logistics is 12% lower than our historical averages and our global intercontinental freight contracts are consistently below every global indexes that is published. Next, I'd like to share two cases on resilience and agility in our supply chain and how we made that work for us. So, a few years ago, our systems and data pointed to regular damage at a particular product type in our supply chain, and that when we got into it, it was spools that were transported on wooden pallets. We piloted FLCs, foldable large containers, and the results, as you can see on that second image, the results were absolutely amazing. Damages came down to zero. Trucks were turning around faster. We were able to carry almost double the amount of spools because of stackability. And finally, we had measurable reduction in our supply chain sustainability numbers. So this focused us to look at this even deeper. And our studies found that organizations spend 2% to 5% of their revenues in packaging. And more and mor

e customers today are looking at packaging not as a simple commodity that you buy and trade in, but as a solution that can help create a strategic advantage. So doubling down on our experience and those learnings and playing into Motherson's global injection molding strengths, we are extremely pleased to announce our latest joint venture with Sanko of Japan. Sanko is Japan's largest sustainable packaging solutions manufacturer and distributor. And through this JV, we will be able to offer the world's Some of the world's best sustainable transit packaging solutions across the Motherson ecosystem as well as to our customers playing into our ability, do more for our customers. Moving on to the second case study, the Red Sea crisis. Very early in the crisis, our teams in the Middle East and Europe started seeing the data spike on transit times and costs on this extremely critical lane. Our reaction time was swift. Almost immediately, we had booths on the ground evaluating every port from Alexandria in Egypt all the way to Beirut. We even studied trucking straight from Europe, straight from UAE to Europe via Turkey. Ultimately, we created an innovative supply chain model where through UAE, we were trucking goods to Jeddah, Saudi port, and from there, shipping them directly into Europe. This reduced transit times by 50% as compared to the Cape of a good hope that everybody else was using. One

Page 18 of 36 key point about this solution, when you looked at it in isolation, it wasn't cheap. The cost of this was very high and it added supply chain complexities because we had to do double loading, unloading and handling of the goods. But when you looked at total cost of logistics, avoiding emergency air freight, inventory carrying costs were lower. the solution created value for our customers. And most importantly, it met our sacrosanct metrics, delivering on customer trust. That's a little bit about logistics, and we're excited to show you the packaging and the packaging products that we have here. I hope you would have a chance to view them as well. Thank you. Laksh Vaaman Sehgal: Thank you, Arjun. Fantastic. As you can see, we are going after each and every part of the value chain to first serve ourselves and then, of course, serve our customers and create unique competitive advantages that we can really transform ourselves into being that full system solution provider, which is our vision for the company. Now, sidestepping a little bit, I think as important as all of the other themes that we've shown you, sustainability has become extremely important in this five -year plan, so much so that we even changed our vision to add the word sustainable. We want to be a globally preferred sustainable solution provider. And I would like to now call on stage Mr. Barrie Painter, head of sustainability at Motherson, to take you through what all we've been able to achieve and how we're making large strides in becoming a responsible corporate citizen. Barrie, please come on stage. Barrie Painter: Thank you, Varman. Thank you very much. And I'm really, really pleased to have the opportunity to talk to you all about sustainability. I could talk to you for hours about this because there's so much under the full scope, but we only have a few minutes, so I'll keep it very precise. In the last five years, we've grown a lot as a company. So, we're going to use more electricity. We're going to use more energy across our factories. But in parallel we've been focusing on what are the material topics on sustainability. For us that's planet people and governance or ESG more commonly known. And we're very proud to have made progress across all three of those domains and in particular creating value from sustainability not something you do because it's right necessarily or because a regulator wants you to or you're being rated because it's good for business. And we've been able to really prove that. Our ambitions here in the environmental ca

se, looking at how we improve our emissions, how we manage water, what are we doing about waste in our organization, those ambitions are really enabling us to get recognition in terms of ratings, in terms of customer frameworks, and I'm very pleased to say even new factories that we've built have now been given green or gold level green factory award status here in India. So, it's percolating into everything that we do. So let's look at some evidence of that. So, as we've grown in this period, we focused on our energy intensity. I'm very pleased to see that has improved despite the growth that we've gone through. We've increased by 24% the level of renewable energy that's being used in the Motherson Group. That's brought our emissions down a 7.7% improvement in our scope 1 and scope 2 emissions, despite the growth that we're going through. And then further looking at water is very important. We operate in a lot of countries where there's water scarcity, and we know

 that's an important thing to focus on. A 27% improvement in our water intensity in the last two years. And then last but not least, let's look at waste. It's the precursor to creating a circular economy. And 89%, almost 90 % of our materials that go into a waste situation are going to be recycled. Ultimately, we aim to have zero to landfill, but we're already at a very high level. Whilst all of this is going on, we need to put down deeper roots. We're in the stage of a huge growth into the future for Vision 2030, and you need really solid foundations. So, in the world of governance, we're focusing on that and putting those values that are there in Motherson into action across our whole organization. Some key areas in the way our ambitions are understood, transparency in how we report to our stakeholders, accountability in our structures for delivering these things. And then furthermore, growing with purpose and knowing that we're doing that in a sustainable way into the future. And I'm very pleased to have heard my colleagues already mentioning sustainability several times in their content they're presenting to prove that it is now everywhere in our organization. And also, you're going to hear some exciting news later on in the presentation about how we're further taking forward to manage our energy and our electricity with renewables in the Motherson Group. So that's it from me. Thank you very much for your attention. Thank you, Vaaman. Laksh Vaaman Sehgal: Thank you, Barrie. Now, coming back to the strengths of Motherson, I think we are one of the very unique and few companies that actually has our own IT company in-house that is focused solely on Motherson’s growth objectives. The IT really is the backbone of Motherson strength. I mean, that is what enables us to get real time information from all our plants. And I'm very proud to say we have more than 3,000 design and software engineers who are only focused on making sure we get real-time information in our record-breaking time whenever we set up new plants or do acquisitions to be able to get the real data that we want. And it's all thanks to our IT team. And I'd like to call up on stage Gaurav Gulati, who's going to take you through that and showcase another Motherson competitive advantage. Gaurav, please come up on stage. Gaurav Gulati: For Motherson, IT has been a key focus area for many decades. And over this period of years, we have built a bit of a unique proposition for ourselves. And today I would like to share some insights on that. So, for any company our size, they are bound to be a large set of software tools, which form the backbone of software operations. Now, for us, Motherson, it's the same. There's nothing different about it. However, what's a bit unique about it is most of this tech landscape is owned by Motherson. So it's built by Motherson for Motherson. Now, what does that really mean for us? Does it bring significant cost advantage? For sure. Does it bring

unprecedented agility to our businesses? Definitely. But what's even more important is that over years, we are embedding our learnings in these systems, which in turn enables our businesses globally to leverage this tool set to improve their performance. And it's one of the biggest accelerators that we use to turn around our new acquisitions whenever we embark on those journeys. Now, while we are on the topic of technology, how can we not talk about AI? Typically, after the launch of ChatGPT, while we have seen phenomenal adoption of AI in the consumer space, but for

 large enterprises, the use of AI in a meaningful manner is still kind of undergoing its maturity curve. It was expected to be much better, much faster. It's taking more time than what was originally envisaged to be. And lately, you may even would have heard and read material which suggests that a lot of companies are now toning investment down on AI projects or holding it back, a bit. But at Motherson, we have 100% conviction that AI is going to be the biggest leverage to incrementally create meaningful performance improvements. AI is going to change fundamentally how the work composition of a white-collar employee would look like, in just next one, two, three years. So, in a relatively shorter time frame, AI is going to change how the workers, they look like in an office. Our approach to AI is that we are not going to build core AI technology. What we are going to do instead is we are going to build platforms on top of these, core AI tech to leverage and harness what's eventually going to be available as a commodity. Our ambition, our goal is that we are going to be leaders in adoption of AI and deliver meaningful results to our businesses by using this technology. And with our initial set of launches, we are already seeing that AI is amplifying significantly the knowledge work as well as delivering meaningful insights to the business functions where it matters most. Whether we look at shop floor use cases or whether we look at the more sophisticated production planning and all those white-collar use cases, it's impactful all over the place. So the opportunity is very, very significant. Now, just to give you a flavour of it, I will share with you one very simple use case on one of the processes. Some 15 odd years back, Chairman initiated a process called DO 33. What DO 33 meant was every plant in Motherson, every month, will share at least one improvement idea with Chairman, highlighting what they did to improve their factory. What did they do? How did it went? What went right? What went wrong? And what were the gains that they derived? So, this used to come in email, in PDF, and every plant for last 15 years has done that. Now simply putting this humongous amount of unstructured data into an AI tool set, we realize users are able to derive far more meaningful insights from this repository, courtesy AI interface that we built onto it. And I have a short AV to give you some more insights on this process. Video (available in the video recording of the event) Gaurav Gulati: So how do we execute this vision for a large conglomerate like us? As Vaaman was mentioning, we have our internal IT organization, and not just any IT organization. It's a CMMI Level 5 maturity assist company with ~3,000 engineers. And just to give you a background, approximately 40% of these engineers have been recruited in past two years. So this is the period when almost, or I would say, most of the companies were downsizing their tech workforce. Motherson was consistently improving on our capabilities and capacities to serve to our five -year plans. And we are going to continue to do that for our plan 2030 also. Now, one of the very unique capabilities within this IT organization I would just like to highlight is we did some 20 plus acquisitions in the last two years. 100% of those acquisitions, irrespective of their size, whether they were 5 million, 1 mill

ion, 500 million, all of them were integrated into Motherson by our own IT folks. So, we had almost negligible involvement of external tech vendors to bring those acquisitions home. And this is one of the very, very unique capabilities which is running at a peak maturity within Motherson. Now, going forward to Vision 2030, We are going to simply amplify our efforts on technology

 leverage to deliver superior business results. And in that direction, we have set ourselves very ambitious goals of at least automating 30% incremental workloads or transactions using agentic AI and bots. This would translate into at least 15% of additional efficiency being delivered on our white collar workforce. So Vaaman, with that exciting target, we are really on to this phenomenal journey. Laksh Vaaman Sehgal: Thank you so much, Gaurav. We will continue to invest in IT. As you can see, that's a backdrop of our new building that's coming up. We are opening up multiple centres where we are going to harbour even more software engineers as we believe that we really can transform the way manufacturing is happening globally and with the advent of AI and our superior experience of being able to manufacture in different countries with different processes. We have all the knowledge that AI wants as data lakes to be able to come up with supreme production techniques and manufacturing processes and we believe we have extremely exciting future coming up where we're going to have dark factories. That's our ambition to have a lot of our processes to be in complete darkness and be able to manufacture anywhere in the world right next to our customers doorstep and compete with any other cost base in the world. Another huge opportunity in this five-year period is, of course, turning around the red units that we have inherited with the 23 acquisitions that we have taken. I told you all before that there was a lot of chaos in the world, a lot of units that were not performing well, where the customer has asked us to step in. This new number for this five -year plan is 70 red units. A lot of them are in developed countries, such as Europe. And again, seeing the wonderful work we did with the last five-year plan and converting the red units. I believe, again, this is a huge opportunity for us to bring a lot of cash flow back into the business and almost a 1,000 plus crore opportunity to deliver directly to the bottom line. And who else to take you through it and what we are doing in a concentrated way to replicate our success in the last five-year plan, that turnaround of red units? I'd like to invite on stage Christophe Ancey, Head of Modules and Polymer Division, and right in the centre of all the turnaround of the units. Christophe, please come up on stage. Christophe Ancey: Thank you very much, Vaaman. Good evening, everybody. You actually squeezed pretty much all my introduction, but never mind. What has been presented before, 80% of the red units between 20 to 25 have been eliminated down to 10. The 70, we're not the same journey. It's not by chance. By the nature of our ingoing growth, we do inherit some of the units. 70 is the number. But our talent, one of our key talent, is to turn them around and improve the operational efficiency all along the P&L line. We talk about material yield, scrap reduction, lean management, Kaizen workshops, automation, logistic cost reductions. We talk about overheads reductions. We also talk about restructuring when, unfortunately, Not avoidable. So we have the complete toolkit, the toolbox that have been presented within Motherson to turn them around. This is really part of Motherson toolkit and core competence. One example, MPP Brazil 2020 minus $10 million, 2025 plus $10 million, speaks by itself. Complete turnaround. In terms of ROCE, not only do we have detailed action plan on EBIT, on the top line, and we have the complete toll kit represented over there, but also detailed action plan

on the employee capital, and more precisely on the free cash flow, inventory

 management, inventory reduction to the just needed. We talk about, excuse me for that, the payment terms. Payment terms management to a far more balanced equation, because we find sometimes incredible unbalanced situations. And finally, obviously, the CAPEX. CAPEX to the just needed, reuse of capex and we had an amazing example from this injection machine from first machine actually invested into the group but also working a lot on the efficiency, the OAE of the machine and its usage over the week the TEP which we also have in our toolkit. So, with all of this sweating the asset is the work which has been mentioned several times and this is all in order to transform most of an OBDA into free cash flow each single individual plant as its action plan. Our engineering working capital is also having a lot of focus, obviously. And for that, boosting our Indian capabilities is a key asset that we own. We are doing engineering from an engineering side, the CAD, the simulation, CAE. We talk about validation, but also the tools and equipment. We have seen the equipments from Amit, but we're also making our tools ourselves. The other element for the engineering working capital is to invest in flexible capex. One of the issues that we face, and especially in Western regions, is that the volumes are pretty much unpredictable. And investing for dedicated capex is sometimes extremely risky. If I may say, we have sometimes plants which are full of equipment which are not working. So designing for equipment which can be used for several programs is fundamental, and that we have. Door panel assembly line, flexible air vent assembly line, flexible, but also automated, by the way, and bumper assembly, flexible for different projects. And finally, for the engineering working capital improvement, the program management excellence is absolutely fundamental. First, for a full customer satisfaction, and second, for an on -time payment. So at the end of the day, in Motherson, what is our secret? Our secret is amazing people, very structured actions, and very robust systems. Thank you very much. Laksh Vaaman Sehgal: Thank you so much, Christophe. All the best for the five-year plan. As you can see, we're extremely focused on every single contributor to the top line and bottom line, and improving each and every one of those things will result in a significant increase in ROCE. And I'm quite sure just in the last five -year period, in this five -year period too, we will turn around all those red parts and contribute significant amounts of free cash flow to our bottom line. With that, the first chapter of the chakra is concluded, and I move on to customer trust. As you know, we talked about operational excellence that increases customer trust, which is our focus. And what speaks more of our customer trust in us than us being awarded more than 500 awards in this last five -year period for our quality, for our delivery. Thank you very much. That's the most meaningful for us because it really does give us the recognition for our QCDDMSCS efforts. And a lot of them have been displayed at the back a lot of them are hanging at our plants globally and that's a like a huge amount of honour and read you know moment of being proud for us that the customer acknowledges that we've really been in the top 1% of their supply chain and that's something that we really covered as you can see we bought out some of those awards to show you in the display centre. So when the customer trust goes up and you are in the top performing rank of the customers, other customers hear about you. Reputation is really something that precedes ourselves. And this is something that has attracted a lot of other customers to us as well and allowed us to penetrate different verticals. I want to talk about something extremely exciting in Motherson. Like five years ago, we practically had zero business in this industry. We targeted it, the aerospace, and now

Page 23 of 36 we're one of India's fastest growing aerospace component companies with a really bright future. And I have a short video to introduce it. Video Clip (available in the video recording of the event) Laksh Vaaman Sehgal: Not only are we investing in France upgrading our facilities over there, but we're building state-of-the-art facilities and bringing parts which have never been done in India before. And it's something to be extremely proud of as an Indian rooted company that we can really bring these technologies into India started with zero five years ago already 250 million with more than billion in the order book. And I would like to call up on stage the head of this division who made it possible. Kunal Bajaj, please come on stage and tell everybody the secrets of your success. Kunal Bajaj: Thanks, Vaaman. Good evening, ladies and gentlemen. I know it was a long video, but I hope you got a sense of what we are doing in aerospace today. You know, it's taken us a lot of hard work, perseverance, patience, honesty, and grit to be able to create trust in our customer. And once you create that trust is when you create magic. And what does that magic means? We've had an astounding 550 times growth in the last five-year plan. Like Vaaman mentioned, today Motherson is one of the fastest growing Indian aerospace companies. Today, Motherson is the only Indian Company that is exporting aerospace components to Japan. And this one I am really proud of. This one I'm really proud of, any Airbus, any Airbus, or Boeing aircraft that flies today has a Motherson part on it. Now you're all thinking, that's great Kunal, well done. What's next? What does the next five years look for us? An aircraft is made of more than a million unique part numbers. We're only doing 6,000. So there is a huge opportunity for us to increase content per platform. This is something that we're keeping our eye on. The second thing I want to talk to you about is our presence. Where is an aircraft built today? An aircraft is built in Europe or in the United States, which is why our customer wants us asked us to acquire AD Industries in France. It's very important for us to be close to the final assembly line. And given that, we are going to work with our customer to ensure we do more acquisitions in Europe and in North America so that we are able to do more complex parts and we're able to do larger assemblies. Point three, as I had mentioned in the video, propulsion is the largest portion of our business. Now as the install base in Europe and the US ages, you will require maintenance, repair and overall. Now guess who makes those parts? We make those parts. As the fleet in India increases, it will require maintenance. We make those parts. We have already signed today two customers in the MRO space. We are working with a European airline. We're also working with the MRO division of a major engine supplier to supply aftermarket parts to them. So, this is a really exciting space and please watch out for this. And last but not least, Lastly, we touched upon this in the video again, given the capability and the reputation that we have built in the aerospace domain, we were approached by a major semiconductor equipment supplier to do exactly for them what we have done in the aerospace domain. So very, very exciting times for us. We're really looking forward to the next five-year plan. Thank you and keep flying. Laksh Vaaman Sehgal: Thank you, Kunal. That was wonderful. Ladies and gentlemen, one of the most exciting verticals, probably ripe for the independence that I spoke about, and a lot of things are going to happen in this vertical. I think some of you also are seeing the feedback that we are getting from the customers in this division. We're absolutely setting the

Page 24 of 36 benchmark and raising the bar for the competency that we can build out of India and of course g

rowing with competence in what we are doing right next to the customer in France and other locations as well. So thank you so much. I think this is a fantastic achievement of a group that had no presence in aerospace five years ago and now is really leading the forefront of technology investments and developments for the leading airplane makers in the world. Now I'm going to talk about another exciting industry which we didn't even target in the last five-year period. This one was special. The customer actually came to us because they had done their diligence on us. They saw what we have been able to achieve as a company for our customers in execution, in partner management, and being able to do large scale projects and learn very quickly from new technologies. And I'm really excited to talk to you about the consumer electronics segment, which we have been pushed into and is really growing at a mind boggling rapid pace and I would like to call up on stage the head of this division Vishal Kabadi head of lighting and electronics in the group to really tell you all the exciting stuff that is happening in this new vertical in Motherson. Vishal all yours. Vishal Kabadi: Thank you before we get to the consumer electronics space, I'm always instilled with a lot of pride when we talk about what we've done in the lighting industry in the automotive space. We were the last entrant to get into the Indian automotive industry, but we've grown more than 10x over the last 10 years to emerge as India's largest player in the passenger car industry. And with all humility, we've done our best to help our customer evolve the product. As you may know, in your own vehicles, the product has moved from a very simple, bulb based plastic product to an extremely stylish commodity, full of electronic content, a lot of value engineering, a lot of engineering. And that makes us very proud when you go on the streets to see that today the lighting product on the car is at par with the western world. We've used those capabilities to kind of pivot to the consumer electronics industry, an industry which we had never even planned to get into. But just think about this. New customer we never worked with, new product, new process, new technology. A scale which is unheard of and one of the world's largest and most admired brands, handpicks Motherson as their trusted partner to not only help in their overall global supply chain, but to partner with them in creating an entire ecosystem in India. That is something we need to be immensely proud of, not only as Motherson, but I think as every Indian. When we talk about scale and what we are trying to do, and I'll show you that in the AV where we are building this, monstrous, single -piece, largest facility that any industry has made in India. But to give you some context, what the highest selling volume is done by any car in India in a year, we have to produce that level of components in one day. And that's why we are building this facility, the size of 33 football fields, and we won't even play football, in Chennai and it'll come up over the next 12 to 18 months. We're in the city of Mumbai. We love Bollywood. I'll let the AV do the talking and happy to take all of your questions during the interactive session. May we have the AV please? Video Clip (available in the video recording of the event)

Page 25 of 36 Laksh Vaaman Sehgal: You would have all thought that our biggest plant would probably come in automotive, thinking making bumpers, dashboards, door trims. It's in consumer electronics. It's the size of 33 football fields coming together to put one line. And that is the rapid scale of expansion and growth that Motherson is going to experience in the next five years in multiple industries as you've already seen with aerospace, now consumer electronics and other industries as well. As Prakash spoke about in the video, we have more intentions with this than just producing a product. We want to be su

stainable. We want to be able to have complete energy independence in this plant. And for that, we created our own energy vertical. It's a new vertical in Motherson that is going to focus on our energy needs and make us energy independent in the next five years. I'm going to ask on stage now Mr. Kunal Vohra, head of this division and one of the newest members of the Motherson family. to take you through what he's building in this exciting new vertical as well. Kunal Vohra: Thank you, thank you Vaaman and very good evening everyone. So, you heard from Vaaman in terms of our growth targets, right? We have to do 4x topline. You heard from Vishal and Prakash about our entry in the electronics component manufacturing space, right? Massive, massive demand. You heard from Kunal Bajaj about our entry into semiconductor equipment manufacturing, right? And you heard from Barrie that we need to be sustainable. Our sustainability target is to reduce emissions by 50% by 2030 and be carbon net zero by 2040. Summarizing all of this, I'm going to paint a picture from a power demand perspective. What does this mean for the group? Currently, our power demand is in the range of 300 to 400 megawatts across the Globe. 4x top line, 4x power demand. We are looking at a demand of in excess of one gigawatt, which we would like to transition to renewables in a phased manner across our global operations. The graph that you see is the top seven countries by energy consumption and by emission intensity. These seven countries contribute about 80% in terms of our power volumes consumption and contribute 84% of emissions. With India being the highest, no surprises there, we have in India one third of Motherson's global consumption is through India, and a little lower than half of the emissions contribution is through India. So, the strategy at our end is to work on these seven countries with a key focus on India at the centre, of the five-year plan. As we speak, projects worth 250 megawatts, hybrid captive projects, wind solar hybrids are under implementation in various states in India. These projects are expected to be completed over a two, two-and-a -half-year timeline, which is when we will move to look at the other emission intensive countries, namely Germany, USA, China and so on. Now, how do we get there, right? How do we design a 100% green energy solution, keeping in mind the 2040 net zero vision? I'd like to present a brief case study on the Chennai facility that Vishal just spoke about, right? Demand for this unit is 100 megawatts. Yes, you heard me right. One single unit, 100 megawatts. Just to give you a perspective, the existing demand of all Motherson facilities in India is 100 megawatts. So that is the scale of the energy requirement, which is why there was a need that was felt that we need a dedicated team that will come into place and help the group transition into renewables. So, I'm going to present a small case study. How do you achieve this? First, we are planning to set up a rooftop solar system. You saw the size of the roof. It's a single integrated roof as large as 33 football fields We have the potential of doing one of the world's largest solar rooftop Installations in the world on this particular roof. Thank you. Step two, we plan to implement a wind solar hybrid captive project in the state of Tamil Nadu, which will be connected at an EHV level, to the state transmission utility and supply power to our unit. This will take the total grid offset to about 65%. The last 25 to 30% will be done by implementing additional renewable capacity with battery energy storage

Page 26 of 36 systems, power trading solutions, as well as minimal purchase of green energy attributes to reach 100% green power, not by 2040, not by 2035, but by 2030 for this particular facility. The same solution we intend to deploy across the top seven countries that you see in a phased manner, in order to achieve our sustainability targets. So, what does t

his mean? What does this mean for the Motherson Group? This critical initiative will ensure that we meet our sustainability targets as a group, we achieve energy independence, and there is reliable supply of renewable power to the group while at the same time significantly and substantially reducing the cost of our power procurement and contributing directly to our bottom line and propelling the group forward to achieve our 2030 targets. Thank you very much. That's all from me. I'll be very happy to engage with you all after the presentation. Laksh Vaaman Sehgal: Thank you, Kunal. As you can see, our ambition is growing and growing. And we have multiple new opportunities to create all these new verticals, servicing just Motherson, our need, and then, of course, in the future, expanding well beyond that as well. With that, that concludes the trust side. And now I am moving on to the next part of the chakra, which is we're asked to do more. As I had told you before, that asked to do more means a whole bunch of different things. One, of course, winning more orders from our customers' wallet share. But not only that, setting up new joint ventures, setting up technical partnerships, getting technical capability where our customer wants, it is absolutely key. And of course, one of the biggest multipliers in Motherson, the acquisitions piece. Motherson does not wake up in the morning and say, OK, let's go attack this company today, that company today. We wait for the customers to tell us, Motherson, you did a great job in the wire harness, in aerospace, in X, Y, Z. Now I want you to help me find a solution for this problem of mine. And that's what we do. We listen to our customers, we find out where their problems are, and we go in the direction where they want us to go. If you ask me today, what is Motherson's strategy? Motherson does not have a strategy. Our strategy is to follow our customer's strategy and make them successful. We are a B2B company. If our customers are successful, we are successful. So we let them figure out the strategy and we are the execution partners and we do that absolutely brilliantly, which again enables us to grow in perpetuity as long as we are satisfying their demands and adding new customers to the portfolio. Now, one of the biggest places or white spaces which we had spoken about in the last investor conference was our wish and our dream to expand in Japan. As you know, the first joint venture was Sumitomo san out of Japan. And the first opportunity we got was from the Suzuki Maruti joint venture that happened to build cars in India. So my father always felt and was his dream to have opportunity to give back to Japan and to, you know, expand operations in Japan. And in this five -year period, we got that opportunity. We expanded meaningfully in Japan. And to talk all about that and our flourishing presence over there, I want to thank you. Like to call up on stage Goel San and Kachi San, who are responsible in that region. So please come up on stage and tell everybody the wonderful work that we're doing in Japan. Rajesh Goel: Good evening, ladies and gentlemen. Japan and Honda, synonymous. All of us know Honda to be a very high technology company. They make everything from small engines to motorbikes, cars. and even small private jet aircrafts. But when it comes to their

Page 27 of 36 home country, Japan, this high technology company can be super traditional, super conservative, specifically when it comes to their reputation, their face in front of all the stakeholders and the Japanese public at large. And yet this very same super traditional, super conservative Honda decided to entrust a foreign, a non-Japanese, a gaijin company, Motherson, with not one, not two, but three of their supplier companies. Yes, Yachiyo, Atsumitec, the two names that you see here. And third one is Yutaka, which we just announced a couple of days ago, and we are in the process of closing. This speaks volumes

about the confidence which Honda has in Motherson. And it's not just confidence, it is also trust in terms of how Motherson manages its business, how we treat our customers and the common values that we share. It's a huge green space for us to expand in. But more than that, I think all of us are aware nobody manages shop floors better and more efficiently than the Japanese. And it's a huge opportunity for us to take this know-how from all the acquired companies and deploy it across all the global plants of Motherson to create that multiplier effect. Kachi San. Thank you Goel. Now we are going to show you Atsumitec and Yachiyo's characteristics and the progress as a member of the Motherson. Please check our video. Video Clip (available in the video recording of the event) Laksh Vaaman Sehgal: I'm very proud to say that we were handpicked by Honda San exclusively for all these opportunities that we have got. Like we said, it's an extreme big responsibility to make sure that these companies can thrive. And the advantage of Motherson is that we can now take all these technologies that were exclusively used for Honda San and cross sell them to all our customers globally and also vice-versa. Now with our extremely strong relationship and trust that's built up with Honda San, I mean you saw this company Yachiyo, it was actually started by Shinichiro San, Honda San’s best friend. So, it has a long lineage, long history and for them to entrust this company in Motherson’s hands speaks volumes of the trust that we've been able to achieve with this customer and now our ability to cross that also back into Honda San all the other products, so I'm really excited by this opportunity. I think it's a huge responsibility that we take very seriously and it's going to show some real colours in this next five years as we expand and grow this business and bring in the wonderful technologies that you saw in automation, robotics, and even power up even more of robust together with that to take Motherson to the next level. So, I've spoken about our capabilities, we've spoken about new verticals, we've spoken up our scorecard. One thing that's still missing is talking about our people. Our people are what make everything possible at Motherson? It's our people that are driving towards the vision 2030 and striving endlessly to make sure that we can deliver all up to our customers expectations. So I wanted to take a moment and I'm sorry, I skipped one slide in between I have to talk about of course the acquisitions that we have done and I'll come back to our people in a minute, but if you look at the 23 acquisitions that we have done and of course the 47 or 48 now that was just recently announced acquisitions that we have done, we obviously have to have a very, very strong M&A network and framework in Motherson itself. We have our own team regionally and globally sitting and making sure that all the acquisitions that we are doing fit into Motherson's philosophy. There is not one acquisition that, you know, misses one of these points because of our strenuous activities that we do before the acquisition and making sure that one it fits with the Motherson philosophy. There is a there's a fit in in the mind between the company that we are taking over and our culture

 here at Motherson. Of course, making sure that the customer wants us to go after it, as you have seen in all the 23 acquisitions, the customer has been pushing that. And we see a path to improving that acquisition so that we can deliver a return. If there's nothing that we can add to that acquisition, then why are we really doing it? So, we have to have a path and a plan in the next few years with investing in the company, working closely with the customer, how we can make sure that we can give the returns to our shareholders. So we have extremely financial and operational discipline with all the acquisitions that we go after, and make sure that there's an operati

ng company holding the hand and saying, yes, I'm the one that's going to drive this company, make sure that it fits into everything about Motherson, understands the Motherson DNA, our culture, and is able to really deliver where we want it to do. So, 23 acquisitions have been done in this five-year plan, all following that path, and we have been extremely successful at that. One more thing, Motherson does not buy and sell companies. We buy, we invest, we grow companies. Till date, we have not sold one company from our fold. And that is again an amazing thing. Achievement and something that attracts all the customers to us who sees us as a responsible owner for these companies and will invest and grow and provide a bright future for all those people working in that company. So that's another reason of our success and why our M&As have been so successful. As I was talking about before, the only piece that I miss talking about is our people, our capital. The biggest capital that we have, the biggest asset that we have is our people. And I wanted to bring on stage someone to talk about this, to tell you how we integrate the new people that are coming on board and how we train our people to make sure that they can take up more and more responsibilities and drive towards Vision 2030. I'd like to call up on stage Mr. Andreas Heuser, head of the chairman's office in all of Europe and a key member of the Motherson leadership team. Andreas, the stage is yours. Andreas Heuser: Thank you, Vaaman. First of all, a warm welcome from my side as well. It took me, the chart is made for me, Motherson stay, Motherson for decades. I just completed 20 years this week. And that makes it even more difficult, because for the first time in 20 years, they asked me to speak in an investor conference. And maybe there's a reason for it. I need to figure that out. But the big risk is now that I'm going to disappoint you a lot. And this is very tough for a German to be disappointing, because all my colleagues so far have shown you all what is new, all what has been developed over the last five years. I and they have a lot of videos and there's so many nice charts and the only chart they gave me is this one. And this is actually 20 years old. There is a saying at least, and I'm sure it's a global one in Germany, we say never change a winning team or never change a winning process. Because in Motherson what we do, and I will not lead you through the whole Orga chart because definitely we have set up an organization which is taking compliance extremely serious, this is a given. But for us growing, where we have started, for me 20 years back, for us, the biggest importance was, how do we maintain that? What is our core strengths? What is in our DNA? How do we keep the speed? How do we keep the people feeling that we are working for a family business? And at the same time, taking decisions as fast as we have been at a size 20 years back, yeah? And this is actually what Mr. Sehgal has, when he told me to join Motherson, and he said, you will be the Chairman's office, I have not really understood what it means. And he

Page 29 of 36 said, look, the only thing what you guys have to do is you support the divisions, you support the verticals. And this is why we show the business divisions absolutely in the centre. So in the end, the main function of us, and you see that we have five regional offices, we have small number of global functions, which have allowed us to keep the overhead structure extremely lean. And we don't replicate these special functions like legal, Tax, M&A, we don't replicate that in the verticals. We keep that separate in a very small centre in these Chairman's offices and we support. At the same time, a huge task for us, and this is what Vaaman has said, a huge task for us was how do we integrate and how do we make sure that the new companies understand? How are we what are we? How do we work and I can remember when we to

ok over? MSAS Frederic Boumaza asked me and said what is the Chairman's office doing and I said I'm nothing else than the interpreter to you to explain how we work at the same time. It's very important to understand have a direct access for our verticals to the shareholders and this is handling via the Chairman's offices to make sure we don't lose speed. There is a direct access to us and we organize whatever has to be decided from the shareholder, which keeps us as agile as we need to be in the in the day-to-day business. But at the same time from the Chairman's offices, we try to coordinate and we try to create synergies and to create and drive programs across the verticals and one is that is exactly what Vaaman has told me and what Vaaman has spoken about is, how do we focus on people. And there has always been a saying of Mr. Sehgal to say, how do we create inside Motherson a number two. And I was actually shocked when Kunal told, what was the number, 2,000 years of experience, that was a terrible number. I felt old when he said how much experience we have. But unfortunately with experience, sometimes as well, age is coming. And that makes it very important that we focus on our people and we develop the number two's, not only for the top management team, but as well for the cascading it down. And what we have done all over the group is while Vishal is building a mega factory, we are building a talent factory across the globe. We have started a numerous number of programs which we all link together to make sure that we have sufficient bandwidth inside the management, not only to the business today, but as well the business which is coming up on our journey to 2030 that all together creates talents inside the group. We have a strong belief that there is enough talent inside the group but as well we need to be clear with the acquisitions, we take and we get talents as well from outside. So we are not concerned on the upcoming journey that we have enough if we focus on our own talents. If we run these programs, we all are following our Chairman by developing the number two's and with this I'm sure we are well prepared for the journey 2030. I will not go and not have the time to go in all the details of these programs. Would be very happy afterwards at a drink or at the dinner to give you a bit more insight. But from my side, thank you very much. Laksh Vaaman Sehgal: Thank you, Andreas. So, with that, I think we've concluded that chapter of being asked to do more and having the talent possible. As you can see, we always hire from within. At Motherson, we have a policy, if you leave us, you come back only next life. We do not rehire because it's unfair to our people who've stuck with us. We give our people the opportunity to rise up. There are many people in the group in leadership positions that have had no experience or history of being in that position in previous organizations or in the group. We empower them, we train them, we give them everything that they need to make sure that they can rise up into new roles and fulfil their opportunities.

Page 30 of 36 The part of our purpose is to make sure that we give sustainable growth opportunities, like I said, to our people and we do that by following this principle and training our people and making them step up into all these new roles. If a lot of the people in the senior management team that you meet today, you ask them what they were doing when they entered Motherson and what they are doing today, they'll be doing completely different things. So that again goes to show the strength of our entire philosophy of our culture is making sure that we trust our people and allow them to grow within the organization. Now, I'm moving to one of the final sections of the presentation and the chapter on the chakra, which is increasing content and value. Of course, we want to be in products that are continuously increasing so that we can add more and more features, add more

and more content to them, and that increases our sales, that increases the solution opportunities for our customers. And I want to show you some examples and talk about that. But who better to talk about that than the head of our wire harness business and the head of SAMIL, listed entity the wire harness has been our traditional business and our bread-and-butter business and there is one business that is still the largest in the Motherson portfolio and continues to grow strength in strength. Thanks to the excellent leadership of Pankaj sir. Pankaj sir, please come on stage and tell everybody how you are continuously breaking records. Pankaj Mital: Thank You Vaaman Sir. Good evening. Well, I will be explaining to you about how we have been moving into the vertical integration and how it has helped create value. Way back in the late 80s, when we were building wiring harnesses and importing a lot of child parts, the government of India didn't have finances, the foreign currency, to allow us to continue to import, and our localization started with a constraint. So, we were forced to localize. And what came out of constraints and challenges actually became a strength over a period of time. And that has been the history of Motherson in every of our businesses, that when there are challenges around, we find opportunities which strengthen us and we become stronger over a period of time. Let's look at this chart. A wiring harness has multiple components. It has got connectors, it has got terminals, junction boxes, wires. Wires were a home business for the Sehgal family before getting into wiring harness. But over a period of time, the technology was changing. So, Mr. Sehgal gave that business to the company to make and diversify it into a super slim wires and other technological innovations which were coming at that time. Connectors allowed us to do injection moulding. What he did was, he said, we have to invest in world class quality with world class best machinery. At that time, and we were very small, we were about 10 crore company when I joined. And most important thing from him was that we should not sacrifice our name. Hence, quality is a must. We don't make money at this moment, doesn't matter, but we have to ensure that we build a name for the future. Customers saw us doing injection moulding, and they gave us opportunities to do different components. They asked us to do little bigger parts. Then they said, make even bigger parts and that allowed us to have joint ventures. So, from a component maker, like connectors, we started to build products like door trims and bumpers, so we got into a relationship with BTR. BTR, jokingly we used to call it Best Run, this was British Tire and Rubber. It got converted into MATE when they decided to move away from automotive business. And then customers globally, global customers came to India and they saw what MATE was doing. They gave us the opportunities to pay, perform and then reddle and today we have Yachiyo San also coming into which is the whole modules and polymer business which is very big. So something which starts very small can have the ability to

Page 31 of 36 become very big and this is what you will see in the whole Group today with all the displays that whatever we are doing, even in new products. Any new activity which we add has the ability to become very big, if we do it very well. Similarly, terminals allowed us to do pressure stamping. Today we are not pressure stamping terminals only in India, but other parts of the world like North America. Not only that, it allowed us to pressure stamp today parts for body in white and not only do cold stamping but also hot stamping, and even big parts like the long members of chassis of the trucks. So, each business can grow to a very big level. Making wires allowed us to do compounding. Today we do compounding of our PVC. We do compounding of polymers for our polymer business. So each business segment has grown into

bigger and bigger elements. While this happened, which allowed us to change constraints and challenges into opportunities as markets were changing, we also created a whole value chain. We had few customers in the beginning. As more customers came, more launches were coming, we understood that design is extremely important, and we invested in design. We invested in doing tooling in-house. We invested in jigs and fixtures and other things. It allowed us to reduce the time to market and become a preferred partner to our customers. We also added testing facilities, world-class testing facilities, where a newly designed product can be verified, so a design validation can happen. Any problem which happens, the root cause can be analyzed. This allowed us to continue to become a preferred partner and a fully developed design, engineering, manufacturing assembly partner. While we created all these capabilities, when constraints came in supply chain in the last five years, it allowed us to develop new products, eliminate those constraints by developing parts very fast, like spatial cables, spatial cable assemblies, which had long lead time and customers supported us to approve them very fast. We could become much better and much bigger. So, if we see our history in the last five years, we have grown nearly at the same level which we did in the last 35 years of our history in the wiring harness division. I would encourage you to see the area, where we are showcasing all these products which we are building. It also allowed us to showcase these strengths and get into many other areas, many other industries. You saw Kunal talk about aerospace, Gaurav talked about IT. So while we invested in all these areas, we were also investing in IT. Mr. Sehgal, from the very beginning, liked computers and computerization. So, when I joined the company, even in 1990, we had computers. We were the first ones in the industry to get laptops. We were still working on FoxPro, FoxSpace, SuperCal, Lotus 1, 2, 3, everything. And this allowed us in the 90s to change all our software engineers to make a company called MIND, which is today MTSL, and supports the entire Group. And it is the backbone of our Group, because when we acquire or we go global, we are able to fetch data without disturbing the current IT systems which that company deploy. So, this is all I would like to say that this is not just the story of wiring harness, but it is a story which is getting replicated in all the geographies and it is also getting replicated in all the divisions of Motherson. So, thank you very much for your patient listening. Laksh Vaaman Sehgal: Thank you. As you can see, what started as one simple connector has now mushroomed into so many different verticals, so many different products, so many different industries. And it's all thanks to the great work done by the Wiring Harness team. I want to talk more about these sort of examples. And all of you know that the real pivotal

Page 32 of 36 moment in Motherson's history was when we acquired SMR in 2009. That was the peak of the financial crisis. We transformed ourselves from being an Indian company to really being a multinational company and that company has really flourished and done phenomenally well. When we acquired it, it had top line of only 500 million. Today it's 2.2 billion. And we got it practically for free. So, calculate the ROCE on that. Anyway, I have to talk about the growth about that and how we have really engineered that product and developed that product into much more than just mirrors, into sophisticated camera systems, can tell you a lot about driving behaviour and increased safety standards. But who else to talk about that than the head of this division and someone who's been on that journey with me since the start of SMR and even before that in the group. Rajat, please come on stage and share all the wonderful things you're doing in SMR. Rajat Jain: Thank

you, Vaaman. Thanks a lot. A very good evening, ladies and gentlemen. So yeah, truly Vaaman, it has been an incredible journey, going from 500 million euros to 2.3 billion euros now. And all of this has been possible with the growing trust that we could get from our customers. And while on one hand, we continue to grow our traditional mirror business, we've also worked very closely with our customers and engaged with them to create value with new technology. And as I stand today in front of you, I feel very proud to show you how we have developed competence in a completely new technology domain to manufacture camera monitoring systems. At Motherson, the return to trust chakra is the driving principle for all of us. We do not believe in chasing blue sky technology. We do not believe in taking big speculative bets. Our philosophy is very clear. We want to do what customer tells us to do. We are quick learner, and we listen to the voice of the customer very closely. And this is exactly what we did to go ahead with the camera monitoring systems. It all started with Audi coming to us and asking us if we would like to engage with them on a proof of concept for CMS. And to be honest, we really did not have that knowledge of putting a system together like that at that time. But again, being a not yet company, we didn't say no. We said yes. We took the challenge. We grabbed the opportunity. We started putting a team together in Stuttgart of engineers. And we developed the competence as we went ahead. And we delivered it successfully. And that created the reputation that, yes, as a company, we can do CMS. The next was a sports car in Europe who had a limited volume program, but for mass production. And they came to us and said, would you like to engage with us on this program? I said, yes. And then, step by step, we grew on our competency. So, this, again, is in the Motherson way, you know the chakra where we try to do more, we gain the competency, we gain the trust. and then the customer returns the trust. The breakthrough for us was with MAN Trucks when they came to us and said, we would like to work with you. And it was really a very, very complex system. We have this in the display area. You'd like to see that. It has multiple cameras. There are multiple images which have to be stitched together. We didn't realize when we started the journey, but we had to actually put together 2.3 million lines of coding to really deliver to the image quality and functional safety requirements that they had and then that went on. We went into Hyundai and Kia on the passenger car platforms. And honestly, when we started, we were really built to print in this domain. And step by step, growing competencies, we actually can today very confidently say we are a full system solution provider in this space. And we have developed a full suite of

Page 33 of 36 competency. We've been able to develop our own cameras now, we do our hardware, software, algorithms, we have a full testing lab, we do our EMC testing in house, we have an image quality lab in house, we do homologation and we have now in house expertise on cyber security, over the air updates and functional safety. So, all of this competence we've developed from a traditional mirror, we pivoted into this space. And of course, I think the market hasn't really gone so aggressive as we expected it to, but it's really picking up. It's heating up in the commercial vehicle space. We are also seeing the delta between traditional mirror and CMS reducing. When we started this journey, it was about 10x. I would say now it's going down to 2.53x. With and when we all understand how electronics pricing moves so over the years, I think it's going to change and it's going to see traction over there as well. But I think most important most important is that all these competencies are industry agnostic. They don't have to be limited to one division. While we continue to work on these competencies in busi

ness system, we actually shared resources across the divisions. We also have a lot of talent now moving into innovation, which is centrally supporting all the divisions in the group. So, this is really transferable to other divisions as well. In our divisions, we see a lot of traction with digital interim mirror. We, again, have displays here for you. We also see an opportunity to participate in the growing space of occupant monitoring system, of driver monitoring system. All of that is very, very related to what competencies we've built over a period of time. But then, more than that, I think we are very excited that this competence can be used across into other divisions, in defence, in off road, in healthcare. And all of this that we've built as competence and talent pool, we are very excited to say that we really look forward to growing our competence more and more going forward towards our 2030 targets. Laksh Vaaman Sehgal: Thank you so much. Thank you so much. A wonderful success story in Motherson that continues to thrive, continues to develop new products, and delivers a much higher growth than 40% for us in the group. Really astounding performance and capabilities being developed by SMR. One of the other things that has been on people's minds is the Chinese OEMs and their dominance in EVs and how they are going to be successful when they move abroad and what's that going to do to the entire supply chain. I wanted to take a minute to really tell all of you that Motherson has an extremely strong foothold in China. We have 33 facilities doing multiple product lines with all our technologies already there. We have 13,000 talented people already in that region and five very strong joint venture local partners that help us navigate through all the that we have over there to help us solve and partner with us, to help us grow in that region with a local face that can really make sure that Motherson thrives in that country as well. So, we are very aligned to their ambitions as well. Wherever they want to go in the world, we already have a footprint and we already are supplying to most of them in China. We supplied to seven out of the top ten new electric vehicle manufacturers over there and wherever they go in the world, Of course, we can use those relationships and deepen our penetration with these car makers as well. And we believe that we will be extremely successful to grow with them in this next five period as well, if they so choose to partner with us. We are consistently growing our business in China as well, just like the rest of the world. And we believe it will be quite successful for us in this next five year as well. With all that you've

Page 34 of 36 seen, you're probably thinking, Motherson is getting quite large with our products. So how are they really going to go after this US$ 108 target that they have? Yes, new verticals is one, but the automotive is the bread-and-butter business of the company. And is there enough room for them to grow? So, with this slide, what I really wanted to showcase to you is that we mapped out all the different OEMs by region and all of our current products, not doing the not yet products that Motherson is in. And as you can see, there is still significant amounts of headroom for growth in different geographies, different customers, different product lines to hit quite a big number in that 108 target and dent it just with the growth in the automotive itself. A lot of those products are behind you, which, of course, we are doing. But you will see that Motherson will penetrate even more new products in this five- year plan with more and more problems that we are seeing in Europe. We're seeing in some of the developed countries a record number of bankruptcies. We have an extremely strong pipeline of mergers and acquisitions that will significantly allow us to reach very, very close to that number of 108. Just one big acquisition can be completely turning point for Mothers

on. We have doubled ourselves multiple times in the past So just imagine just one of two of these acquisitions in the products that we are already in that we have competence that the customer has immense trust on us gives us a large opportunity and you're seeing what's happening with a lot of these companies globally. When will the right time will be and we are selected, we definitely will go after that and again get very-very close to that 108 number just with the automotive opportunity that we have. Just to expand the imagination a little bit, since the start, we have progressively worked our way up the value chain from being tier 3, tier 2, tier 1, and now, tier 0 5. We're doing a lot of complicated just in sequence, just in supply kind of solutions for our customers, managing their entire supply chain, and also moving ahead in that assembly side with the acquisition of SAS that is focused on doing assembly. Envisage that in this next five-year plan we will get an opportunity to assemble a full car for our customers, for an OEM, and that is our ambition. And imagine what that will do for our 2030 targets. Let's be clear, we're not coming up with that. Motherson car just we're not going to compete with our customers we will do it for our customers. So that is something that we have progressively you know made our way up the value chain accumulating all these key technologies and we can manufacture a whole bunch of these parts, assemble these parts, deal with their complex supply chain and supply just in sequence, just in line. If the EV revolution is going to happen, more and more car makers will not want to do assembly. You have to understand that. The reason why historically car makers did a lot of the assembly was because the engine was key technology. And if these vehicles are no longer going to have that, you will see that a lot of the motivation to keep assembly in house is going to go out. That is great news for us because that is our speciality. Yes, that is what creates the consistent cash flows, the dependability between the customers and us. And we now have full capability to be able to assemble a car. And that's going to be some exciting news that hopefully we have for you in this five -year period when we are successfully assembling cars. And not only cars, if we can do that for such a complex industry, we plan to do it for all the other industries that we have penetrated in, white goods, consumer electronics, and build fully finished products for our customers that, again, will take us significantly closer to that one way target that we have in 2030. And like I said, I'm proudly saying that we have all the capability already in house to be able to do that. So, summarizing everything that we have seen and all the examples that you have heard and presentations from our top leadership

 team, by doing all of this together, that's how we live our vision and become a Globally Preferred Sustainable Solution Provider. And that is really summing up everything that we have presented to you today. In recap, Motherson has successfully transformed from being a pure play auto component company to being a design, engineering, manufacturing, and assembly specialist. We have shown you that multiple customers in different industries have validated this thesis and given us very large opportunities of building multiple new factories and new products, harnessing new technologies, new materials, and we have successfully demonstrated that we can pivot and that we are a solution provider. A provider of choice by the car makers and we as a team now believe that we have created the platform for Vision 2030 and have everything that we require to go after it and of course to have a buy in from all of our people to show you that we are extremely motivated, convinced, and have the entire ability to go after this target, we all signed as a team a common declaration of intent where we say, yes, we are going after 108

, and we are going to give it everything possible. I want to show you a video of that. Video Clip (available in the video recording of the event) Laksh Vaaman Sehgal: Thank you, I really appreciate your patience. We're almost at the end. Some people are sighing. It's like longer than a Bollywood movie, but we are in Mumbai, the capital of Bollywood. So obviously, we had to have enough audio visuals to match the length of a Bollywood movie. But I hope we have given you a lot of insight as to and conviction as to how we're really going to go after 2030 targets we've all talked about how the company has changed but more importantly and I just want to summarize and maybe perhaps end on a slightly different note, because I think we have done our job to try to tell you where we are going in this next five year journey, and it's a very exciting one. While we have changed of course, we believe that the founding philosophy that Papa had set, of course, remains the same. So, while we are going after different industries, please be sure that the founding principles, the philosophy that Papa set the company with, that remains extremely intact. And you can see that we showed you our purpose, we showed you intent, we showed you our focus on sustainability, on our people, all the softer sides of Motherson. Because Motherson is more than just the numbers. We are a company that has a deep sense of purpose. And when you go on a journey like 108 billion in the next five years, you need something more than money or people, products, technologies. We have to tap into what is abundant in us already, which is our inspiration, our courage, our perseverance, and grit. And this is what we call a bit of that magic masala, or some people call it luck. I call it blessing. And I'm taking you back to the start of my presentation where I told you that before we started the Vision 2030, I wanted to go on a transformative journey personally, where I went to a very coveted place, a really spiritual perhaps capital for us as Hindus, to all the way to Tibet, to Mount Kailash, to take the blessings of Baba and prepare myself with purity of intent and take that blessing because we're going to go through numerous obstacles, challenges through this next five year path. To go to 108 is no joke. And you will need something more to make sure that you continue on that path. And that faith is something that's going to push us along this. I'm going to make sure that we don't stop believing all the way to the end that we can really get to 108. It was a life changing experience for me. And I want to end on this short documentary about my experience in Mount Kailash. I hope you

 enjoy it. And thank you so much for being patient with us and listening to all of us here. Please enjoy this. Video Clip (available in the video recording of the event) Laksh Vaaman Sehgal: Thank you. Thank you. So, I'd like to call up on stage Papa and our management team who was part of this presentation. And we all just wanted to say thank you to you, to all our investors, to all our partners, our bankers, every single person who is here to support us and has worked really hard to put up this entire show for you. Thanks, the internal team. And really, thank you for believing in us, for trusting us, for all these years of support. unwavering support that you have shown and even through all the tough times carrying us through. We all owe it to you and we say thank you very much from our heart. Thank you so much.

# Call: Nov 2025

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November 20, 2025

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Exchange Plaza, 5th Floor
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MUMBAI – 400051, Maharashtra, India
Scrip Code: 517334 Symbol: MOTHERSON

Ref.: Transcript of earning conference call for the quarter ended September 30, 2025

Dear Sir / Madam,

Pursuant to the Regulation 30(6) read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of the earnings call for the quarter ended September 30, 2025, for your information and records.

The transcript of earnings call is also available on the Company's website at www.motherson.com .
The above is for your information and records.

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited

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Proud to be part of samvardhana motherson di

"Samvardhana Motherson International Limited Q2
FY'26 Results Conference Call "

November 13, 2025

Management:

Mr. Vivek Chaand Sehgal,
Chairman

Mr. Laksh Vaaman Sehgal,
Director

Mr. Pankaj Mital,
Whole Time Director and President – SAMIL

Mr. Kunal Malani,
Chief Financial Officer

Mr. Rajat Jain,
Chief Operating Officer , Vision Systems Business Division motherson •II


 Moderator : Ladies and gentlemen, good day and welcome to the Q2 FY'26 results conference call hosted by Samvardhana Motherson International Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr . V. C. Sehgal from M otherso n. Thank you , and over to you, Mr Sehgal.
Vivek Chaand Sehgal: Thank you. Good evening, ladies and gentlemen. Thank you for joining the SAMIL results conference call.
I am pleased to announce that the board has approved the results for the second quarter of the financial year 2026. The company has delivered a strong operating performance across all business divisions. The teams have worked very hard to ensure bottom -line growth and reali se the benefits of some of the transformative measures undertaken. Vaaman will talk more about this. I am very happy to see that the early milestone, we have achieved our industry agnostic capabilities built on a strong platform as we start the journey of the seventh five -year plan. We are seeing strong momentum in our ae rospace and consumer electronic businesses. Our 3C strategy continues to augur well for us. Further, our book business stands at $87.2 billion as of September 2025. We are thankful to our customers for their continued trust in us. We also appreciate your c ontinued supp ort and confidence in M otherso n.
I would like to hand over to V aaman and the team to provide a walkthrough and business insights. Over to you, V aaman.
Laksh Vaaman Sehgal : Thank you, Pap

a. Good evening, ladies and gentlemen, and thank you for joining the Q2 Earnings Call for FY2026.
As Papa was saying, SAMIL has delivered a very strong performance reflecting solid operational momentum and financial discipline. The Company reported revenues of Rs. 30,173 crores, EBITDA of Rs. 2,719 crores and a normali sed PAT of Rs. 856 crores. SAMIL has outperformed the industry during the quarter with a 8.5% growth on revenue on a year -on-year basis. The growth was contributed by volume and content and as well, addition of an acquired asset Atsumitec, which we informed you all earlier. I am pleased to share that we have delivered double -digit growth across normali sed EBITDA and PAT over the same period last year. Our performance is particularly noteworthy when viewed against the 

Page 3 of 15 backdrop of an evolving production landscape and bouts of volatility in the broader external environment.

I would like now to provide a brief walkthrough on the profitability side. As trade dynamics continue to evolve, a greater degree of clarity and stability is now emerging within the manufacturing ecosystem. We continue to engage in constructive discussions with our OEMs, and as of this quarter, there is about $10 million of tarif f-related costs on our P&L, which will flow , albeit with a lead -lag effect.

The transformative measures for Western and Central Europe announced earlier this year are beginning to bear fruit, especially in the polymer business. The profitability of the polymer business moved from 6.4% to 7.4% on a sequential basis, demonstrating these improvements despite the quarter being a seasonally weak quarte r for Europe with the holidays.

During the quarter, we have booked provisions of approximately Rs. 36 crores as an exceptional item in addition to approximately Rs. 136 crores that we booked in the first quarter. The majority of the transformative actions are in place with some bids to follow in the second half of the year. We do anticipate further acceleration of improvements in performance during the second half of this year, especially in the modules in polymer business division. If you look at the production scenario, the global light vehicles industry grew by approximately 3% year -on-year, reaching a production volume of 22.2 million vehicles. This growth was largely driven by emerging markets, particularly India and China, while Europe remained broadly stable and North America witnes sed modest incremental gains. You can look at this on slide 7 in our presentation.

Looking ahead, we expect production momentum to strengthen as most premium automakers are nearing completion of their platform transitions and are all set to roll out a series of new models. This optimism is also reflected in the upwardly revisioned global production forecast for the full year, now converging around the 90 million plus mark. We continue to invest to support our growth ambitions with a large part of our CAPEX going towards setting up avenues for growth. Two new green fields have been operati onalized during the quarter and 10 more are at various stages of completion, with the majority expected to come on stream in FY '27. You can see this on slide 11.

We have also spent approximately Rs. 2,600 crores of total CAPEX in the first half and for the full year would still be within our annual guidance that we provided earlier, although we would be on the upper end of the scale, Rs. 6,000 crores plus 10%. More details on this are on slide 10. Despite the large growth capital, inflated working capital and transitory impacts on profitability in the first quarter of the fiscal year, our leverage at the end of the second quarter remains s table at 1.1x net effective debt to EBITDA. We expect the leverage ratio to be around 0.9 by the end of the year, contributed by improvement in the m



Page 4 of 15 business profile, better free cash flows and reduction on the working capital front. Yo u can look at this on slide 12.

On ROCE , we are at 14.2% as at the end of September 2025, impacted by the transitionary impact on profitability in the first quarter, early stage ramp ups of all the new green fields as well as the inflated working capital. This should creep up again as performan ce normalizes in the second half of the year.

In our investor day on the 5th of September, we spoke about our future and evolution as a design, engineering, manufacturing and assembly powerhouse. I am pleased to report significant strides we are making on this demo journey. Consumer electronics business continues its sharp growth trajectory, having operationalized one of the facilities in this quarter. Total two plants are operational now. The largest one is left to come on stream in the lat ter half of FY '27. Based on the September run rate revenue, Q2 demonstrated a 36% growth over the first quarter. This will further pick up pace in the second half of the year. We also expect this business to be positive in profit in the first full year of operations. That itself speaks a lot about the operation excellence that the teams have been able to deliver on this v ery significant project for us.

Aerospace business delivered a 37% revenue growth in the first half of FY '26 on a year -on-year basis. We became Tier 1 to Airbus earlier this year and that is already giving us desired results. We are in advanced discussions for complex and high -value large packages.

Booked business between consumer electronics and aerospace is already now at a whopping 3 billion up from 2.7 billion in March 2025 and is further expected to see a sharp ramp -up by the time we next report this figure to you. We are also furthe r enhancing our capabilities on the technology front. We are wanting to add more than 5,000 engineers in the next five years, building and bolstering our competency with global business services that we have built in -house and our AI platform. A new building will be coming up in the

latter half of the year to support this growth. You can look at more information on this on slide 15 and 16 in our presentation.
I am extremely excited about the journey ahead of us and we have entered into our next five-year plan and next five -year chapter with momentum, opportunity, and strength of our DEMA capabilities that we have built as a platform. We are really geared up now to seize these opportunities and push the boundaries as we move forward.
With this, I would like to conclude my remarks and open the floor for questions.
Moderator: Thank you very much. We w ill now begin with the question -and -answer session. Our first question comes from the line of Kapil Singh from Nomura. Please go ahead.  Kapil Singh : Good evening, team. A pretty solid quarter. I wanted to understand on the modules and polymer division, we have seen a pretty good step up during this quarter, probably a little ahead of expectations. If you could articulate what are the, just this journey, what exactly are you doing? What are the s teps? Where are we in this journey? How much has happened and how much more is left? Just some color there would be helpful.
Laksh Vaaman Sehgal: I can take this question. Look, in the last couple of years, we have been on a transformative journey. Apart from the large number of acquisitions, you've seen that the European zone has been reeling from the EV not being as successful as anticipated. So a lot of extra capacity, a lot of things were built up for that reason. While Motherson had a balanced approach, we were asked by the customers to take over a lot of these troubled suppliers. And we have done so.

And we have had a plan of reorgani sing ourselves so that, of course, even our capacities can be further orchestrated by this addition that we have, for example, companies like Dr Schneider, etc. And I really look to combine forces to see where we can be operationally more efficient and drive so me of the changes. We also had a complete management team change over there. And that management team is now fully in grip of the complete operation. We will have Christoph e in the subsequent calls coming up, because now he has completely taken control of the modules and polymer division as the new Head over there. And together with him, and the new people that we brought on board, including engineering, HR, etc. We have really built a very strong team over there that is looking at all the plants and making sure that, again, we convert all those red units that we had and those underutili sed units to combine with all the acquisitions and have a very, very efficient operation going forward. We also restructured some of the operation. We have relocated our busi ness from different plants to again drive more synergies. And just overall bring a lot more focus on the shop for delivering these programs with low levels of scrap and high level s of quality. And also invested in our plants by redoing , like paint shops , etc. To make sure that we are again relevant and some of these assets that had not been invested in the past from the prior ownerships, we have done all of that. And that's what you are seeing is taking fruit. Of course, some of the older programs are still in the system as they wean off, and the newer programs, which have been won at better margins and with a better grip on the launch of the program, should continue. And we believe that a large part of the restructuring is behind us , and the performance should only improve from here, as long as the numbers, of course, hold up. And we are very excited about the new programs that are going to be launched from these facilities. And if we do a good job there, we definitely will see much better performance coming up. So the transitory work is done. And I think now from, from quarters on from here, you should you should see improvement.
Kapil Singh: Okay, that's, that's great to hear. So a large part of the transport transformative work is done, can we say about maybe what 75 %-80% of that is done?  Laksh Vaaman Sehgal: It's a continual process. It's not that we will do it and stop, we will continue to look at ways that we can, still be more and more efficient in those in those countries. There's a lot of pressure from the customers who are looking at sourcing from East ern Europe, North Africa, I am just talking about the Europe zone in general. So we have to be really on top of things. And continue to focus on the AI automation, G BS, which we spoke about, that should deliver, again, more efficient operations for us. So it's not something that we will stop. I think the first plan that we had, yes, is 75 %-80% done. But next year, we are going to think of how we can continue to push even more and build a completely new plan and continue to drive efficiencies in the operation.
Kapil Singh: Okay, great. Again question I had, you talked about hiring 5 ,000 engineers and also expanding capabilities in Gen AI. Can you articulate a bit more what exactly is the vision

here? Or what is what is your thought ? What are the opportunities here from your
perspective that you are trying to tap?
Laksh Vaaman Sehgal: Look, of course, we are seeing a lot of progress that has happened in the last few years, in terms of automation, in terms of software, having intelligent capability, and we are ourselves having a lot of strength. We already have about 5 ,000 design and software engineers in the group that are able to again, g

ive us our information systems. That's one of the key strengths for when we do acquisitions, that we can get access to relevant data and create strategies of how we can improve the operations of the plants that we acquired etc. So we think that's a huge strength. And now, we want to double down on that. So with partnerships as well, external partnerships, build out ourselves and our own capability in the strong foothold. From the India side, where we have strength, that's something that we are really wanting to, let's say, double down on. So we will give you more and more information as we develop on this journey. But the first few results are very promising. We are looking at very, very interesting software that can make the workloads that much more efficient and faster to respond. And it's also about communication and how quickly that we can get some of these things on our response time to our customers, engineering lead time. So there's a whole bunch of things that are to happen. Each of the different verticals and the plants are focusing on that. So please do give us some time. This was announced as part of this five -year journey. So we do have five years to get t here. But we will be giving you regular updates. But it's extremely exciting. And our vision is to eventually be able to do a lot of the production in a very good , automated way , and use our people to value and skill them up to do even more things for the group. And going from 27 to 108, that's a lot of growth. So there'll be a lot of things for people to do. And we want to be efficient while we grow and use our existing people for the growth.
Kapil Singh: Thank you, sir. Just one last one. You mentioned that premium car makers, they are going to come up with a significant launch plan. By when can we expect a ramp -up of this plan? motherson 111
 Laksh Vaaman Sehgal: I think you have to see the car makers' results for that and their commentary on that. I think
the second range of EVs, I think the first range of EVs, of course, really came up in a very fast way because of the entire environment pushing EVs to come. But the next rung of EV s which are coming now have had a lot of time for development. And they really stand apart from the first time that they tried their hand at EVs. So I think that the new range that's coming up will be significantly better. Of course, we have always said th at, look, EV will take its time and we will have a balanced approach. And our exposure to the engine or the EV is still in a very balanced way. We are not taking large bets on EV or something like that. But what we are seeing is that the capability of the car makers, as they're getting more experience with the EVs, is coming out with products that are more relevant , cost -effective and attractive to the customers. While we still believe there will be a healthy mix, there will always be ICE, there will be hyb rids, there will be EVs, and there will be a mix of all of this. And I think our portfolio is totally geared to take advantage of all the different types of vehicles that will be over there. And we won't be hurt by one or the other being more. What I was trying to say is that there are a lot of exciting new models that are coming up. And you can look at any of the car makers' commentaries, whether it's the German ones or the Japanese ones and even the American ones, everyone, including the new -age ones, whi ch are anyway launching a lot of platforms. And we are pretty much partnering with all of them. So it's a very exciting time for us. And you can see a lot of their products in the auto shows.
Kapil Singh: Sure, sir. Look forward to that and best wishes.
Moderator: Thank you. Our next question comes from the line of Rag hunand han NL from Nu vama Research. Please go ahead.
Raghunandhan NL: Good evening, sir. Congr

atulations on extremely strong numbers. First question is on the order book. Order book is large at 87 billion for the next five, six years. Within this order book, would it be possible to indicate how would be the breakup between all new orders and replacement orders? And how much is the current EV share in your revenue? Would you see EV share also reach over 20% of revenue in 5-6 years, similar to the order book share of 22 %?
Laksh Vaaman Sehgal: Kunal could support me on that. But definitely, look, we want to keep a balanced approach and definitely whatever is there in the market, I think that will reflect in some of our businesses compared to the others. But we do see that the EV in the middle had tapered off; we have significant wins in the new platform. So I do see that growing as the market

grows. What's interesting for you to see is that a lot of the new platforms are being offered by the carmaker in EV and non -EV and or I CE variants as well. So regardless of which one really takes off, they're kind of also hedging their bets by offering it and seeing what the consumers want. Well, of course, there are, of course, some EVs that are being launched as well, but a lot of the platforms are also coming in both variants. And I think we will really motherson 111

 win from that because our content will go on both the platform. But Kunal, maybe you can add on.

Kunal Malani: Yes . So just to give you a context from number perspective, the 87.2, we don't have the breakdown right now between new and this, but needless to say, you could take the 5-6 year to get a good sense of what the trajectory is going to look like. Our EV revenues right now is 11%. And in the order book, you see a dip from 24 % to 22 %, which is largely reflective of what Va aman was saying in terms of new launches that are happening along with non -EV powertrains as well. And hence, the share has shifted. Plus, the p ace of growth anticipated in EVs has ebbed and accordingly recalibrated the volume trajectory associated with it, thereby bringing the 24 % down to 22 %. Directionally, is this reflective of the industry somewhat? Though obviously, we are one among the industry participants, so I don't know how others are shaping up on this account, but at least the movement from 24% to 22 % is largely the nature of the industry that is shap ing up now.

Raghunandhan NL: Very helpful, sir. Secondly, on the emerging business, profitability has improved to 9.5 , 110 bps improvement QOQ. Can you indicate what led to this improvement? Was there one -off cost in Q1? And also, please talk about efforts to further expansion of profitability ?

Kunal Malani: Sure, sir. So, in Quarter 1, we had highlighted the fact that we assimilated Atsumi tec for the first time in that quarter, which on a relative basis was a lower margin business as one end. Two, we had started ramping up our consumer electronics business, which as you can imagine in the initial space is obviously not profitable. As the ramp -up of the consumer electronic business has happened together with some improvement in the Atsumi tec business, you are seeing the trajectory move up. You would see more of this as aerospace is also ramping up, as some of the other Indian businesses that are there with the tailwind now on Indian growth as well. You should see overall this number to move up as we move through H2 as well.

Raghunandhan NL: Thank you, Kunal, sir. On the aerospace side, 37% growth in H1 is a very strong number. And has there been improvement on the profitability side? There was some pressure on AD profitability. If you can indicate directionally, how is the improvement even on the EBITDA? And if you can share revenue and EBITDA, that would be great .

Laksh Vaaman Sehgal: I can take this, and Kunal, you can support me here as well. Look, I can tell you from the

directional side, we are definitely making huge amounts of progress, which the customer is also recogni sing. And I think again, we have taken a bold step by increasing the CAPEX in that facility, because in the past, it really was not invested on something that I was telling you for our CAPEX numbers in my opening notes, that we have to make some of these CAPEX that will upgrade the facility and make us future ready for the next 20 years of orders that we can get from these facilities. These are extremely critical parts. These are propulsion parts, engine parts, and the customer only trusts very few suppliers with things motherson 111

 like this. So I think the transition journey is on. We are obviously pushing the teams to do more and more and are never satisfied in a normal way, but the teams are working extremely hard and the direction is one of constant improvement. Last couple of months, we have been seeing that. And of course, in the next quarter, I hope that will come up even stronger. But most importantly, like I said, we have the customer's trust. We are winning orders, as you saw, and the customer really does have confidence in our capability. We have to continue this momentum. But overall, it's a very, very good picture. And we believe we are going to grow even further with this and have even more opportunities. So overall, very pleased with the performance, but we need to keep pushing from here.

Raghunandhan NL: Thank you very much. Wishing all the best.

Moderator: Thank you. Our next question comes from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Hi, thanks for taking my question. My first question is on the order book that you mentioned of 3 billion for consumer electronics and energy. Can you share a little bit more on how is the split between the two businesses and what sort of conversion timeli ne should we be looking at for this order book?

Laksh Vaaman Sehgal: We can't give you specific breakups. We are tied by confidentiality norms. But what I can

tell you is that, of course, on the consumer electronics side, a lot of that is wrapping up already in the next year for that order , since their order books are much shorter. And the aerospace business is obviously more long -term. So we take your direction and we will see if you can come back next quarter and try to come up with some more details around it. But at the moment, we are not able to dis close more details. But like I said, it will ramp up quite fast next year for the consumer electronics side. And the aerospace industry is a more consistent order build -out for the next decade.
Gunjan Prithyani: Sure. I appreciate that. I mean, the reason I asked that is as an analyst, I am honestly grappling with how I think of the revenue ramp -up in this business . In consumer electronics , specifically, I mean, of course, profitability and all are something which will follow through. So I am just looking for a little bit of direction from you on how we think about the revenue line of this segment .
Laksh Vaaman Sehgal: Sure, I appreciate what you are saying. Please allow us some time , and we will come back to you and see how we could show you more colo ur on that in the next quarter. Like I said, the ramp -up is still coming next year. So we have some time, but we will see how we can give you some more information. Right now, we will have to make sure again that from all our contracts and everything that we are what we are allowed to say and what we are not, we have to make sure that we are in line with what we have contractually signed. So please bear with us.  Gunjan Prithyani: Sure, no problem. My second question is on the commentary that you sort of called out second ha

lf will be better. I am just trying to understand when you think about second half, is it acceleration both in terms of revenues as well as margin improvements on the transformation program? And the reason I ask that is there's a little bit of uncertainty around this whole Nexperia impact on the production of the European OEM . So in that context, how do we think about the revenues in the second h alf? And the profitability, of course, is covered from the transformation program.
Vivek Chaand Sehgal: This is up to September ; the real change has happened in the festive season. So even that itself is a big push.
Laksh Vaaman Sehgal: Yes , you are absolutely right. I think, look, we are very hard to have a fortune ball , a crystal ball to tell us what's going to happen. But the commentary that's coming from the again, the chip shortage is kind of mixed. Some places where you are hearing that it's getting better, some places we are hearing it's not. All of our talk that we are seeing is with the view that this issue is not something that's going to linger for a long period of time and should be solved. Already, we do see that some of the commentary that's floating and reading is saying that it's not going to be such a big issue. And we hope it stays that way. Of course, if there is something like that, then we will come back next quarter and tell you about it. But I can tell you that the customers are very proactively working. And everybody is really on top of the situation right now. And we are hopeful that a solution will come out of that. So that's one side of it. I think on the other side, like you rightfully picked up from my speech that look, the operational improvement targets have bee n given and the restructuring a lot of has been done. So we see a lot more efficient operations coming in the second half of the year. And of course , post the second quarter, which is weak, the third and fourth quarter s sequentially are some of the strongest quarters. So the sales growth momentum, the launch of some new programs that we are also seeing, and the overall attempts to make the operation leaner and drive through these efficiencies with the changes that we hav e made , we are extremely, let's say, positive and optimistic that the worst is behind us and the next few quarters should be stronger. And we will come back to you in the next quarter an d show you how some of these things are panned out. But we are, like I said, extremely optimistic that next few quarters should be in the right direction.
Gunjan Prithyani: Sure, that's quite good to hear. Just one last question from my side, I think the tariff impact, which you called out as $10 million. Now, is it that we are in the phase of conversations with the customers and this will eventually be passed through? And what segment is this tariff impact really reflecting in, if you can give some insight on that?
Laksh Vaaman Sehgal: So ma'am, I can start that , and of course, maybe Kunal can add on. Look Papa always had the strategy of Motherson to be a local company. So the majority of our operations source locally, produce locally, and supply locally. And that's been the biggest strength of  Motherson that we do complex parts because the customer always prefers a supplier to be in the same time zone, speaking the same language, not having large logistics costs,

not being in the volatility of foreign currency. There are always translation issues. So we have always prided ourselves on being able to drive factories and keep our operations and our factories open globally and supply to the customer their needs and be competitive. And that's the reason that you are seeing the impact for such a large group of Rs. 30,000 crores of revenue, and we are still less than $10 million of impact that has already hit us in the last

few months. But again, a lot of that is going to be discussed with the customer. I do think that we will find a good solution. It's a small number compared to the overall size of what could have happened to us. So I am grateful that the impact is only 10 million. But yes, even this 10 million is important to us. And we will go to the customer and find ways and means that we can, how do we share this pain? And if it was not our fault, then it was customer -directed. And that's something that we will ask the customers to give us direction on. But it's a relationship business, as you can imagine. We all have to work together. And I am sure the customers are also finding it difficult in these kinds of uncertain times. So we have to do the best we can together with them and make sure that the relationship is something that holds strong. And I am sure that we will find ways and means to recover this 10 million down the line.

Gunjan Prithyani: Sure. All right. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Jyoti Singh from Arihant Capital Markets Limited.

Jyoti Singh: Thank you, sir, for the opportunity and congratulation s on the good set of numbers. So I just wanted to understand our acquisition of Yutaka , which we have done for the thermal management and rotor stator portfolio for hybrid opportunities globally. Can you guide us more on that ? And I also wanted to understand our consumer electronic s in terms of revenue contribution. Can this business , what if you can guide us, what is our target for the next few years, 3 to 5 years?

Laksh Vaaman Sehgal: Sure, I can talk about the consumer electronics. Would you like to take the Yutaka question?

Vivek Chaand Sehgal: Yutaka , I think at this moment, we made an offer. We can't really talk too much about it, but there's a lot of information on the listed company . And it's a single -source supplier to Honda Worldwide. So I think all the information is there. Is there anything, Kunal, that you would like to add ? Or, Vaaman , if you would like to add to that , or is that about it?

Kunal Malani: I mean, if it helps, Jyoti, I think the revenue is 1.2 billion. The open offer remains pending. It is a likely closure somewhere around Q1 of FY '27. So Yutaka is still not in the numbers that you are seeing right now. motherson 111

 Laksh Vaaman Sehgal: Atsumitec is reflected. Maybe you were wanting to ask of Atsumitec.

Jyoti Singh: Yes, sir.

Laksh Vaaman Sehgal: Look, again, I think these acquisitions that we are doing in Japan is just a testament to the confidence that the Japanese customers, especially Honda san has on Motherson capability. I think it's very early to tell you a lot of our plans with Atsumitec, of course, the idea is to diversify, bring in a global customer base, allow them to piggyback on the good network that Motherson has and show them the ability of growth. I think that's the purpose of partner ing with our customer to be a ble to take some of these acquisitions. And it's been a huge success, even with Yachiyo, which was the first acquisition that we got through Honda -san. This was already showing colo urs with new businesses being awarded, new opportunities and full integration of Yachiyo into Motherson , which has really done well. And that's why these follow -on opportunities are also coming. We will come back to you with more colo ur on what we are doing with Atsumitec and when the other acquisitions finally close, what is going to happen there. But a bit too short because that has just happened. But again, very exciting plans for having these companies as part of Motherson . They're so technologically strong, their engineering capability is really unbelievable. And not only that, they also bring a lot of competence in automation and efficiency driving, because in Japa

n, that is a given with the shortage in land and people, the y are rea lly highly automated. And I think that's something that we can use for a lot of our group. So a lot of those synergies will also be reali sed as we go through , and something that we are already doing. So it's been a wonderful fit for us and something that you will continue to see be more and more integrated in the Motherson family. On the electronics side , look, we are doing a whole bunch of things. Of course, one was this joint venture with BIEL for the glass products, but we are not stopping there. We are also looking at SMT lines. We have a lot of requirement s for that internally. We will be doing PCBA work as we get the right opportunities. And we are also making parts for the semiconductor companies that want to set up base in India. We are helping their supply chain. So this consumer electronics is really going to grow at a rapid pace. As you are seeing, the order books are swelling. Mother son is in a unique position because we have the global trust of a lot of top brand customers. So a lot of these new industries automatically have the confidence because if we could make a name for us in an industry like the automotive where the quality is global, no matter where they are sourcing from, I think a lot of the customers have seen that Motherso n has the ability to expand and to drive growth in a fast manner and give them solutions for the supply chain that they need, obviously in India and abroad. So that's something that's really working in our favo ur. I think the teams are extremely charged up. There are lots of opportunities , and this will be one of the sectors that will continue to grow at a very, very fast pace. And eventually , we will start showing you the difference between the different verticals , and we will only show you consumer electr onics once it reaches the scale next year that we envisage with the new facility coming up.  Jyoti Singh: Thank you, sir. Just wanted to understand a few more points. As you have already discussed on the EV point, I wanted to understand this reduction from 24 % to 22% on the EV side. So if you can guide us globally, how is the situation on the Europe an side and what kind of fraction we are seeing and also what is your conversion ratio of R FQ to SOPs across major regions?

Laksh Vaaman Sehgal: Ma'am, the conversion ratios differentiate for different companies. It's very hard to tell you that, but the order book is only growing for Motherson. So , of course , we are defending programs, we are growing programs. Sometimes , there is a reshuffl ing of programs that happens from the customer side. But like Papa had guided us to not take a very overly approach with investing too much into the EV side. So we have a balanced approach. Can you hear me? I was saying, the first slew of EVs that came out from the automakers who were doing it for the first time, the European EVs, they were not up to the expectation of the volumes that the OEMs had themselves. So that is why you see some of that EV share has come down , and the ICE programs have been prolonged , and that has had that impact. But I think, again, you will see this EV piece continue to grow, albeit slowly, I think, as the customers get used to these kinds of products. But we don't envisage or we don't think that it's going to take ov er the entire market. There will be enough play for ICE, enough play for hybrids, and EVs will also command their space in the market. And we are having that balanced approach. Our portfolio is not geared towards any one type of a drive train . We are engine agnostic. And in that way, I think we will continue to grow and have this balanced approach.

Jyoti Singh: Thank you so much, sir.

Moderator: Thank you. Our next question comes from the line of Joseph Ge

orge from IIFL. Please go ahead.

Joseph George: Thank you. I am trying to figure out the organic growth in the overall business. So when I look at the consolidated revenues, that's up about 8.5% year -on-year. But the re are two factors. One is Euro -INR moved from, I think, 94 to 104. That would have contributed maybe 3%, 4% to growth. And then you have the acquisition of Atsumitec , which is another maybe 3% or 4%. So question number one, on an organic basis, like -to-like currency without acquisitions, what is your estimate of year -on-year g rowth? And second, when I look at it in the context of 3% growth in production volumes of light vehicles and 8% growth in commercial vehicles, how do you see that? Is it that the regional mix or the customer mix has hurt you adversel y? Some comments on all of this?

Vivek Chaand Sehgal: Vaaman, Kunal, Pankaj, if you can take it together.

Kunal Malani : Sure. M aybe I will give you a little bit of colo ur, Joseph, on the growth itself. So while it is 8.5%, if you were to exclude A tsumitec , it w ould look closer to the 6% or 8% levels. So  that's the organic growth. Yes, there is a forex impact as much. I think that should be around 2.5% of the forex impact. While the Euro, you are right, has moved from 97 to 102 on an average basis. That is what matters from a P&L perspective and not the year -end basis. And the entire business is not Euro. So hence the impact is not 6 %-7% there. Secondly, I think from the perspective of the growth that you are talking about, LV volumes and the commercial vehicle side, the LV volumes of 3% has come on account of Europe stabilizing and growth in India and China, where we have all participated. On the commercial vehicle side, however, we have been hit with the 25% decline in the North American market, which has been a sizable portion of our commercial vehicle sp ace. And that has eaten away some of the revenue growth, if I were to put it. So when you aggregate

this picture, we would have still outperformed the industry as it stands, in spite of taking
all the other variables that you just spoke about.
Joseph George: Understood. That's clear. Thank you.
Moderator: Thank you. As there are no further questions from the participants, I now hand the
conference over to Mr. V . C. Sehgal for closing comments.
Vivek Chaand Sehgal: Thanks very much. Thank you all very much. The board congratulated all the people and
the circumstances of an amazing quarter. I would also like V aaman, if you want to add
something to what we have achieved. And I know they have a lot of questions on
electronics and electric and all these particular things. But I would just say, have trust in
Mother son . We know what we are doing. And we are taking advantage of all the things that
are happening out there, uncertainty, and yet we are tota lly covered with our customers
right behind us. So , I wish you all the best. And Vaaman, would you want to add something
else?
Laksh Vaaman Sehgal: No, Papa, I think you covered it. I think the best is yet to come. And I think we are all excited
about the next few quarters and we will take all the feedback from the investors and
continue to show more and more color as things develop. So nothing more to add.
Vivek Chaand Sehgal: Good. Thanks. Wish you all th e best and have a great weekend up ahead. Thank you.
Laksh Vaaman Sehgal: Thank you.
Kunal Malani: Thank you.
Moderator: On behalf of Samvardhana Mother son International Limited, that concludes this
conference. Thank you all for joining us , and you may now disconnect your lines.
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MUMBAI – 400051, Maharashtra, India

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Ref.: Transcript of earning conference call for the third quarter and nine months ended December 31, 2025

Dear Sir (s) / Madam (s),

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of the earnings call for the third quarter and nine months ended December 31, 2025, for your information and records.

The transcript of earnings call is also available on the Company's website at www.motherson.com .

The above is for your information and records.

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited

Alok Goel
Company Secretary

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Samvardhana Motherson International Limited
Q3 FY 26 Earnings Conference Cal l
February 10, 202 6

Management:
Mr. Vivek Chaand Sehgal,
Chairman

Mr. Laksh Vaaman Sehgal,
Director

Mr. Pankaj Mital,
Whole Time Director and President - SAMIL

Mr. Gandharv Tongia
Group Chief Financial Officer

Mr. Rajat Jain
Chief Operating Officer , Vision Systems Business Division



Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '26 Conference Call hosted by Samvardhana Motherson International Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. I now hand the conference over to Mr. V.C. Sehgal from Motherson. Thank you, and over to you, Mr. Sehgal.
Vivek Chaand Sehgal: Thank you. Good evening Ladies and Gentlemen , and thank you very much for joining us today. I'm pleased to announce that the Board has approved the results for the third quarter 2026. Q3 FY '26 has been a strong quarter for Motherson, delivering in a dynamic environment. We reported our highest ever quarterly revenues with a double -digit growth. This performance reinforces our position as a global Design, Engineering, Manufacturing, Assembly and Logistics (D.E.M.A.L ) specialist, underpinned by our execution capabilities and a diversified global presence across the automotive and non -automotive industries.
We continue to invest in the future. During the quarter, we announced two Greenfield projects, taking our total Greenfields to 12 across emerging markets, spanning both automotive and non -automotive businesses. We are also seeing strong momentum in our consumer electronics and aerospace business. Importantly, this growth has been achieved while we maintain our financial discipline. Our net leverage stands at 1.1x, well before our stated financial policy.
None of this would have been possible without the dedication of our global teams , the workforce and continued trust of our customers. With this foundation, we remain confident in our ability to deliver long -term sustainable value for all our stakeholders. With that, I conclude my opening statement. For in -depth details on the results, I would like to hand it over to Vaaman and the team to provide a walk -through and business insights. Thank you. Over to you, Vaaman.
Laksh Vaaman Sehgal: Thank you, papa. Good evening Ladies and Gentlemen, and thank you for joining the

earnings call for the Q3 FY 2026. Before we begin today's discussion, I'm very pleased to introduce all of you to Mr. Gandharv Tongia , who has recently joined us as the SAMIL Group Chie f Financial Officer. With over two decades of expertise spanning finance, strategy, capital deployment, technology -enabled transformation and investor engageme nt. Gandharv brings the leadership depth that has significantly s trengthened Motherson's journey towards Vision 2030. So welcome to the family Gandharv. Proud to have you here.



Coming to the Q3 FY '26 performance, I am pleased to inform that SAMIL continued to build on its solid growth momentum and delivered the highest ever quarterly revenue of approximately INR 31,409 crores and EBITDA of INR 3,042 crores.

The revenue grew 14% year -on-year with multiple drivers at play, including healthy organic growth backed by well -diversified operations and consolidation of the Atsumitec b usiness and, of course, some favourable foreign exchange movements. Normalized Q3 PAT stood at approximately INR 1,061 crores, reflec ting a 21% year -on-year growth , supported by savings from the transformative measures undertaken in Western and Central Europe, reduction in finance costs and higher contributions from our JVs and other asso ciate companies . Normalizations to the reported PAT are on account of post -tax impact of approximately INR 37 crores, primarily related to the new labo ur code implementation, which was about INR 25 crores and costs for transformative measures bein

g undertaken
in Europe, which is about INR 12 crores. Further details on this are available on Slides 2 and 8.

Notably, we've delivered a strong Q3 FY '26 performance on both revenue and profitability fronts despite the dynamic industry conditions where global PV production volumes have de-grown on a year -on-year basis. Emerging economies drove healthy production growth, offsetting platform mix -driven softness in the developed markets. The latest global PV production outlook remains encouraging with FY'27 production projected to grow approximately around 93 million units, up from around 91 million units expected in FY '26. Further details on industry trends are available on Slide 6.

In addition to delivering s trong financial performance, we continue to maintain disciplined capital allocation with approximately INR 1,594 crores being reinvested into the business for capex.

We currently have 12 Greenfield plants under development, all across emerging markets to support future growth in both automotive and non -automotive segments. In Q3, we have added two new Greenfield facilities, one coming up in Vision Systems in India and the other in Wiring Harness in Morocco. The majority of these Greenfields are expected to come on stream by the second half of FY '27 and will contribute towards growth in the FY ' 27 year. More details are available on this on Slide 9 and 10.

Our leverage ratio remains comfortable at 1.1x net debt to LTM EBITDA, providing us with the financial strength and flexibility to pursue our 2030 targets. These details are presented on Slide 11.

Our financial strength is bolstered by robust D.E.M.A.L . (Design, Engineering, Manufacturing, Assembly, and L ogistics ) capabilities, positioning us to advance towards Vision 2030 targets. These integrated strengths also fuel expansion into the non - automotive sectors, which we have been growing recently.



Evident in the accelerating growth of our consumer electronics and aerospace businesses, you can see that these businesses continue to gain traction, growing at 41% year -on-year growth rate in the third quarter. The aerospace order book has been consistent ly growing, supported by product portfolio expansion. We are now supplying to business jets and rotary -wing aircraft, thereby further diversifying and increasing content with our customers.

The consumer electronics business is ramping up as planned with 2 operational plants on track to achieve an annual capacity of approximately 16 million units by end of the current fiscal year. This segment recorded a 75% quarter -on-quarter revenue growth, along with meaningful margin improvement in Q3, marking an important milestone in its scale -up journey.

The third plant is expected to commence operations in the third quarter of FY '27. We are very excited about this. It will double up the current capacity and enable vertical integration to enhance operating efficiencies. To meet growing customer demands, we plan incremental investments in further capacity expansion in the coming fiscal year s. Additionally, we have also secured government incentives under the ECMS scheme, which will further support scalability, competitiveness and long -term profitability. More details on this are available on Slide 15.
During the quarter, we also signed an agreement to acquire 100% of the wiring harness business of Nexans Autoelectric, which will provide SAMIL a scalable platform for PV and CV growth globally. This acquisition is expected to be completed by the end of H1 FY '26.
We have also recently signed multiple strategic partnerships, including the development of a dedicated state -of-the-art RoRo terminal at Dighi Port, Maharashtra, for end -to-end handling of finished vehicles , and a joint venture with Egtronics Company Limited focused on manufacturing clean mobility elect

ronics. This is all done to support our customers even further.
The earlier announced acquisition of Yutaka Giken in Japan is expected to close in the first half of FY '26 and our tender offer to Yutaka's public shareholding, which is about 30%, has already commenced on the 9th Feb. We will keep you updated as we progress through the offer.
Finally, I can confidently say that all business developments have been very positive and position us well to realize our 2030 ambitions. Motherson remains well positioned with its diversified business model backed by strong D.E.M.A.L . capabilities, deep customer relationships and disciplined financial strategy.
With the continued trust of our shareholders and the unwavering support of our customers and the commitment of our global teams, we look forward to a promising journey ahead.


With this, I conclude my remarks. I have on the call with me Pankaj sir, Gandharv and Rajat and of course, papa and we'll be happy to take all your questions now. Moderator, please take over.
Moderator: Thank you very much. We will now begin the question -and -answer session. First question is from the line of Sajal Kapoor from Antifragile.
Sajal Kapoor: I would like to acknowledge the scale and depth of SAMIL's multi -domain capabilities starting from automotive, of course, but then spreading into Aerospace, Consumer Electronics and now Health and Medical , which is rare globally. I would like to explore how you are leveraging this platform to maximize long -term optionality and capital efficiency across divisions. So , my first question is with your ventures into now semi -conductors, aerospace, health and medical CDMO, how do you create cost or capability synergies that enhance the overall ROCE at a group level? And which of these synergies are quantifiable in terms of capital efficiency?
Laksh Vaaman Sehgal: Thank you. I'll take this question. Look, everything is driven by our focus, which is to be a globally preferred sustainable solution provider. So , with an open mind and this 'Not Yet' attitude of Motherson, of course, we get a lot of opportunities, but we are extremely selective for the ones that we go after. And they have to show us a possibility to deliver 40% ROCE down the path. I mean, of course, there is an investment time. There is a time where these capacities have to be built up, new Greenfields have to come up , the orders have to be won. But you must remember that we only get into these businesses once the customer support is there and the customer is directing us to be able to do it.
So, w e kind of prove it out in a small way, perhaps in India , and then we have global ambitions with that product or that technology or that industry , and that customer usually is a blue chip or a leading customer with the global spread and depth. So, t he whole idea is to again, with us being hugely successful on the automotive side ; it was actually a platform that was built by papa on this operational excellence, financial discipline, follow the customer kind of mentality and we're using that same strategy to go after these new industries. And of course, we have strength in, for example wiring harness , we have strength in plastics , we have strength in all of that. So , we go after those kinds of places where we can draw from the group synergy, but it's not only to that.
We also get technology partners. For example, the consumer electronics, we have a global partner called BIEL, who has the technology and our job is to be able to scale that. So , we kind of de -risk that with having a partner who's fully capable. There are many such ways and means. We don't just follow one path.
But the business plan has to make sense, and it has to show us a path to 40% ROCE and

it's the entrepreneur's job to be able to make sure that we are able to get th

at funding and
the team over here to make sure that the financial discipline is there and that they execute


to perfection. We've shown that in the last 5 years, having zero business in aerospace and consumer electronics to we are now , with God's grace, one of the fastest -growing companies out there with a significantly large order book , executed for the world's best customers in these industries.
I hope that gives you the confidence of our capability as we were able to convince those customers. And of course, as these places scale, you will also see the translation into ROCE and that the capital promise of returns is also maintained.
Sajal Kapoor: Sure. That's helpful, Vaaman. And just to clarify because we do a lot of R&D and experimentation, is it fair to say that we follow kind of a "fail -fast" model and we only scale up the winners or what is not fragile or what doesn't die out of those experiments and then we gain the confidence and the sort of empirical evidence that what we are putting the capital deployment strategy is fit for the purp ose. And is that how you also approach?
Laksh Vaaman Sehgal: Yes , off course . For the automotive side, where we are quite mature, we are able to do a lot of those things in -house and have those customer relationships for a very long period of time. So , we're able to do things which we know that they want to grow , or they're interested in and they want to grab.
For the newer ones, we have a relatively more de -risked way by joining up with partners like we have done in consumer electronics. And even in the aerospace side, if you s ee our entry was through partnering with a company called CIM Tools, which already had that customer portfolio and those technologies in there.
And all we have to do is work together with them to further enhance it and to scale it. So that's the strategy that we use. We do not go for any blue ocean kind of technologies where we are burning a lot of money and hoping that the customer would grab it. It's a more consistent approach and more derisked approach where we follow the customer.
Moderator: The next question is from the line of Nitij Mangal from Jefferies.
Nitij Mangal: First on the modules and polymer division, can you talk about what drove this big margin expansion? You talked about operational efficiencies, etc. But I mean when you think of this im provement, is this sustainable, w hat is the path from there? Is there more left in terms of .
Moderator: I'm sorry to interrupt you, Mr. Nitij. May we request you to speak a bit louder? We are unable to hear you clearly.
Nitij Mangal: Is this better?
Moderator: Yes, please go ahead.


Nitij Mangal: Okay, sure. So , in the modules and polymer division, there is a very good margin improvement we have seen, and you have talked about this potential margin improvement in the earlier quarters as well. So , can you talk about what , I mean how much of this is sustainable ? And is there more left in terms of the benefit of the transformative measures you've taken in Europe?
Laksh Vaaman Sehgal: Yes. Thanks for that question. I think we have talked about this with the previous quarters where we have done a lot of acquisitions also, and we have tried to streamline because the growth has also come in those regions. The customer asked us to do a whol e bunch of acquisitions over there, as you know, in the last couple of years and it was a good time to kind of streamline and restructure and make sure that all our plants are positioned for the long term. So , we did announce that in the previous quarters of some restructuring costs that we had taken and you're seeing the benefits of that. Of course, I think there's always more to do , to drive more effi

ciencies with the onset of AI, with the onset of more
automation, our focus on robotics, our in -house capabilities.
We believe that there is a lot more that, of course, we want to bring in and drive efficiencies. As you know, Motherson does not believe in export business. We source locally, produce locally, supply locally. So , we have to be constantly on our toes in every country, whether it is low cost or high cost to be able to sustain our operations as that's

our responsibility. So , this is an ongoing thing.
But as you can see, obviously, the steps that we had taken have resulted in the positive way that customers are still getting the quality that they deserve and are recalibrating , even the customers doing a recalibrating of what's coming out in EV and ICE and there was a lot of uncertainty over there, which models will take off and not. And as we are getting more and more clarity as well and our restructuring thing is happening, I t hink we're able to deliver better performance, but more to come on this.
Nitij Mangal: Okay. And secondly, we keep saying about the pressures that the European OEMs are facing within China as well as this risk whether Chinese OEMs can become bigger in Europe. From your perspective, is that something that worries you? I know you're present with both Chinese and the Europeans, but the overall exposure of the business is higher in Europe. How do you assess this risk for your business?
Vivek Chaand Sehgal: I don't think we take a guess as to which one is going to do better or not. Look, automotive business, you've been there for some time, but we've been there for a long , lifetime actually. We've seen somebody going down and then with the next model, next thing, he is back on the top. So , there's much to say. I don't think this thing is going to happen with EVs as you project it. But anyway, time is on our side.
We are very sure that the best car, which you as a customer will choose is going to do well.
So, it's not going to be only Chinese cars, which will do very well or something like what


you alluded to. I think everybody has a very clear need and focuses on the kind of kilometer it does in a day, and that kind of decides which kind of vehicle he's going to go for, b ut time and again, we don't want to get into that particular argument. But I think time will show that actually everything is going to come back. I would recommend that you please have a look at the Neue Klasse from BMW, and you will understand what the west is capable of.
Nitij Mangal: Okay, sure. And one last question, if I may. On the electronics side, so your plants have started to ramp up and there's a bigger facility which will come in 3Q FY '27. But beyond this , any more activity you're seeing there?
Laksh Vaaman Sehgal : Yes. Look this plant that's coming up is fully already spoken for. But this has opened up a lot of doors for other customers. We will be coming back to you in time and telling you about other wins. Of course, our idea is to completely diversify this business. But showcasing that we can scale a large plant for a new customer, for a new technology, for a new product is something ver y important and something we take very seriously as our reputation is definitely on the line.
So, to be able to attract even more customers, we have to show them what we are able to do. I think that's happening now. The customers are extremely interested in our capabilities and how we have been able to expand this business in such a short period of time. And I think we are extremely excited about what that brings. So, m ore to come on this. And definitely, this will be a place where we will look to have significant wins of new customer names and product lines as this new plant comes up and we can showcase it even more.
Nitij Mangal: Ok. Thank s Vaaman and wish you the best.
Moderator: The next question is from the line of Siddhartha Bora from Nomura. Please go ahead.
Siddhartha Bora : Thanks for the opportunity . Sir, first question is on the strong ramp -up of aerospace and the consumer electronics business, which you mentioned we have done in the quarter. So possible to give some indication like of the INR 4,000 crore s emerging business revenue in the quarter, what percentage , if you can throw some color about the contribution from the consumer electronics and aerospace businesses in this quarter?
Laksh Vaaman Sehgal: Gandharv, what numbers are we allowed to share because we're not reporting them individually?
Gandharv Tongia: Siddhartha, as you know, our emerging business has registered a fair amount of growth, is more than 50%. It has mainly two major components. One is th at two set of businesses which you called out, which has registered a fair amount of growth. Consumer electronics has grown sequentially by 75% and Aero has also registered a year -on-year growth of north of 40%.


We have also consolidated Atsumitec first time, and that is also getting reflected in emerging businesses. At this stage, we are not giving breakup at individual business level, but it's safe to assume that these businesses will continue to grow at a rapid pace. As we had called out on Page 15 of our presentation, the consumer electronics capacity will be doubled by Q3 of fiscal '27 and which will also help us in improving the performance of this business and its contribution to the emerging businesses in the quarters to come.

Siddhartha Bora : Got it, sir. But like for consumer electronics, you mentioned that we will be probably touching the run rate of 16 million plus by end of FY '26. Where are we right now? If you can give us some indication of the current status, it will help us appreciate the increase in the next few years?

Laksh Vaaman Sehgal: Again, I can't give you the exact number, but it's a fraction of that.

Siddhartha Bora : Okay. Understood. And on the Modules and Polymer segment specifically, like you mentioned that the growth had sort of multiple tailwinds from both forex, commodity and all. So possible to highlight what will be the euro growth for this business in the current quarter? And given that backdrop, I mean, the margin improvement has been quite commendable. So , some more thoughts there that given the challenges we see in some of the businesses globally, commodity costs also rising, is some of this improvement on the margin sustainable or there can be some cost pressure we can expect in the longer term or medium term going ahead?

Laksh Vaaman Sehgal: Which product group are you specifically talking to because all of them are slightly different ?

Siddhartha Bora : Modules and polymer .

Laksh Vaaman Sehgal: Over there, the commodities obviously play a little bit, but it's plastic which is the most dominant one. There will be a small impact for the copper prices and things like that, but not as meaningful , as it is on the plastics and engineering plastics side. Most of the expansion in the margin that you're seeing over there is definitely due to operational improvements.

There could be some small ones due to currency movements and stuff like that. But in majority, we are seeing that the restructuring measures and everything that we have put in into Europe, that's playing a part. And a lot of our operations globally are more stable and growing in this area, and especially the India side also contributes to it and that's also doing fairly well.

So new model launches, new programs that are coming in, some of the old programs leaving out, restructuring, all of this is helping and which was under pressure in the last



few quarters bec

ause we were waiting to do all of this. And like I said, from here, we definitely look to push on. There's more to happen from here.

Moderator: The next question is from the line of Sajal Kapoor from Antifragile.

Sajal Kapoor: Vaaman, with aerospace now Tier 1 at Airbus in semi -conductors and emerging as a high - margin sort of an adjacent space on the same precision platform, I mean, which two , three operating metrics over the next, let's say, 2 years would prove this is a self -reinforcing aerospace semi -conductor virtuous kind of a circle, not just parallel growth or not something which is a flash in the pan kind of. H ow will they differ from aerospace earlier Tier 2 phase , because you have jumped from Tier 2 to Tier 1. I mean I'm more interested in what can we track to see if this aerospace semi -conductor virtuous circle is taking shape?

Laksh Vaaman Sehgal: I think first thing is that you must look at is our customer list . With customers like Airbus and Boeing and what they are seeing and how much they want to grow in India. On our Investor Day also, we had people on the panel that were talking about it. I think that should really give you the confidence that they are here fo r the long term.

They're putting up meaningful capacities, and their order book wins are significant in India. So, t hat makes it quite there for the long term. I don't think this is a fad or something like that. So, t his is something that's important. I think we have built partnerships , it's not something that's happened overnight.

We were seeding this aerospace division since 2017. It took us multiple years to break in and get a customer. It was not something that was easy and took a lot of time as well. And again, that should give you the confidence that it's not something that is ‘off the cuff ’.

Semi -conductor on the other side, of course, is something that is extremely new in India. You will see ing only a few companies that are investing to go after this because the entry barriers are quite large.

There's a lot of technology that is needed. And we're working with, some of the top names in this industry, not with more Tier -2s or Tier -3s kind of companies. We're talking about companies with a big stature in the U.S. that are looking to set up footprint in India and

support their supply chains globally.
So again, all the customers that we are going after are the well -reputed names or the top names in the semi -conductors. You take their names, they'll feature in the top 5 - 10 teams of the category, which have multibillion -dollar market caps, sometimes even hundreds of billions. These are very, very strong companies with strong development cycles and very strong entry barriers to come in. So if you come in, then you make investments, you foster relationships, and it's something that is quite difficult to d o.



So a gain, all of this has been extremely calculated by us, a lot of time has been spent on it. And all investment decisions come with this are here to build capability, foster partnerships with even technology partners that are, again, putting equity into the company so that they are fully versed into it. And that's how we do business. We're not taking the car off for nuts -and -bolts kind of operations that can be moved overnight with the wind. We are building capability, technology and partnerships here.
Vivek Chaand Sehgal: I just wanted to say that almost all the cases, they have identified us as a partner in India.
And it's not just we're going after them. We have not gone after any of these particular things. And the proof of that is 5.5 years ago, when we came out with a 5-year plan, the fifth vertical of consumer electronics, we were not there. We didn't want to go into that. And then the customer came and he wanted it this way only, and that's why it's happene

d.
It's not that we go after these guys , they come after us because they know that we have the capability and the resolve and the where -withal. Thanks.
Sajal Kapoor: No, Sehgal saab, I fully appreciate. And on your website, you have got this 4 -hour long video of the September 5 -year investor connect. And I watched the entire video and one thing that was kind of flashing out in that one is the ROCE focus at a machine le vel, and there was a statement that said something along. I think it's there in your annual report as well that when the capital goes to 0, the ROCE goes to infinite, something along those lines ?
And that was very impressive. The whole 4 -hour recording , I mean, it's great that I can access it from thousands of miles away on the website. So that was helpful. And coming to my last question really, I mean, it's good to see a skin in the game because if the partner is putting the equity, so they are kind of locking themselves?
And you mentioned entry barrier, Vaaman, I mean there is also a strong exit barrier for customers because once you come in, we need to give them a very strong reason to make a U-turn and go elsewhere because qualifying a partner is a time -consuming resourc e-intensive process that no customer would want to do it again and ag ain. So , I completely appreciate .
My question really is this aerospace to semi -conductor pivot is, that's a clear long jump, right? I mean what is that single constraint to your mind that might hamper it to scale? I mean, is it customer trust you think , because we are still early on o r is it engineering depth or maybe capital or leadership bandwidth? And what concrete steps you are taking to make it kind of a repeatable playbook and not a one -off?
Vivek Chaand Sehgal: That's the way Motherson works. We are known as a ‘Not Yet’ company. Once we get into something, once we put in our resources, we put in our engineering, we put in our capital, we don't run away. Tell me which plant we have closed in the last 20, 30 years? Which technology have we entered into and then walked out? I mean we can go on. But we are



that company , we will never say no. We are known as a ‘Not Yet’ company. These are things that we all sit down at the top and we agree. So yes, this is worth something that we want to get into, and we want to be somebody in this particular game. We are not enthused just by turnover numbers or something and we are not a company which runs away. We've never run away. So , we are there for the long haul. We would definitely follow it through. That's all I can say because it's not very subjective. So, that's why I can tell you that.
Sajal Kapoor: Yes. That's very helpful, Sehgal saab and I'm sure your DNA to scale is deeply rooted not just into Vaaman, but the entire Motherson family. So , I wish you guys all the very best. And hopefully, will scale higher and higher.
Vivek Chaand Sehgal: Just watch this space.
Sajal Kapoor: Yes, sure. All of us are. D efinitely. We are excited. Thank you.

Moderator: Thank you. The next question is from the line of Aniket Mhatre from Motilal Oswal Securities.
Aniket Mhatre: Just quickly on the integrated assemblies facility segment, we have seen a very marked improvement in margins. Could you just help us understand what has driven this? And can we expect this to be sustainable going forward?
Laksh Vaaman Sehgal: Yes, I can start. Look, Integrated assemblies has now been with us for a couple of years. So of course, now they are fully integrated. They are drawing on the group strength. They are being able to get into a lot of their numbers with a lot of depth with t he group strategy and synergy and our customers are also appreciating that we bring a lot more synergies to the table because integrated assembly only does the assembly side and the manufactur

ing side is not done by them.
But in the last couple of years, working together, we've also been able to enhance their capabilities, go after some product line that they were not doing before, doing some more manufacturing in -house to support their kind of operations. And, of course, the focus on the financial discipline that Motherson brings together with the expert leadership of Frederic over there, really turned up the keys to the next level.
You're seeing an excellent focused approach to improve the margins over there, which was the playbook of Motherson because this was not a sick company or something like that. We paid a fair value for it, and we saw the synergy strength that it would bring t o the next step for the assemblies and logistics side of Motherson and that's playing out.
So hopefully, this continues, not hopefully, I'm sure it will continue with the focused efforts. And the team will continue to grow from here. This is, again, an excellent example of focused execution and teamwork that Frederic and the whole team were able to bring and show an improved performance even in tough conditions.


Aniket Mhatre: Got it. And just one final question on capex. We have done about INR 4,200 crores capex so far in the 9 months. Where will we end up this year? And any guidance for FY '27?
Laksh Vaaman Sehgal: Gandharv?
Gandharv Tongia: So earlier this year, we gave guidance of around INR 6,000 crores plus 10%. We believe our exit number would be well within this guidance. As far as next year is concerned, allow us a quarter. During the March year -end call, we'll probably give you update on the next year's capex outflow.
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. V.C. Sehgal for closing comments.
Vivek Chaand Sehgal: Thank you. Ladies and gentlemen, thank you very much for attending this call. We are very excited because the writing is very positive. The team is extremely excited. And right in the second quarter end, we had said that the third quarter and the fourth qu arter would be much better than what we have given in second quarter. So , we are 1 quarter down, and we feel the thing is going to be even better in the fourth quarter, because I think most of our copper scenarios will play out.
We will get the final money that we have to get from the customers by the fourth quarter. So, all I can say is that all our teams are very excited and are working very hard to ensure that we have a great financial year , first financial year for our 108 target. Thank you very much and wish you all the very best in the future. Thanks. Bye.
Moderator: Thank you. On behalf of Samvardhana Motherson International Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

forwar d-looking

statements. Fo rward -looking statements inter -alia involve known and unknown risks, contingencies, uncertainties, market conditions, certain assumptions and expectations of future events, economic conditions affecting demand /supply and price conditions in the domestic and overseas markets in which the Company operates, changes in or due to the environment, government regulations, tariffs, geopolitical co nflicts, laws, statutes, judicial pronouncements and other factors, which may cause the actual results, financial condition, performance, or achievements of the Company or industry results, to differ materially from the results, financial condition, performance, or achievements, directly or in directly expressed or implied by suc h forward -looking statements. The Company assumes no responsibility to publicly amend, modify or revise any forward -looking statements, on the basis of any subsequent developments, information, events or otherwise. The Company disclaims any obligation or l iability to any person for any loss or damage caused by errors or omissions, whether arising from negligence, accident, or any other cause and in no eve nt shall be liable for any liabilities arising therefrom. Readers of this document should each make thei r own evaluation and assessment of the Company and of the relevance and adequacy of the information and should make such other examination as they deem necessary.

# Call: May 2026

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May 27, 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
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Mumbai – 400001, Maharashtra, India

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G-Block,
Bandra-Kurla Complex, Bandra (E),
Mumbai – 400051, Maharashtra, India

Scrip Code: 517334 Symbol: MOTHERSON

Ref.: Transcript of earning conference call for the quarter and financial year ended March 31, 2026

Dear Sir/ Madam,

Pursuant to Regulation 30(6) read with Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of the earnings call for the quarter and financial year ended March 31, 2026, for your information and records.

The transcript of earnings call is also available on the Company's website at www.motherson.com .

The above is for your information and records.

Thanking you,

Yours truly,
For Samvardhana Motherson International Limited

Alok Goel
Company Secretary

CIN No.: L35106MH1986PLC284510
Email: investorrelations@motherson.com



"Samvardhana Motherson International Limited "
Q4 FY 26 Earnings Conference Call
May 20, 202 6

Management:

Mr. Vivek Chaand Sehgal,
Chairman

Mr. Laksh Vaaman Sehgal,
Director

Mr. Pankaj Mital,
Whole Time Director and President - SAMIL

Mr. Gandharv Tongia
Group Chief Financial Officer

Mr. Rajat Jain
Chief Operating Officer , Vision Systems Business Division



Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY 26 Results Conference Call, hosted by Samvardhana Motherson International Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference c all, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. V.C. Sehgal from Motherson. Thank you, an d over to you, Mr. Sehgal.
V.C. Sehgal: Thank you. Good evening, everyone, and Thank you for joining us in the Quarter 4 and the Full Year '26 Financial Year Earnings call of Samvardhana Mothe rson International Limited. FY 26 has been a year of strong execution and steady progress. We delivered our highest ever quarterly and annual revenues alongside steady profitability and further strengthening of our balance sheet.
Our performance reflects the resilience of our diversified business model and disciplined execution across businesses. These results were achieved despite elevated commodity prices, especially copper, inflationary pressures and ongoing geopolitical uncerta inties. Our continued focus on execution, cost discipline and operational excellence helped us navigate these headwinds effectively.
For the full year FY'26, we maintained capex discipline in line with the guidance , with investments largely directed towards future growth and new capabilities. I am pleased with further improvement in our leverage position, which now stands at its lowest level. Even as we continue to invest in our growth, these provide us with flexibility to support future expansion.
Our book business value of USD 96 billion remains strong and diversified, providing a good visibility for the coming year. We are making steady progress on our Vision 2030 road map. With that, I conclude my opening remarks. For in -depth details on results, I would request and would hand over to Vaaman and team for a walk -through of the business insights. Thank you, and over to you, Vaaman.
Laksh Vaaman Sehgal: Thank you, Pap a. FY 26 has been another defining year for Motherson. We continue to demonstrate the strength of our diversified business model, the resilience of our operating structure and our ability to consistently outperform underlying industry growth despite an increasin gly volatile macroeconomic environment.
I'm pleased to share that we achieved our highest ever quarterly as well as annual revenues during the fourth quarter and the year. These milestones are not only a reflection

of the strong execution across our businesses , but also validate s the strategic direction that we have taken over the last several years, building a globally diversified, multi - technology and increasingly non -automotive platform through our 3CX10 strategy and D.E.M.A.L. capabilities.




Starting with th e quarterly performance, Q4 FY 26 was our highest ever revenue quarter with revenues growing 17% year -on-year. Growth was broad -based across businesses and geographies and was further supported by the successful integration and scale -up of Atsumitec. What is encouraging for us is that the growth was not dependent on any single customer geography platform or technol ogy, but came from the strength of our diversified portfolio.
EBITDA for the quarter grew by 42%. EBITDA margins impro ved by 200 basis points year - on-year in the fourth quarter. Margin expansion was supported by improving profitability in our emerging businesses, particularly lighting and electronics and also aerospace. Over the years, we have consistently communicated that several of our newer businesses initially investment heavy , but once scale is ac

hieved, they begin to meaningfully
contr ibute to our profitability. FY 26 is another example of that strategy translat ing into results. Normalized PAT for Q4 FY 26 grew by 66%, driven primarily by scale -up in operations, operating leverage and improving business mix.
As you are aware, the reported PAT includes exceptional adjustments pertaining to provisions made in respect of business transformative measures in Central and Western Europe, which amounted to INR 177 Crores post -tax. These measures are aligned with our ongoing efforts to optimize our footprint, improve our competitiveness and structurally strengthen operations in the region over the medium term.
For the full year, we crossed another major milestone with annual revenues exceeding INR 1.25 Lakh Crores, growing by 11% year -on-year. Growth was driven by strong momentum in emerging businesses, complemented by resilient performance across our core automotive businesses as well.
FY 26 EBITDA grew by 11%, while margins remained resilient at 9.5% despite significant inflationary pressures in the commodities during the year. This demonstrates the effectiveness of our operational excellence initiatives, cost optimization programs and imp roving efficiencies across plants, particularly within the modules and polymer business.
Normalized PAT for FY 26 grew by 17%, supported by improved operating performance and lower finance costs. The reported PAT for the year includes adjustments related to transformative measures in Europe, amounting to INR 328 Crores post tax , the impact of the new Labor Code of approximately INR 25 Crores post -tax and accelerated amortization of certain intangible assets amounting to around INR 45 Crores post tax.
Importantly, these results were delivered in a reasonably supportive external environment. Passenger vehic le industry growth globally FY 26 is estimated to be around 2%, primarily driven by emerging markets such as India and China. We also expect plann ed European OEM launches in FY 27 to support passenger vehicle growth going




forward. On the commercial vehicle side, the developed markets ended FY 26 positively with an estimated annual growth of 5.4%. We continue to remain constructive and bullish on the CV outlook for FY 27.
However, the operating environment was far from easy. Copper prices increased sharply by about 16% sequentially during the fourth quarter and were nearly up 38% year -on-year. In addition, geopolitical tensions in the Middle East led to crude -linked inflati onary pressures towards the end of the quarter. Polymer prices in Germany also increased significantly following the escalation of the conflict while global freight and container costs also moved up meaningfully.
That said, Motherson 's business model is designed to navigate such cycles. We have long - term pass -through arrangements with our major customers for raw material price variations. Whil e there may be a timing lag of one or two quarters before settlements are realized, these mechanisms provide structural protection over the medium term.
Similarly, our globally local manufacturing strategy continues to be one of our biggest

strengths. We manufacture in or near the markets we serve, which substantially reduces dependence on long -distance supply chains. As a result, disruptions arising from Red Sea shipping challenges and broader geopolitical tensions have had minimal impact on our operations. For customer nominated components, we also maintain back -to-back supply arrangements to mitigate cost escalation risks.
Coming to the business es highlights for the year. Our Automotive business division achieved an all -time high in revenues supported by strong execution across divisions. Detailed divisional performance has been covered in the presentation. But what is particularly exciting is the acc

elerating contribution from businesses built using our
D.E.M.A.L. platform and capabilities.
Our consumer electronics business scaled up significantly during the year with revenues increasing approximately 7.5x year -on-year. Q4 revenues further grew around 46% sequentially, supported by operationalization of the second facility in Q3 FY 26. During Q4, we achieved production run rates in line with our targeted annual guidance of 14 million to 16 million units. Importantly, the business achieved EBITDA profitability during FY 26, a major milestone in our scale -up journey. The third facility remains o n track for commission ing in the Q3FY27 and will include additional upstream integration capabilities, which should support both growth and the margin enhancement.
Similarly, our Aerospace business continued to demonstrate strong momentum.
Revenues grew 40% year -on-year, taking the top -line expansion to nearly 10x over the last 3 years. The order book increased by over 20% to USD1.6 Billion, providing strong term -- strong long -term visibilityWe also expanded our product portfolio across multiple platforms, securing orders for metallic parts, subassemblies and wire harness across business jets and rotary wing aircraft programs. Aerospace remains an excellent example


of how our core manufacturing, engineering and system integration capabilities can be leveraged beyond automotive into high -value adjacencies.
On the inorganic growth front, we continue to deepen our relationships with global OEMs and strategic partners. FY 26 marked the full first year of Atsumitec integration and we are pleased with the progress. We also completed the acquisition of another Honda San asset, further strengthening our strategic relationship with that customer group. The acquisition of Yutaka Gike n will mark our third Honda San related acquisition and remains on track for completion by the end of first half FY 27.
The proposed acquisition of Nex on's automotive harness business will also significantly enhance our passenger vehicle and commercial vehicle wiring harness capabilities globally, deepen relationships with large OEMs and create meaningful cross -selling opportunities for the group.
In logistics, our partnership with Hellman n represents another big strategic step allowing us to evolve from 3PL to 4PL capabilities and provide increasingly integrated solutions to customers. Before we move ahead, I would now like to invite Gandharv to take you through some of the key financial highlights and performance metrics for the quarter and the year.
Over to you, Gandharv.
Gandharv Tongia: Thank you, Vaaman. Another major highlight for the year was our all -time high boo k business of USD 96 Billion. This gives us strong visibility for future growth. Around 22% of the book business comes from EV programs, while non -automotive contributes around 3% and continues to grow steadily.
Importantly, the book business remains highly diversified across passenger vehicles, commercial vehicles, off -highway, rolling stock, 2 -wheelers and other segments. It is also diversified across geographies and business divisions with a growing share of higher - margin businesses expected over time.
Emerging economies continue to increase their contribution within the order book. The se geographies not only offer superior growth potential, but also provide efficient manufacturing ecosystem that can support exports to adjacent developed markets under our globally local strategy.
Another key enabler of our long -term growth continues to be sustained i nvestment in capex. Fiscal '26 c apex stood at INR 5,911 Crores, representing 49% of yearly EBITDA. Investments were directed towards growth projects, backward integration and maintenance initiatives aimed at supporting future expansion and i mproving profitability.
For F

Y 27, we expect capex of approximately INR 6,000 Crores plus/minus 10%, of this 50% will be growth capex and 50% maintenance capex.


Within growth capex, we will continue to allocate disproportionately higher investment towards emerging businesses, especially consumer electronics, where we see substantial long -term opportunity. Currently, 16 facilities are at various stages of development globally, with 13 scheduled to come on stream during fiscal '27.
We also announced 4 new facilities post last update, 2 for wiring harness and 2 for logistics business. Notably, all 16 facilities currently under development are located in emerging market s, reflecting our continued focus on these fast -growing manufacturing and consumption hubs.
Despite continuous investment in growth, our leverage ratio improved further and reached an all -time low of 0.8x. This remains well within our long -standing financial policy of maintaining leverage below 2.5x and our internal aspiration of staying below 1. 5x. This reflects the financial discipline embedded within the organization.
ROCE, return on capital employed moderated slightly to 16.1% this year from 17.2% in the previous year, largely reflecting record capex investments towards capacity creation and future growth platforms. As scale improves, synergies from acquisitions are realized , backward integration increases and operational efficiencies continue to strengthen, we expect ROCE to progressively improve.
We remain committed to our Vision 2030 aspiration of achieving 40% ROCE across businesses over time. Our diversification strategy under 3CX10 also continues to strengthen risk management capabilities. Diversification across customers, geographies and components remains one of the biggest structural strengths of Motherson.
Overall, FY 26 has been a very strong year for the Company. Gross revenues st ood at USD 22.9 Billion. As FY 26 marks the fi rst year under Vision 2030, FY 25 revenue have been reinstated to USD 21.2 Billion using a constant exchange rate of INR 84.55 by per USD in line with the Vision 2030 reporting methodology to ensure better comparability across periods.
We continue to move steadily towards our Vision 2030 aspiration of reaching USD 108 billion in gross revenues, while simultaneously improving diversification, strengthening returns and maintaining financial discipline. In line with this progress, the Board has approved a final dividend of INR 0.25 per share, taking the total FY 26 dividend to INR 0.60 per share.
This translates into a payout ratio of 16.4%, an improvement of approximately 1% over fiscal '25 and reflects our commitment towards progressively moving closer to our Vision 2030 dividend payout aspiration of up to 40%. As we look ahead, we remain very positive about Motherson's growth prospects, supported by increasing content per vehicle, electrification, electronic integration and supply chain localization trends.


Backed by our deep OEM relationships, diversified technology portfolio, global footprint and our proven D.E.M.A.L. capabilities, we will continue scaling both automotiv e and non -automotive businesses, while maintaining strong financial discipline and operational excellence. We are fully charged up and excited about the opportunities ahead as we continue building a stronger, more diversified and future -ready Motherson. Thank you and we will now open the floor for questions.
Moderator: Thank you very much. We will now begin the question and answer session. W e will take our first question f rom the line of Raghunandhan NL from Nuvama Research. Please go ahead.
Raghunandhan NL: Congratulations on strong numbers to the entire team and thank you so much for sharing the segment -wise geography breakup alon

g with the results. My first question was on integrated assemblies. Can you talk a bit directio nally about the outlook for FY 27? You have highlighted 2x new program launches in comparison to '26, would that mean that this segment can have a strong growth in double -digits, high -teens for next year?
V.C. Sehgal : Go ahead, Vaaman.
Laksh Vaaman Sehgal: Yes. Look, I think it was very important year for M SAS . I think you've seen that Motherson has very strong capability in integratin g large sized acquisitions and, of course, you can see the hard work done by the entire MSAS team and how they've been able to, of course,

leverage on Motherson ecosystem and our customer relationships , our purchasing and the entire ability to look into more opportunities of growth within the customer group .
So look , we are extremely pleased. I think Frederic and the team have done a fantastic job over there. They have really looked at all the places where we had leakages in terms of small red units and converted those , work closely with the customers winning new programs and also diversifying the base and bringing different product groups also in with meaningful discussions.
So definitely, we see growth to happen this year as well. Of course, it all depends on how many cars the customers sell. That's not in our control. But I think in terms of program wins and where we are looking at in terms of diversification of the things that they are doing and the growth opportunities, we should definitely see meaningful growth come in M SAS.
Of course, I can't guide you exactly on the numbers because, like I said, a lot depends on the customer sales that happens since they are completely c orrelated to that. But we're extremely hopeful and positive that they will continue to grow from here.
Moderator: Thank you. W e will take our next question from the line of Joseph George from IIFL Capital. Please go ahead.


Joseph George: Hi, thank you for the opportunity. I had three questions. I'll take them one by one. The first question is on the cost inc reases that you highlighted. So, for example, overheads going up, energy costs, polymer prices going up, etcetera. So from the past, I recall that during the Russia -Ukraine crisis, when the same thing had happened, gas prices, polymer prices, etcetera, had shot up, there was a lag in gett ing the pass -throughs from the customers.
And if I recall right, while copper is contractually arranged in terms of the pass -through overheads and costs such as polymers et cetera, are negotiated. Can you please help us understand what the situation is now? Is it contractual with respect to these overheads and polymer or is it negotiated?
Laksh Vaaman Sehgal : Yes, it depends on customer to customer. There is a mix of both , because all customers follow their own styles. And definitely, the partnership with the customers is only getting stronger with the volatility and everything that there is in the market because they want meaningful supplier partnerships and no one is real ly looking to pull each other under the table just because of one macro economic event, which benefits one over the other.
So, I think in times like this, the partnership and the things that are the relationships that we have with our customers really comes to the front. As you know, we have done numerous acquisitions, turned around companies for them, entered new products and they also understand that there are some things that are out of our control.
So yes, in some customers, there definitely is a lag. Some customers follow the contracted approach. But there are always meaningful conversations to be had, and there is definitely a lag also that happens depending on the commodity. But if you remember, even through the entire year, we were also putting a lot of reorganization kind of measures in and

driving
operational efficiencies and also trying to reduce some of our red units.
And we've also had a very strong order book win. So , a lot of those things are all playing off. Some of the new units have also launched, which are now taking businesses. So those fixed costs are being covered. So , it's a combination of all those things that you're seeing that strong performance has led to and definitely a lot is to do with close communication and relationship management with our customers.
Joseph George: A couple of other qu estions. One is when is the Nexo n’s deal going to be completed a nd when will we start booking revenues?
Pankaj Mital: This is Pankaj here. We expect the closure sometime in the end of June, beginning of July. And that's the time when it should get consolidated with the regulatory approvals being in place. Some of them are currently in progress , so that's our expected timing.
Joseph George: Sure. Thanks. And the last one that I had was when we look world over, we are seeing that yields are going up across the board. So want to understand your debt, is it protected f rom


short -term spike in yields o r will we - or should we account for higher interest costs going forward?
Gandharv Tongia: So, we have a combination of both fixed and floating. It's a diversified portfolio. To a certain extent, it's protected a nd for the balance, it's a conscious call which we have exercised.

Laksh Vaaman Sehgal : But I think Gandharv at the same time, the net debt to EBITDA is probably at the lowest level that we have seen, even though we have had the strongest capex outflow. So , I think we will continue to reduce this number going in the year. So , wherever it is unfavorable or moving in that direction , with the cash flow generation that we are doing, we will have a significant opportunity to actually pay that out through our positive cash flow.
Joseph George: Thank you. That's all I had.
Moderator: Thank you. N ext question is from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: Good evening, sir and c ongratulations on a very good performance. My question was on consumer electronics division. I think the next plant will open in Q3FY27. So just wanted to understand what is the utilization level currently and how the revenues will pace here? Also, when I look at the top customers, consumer electronics customers are not reflecting in that list. So, have we included those customers also o r where are they?
Laksh Vaaman Sehgal: Yes. So I'll take some of it and Gandharv will probably support me on this. Look, the third plant utilization is zero right now because it's in start -up phase and then you will do the testing prototypes and all of that and that's when it will really come up, like I said. And once it comes up, actually, the timing is - it goes very fast. So , unlike automotive, which takes a couple of quarters to ramp up or a year or so also to reach the highest volumes, on the consumer electronics side, when the order starts, it re ally comes at full -fledged levels. So, the timing that we've given you, that's when it will come up and the utilization will go significantly higher at that time.
Right now, it's the smaller unit s, GF1 and GF2 which we are using, which are almost practically fully used up in what we are doing. So , the meaningful kick will come as soon as the third plant is operational and takes on revenues. And then you will see those numbers as they come because the order book for that only comes immediately before the program kicks off. That's when we get the ful l visibility. But we think that it will be at very, very good levels better than or as we budgeted for it for what the co nstruction that we have made. So overall, extremely positive on that aspect. And I think that this will really contribute significantly a

nd on the orders , on the customer split, Gandharv, thi s still fits in other segment.
Gandharv Tongia: That's right. This particular customer is included in others and just to support what Vaama n rightly mentioned, between GF 1 and GF2, our annualized production guidance



was around 14 million to 16 million units and which is what we have already achieved in the fourth quarter of the year gone by. And from third quarter of the current fiscal, we should be able to see GF3 going into the stream. And from there, we should be a ble to take the growth level to the next level as far as this particular business is concerned.
Kapil Singh: Sure. Sir this top 20 customers includes all divisions or it includes only automotive?
Gandharv Tongia: All divisions.
Kapil Singh: Okay. So, there is no consumer electronics customer in top 20?
Gandharv Tongia: And we are not also allowed to talk about a few of those customers and those names have not been included in the reporting.
Kapil Singh: Secondly, just on the restructuring, can you give us an update what percentage of the restructuring is complete? Should we expect more benefi ts to come through going ahead or are we already seeing most of the benefits?
Laksh Vaaman Sehgal: Are you talking about the European one that we spoke about. Is that the one that you're talking about?
Kapil Singh : Yes.
Laksh Vaaman Sehgal: Yes. Look, I think a big chunk of it is done. Of course, you're seeing the situation that is happening in Europe and a lot of macroeconomic issues continue to plague the region where volumes growth are not as meaningful as we have expected in the past, but yet Motherson continues to grow through acquisitions and increase in, let's say, the value content that is going up.
But yes, I think we definitely do see more possibility for us to restructure operations. And I think we will also continue to acquire operations and resize them to make them perfect. So, a s you can see, we have significant headroom for acquisitions. All the acquisitions that we have done have been integrated really well. You can see the performance of that. That is what's leading to record top line for us and also the holding of the margins because we brought this diversification and all the businesses in. And I think the customers will continue to look at us for solutions. And at that time, more resizing will be required because that is why those assets have come into problems, right?
So, from that sense, I think we are operating at a fairly strong base. We will further drive

efficiencies in our business, but the more meaningful volume growth will definitely come from acquisitions that we envisage will comejust like they have in the last fe w years. And when they come, they will come in quite a bundled manner.


Kapil Singh: Okay. And finally, just one question on EVs. It's 22% of order book. Can we also get an idea of what percentag e of revenue s are EVs currently a nd will most of the ramp -up in revenues now come from EVs given the scale of order book?

Laksh Vaaman Sehgal: No, not at all. I think the revenue component is 11% around that. But look, the split - well first, I want to say that, look, we are engine agnostic in the sense that we are not really doing too much parts, which is directly impacted. We are able to support those variants that are both EV and non -EV.

That's the majority of the business, even though we have done some strategic acquisitions to start looking at that, but the majority of the business is still hugely agnostic to what the powertrain is. The customers moving forward into only an electric kind of a mindset , have now shifted and said that they will move in all kind of powertrains. I'm generalizing, but they will offer all solu

tions. They will also offer ICE. They will also offer electric and they will also offer hybrid -- really to tell you what models get picked up, that's really dependent on the custom er preference, how much the governments are supporting , what is being sold by the dealerships.

But we are fully capable to supply the variants of our interiors, exteriors, wiring harness, plastic parts, mirrors. I mean all of these relatively can be picked up depending on what the customer pulls from us. So that will only be determined when the volu mes is actually picked up by the customers.

But we do not envisage a huge shift happening in a short period of time. Surely, electric is growing in the portfolio, although it keeps moving up and down and has volatility. But we believe that the market will never be so that it will only be electric or something like that. There are horses for courses.

Different markets will have ICE dominated different markets will move towa rds hybrids, different markets f or example, China a re already dominating electric. So, there's no generalization to be had. It will all depend on how the market pulls and what the government support is and again what the customers' preferences are.

Kapil Singh: Thank you Sir, for all the detailed answers and best wishes.

Moderator: Thank you. N ext question is from the line of Amyn Pirani from JP Morgan. Please go ahead.

Amyn Pirani: Yes. Hi, good evening and thanks for the opportunity. J ust a few clarifications. In your breakup of emerging businesses, if I look at lighting and electronics and I'm assuming that consumer electronics is part of that. Despite the very sharp uptick in consumer electronics, the revenue growth in lighting and el ectronics is just about, say, 30%. So , is it fair to say that the lighting business has had a fairly tepid year or am I over estimating the impact of consumer electronics here?


Laksh Vaaman Sehgal: I think lighting and electronics definitely had a very strong year. I mean, I think, again, you're not seeing that meaningful rise because GF3 is still to come up. As soon as GF3 comes up, you have to understand that GF1 and GF2 are minute size compared to what we are building at GF3. GF3 is the largest facility that we will have in Motherson. It's a size of 33 football fields that is going to come into commission. So that -- I think you should really look at this number next year. And then you will see the real impact of the electronics business that comes on stream. On top of that, I think we are doing numerous more initiatives.

You've seen some releases also about Motherson Electronics, where we are looking to do our own PCBAs, our SMT lines. We are building a lot of strength on that, even on the wiring harness side, a lot of focus is going into electronics with the new technolog y that is coming over there and the EVs and things like that. And I think, again, with the Nexans integration, a lot of stuff will more happen towards electronics field. I think it's a wait and watch. Please see what happens in a year or two . We are drivin g extremely strong in semi -conductors and in consumer electronics. All of these will become really meaningful in a couple of years to come.

Please just be patient and understand that in a very short period of time, we are already

supplying to some of the world's biggest names and scaling quite fast, although the automotive business continues to scale itself. So , this growth comes -- becomes a bit minute because you're comparing to what has already been in automotive for the last 50 years and all of this has just come up in the last couple of years. So just be patient, I think we'll be having a very different discussion next year.
Amyn Pirani: Sure. We look forward to that. And just for context, GF1 and GF2, you mentioned that in Q4, you're hitting the ann

ualized run rate of 14 million to 16 million units. So GF3 will be a multiple of this o r like any broad indication are you giving right now that GF1 and GF2 is 14% to 16%. So GF3 will be like of 2 to 3x or 5x of this, something like that?
Laksh Vaaman Sehgal: I can't give you , I can't give you, but yes, it will be multiple of it a because that's how designed to be. It was us to prove to the customers that we are capable. And now we are building a big plant to come in. So , wait for a couple of quarters to really see that number because, like I said, I think the most exceptional part of this business is that the order book only runs for that 1 year, right? The next year, you get the next order.
It's not like automotive where it's a gradual increase, then moves into high, then the thing starts to decline. It goes straight 0 to 100 because you have to produce as much as you can as soon as you win the order for the selling season. And then you move a little bit lower into spares and all that, and you already start working on the next program.
So, it's a very difficult different sort of industry, a difficult one because we are obviously more used to be automotive side, but I think the team has done a wonderful job to adapt


and challenge this new industry. And the work you will see in a couple of quarter 's time and see how the team has wonderfully adapted and taken on this challenge and you'll see that reflecting in the numbers in a very sharp way. So I'm quite excited to report that to you in coming quarters.
Amyn Pirani: And just on the aerospace business, would it be fair to say that out of the INR 2,400 Crores odd revenue, a large part of this would still be a business which is still being done in Europe, but your expansion is mainly India. So , there should be a large scope for expanding margins here as these revenues go up?
Laksh Vaaman Sehgal: I mean you always hit the nail on the head. Actually, we were looking at the order books and the Indian order book is perhaps even larger than what we have in the European side.
So, the growth is coming in a tremendous fashion. I think you all saw on our Investor Day that we had the customers there and how they're looking at Motherson to partner and grow their order book share in India.
So, it's extremely exciting what's happening on the aerospace side. Not only are we looking at that , we're also looking meaningfully to penetrate the semi conductor business through the capabilities in aerospace because they are complementary and th er is also some seeds which we have started, although extremely small right now, but hopefully in coming years that would also scale up in a meaningful size.
But we are extremely pleased with the growth that's come in the aerospace and this is just the first -- this is really the first step, more meaningful acquisitions, more global growth and of course, India being the center of growth in aviation with what's happening with the infrastructure development around it and the Indian consumers growing rapidly, preferring to take more and more airplane routes and more airports being built in India with their infrastructure, we believe it's going to be a lot of many y ears of growth to come and we are in great shape to take advantage of that growth.
Amyn Pirani: Great. Thanks for answering the questions and I will come back in the queue. Thank you.
Moderator: Thank you. N ext question is from the line of Binay Singh from Morgan Stanley.
Binay Singh: Hi, team thanks for the opportunity. J ust starting with the consumer electronics Earlier, we had talked about INR 2,600 Crores capex in that busines s. Where are we on that number a nd in this capex guidance of next year -- is that -- are we -- have we increased it or is it just that is already included in this?
Gandharv Tongia: Thanks, Binay. You're right. Th

at was the guidance which we gave last year. For the current year, we are in the process of finalizing the numbers. It should be broadly in the range of what we guided in the last year, but allow us a quarter to come back to you with the firm ed up numbers.

Binay Singh: And secondly, the 16 million exit number that we talked about, that is unit number. Any guidance on what is the revenue per unit?
Laksh Vaaman Sehgal: Look, we can't guide on that yet. I think, again, let it become meaningful by GF3 and I think that's the time where we will start to talk more about the exact numbers once it's a meaningful size. Right now, again, just GF1, GF2 are too small to be able to disclose those numbers in a meaningful way. Let GF3 come out, and you will see a much clearer picture and that will have the meaningful impact for you as well.
Binay Si ngh: So even then the lighting and electronics EBITDA that we see. So currently the contribution of this business will be fairly small in that, right? That's a fair way to understand, right?
Laksh Vaaman Sehgal: That's right.
Binay Singh: And then jus t moving to aerospace. We have two facilities coming up in the first quarter of FY 27, both in India. We had a very strong FY 26. What kind of growth do you see in the coming year?
Laksh Vaaman Sehgal: Look, the order book for the aerospace is at record number for us. I think we are allowed to disclose order book. I think, yes. So that is some number t hat we have already disclosed, 1.6 Billion is the order book. So , with these two facilities, we'll c ater to that additional demand.
I think it doesn't stop there. I think this year, again , we are hungry for more growth a nd perhaps if we are able to secure some big orders, and also look at some acquisitions, that number wi ll continue to grow. But these two plants are for the new capacity and order book that we alread y have in hand, which is about 1.6 Billion.
Binay Singh: And what year because your current revenue is USD 250 Million or so in aerospace. So , 1.6 Billion is over how many years?
Laksh Vaaman Sehgal: So usually, in aerospace, it's about 5 to 8 years around that, depending again how much customer pulls. But usually, we have seen that, that gets front ended because like I said, I think the demand in India is extremely strong at the moment. And this will not stop there. I think we are aiming to grow even further from here and have bigger wins this year and hopefully, we'll come back to you in subsequent quarters to tell you how that order book is growing. It has consistently grown. It was at 1.2 Billion , I think , the last time we reported it. So , 1.6 Billion is a meaningful jump on that just in a few quarters. So, as you can see, there is exponential growth happening now. And hopefully, these numbers will only continue to go in that direction.
Binay Singh: Thanks and just last, going back to the auto business. We have this one comment on Slide number 2, where we are saying that European OEM launches in FY 27 expected to support growth. And we know that Europe is it seems like Europe is having a weak summer for auto





production. These launches that you talk about, are the y the usual course of business o r this year, you have an exceptional number of new launches coming through, which can help you offset the industry weakness?
Laksh Vaaman Sehgal: Yes, it's a very good point. I think, I guess, one, our restructured footprint is going to help us because we are definitely leaner in these locations. And definitely, the new order wins are coming with exciting new attributes in the car. All of them are content heavy and value increasing.
As you can see, a lot of the new EVs are coming with a lot of feature -rich content. So, a lot of the

new cars are coming with exciting new technologies, exciting new materials and the way that we are going after these with the content heavy kind of stuff , we definitely believe that these launches will help both meaningfully in top line and bottom line for us.
V. C. Sehgal: Also , I think it's important for people to understand that the customers in Europe are not always the same. Even the new customers in Europe are coming in from outside Europe and they're producing in Europe and the customers have realized , our customers have realized that they thought they could get the mirrors from the normal source in XYZ country , but in Europe, they are doing local manufacturing and then that's where our opportunity is huge. And that's what is there. So , it's a huge mix of new customers, old customers, old models, new models, everything is happening at this time. And we're always at the edge of our capacity? What should I say?
Binay Singh: Great. Thanks team. Thanks for the detailed response.
Moderator: Thank you. N ext question is from the line of Raghunandhan NL from Nuvama Research. Please go ahead.
Raghunandhan NL: Thank you Sir, for the opportunity again. I n wiring harness division, there is an extremely

strong margin expansion of 170 bps Q -o-Q, and this is despite the copper price increase
and also some contraction in margin in Motherson Wiring India. So , what is the driving
factor for this margin expansion? Is it mainly operating leverage across the global entities
like PKC, Stoneridge?
Pankaj Mital: Yes, it's mainly because of the operational improvements. And since it's a global business ,
so there were some entities in some parts of the world, which had not performed well
earlier, which have done better in this quarter. And you're right, there is an impact of
copper, which is a lag, which we should be recovering in t he coming quarters.
Raghunandhan NL: Thank you. Thank you for that.
Pankaj Mital: And as we move forward, we see also that markets recovery in the North American side
will also come in, which should also help us to become even much better.


Raghunandhan NL: Well noted on that point. One clarification , input cost inflation like commodity, there is an
automatic pass -through with some lag. On energy gas price, freight cost, there has been
some increase in the recent months? Would these higher cost reflect in Q1, is there an
automatic pass -through here with custom ers o r would that happen through negotiation?
Gandharv Tongia: So, all these costs in the quarter gone by, the impact was there only for a few weeks, which
was not necessarily very significant. But you are right, in the current quarter, most of the
industries have incurred these additional costs. In our businesses, gener ally these are
matter of negotiations. We have very strong relationship with our OEM customers and over
the period , albeit with the lag, we should be able to recover most of these increase in the
cost from the customers.
Raghunandhan NL: Noted, sir. J ust a last question. Leverage position is very strong at 0.8x. And there was one
comment where you indicated that debt will continue to reduce. Given the uncertainty,
wouldn't you be looking at more inorganic opportunities or would there be debt reduction?
How do you -- how should we look at that?
Gandharv Tongia: At Motherson, we continue to evaluate inorganic opportunities. Whenever we come
across any inorganic opportunity in line with our philosophy, generally, at the behest of the
customer, will certainly explore. But as Vaaman mentioned as a response to earlier
question, we'll continue to generate healthy cash flows, and we will use these cash flows
for supporting our organic growth in the form of cape x and wherever required or possible
we will also retire debt to ensure that we utilize these ca sh flows in the meaningful

manner.
Laksh Vaaman Sehgal: Thanks, Gandharv. It's a Gandharv's job to return the debt and my job to spend more
money. So look, I think yo u all know, our targets for 108, I think Gandharv and team are
doing a superb job to keep tight control on the finances and keep that operating leverage
very much favorable.
But we definitely have to keep headroom, if we want to go after that 108 target and we
definitely, whenever we are speaking to the customers, we know that there are a lot of
issues still out there, a lot of suppliers that are still in trouble. And a lot of factors that are
still very much creating chaos in the supply chain and will require investment , will require
capex, will require upgradation and we are keeping headroom for that.
So, I think that's some thing that's around the corner. Of course, we will be disciplined as
we always have been. We will wait for the customer to approach us. But our thinking is
that, that is around the corner. And that's why keeping this healthy headroom where our
operations can continue to grow.
As Gandharv already said, we're looking to spend a considerable amount of capex this
year as well to meaningfully grow our top line , but we want to keep money for the


acquisitions that will become a game changer for us, both in terms of products and the
customers and the product segments that we serve.
On top of that, the new businesses all are doing extremely well. The customer's
confidence is growing on us. And we know that those acquisitions are also around the
corner because once you solve the customer's problem and then they're happy with you
and the trust goes up, you're the first person they think of when they have the next
problem.
So, we're inundated by that. Honestly, our pipeline for possible acquisitions is probably

also at quite a high in those terms. And we are patiently waiting. And all we have to do is
continue to deliver to these high levels of quality that the customer expects. We are
extremely cost conscious and we will be high in their ratings and the opportunity will
present themselves and customers are definitely calling us.
And as we talk, we're looking at opportunities of course, we can't disclose. We will only do
that once they are meaningful and all the things are sorted out with the customer. But as
we speak, we are looking at meaningful opportunities to again change the trajectory of
Motherson and get closer to our Vision 2030.
Raghunandhan NL: Thank you Sir for sharing that thought process and looking forward to the announcement.
Thank you.
Moderator: Thank you. N ext question is from the line of Aditya Ladhad from Stallion Asset. Please go
ahead.
Aditya Ladhad: Good evening Sir. F irstly, Congratulations on a great set of number. So we're doing a capex
of INR 2,600 Crores in a consumer electronic business, that's probably larger than most
of the EMS companies in India. And the kind of growth that we've done 7.5x of this of
Y-o-Y is also incredible. It's like we found a new TAM to deploy our D.E.M.A.L. capabilities.
So, going forward, this year also, can we expect maybe not 7.5x , at least to 5x growth
Y-o-Y for t he consumer electronics business?
V. C. Sehgal: Why not 7.5?
Aditya Ladhad: That would be great Sir. That would be great.
Laksh Vaaman Sehgal: Look, this is a very key point for Motherson. We have realized electronics is core to a lot of
the products, not only touching the automotive side, but of course, as an independent
segment as well. And that's why we are deploying more and more capital to i t, building
more competency, adding on to the team.
You'll also hear about potential new joint ventures that we are forming, of course,
acquisition opportunities that are strategic and inorganic growth. So , all of this will



definitely lead to meaningful multiples of growth in the Electronics division. Now of
course, a lot depends on again, our ability to execute and the customers' confidence in
us, but we are completely committed to having a lot of growth in this division.
Aditya Ladhad: And secondly Sir, during the Q2 PPT, you had mentioned that our order book for the
consumer electronics and aerospace business was close to USD 3 Billion. And today, you
mentioned that our aerospace business is close to USD 1.6 Billion order book. So , is it fair
to assume that the rest of it is consumer electronics and to be executed in 6 to 12 months?
Laksh Vaaman Sehgal: It's safe to assume that next time I have to be more careful with my words because you are
-- but yes, look I think overall and it's not just that one plant that we're looking at. It's
complete electronics, like we are buying a lot of our own PCBAs, from our SMTs and things
like that as well.
So all of that will meaningfully contribute in this coming year because our own Electronics
Company, which is going to be doing a lot of SMT lines that we are setting up that will
contribute. And we're going to bring a lot of that purchasing in -house. So that, along with
the consumer electronics, along with our increasing focus on electronics and the other
segments. That's something that we are targeting. Now it may come plus/minus 10% to
that number. But yes, we are hopeful that it is on the positive side and continues to grow
from here.
Aditya Ladhad: And Sir, broadly, this consumer electronic business JV, even though it's JV, it'll to be
consolidated, right? And what margins are we looking at it close to 20% margins for this
business?
Laksh Vaaman Sehgal: Look, I would want even more, but -- look, all I can say right now is that with GF3 scale , I
think it's definitely better than what our group is doing at the moment. Of course, I cannot
give you an exact because we don't guide on margins, but this should be helping to
increase our ROCE because the investments have been done and the returns will start to
come.
And like I said, give us some time, I think we are very excited about the business. This is
our first step into a business like this. Will we ever hit the number that you're talking about
goes to see how things pan out and how much we can build our strength internally. None
of these businesses ever start out at that those kind of margins. You have to build up the
capability to reach those kind of margins. But like I said, I think the first fundamental step
has been made, and it will be in the positive direc tion and hitting EBITDA positive already
at this stage is a wonderful sign. Where it reaches, I think you'll have to wait and see. And
like I said, we are more focused on the ROCE rather than just the EBITDA number because

that's what's more meaningful to us.


Aditya Ladhad: And Sir, last question is, so you mentioned that order books also we get orders when the facilities are live or something. So , the order book that we have right now, taking out the aerospace, do we expect it to increase by Q3 FY 27. And would t he entire execution come in FY 28 for the order book given the order cycles for 6 months to 12 months, as you mentioned?
Laksh Vaaman Sehgal: No. So, for consumer electronics is that much. But the automotive, it's more 2 to 3 years depending on how we have won it and that will go on for the next 5 years. So aerospace is even longer than that. It will come within, again, 2 years or a little bit less than that, but that will go on for maybe 10 yea rs, maybe even longer than that because as you know, the airplane platforms last for sometimes 20 years, even longer than that.
But the order books are generally around that level, there's, of course, upgrades, changes, a lot of those t

hings kind of happen. So now you see that the complete strength of Motherson , the D.E.M.A.L , you have the fast -moving consumer electronics space where everything is already decided in 1 year, the new pro duct , the o rder win, the order execution it is all within 1 year to move towards the medical devices, which is perhaps a little bit longer towards more automotive, which is even longer towards aerospace, which is the longest and goes all the way up to order execution of 10 years' time. So again, the whole idea is to diversify the business , to be able to reduce the dependency on any one industry and be able to grow even times of high volatility. And I think that's what's playing out, as you can see, we are in severe macroeconomic turmoil, but the diversification in our business is what's helping us to grow.
Aditya Ladhad: So broadly , I would say it's safe to say USD 1.4 Billion of consumer el ectronics to be executed in FY 28. And so there's a new CEO that has come at Apple, quite a big change. So first of all, they may be our customers a nd does that have any impact on our business?
Laksh Vaaman Sehgal: So that's your assumptions. Again, we're not here to talk about our customers or any customers out there. I think that is, again, your assumption of what's going to happen. I think the best person to answer those questions is the customer that you are talk ing about. We are here to answer questions about our business.
Aditya Ladhad: Got it. So , 1.4 Billion for FY 28, consumer electronics?
Laksh Vaaman Sehgal: With God's grace, we'll do more than that. I hope so, but again it depends on what the customer pulls and what happens.
Aditya Ladhad: Got it.
V. C. Sehgal: I think it was one quarter ago or something like that , we think that’s how , that has to happen.
Laksh Vaaman Sehgal: Let’s see what happens.


Aditya Ladhad: Sure. Okay. Thank you Sir.
Moderator: Thank you. N ext question is from the line of Ne el Shah from Purnartha Investment Advisers. Please go ahead.
Neel Shah: I just wanted to understand that in terms of net revenue, what would you say your 2030 Vision would be?
Laksh Vaaman Sehgal: The n et revenue?
Neel Shah: Yes.
Laksh Vaaman Sehgal: It's gross revenues, it's a gross target because it's a vision for the entire group, and that's a 108 Billion gross revenue target, not net.
Neel Shah: So that would imply a CAGR of 47% over the 4 y ears? Am I understanding that right?
Laksh Vaaman Sehgal: Yes. And I think that is something that we have done over the last 50 years as well.
Neel Shah: Thank you.
V. C. Sehgal : This is the seventh 5 -year plan.
Laksh Vaaman Sehgal: We have very high ambitions. So the idea is to think, to think out of the box to get ourselves out of the comfort zone and to live our purpose, which we have defined for the Company.
So in fact, you might be holding on to that 108 and thinking that, that's the only thing that's driving us. That's not.
For us, top line is vanity, bottom line is sanity , cash in the bank is reality. That's our dream.
That's our ambition. But we will be opportunistic. At the same time, we will be financially

disciplined and we will only go after opportunities that the customer wants us to be. So, we are preparing ourselves for 108 and we will be ready for 108. The opportunities have to present themselves.
Neel Shah: All right. That's helpful.
Moderator: Thank you. N ext question is from the line of Jay Kale from Elara Capital. Please go ahead.
Jay Kale: Yes. Thanks for taking my question and c ongrats on a great set of numbers. My first question is regarding our global OEMs or our customers, they have recently kind of given write -downs on their EV investments. And also in recent quarters, they've mentioned of supplier compensation regarding that?
V. C. Sehgal: I'll tell yo

u. So I've been saying that for the past 20 years, but you guys were not listening.


Jay Kale: Right. No, absolutely. But just that they were also , they've also mentioned of supplier compensations in the current quarter that they've given which has hit their margins. So have we received some of that in this quarter as per some compensations on that side?
V. C. Sehgal: We don't know what you're talking about. I don't know which guy has given compensation to this in the past for the investments and all that. We were never on that. We were always on the right side of the thinking that everything is not going to become EV. So we were agnostic to the engine right from the beginning.
Laksh Vaaman Sehgal: Yes. And again, like my father saying, we contractually are bound to a contract to supply something. So out of that contract, things happen, that's within the compensation, not because EV didn't really pan out. So that is the customer's prerogative on who they want to give to , who they want to make sure that they survive or not. That's up to them. Motherson is a financially strong Company. We have , that's why they're winning business from our customers. They have a deep relationship with them. On our products, whatever our contracts work, that is what we have rightfully taken from our customers and given them what they expected from us, the product and the quality that they expected.
Jay Kale: Great. And second question is on the emerging business. So if you see the precision metal and modules segment. That has seen a stellar growth of 2.7x. If you could just talk a little bit abo ut how is what is driving that a nd what is the outlook going forward for that segment?
Laksh Vaaman Sehgal: Great question. I think that's another key area for us to grow. I think machining is a core focus for us. You've also seen the growth happen meaningfully there because of Atsumitec acquisition will reflect over there. So , a large part of the growth over there. And I think, again, the team has done a wonderful job to integrate these acquisitions that we have said add meaningfully t o the top line and bottom line.
While maintaining all the other ratios and improving them for the rest of the group. So that's what you're seeing. The business itself is also growing. We have done a couple more acquisitions in this a lso in the past, like Rollon et c, that we had announced. And all of them are firing really well and machining continues to be an area that has growt h and h as meaningful contribution and something that we are extremely focused on be cause that does not just pan on the automotive side, but also on the aerospace a nd potentially consumer electronics in the future when we win those kind s of businesses as well. So, we're looking at machining and precision machining as real core focus moving forward for all our segments.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand over the call to Mr. V .C. Sehgal for closing comments. Over to you, Sir.


V. C. Sehgal: I think all of you have been advised a lot about what we are doing and how we are performing. But important for you all to understand that we are a fast -moving Company on to where we want to be. And thank you for your support and thank you for your questions. Thank you very much, and have a great week and months ahead till the next time. Take Care. Bye.
Moderator: Thank you. O n behalf of Samvardhana Motherson International Limited, that concludes this conference. Thank you all for joining us today and you may now discon nect your lines.